

Dabur India Ltd. (DABUR)

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To,

Corporate Relation Department

BSE Ltd

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai- 400001

BSE Scrip Code: 500096y^%\^.

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India Ltd.

National Stock Exchange of India Ltd

Exchange Plaza, 5th Floor

Plot No. C/I, G Block Bandra - Kurla Complex

Bandra [E], Mumbai - 400051

NSE Scrip Symbol: DABUR

Sub: Transcript of Investors' Conference Call for Dabur India Limited - Q1 FY 2022-23 Financial Results

Dear Sir,

Please find attached the Transcript of Investors' Conference Call organized on August 04, 2022 post declaration of Financial Results for the Quarter ended on June 30, 2022, for your information and records.

Thanking You,

Yours faithfully,

For Dabur India Limited

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K Jain(A-

E V P (Finance) and Company Secretary

End: as above^

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"Dabur India Limited's Q1 FY23 Earnings Conference Call"

August 4, 2022

MANAGEMENT :

MR. MOHIT MALHOTRA – CHIEF EXECUTIVE OFFICER

MR. ANKUSH JAIN – CHIEF FINANCIAL OFFICER

MS. GAGAN AHLUWALIA – VP (CORPORATE AFFAIRS)

MR. N. KRISHNAN – DEPUTY GENERAL MANAGER - FINANCE

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Gagan Ahluwalia: Good afternoon. Ladies and gentlemen, on behalf of the management of Dabur India Limited, I welcome you to this conference call pertaining to results for the quarter ended 30th June 2022.

Present here with me are Mr. Mohit Malhotra – Chief Executive Officer, Dabur India Limited and Ankush Jain -- Chief Financial Officer and Mr. N Krishnan – DGM.

We'll start with an overview of the company's performance by Mr. Mohit Malhotra, followed by

a Q&A session. Over to you, Mohit.

Mohit Malhotra: Thank you, ma'am. Good afternoon, ladies and gentlemen. Thank you for joining us today. I hope that you and your loved ones are staying safe and healthy.

The operating environment during the quarter remained quite challenging. The war in Ukraine continues to have a cascading effect around the world, especially on the currencies of fragile countries. Inflation is surging globally, indicated by historically high levels across the world. Even in India, inflation continues unabated and is reflected in WPI at 15.2% and CPI at 7% in the month of June. Softening of demand continues in the quarter with FMCG volumes contracting by 0.7% due to high price increases seen across categories.

In such an environment, consolidated revenue from operations posted a growth of 8.1% and a constant currency growth of 10.3%. India business grew by 10% with the underlining volume growth of 5% on a high base of 34% last year same quarter.

In this quarter, there was a significant difference between the growth of COVID contextual immunity-led portfolio, which had got a boost in Q1 of last two years and the non-COVID contextual business. While the COVID contextual immunity-linked portfolio is seeing a decline due to exceptionally high bases, the non-COVID contextual portfolio registered a very strong growth.

The operating margin has been higher than normal during last two years due to strong growth in the healthcare portfolio. In Q1 FY23, operating margin stands at 19.3% which is higher than pre-COVID levels of around 18%. Profit after tax registered a growth of 0.7% to touch Rs.440 crores during the quarter.

In terms of India business, all the three metrics – revenue, operating profit and PAT are registering a 10%+ three-year CAGR, reflecting that the business is done exceedingly well over this period.

In terms of categories, on the back of intense summer season, and good execution, food and beverage business posted a stellar growth of 50%. The beverage business was on a strong trajectory and outperformed the industry significantly with our market shares in juices and nectar

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category increasing by 330 basis points. This is further bolstered by strong traction of fruit drinks and milkshakes portfolio. The Food business also performed well with growth of 36%, driven by portfolio expansion and innovation. The food category crossed Rs.100 crores mark in the last fiscal and is on track to reach Rs.200 crores mark this year and Rs.500 crores mark in three to four years' time.

Home and Personal Care portfolio recorded a 15.5% growth on a high base of 26% last year same quarter, leading to a CAGR of 21%. Toothpaste portfolio reported a 13.7% growth during the quarter, and our market share in toothpaste segment increased by 20 basis points. We have now become the #2 brand in South of India. Hair Oils posted a 8.1% growth. Our market share in hair oils improved by 30 bps driven by marketing investments, regional focus and distribution expansion. Shampoos recorded a 17% growth. Market share in shampoos increased by 50 basis points. Homecare reported a growth of 52%, driven by robust double-digit growth across Odonil, Odomos and Sanifresh franchises. Odonil recorded an increase in market share across all sub-categories of air freshener category and

Odomos increased market share by 260 bps. Excluding

the Sanitizer portfolio, Skincare portfolio witnessed a growth of 35% during the quarter.

The Healthcare portfolio is lapping over two strong quarters of growth in the base on the back of first and second wave of COVID. This portfolio saw a growth of 29% in Q1 FY22 and 28% in Q1 FY21. As the COVID severity has waned, consumption of COVID contextual healthcare products has significantly reduced. Consequently, the portfolio declined by 20% during the quarter. In spite of the decline, the three-year CAGR for Chyawanprash is at 25% and a market share in Chyawanprash increased by 200 basis points in the quarter. Market share in honey increased by 190 bps with the new entrants seeing shrinkage in market share by almost half. Hajmola and Pudina Hara franchises posted a strong double-digit growth. Under OTC and Ethicals, while the COVID contextual brands declined, brands like Lal Tail and Shilajit reported a mid-teen growth.

Among channels, MD was a standout performer with a growth of 42%. E-Commerce channel continues to gain prominence and now contributes to around 9% of our revenue. The HoReCa business also exhibited a good growth on back of the FMCG portfolio doing well.

International business recorded a constant currency growth of 8% on a high base of 34%. The sub-Saharan Africa business saw a growth of 35%, Egypt business grew by 17.5% and Nepal business clocked a robust growth of 30%. Turkey business saw 88% growth in constant currency. Currency devaluation in markets like Turkey, Egypt and Africa impacted the revenue of international business in translation.

Overall, in spite of the weak macroeconomic environment, we continue to drive our business

aggressively and have gained market share across 98% of our portfolio. Cost side pressures due to steep inflation and currency devaluations triggered by global environment remain a cause of concern.
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serious concern. Although current demand trends remain weak, normal monsoon, good harvest and MSP increases should enable a recovery in rural in the medium-term. Urban recovery will be driven by a revival of economy, softening of inflation and buoyancy in new age channels. As for Dabur, we will continue to focus on strengthening our power brands, distribution, expansion, innovation, cost optimization and efficiency enhancement, which will hold us in good stead in the future.

With that I bring my address to a close and open the Q&A. Thank you.

Percy Panthaki from IIFL

Percy Panthaki from IIFL

Percy Panthaki: My first question is on the margins. So, typically pre-COVID, we have seen that full year EBITDA margins are about 200 basis points higher than the Q1 margin. During COVID period, this relationship broke down; it was more or less in line, some times Q1 was even higher than full year. Now that we are out of COVID, do you think that we will revert back to the pre-COVID kind of margin behavior Q1 versus full year?

Ankush Jain: Hi, Percy. Thanks for the question. Yes, in fact, last two years, you would have seen our margins were significantly higher than the pre-COVID and almost in line with the full year. But now I think the first our portfolio is rebalancing to pre-COVID levels, and therefore you would see the margins trending to similar to what was in FY20. Hence, Q1 margins would normally be lower than the full year margins given the fact that Q1 is more seasonal to juices as well. Plus, the inflation we think in the first half will be significantly higher than H2. So, your interpretation and trend is almost I think in line with what used to happen earlier. Though the level of margin between Q1 and full year, that gap we still have to evaluate given the things are very volatile.

Percy Panthaki: Secondly, I just wanted to understand on the new product launches, whatever we have done in the last two to

three years. What is the contribution of those products to the overall top line and also if you can give some flavor on some of the healthcare launches we had done which seemed very, very contextual and got a very good response during COVID like Tulsi Drops, etc., Of course, the momentum would have reduced from COVID period, no doubt. But is that reduction like very, very sharp or is there just a gradual moderation in that? And also, if you can give some color on the other new launches Baby Care or some of the food launches you have done, etc.,? Mohit Malhotra: Percy, what's happening is the new product contribution to the business is around 4.4% in the current quarter, and most of the NPDs we had launched were COVID contextual during the COVID period, but outside of the COVID contextual also, we launched new products to increase the addressable market, which is the long-term strategy for us. So, the NPD, which has really done well for us, real drinks, so, drinks have clocked a turnover of Rs.100 crores in the current quarter.
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year and we will be exiting at around Rs.200 crores turnover for the drinks. Our health juices have done very well in the healthcare business, which was COVID contextual, but also strategic in nature because there is a set market, it wasn't just limited to COVID period, but also there. So, for that, there's a turnover of 30 crores that we are registering. So, although it has come down sharply by around 60%, 70% from the COVID time to now, but that is the structured good business and margin-accretive business to us and that we will continue to grow. Then in HPC portfolio, there are new product launches like Ayurvedic shampoos we guys rolled out. That's doing very well in the market and that is gaining market share. Herbal toothpaste, which was a South launch, that's doing very well. We are broad basing that to now national launch. Our Hajmola extensions like LimCola, Chat Cola have done very well and they are contributing more than 10% of the overall Hajmola franchise. Badam Amla, which is a flanker brand strategy in Amla, supporting the Dabur Amla core brand with flanker brands doing very well. That is doing a turnover of around Rs.20, 30 crores for us. Real Milkshakes, I already alluded to in my narrative that it's doing very well; we've already gained 1.1% market share in the milkshake category. The food business of homemade chutneys and condiments that we guys rolled out, that's also doing very well outside of the COVID contextual portfolio. There were a lot of other NPDs that we rolled out in healthcare, like Shamshamani Vati, Juri Tap, many other products, which have kind of gone down by around 60%, 70% which are very contextual in nature and extremely COVID-driven. Like in hygiene products also, we introduced a slew of health care products, for which the turnover has almost become zero, like sanitizer Rs.100 crores and now it's almost become zero. Our healthcare products under the brand franchise that we created

Sanitize, that has also got reduced to around Rs.2, 3 crores. So, that we have cut the tail and we are not pursuing to reposition those. But in the HPC, food portfolio and on Chyawanprash extensions, honey extensions, Hajmola extensions, all those are doing very well and contributing as we speak around 5% of the turnover. I hope I've been able to answer your question. And these NPDs are over and above the digitally first new products that we have rolled out on eCommerce. Our strategy is to fly a test balloon in e-commerce and as the brand does well, then we roll it out to modern trade that we've already talked about before. In e-Commerce, Apple Cider Vinegar has done very well. Baby Care range is doing exceedingly well and the shares are great; we got around 2%, 3% market share on eCommerce and now we are extending it in modern trade also, the entire baby care range. Our

pure herbs range is also doing well for us. Vedic Suraksha Tea is doing well. In the current quarter, we will be rolling out the green tea, which is another variant. And cold pressed oils, mustard oil, castor oil, and groundnut oil, they're all doing very well on eCommerce. So, not yet extending to modern trade but are doing reasonably well for us. And your previous question on margins, we see margins on all fronts going up to pre-COVID levels like operating margin is around 80 bps higher than pre-COVID to 21%, profit before tax is 22%, pre-COVID was 20% and PAT is around 16.8% to pre-COVID, which was 16%. So, everywhere our margins are better than the pre-COVID times because during the COVID times, healthcare portfolio went up and healthcare has structurally higher margins, because of that the margin went up by 100 basis points. So, despite inflation, we've been able to maintain margin higher than pre-COVID to your previous question.

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Percy Panthaki: Chyawanprash extension into health food drinks, any comments on that?

Mohit Malhotra: Chyawanprash extension to health food drinks is doing well. We've done a very segmented launch here, limited to around 10,000 outlets, and those outlets have registered a shelf share increase and also a 30% repeat purchase. So, that's an indicator on how the brand does and as and when the brand is doing well in a particular segment, we will be extending into other segments also. So, at the moment, it has been a very, very segmented launch for us. But wherever we launched, we got very good rave reviews about it. So, we are in no hurry to gain turnovers on the NPD as long as we want NPD to be successful and we will be launching channel-by-channel and state-by-state. It's a gradual slow launch. By the way, in Chyawanprash, we will be extending it into granules also in the current quarter, which got Chyawan Shakti Powder, which is what we are rolling out in the coming season, Chyawanprash extension into powder form.

Percy Panthaki: So, just one related question on this, Mohit. You have launched a lot of new products and not just a variant like, you have launched ayurvedic shampoo, that's just a variant of an existing category, but like you entered into various different categories. But given that these are test launches in e-Commerce, etc., and all of them are doing well except for COVID contextual ones. But still from investors and analysts point of view, these are still so very, very small. Can you give some idea on what kind of ramp up we can expect? So, let's say out of the total, all these new categories that you've sort of launched either on eCommerce or otherwise, new categories, not new products, like pickles, baby care, milkshakes, etc., these I consider as new categories, but not fruit drinks. So, what kind of turnover can these in aggregate deliver over let's say a five year period, because Apple Cider Vinegar, let's say even if it's doing very well, if the total category is only very small, and even five years down the line, let's say we have only Rs.30 crores sale out of this, then as investors and analysts, that's not a very exciting product for us. So, just coming from that point of view.

Mohit Malhotra: I got what you're saying. So, what we are saying is a 5% of our turnover on an annual basis should come as a contribution from NPD and that we will sustain over a period of time, Percy. That's the way we are looking at. But in terms of turnovers, to give you a flavor from an analyst perspective, just to give you an idea, in drinks now we have in beverages done Rs.100 crores turnover on a beverage size of around Rs.1,200 crores. So, this Rs.100 crores in the second year is going to be Rs.200 crores. So, that's the turnover buildup that is happening on a base of around Rs.1,200, Rs.1,300 crores beverage business. In foods also, we have Hommade brand which i

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Rs.80 crores and in five years' time we are scaling it up to Rs.500 crores and we are giving you that particular vision also. So, that's the way. In beverages and drinks, now we've expanded our addressable market. So, I can't really give you the quantum turnover because new product failure rate is also very high. It is just not that our COVID contextual portfolio has done bad. We've got certain other brands also which has not done very well, for example, we launched the Dant Rakshak, which has not done very well in the toothpaste. So, that we are kind of revamping. We had done entry into our gels, which is a Red Gel, which did not do well. And we launched Amla

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Aloe Vera also, which also did not have a very good response. So, that's not done very well for us. But wherever we are entering, we are wanting to have a 10% of the turnover of that particular category being NPD and therefore increasing the addressable market. So, that's where we are.

Avi Mehta from Macquarie

Avi Mehta: I just wanted to clarify if you could update on the inflationary scenario right now, how are we placed, how much have we passed on, have we taken any further price hikes?

Mohit Malhotra: Inflation is going on unabated. And I think the lesser said is better. So, we have seen a 9% inflation coming on a base of 10% of last year. And it's happening across our commodity buckets. So, whether you look at the hydrocarbon linked commodity bucket or packaging material, which is again hydrocarbon-linked, herbs and spices, whether it's edible oils, or specialty chemicals, so all buckets of commodity are seeing a huge inflation. And inflation is in the range of around 9-10%. We've been able to take a price increase of around 5% absolute price increase and a 1-1.5% of a surrogate price increase in terms of grammage reduction in our LUP. So, around 6-6.5% kind of a price increase, which is nowhere close to mitigation of 9%, 10% inflation, rest has got reflected in gross margin compression of around 220 basis points that you actually saw. This is what we have done. We think the inflation will not abate at least in the second quarter. And second quarter, we will see margin compressions, but I think in the third quarter onwards, when we lap over inflation of around 11%, 12% through the last year, we think that commodities will soften. And there'll be a rollover price increase impact happening in the third quarter. So, third quarter and fourth quarter should see a bit of softening of inflation and price increases kicking in and the margin protection happening in the third and the fourth quarter in the second half of the year. But second quarter, we will see some amount of gross margin compressions, which on back of the scale, we should leverage the other line items and try to minimize the impact of gross margin compressions on operating margin, but that pressure will be there.

Avi Mehta: Mohit, if I understand, this inflation mismatches primarily in hair care, right? That's what you indicated last time. That situation continues or is this now percolating across other categories as well?

Mohit Malhotra: So, what's happened is wherever we are market leaders, whether it's healthcare or in foods, we've been able to pass on the inflation to the consumer because we are the ones who set the pricing table and we have got the pricing power there, elasticity, because most of our brands, our market share leaders there, around 60%, 70% market share, that we've passed on. But we are cognizant of the fact that it might lead to some sort of compression in the demand also. As market leaders, we have ownership to drive the market growths and the growths are not very easy to get by. But wherever we are market followers, we wait for the market leader to take up the price increases, like in oral care, Colgate has been very swift to take up market price

increases. So, we've also

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taken our price increases. So, we've been able to pass on the inflation in oral care business also to the consumer. We haven't seen margin compressions there. In home care, we are again market leaders there. There also we passed on. Skincare also we passed on. In hair oils, you're rightly saying, because the competitive intensity is very high, we have a lag in inflation to price increase, because we wait for the competitor to pass on, which they are not passing on. So, there is a margin compression there. And in shampoo, where we have majority of the business at a price point at Re.1 or Rs.2 price point there we are holding ourselves back on taking price increases. So, we are kind of titrating the volumes in our LUPs there.

Avi Mehta: Just on the last point that you said, you will use all levers to maintain a EBITDA margin. Was that from an annual perspective that you're talking about or if could give me the context, I didn't quite catch the thought process behind that?

Mohit Malhotra: In the beginning of the year, we were facing a 7%, 8% inflation and that's how we had budgeted ourselves. So, we had taken a budget of maintaining our operating margins. But, as we entered Q1, we saw inflation is much steeper as compared to the budget that we've taken. We have budgeted to maintain our EBITDA margins. But, if the commodity prices remain, especially the oil prices remain at the point where they are, we are seeing some softening happening. Today, it has reached 100 level and gone down below 100. If the commodity prices soften, then we'll be able to maintain the margins on back of second half of the year. But, if the inflation doesn't abate, then it could be a little difficult. But, in terms of prioritization, the management's priority is always to gain market share, not to let up on the volumes and value. And second priority is given to margins if push comes to shove.

Avi Mehta: If you could give sense on the rural side? You had indicated last time the channel health also

being an indicator of how is that changing?

Mohit Malhotra: Our numbers don't kind of reconcile with the syndicated data, which Nielsen talks about. So, we have seen a rural business and urban business almost neck-to-neck to each other and we did not see as much compression in the rural business the way Nielsen is indicating. Nielsen indicates a 0.6%, 0.7% expansion in urban business and rural business down by around 2.4%. For us, both of them are around 8.3% and 8.4% growth that we've seen in our business on back of ahead of the curve infrastructure developments which we have done in the rural business, village expansion is concerned, sub-stockist technology intervention, etc., And for us, rural is doing relatively better. But of late what we've seen, Nielsen is definitely a lead indicator and indicator of things to come. So, we are seeing some credit needs in rural and we've extended credits in rural. Telltale signs in rural India are there. Plus demand compression also what is being observed in the rural India and impact of inflation is much higher in rural as compared to urban, and therefore, volumes are also getting compressed. That said in medium term, on back of normal monsoon, MSP increases, infrastructure expansion, government's focus on rural, I think rural will be very resilient and will be very quick to come back to where it was. But we have

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seen in the last two to three quarters, rural per syndicated data is flagging and is suppressed more than urban. But urban is also doing well because post-COVID urban markets are opening up and we see huge buoyancy in modern trade, cash-and-carry and eCommerce. They have taken the slack of GT and on back of these emerging channels, the urban business is doing reasonably good.

Avi M

ehta: We are not yet seeing recovery, but it looks increasingly better. That is how I would take it away.

Abneesh Roy from Edelweiss Securities

Abneesh Roy: My first question is on the hair oil. So, two questions here. The first one is on this new launch of Neelibhringa, if you could tell us what is the pricing positioning and already Indulekha and some of the other players are quite well established here. So, what will be the USP? And second question on hair oils is I've seen one-on-one offer in coconut oil. You're a small player there with 6% to 7% market share. What would be your three-year, five-year ambition in coconut hair oil? And this one-plus-one offer, is it on just Jio or you're doing it across eCom and across modern trade?

Mohit Malhotra: So, first of all, you are talking about Neelibhringa launch. Our Neelibhringa entry is coming from a rational of Dabur's non-presence in the Rs.1,000 crores category. There's ayurvedic oils which is Rs.1,000 crores category which is a new category where Indulekha came in, Kesh King came in Dabur doesn't have a presence there. So, we are trying to get into that and that's why this NPD of Neelibhringa 21. So, while there was entry of bhringa, this is Neelibhringa, Neeli is Amla and Neeli is also known to keeping hair black rather than just hair growth. Our positioning is more on black hair, long hair and hair growth. And apart from hair growth, also, reduction in hair fall. The price point is a sweet spot between Indulekha and between Vatika which is a premium coconut oil. So, we are at round a price point of 400 per 100 ML as compared to the market leader which will be at around 600 per 100 ML, so we are cheaper. And we see a clear price band opportunity available in between the lead player in this ayurvedic category and Dabur Amla or Dabur Vatika which is at the premium end. There's a huge gap between the two. That's where we guys are in terms of price positioning. Amla if you see Rs.50 for 100 ML, that's the popular price point. And the premium guys operating at Rs.600 per 100 ML. So, there is a huge difference and a gap available there for the consumer to make a choice and these are all value-added coconut oils with different benefits given to the consumer. But that's the segment that we've made an entry in. We've done test marketing in south of India because that's the largest market for coconut oils. And if we see green shoots here, then we will roll it out in the other parts of the country also. As far as coconut oil is concerned, it's a huge market, I don't have to belabor on that point. And we've got a brand called Dabur Anmol which is already a 200 crores franchise and we are looking at ramping it up to around Rs.500 crores in two to three years' time and that's why we are extremely competitive here. We have half of the price of what the market

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leader is in 100 ML SKU which is what we guys are flashing on the pack. We have a different pricing in the larger packs, we have a different pricing in the smaller packs.

Abneesh Roy: But the industry isn't growing, right? Your hair oil CAGR three years is 3.6% and if you have to more than double in three years, it will be essentially market share gain which you will target?

Mohit Malhotra: We are not concerned with the market growing or market declining. The hair oil market is actually declining at 0.4%. The hair oil market is huge, more than Rs.10,000 crores. We guys

have a market share of roughly around 15% thereabouts. So, we are relying on market share gain only. It is the market leader who should be bothered about the market growth rates. We are not concerned with growth rates. We are concerned with gaining share. And it's almost like a monopoly situation here where we are at around 15%, 16% and the other player is around 40%, 50% share. So, therefore a huge gap and a huge opportunity for us and we have

have a right to win in

this sub-segment. So, that's what we're playing in all the sub segments, whether it's a perfumed hair oil segment, where we have Amla, there is a cooling segment where we guys are not present as yet. So, we will be making an entry into cooling also. I can't tell you the timeline as yet. Then there is a segment of ayurvedic where we have already made an entry, then there is a coconut oil where we have Anmol, then there is a value-added coconut oil where we have Vatika which is already doing well for us. And there is a light oils where you have Bajaj which is the big boy. So, there also we are gaining market share steadily in the Dabur Almond segment. So, all the sub-segments we feel there's a huge opportunity here.

Abneesh Roy: My second question is on shampoo. So, if you could tell us for the category how much is the naturals currently? And for you how much is the bottle currently versus say industry if you could point out how are you different in terms of bottle saliency?

Mohit Malhotra: So, shampoo, the overall market segment of naturals will be in the range of around 10% or thereabouts as compared to oral care with a naturals segment at 30%. So, we feel this 10% market segment will only inch up and it's growing at a much faster clip as compared to the shampoo growth rates are concerned. So, that's the way oral care is also panning out and there is no shampoo in the market which has a right to win in the herbal space of shampoos. And that's why Vatika ayurvedic shampoo as a launch is doing very well for us and in sachets also is doing reasonably well. Our saliency of bottles is around 16% to 18%, which in some quarters goes up to 20%, in some quarters, it's around 16% which used to be around 10% at some point of time. From 10%, it's ramped up to around 16% and we are continuously working towards ramping up our bottle saliency which is margin-accretive to us and there's a huge gap in margin. So, we make around 55% margin in a bottle as compared to a sachet, we'd be making something like around 20-25% margin thereabouts and there is also inflationary pressure in sachets, because there is a price point and there is a threshold level of quantity which woman needs to wash the hair. So, not much one can do. So, we are ramping up a bottle significantly. And modern trade and eCommerce totally put together and cash-and-carry if I also see the business, this is roughly Dabur India Limited

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around 20%, 25% of the total category and our saliency is only around 16%. So, it's naturals and shampoos are more skewed towards modern trade. We are low pivoted as compared to the category saliency of bottle. So, there's a huge headroom for us to grow the bottle saliency driven by modern trade, eCommerce, cash-and-carry and OFO formats, which are also driven by pricing. Our pricing is also in our favor because we can give a one-on-one free and consumer is very price conscious when it comes to interacting with a product directly.

Abneesh Roy: Last quick question is on toothpaste. So, you said Dant Rakshak and Red Gel didn't do as per expectation. Now, you also mentioned that for naturals. For the category, it is around 30%, which is a very high number. So, if I see your growth versus market leader on a three-year basis, you've clearly grown faster even this quarter. So, my question is, the naturals shift within toothpaste is it now coming to much lower change? And second, Dant Rakshak and gel failure or say below expectation, would you attribute that to any specific reason?

Mohit Malhotra: Naturals segment, I think continues to trend higher. Now, because the inflationary pressures in the category, you see the pressure happening on the entire category, and it's just not naturals, the non-naturals category also, which is facing headwinds of the category growth. If you look at this quarter, the category is declining

by around 3.5%. There's a volume decline happening in the oral care category. Now, this is happening. But herbal category is declining, it's almost stagnant as compared to other category decline of around 3.5% to 4%. So, that's the skew. Herbal is definitely driving growth. Now, the pace of growth has slowed down because Patanjali's growth has slowed down, not that our growth has slowed down. There are two big players in the naturals category; one is Dabur, and one is Patanjali. So, the growth of Patanjali slowed down. That's why you see a slower growth happening in the naturals sub-segment. But I think the market leaders' naturals offering is also growing at a faster clip as compared to the non-naturals for them also. So, that's as far as the naturals is concerned. Now, our offerings in natural, whether it's Dabur Red, or Dant Rakshak or Dabur Herbal or Meswak or Babool, all of them are doing well, except for Dant Rakshak which didn't do as per our expectations. But we were also not sure at our end, whether it will do well or not. We said that there is a price point gap between the Dabur Red and Patanjali. We wanted to play at Patanjali's price point. Unfortunately, north

of India, it has not resonated well with the consumer. So, we have withdrawn it. We are focusing on herbal. But as far as gel is concerned, gel is definitely a big opportunity. I think it was our marketing failure at our end which we are correcting the mix. The benefit orientation for the gel category is all youngsters and freshness. Unfortunately, we brought in a do-good element in the freshness category, which we will be correcting going forward and using our tenets of success, which we have always been using like a celebrity, etc., and making a revamp of the gel proposition in the market once again. So, that you will see in the next quarter or the next to next quarter, we are rolling out revamped gels in the market under the Dabur Red brand. And we are calling in a sub-brand called "Bae Fresh". So, that will be coming out in the market.

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Abneesh Roy: One follow up on what you said. The Patanjali market share now will be how much? And are you taking any proactive steps or is it just that brand and innovation from that company is in general extremely slow versus what you do or what Unilever does, is that the reason or it's just a very targeted market share from Patanjali, which you're doing?

Mohit Malhotra: Patanjali was around 12%, 13%, have come down to around 9.7% and the growth has also slowed down. I think there is no lack of aggression from Patanjali except that Patanjali's efforts are dissipated in a lot of other launches and the company acquisitions of Ruchi, etc., so that's why. But aggression is not lost out, I would not say. But the brand is not doing very well in the marketplace and some amount of steam has got lost as far as Patanjali is concerned. So, that's my take. What was the second part of your question?

Abneesh Roy: A related one, are you doing any proactive steps to further take because 9% is still a very respectable market share from Patanjali?

Mohit Malhotra: What's happening is if you really analyze the market, Dabur Red is doing significantly better in south of India and in east of India. We guys are very weak in west India and north India, which is where Patanjali has a saliency. So, that's a gap in our portfolio. While we are a north Indian company and Dabur's equity is very strong in north and east, but we've not been able to make inroads with Dabur Red into north. So, we are strengthening our portfolio of Red in North and north is very price-sensitive market. So, therefore, we have opened floodgates and augmented capacity in a Rs.10 price point which is doing very well in north of India. And in south we already are doing very well and as I talked about we are already a #2 brand in the

south and we

are doing well in east. In north to bolster ourselves and our position, earlier, we thought that we will come out with Dant Rakshak but Dant Rakshak hasn't done well, lesson well learned. So, we'll be focusing on Red only in north. We are augmenting LUP there plus we are taking a celebrity which resonates with north. So, Dabur is tied up with Amitabh ji and we are in the process of making a shoot and doing TV commercials with him. So, we will be doing a press release on the same and coming out. So, there'll be a big campaign launch of Red with taking a brand new ambassador like Amitabh ji there who resonates in north India.

Prakash Kapadia from Anived Portfolio

Prakash Kapadia: Mohit, in honey, we had done a couple of launches, Tulsi, Hima layan Organic, Ashwagandha.

So, what has the response been to some of those launches? Coming back to the immunity positioning of honey, it is slightly different as compared to Chyawanprash. So, what are the challenges we are facing in terms of repeat the purchase of honey because the positioning always has been replacement of sugar, weight loss, not just immunity as compared to maybe Chyawanprash?

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Mohit Malhotra: On honey, I think the acid test for all the launches is your market share increases, like at the time when Patanjali had launched honey, we had lost out roughly around 1,000 basis points market share to Patanjali. But this time around when new players entered the market, we only strengthened our position on back of all the NPDs and pivoting the brand to immunity during the COVID period when the immunity-driven brands were doing so well and the category was blowing out of proportion. So, therefore, all those initiatives and NPDs have really helped us to ramp up our market share. Our market shares are all-time high, almost in the range of around 50-plus as far as honey is concerned and all lost ground at the time of Patanjali has been made good by Dabur Honey. On the campaign of immunity that we did, you're right, immunity angle is different for honey as compared to Chyawanprash, because honey is adjunct to other products, offering immunity and it increases the efficacy of anything that you have it with, whether it's fruits or medicines, etc., Absorption becomes much easier and much better sugar to have as compared to sucrose, because it is fructose and aids in slimming and multiple other benefits. So, during COVID, because immunity was so salient, we had pivoted a lot communication towards

COVID contextual communication. Now, we are going back to our old positioning, which is all about slimming and all about sugar replacement. So, you will see honey now coming out with positioning which is going to be sugar replacement and telling consumers that it's better to use a good sugar which is like honey and not use sucrose because that impacts your glycemic index levels, etc., That said, all the NPDs have done very well. By the way, our eCommerce NPDs of Himalayan Honey are doing well. Tulsi and Ashwagandha were contextual. So, therefore now the context of COVID is not there. Therefore they are not doing very well. But they were there the times when Tulsi and Ashwagandha were doing well and that's why we launched it and the offtake has been good. We've not taken back any stock. That was good. But we've reduced the production of these two variants. So, that said, but other value-added variants of honey are doing exceedingly well for us. Honey as we speak in the quarter has gained 190 bps market share and the new player who entered the honey market has also seen a reduction of market share to half of the peak levels that he had got. All the products are actually stuck on the shelves for them and have all crystallized due to offtakes being low. So, we are in a very good space as far as honey is concerned. But I must tell you, while that said, al

I is not great, because there was too much of activity which happened on honey during the COVID period. So, stocking levels have gone up both at the retailer level, STR gone up, and also at the consumer pantry level from the data that we see. So, consumers have purchased one-on-one free. So, instead of one bottle, they are now saddled with two bottle stock. So, there the category has declined, very sharp post-COVID. But we see it's stabilizing over a period of one year as the activity actually gets reduced. So, as the season is almost approaching, and we will see our market shares only go up from here. Prakash Kapadia: These newer products would be 5%, 7% of our overall honey sales or could be more than double digit?

Mohit Malhotra: No, no, they will be less than 5% of our overall turnover.

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Prakash Kapadia: Secondly, on Real Vitamin boost range, is it targeted towards kids? How is the pricing there? And any price increases we've taken in the juice portfolio?

Mohit Malhotra: For juice, we have taken around 3% to 4% price increases because that was the extent of inflation, we've actually taken price increase of more than what the inflation was in the fruit juices, but the real inflation of fruit juices and drinks is going to pick up now and therefore, the mango pulp has become expensive and therefore that's the time. But we've taken a 3%, 4% pre-emptive price increases in juices. On the vitamin range, the rationale for launching it is essentially for south of India. What we see is that smaller players like Trop and ITC are putting a lot of pricing pressure on to us on the modern trade. So, our regular brand if we match up the schemes and play a very competitive activity, then it stocks in filtrate from modern trade on to our GT. We want to segregate the mix that we sell in modern trade versus what we sell in GT. In GT, we are selling our regular variants and in modern trade, we'll be wanting to sell our masala juices in the North of India. And because the masala palate is different for south, we are pivoting the vitamin range to the south vitamin range. In terms of MRP, will be expensive. Our gross margins there will be ahead of our average by around 300 to 400 basis points and that will be discounting to gain market shares in modern trade. Like I alluded before, so we need to have horses for courses, not one strategy works well for all channels, it's a channel wise strategy. So, this vitamin strategy is more for modern trade for us and it's a channel wise strategy that we are pursuing there for modern trade to gain shares.

Prakash Kapadia: Lastly, on the raw material cost increase, if you could segregate the mix impact because juices had a much higher contribution in the unlock this year after two years of COVID and the actual raw material pressure because juices have grown far, far better and the mix is much higher. So, if you have it ready it will be nice.

Ankush Jain: Prakash, maybe out of these 220-bps contraction in GC, half of it is coming mainly because of the mix impact in this quarter, almost 100 bps.

Prakash Kapadia: So, roughly half?

Ankush Jain: We are rebalancing that.

Shirish Pardeshi from Centrum Broking

Shirish Pardeshi: Indeed, it was a good performance what I can see that the healthcare expectedly has come down.

But just let me step back and say that the loss of healthcare business, which has climbed up to say around 35%, which has now come down to 25%. So, I think you're doing a lot of product launches with the new product, and you're also expanding the hair oil and even juices portfolio.

But just one quick question on that, in the medium to long term, what are the core businesses you think the growth will happen basically on the power brands?

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Mohit Malhotra: Yes, our power brand strategy remains intact and the

re is no change of course on the power

brand strategy. So, we've got around eight power brands in the company and we want to strengthen each one of those eight power brands and scale them up. So, those are the core areas of business where we are investing funds and we are augmenting capacity and we are increasing our distribution and we are taking celebrities and connecting with the millennials on eCommerce across our world. So, we are ring fencing all our efforts to these eight power brands and increasing scale. So, one-by-one, Amla which is a core brand and a flanker brand strategy, that is continuing. And then there is Dabur Red, core brand, flanker brand is continuing again with the Dabur Herbal and with the peripheral, Meswak brand. Real is our core brand, that is where we are continuing. Chyawanprash, Honey - those are the extensions that you guys are seeing. Pudina Hara, Lal Tail and Honitus. So, those are the power brands that will continue to receive focus from the company and the extensions will also happen, innovation will also happen around the same. We are not planning to introduce any new brand because there are so many brands and we want to just focus our energies, effort and packaging, manufacturing, all efforts around these brands. So, that's what one is trying to do in terms of the power brand strategy.

Shirish Pardeshi: This time you have not spoken anything on the distribution. So, what kind of efforts which you're taking in terms of village coverage expansion? I think last time you mentioned that we are targeting to reach 90,000.

Mohit Malhotra: So, village coverage, this year the target is to reach 100,000 villages and that we have a Yoddha program. And we have already appointed around 10,000 Yoddhas as we speak and they've contributed to around Rs.20 crores of business in Q1 and these yoddhas will continuously be converted into sub-stockists who will eventually be converted into stockists and superstockists depending upon the turnover. So, that is going on at a fast pace. And for rural sales promoters, we have added more rural sales promoters and feet on street. And now we are trying to bring transparency to how they are doing transactions and giving them handheld terminals, which was earlier limited to our sub-stockists. But now, we have sales promoters with the sub-stockists, who is doing the last mile sale. We are trying to bring transparency and visibility to that data. So, that's on digitization, which is happening on the rural end. In the urban end, we are increasing our number of outlets from 1.2 million and this year the target is to reach up to around 1.4 million outlets and we are trending well, 1.35 outlets we've already done in the quarter, and from 1.35 outlets we should be going up to around 1.4 outlets by the end of the year, that is on the urban growth that we'll be seeing. In addition to that, even 6,000 additional chemist outlets have been added and we are doing engagement program with the chemists in addition to the grocery and the rural sub-stockists also. That's also been doing well. And to improve the efficiency, we used to sell around four SKUs in an outlet. Now we find four is too low. So, we are trying to work on MSLs which is a Must Stock List for every outlet and working on heuristics this and push lists in our handheld terminals to ensure that guys conform to our picture of success that we've decided, and every conformity done by a sales officer is rewarded and there is an intelligent control tower which is there, by which we are doing all the monitoring of the sales force.

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Shirish Pardeshi: While I visited recently Nepal, and in that I've heard that you're doing a significant investment. So, is it that you are expanding the factory base or there is some more factories you're putting in?

Mohit Malhotra: In Nepal, our business, again, it's a reflection

of what the India business does, the extension of

India. It's a SAARC strategies very similar to what India strategy unlike a Middle East or North America. So, it's trying to mirror what India is doing. Juices is around 60%, 70% of the overall turnover and we are by far the market leaders in the juices category. Like in India, we've increased the total addressable market of juices to drinks, even we are doing the same thing in Nepal. India was more led by what competition is doing and we are #2, but in Nepal, we are #1. So, we are in the process of putting a pet line there. And therefore, we will be the first company to have introduced juices in pet line after tetra pack. So, that will be a very big leg up in the Nepal business. Also, we've introduced Rs.20 price points there also, which are doing exceedingly well for us. And also, in the healthcare and the personal care space, we are kind of identifying the gaps and plugging those white spaces as we speak. So, our business is doing very well; we've grown by 30% in Nepal, and that is coming on back of a good growth of last year also, and our market shares are steadily increasing across our categories there, and we got a very good team in place in Nepal also doing a good job there.

Shirish Pardeshi: So, this investment what we're doing in terms of, is going to be for next four or five years?

Mohit Malhotra: Yes, absolutely, it's a long term. Nepal is also used as the outsourcing hub for us in terms of

juices. So, therefore, as the juice business expands in India, so we are augmenting capacities in Nepal so that becomes a larger feeder market for us from Nepal to India.

Shirish Pardeshi: The promoters of the company has bought lion's share in the Equity already. Is there any plans that we want to merge the distribution?

Mohit Malhotra: Not really.

Gagan Ahluwalia: That is their personal investment. It has nothing to do with Dabur India.

Jay Doshi from Kotak Securities

Jay Doshi: My question is on drinks portfolio. What is the kind of growth trajectory you expect based on the success you've seen so far? I know the category is very large. And how should we think about the growth for overall beverages portfolio given that you've also entered milkshakes and seen some of the success there?

Mohit Malhotra: Jay, we are limited by our capacities. So, we are bursting from seams in terms of demand and the supply is not able to keep up pace with the demand that we had in the season, and we were
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caught napping, and we did not have capacity. So, whatever we could supply, has been absorbed by the market. And we've increased our outsourcing from something like around 3 lakhs to around 7 lakhs to 10 lakhs. So, three times outsourcing of capacity in which we were giving margins which are much higher than what cost was internally concerned. We know the make or buy, it's better to make, but we had to buy, because the capacities were short and we want to plug in those gaps. So, we are not supplying in many markets because of sheer shortage. So, we are in the process of putting up CAPEX. In the current board meeting also we got a CAPEX approved of putting up additional line in Indore and at other places also. I think we should be growing at around above 20%, 30%, much ahead of the market. Market is growing at 30%, 35% because out of home consumption has picked up, we've grown by 50%, we've gained 330 basis points market share in overall beverages to reach up to around 62.7% market share. But I think the right way to look at is that we are hardly doing around 2.5% in drinks market. So, that's what we got to ramp up. So, there is ocean of opportunity staring at us, and we have to quickly put up CAPEX and try to capitalize on the opportunity here.

Jay Doshi: What is your distribution for juices portfolio today in terms of outlets and what is it

for drinks?

Mohit Malhotra: Yes, in terms of drinks, we reach out to roughly around 2 to 2.5 lakh outlets. When we enter into the drinks category, we said that first, we'll try to capitalize on our existing footprint for distribution of juices. First, we get that before we get into the drinks. So, as we speak, in the Q1, we've already reached up to around 230,000 240,000 outlets for drinks also, which is a numeric distribution per Nielsen direct and indirect. But the drinks market is a little different in terms of distribution because the market size is so huge, and it gets in to rural and it gets into highways and it follows the soft drink market actually. So, what we've done is, we put up exclusive distribution infrastructure for drinks. Earlier, it was limited to metros, but now we've gone beyond metros into smaller towns also and we've appointed 131 exclusive superstockists which have generated Rs.12 crores additional business. We put in exclusive 20 rural sales promoters, we put in around 530 FAD, our dealers which are called Food and Drink outlets. We've added roughly around 10,000 superstockists as we speak plus Yodha 3,000 additional in the current quarter, plus we've introduced 45 new highway routes, because that is a huge drink consumption beat. So, we've taken a person exclusively for drinks distribution from Coca Cola, who's leading our distribution vertical. And that's what will provide the focus. All this has led us to a weighted distribution of drinks up to around 11% only and numeric distribution of roughly around 6.5%. So, that's the growth that we've done in the quarter, because that was the season and this growth will continue. So, we are putting in investments in the drinks market for distribution, and this is over and above 2.5 lakhs of the juices. So, this will grow. Earlier, we had exclusive infrastructure for HPC, for healthcare, for ayurvedic, and for foods. Now, there will be drinks also which will be added on to this.

Jay Doshi: Is profitability going to be very different from the rest of the beverages portfolio given the cost of distribution?

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Mohit Malhotra: So, for drinks, it's a little margin-dilutive, but the way, Jay, it's a scale business, the more you scale up the business, the more leverage comes at the level of the operating profit. So, optically, when you look at a gross margin, gross margin may look lower. But when you go down to the level of operating margin, operating margins are higher, because the investments required in the drinks market is only at the level of infrastructure and not at the level of advertising so much and it's a scale business. So, as you scale up the business, the business becomes more and more

profitable, and it's incremental profits that we see over and above the turnover that we already have in the juices business. So, if you look at our segment profitability, which we also published, you will see our foods and beverages profitability has inched up both in terms of percentage and absolute. So, Rs.60 crores of additional profit is what we've added in the quarter only on account of the incremental business that we are getting out on drinks.

Ankush Jain: And at higher margins than previous year.

Swati Jhunjhunwala from VT Capital

Swati Jhunjhunwala: You said commodity softening will help in improving the margin and protecting the margin. So, what commodities do you think are usually impacting you right now, easing in the commodity is most beneficial for you?

Mohit Malhotra: There's only one short answer to a question. The most important commodity is energy prices is basically petroleum prices, petroleum prices are the ones which are impacting 50% of the RMPM and cost, entire packaging cost is impacted by the petroleum prices which was Rs.100 plus, now a little lower. So, that is one. There are derivatives of petroleum which

are impacting our hair

oil business, our shampoo business, our SLES business, our specialty chemicals business. So, I think most important is the power and fuel. So, all that is getting impacted by the petroleum prices. The number two if you ask me is commodity honey prices are what is impacting our business big times. The third priority would be herbs and spices is what is impacting our business. So, that's what it is.

Shubham Tora from Perpetual Investments

Shubham Tora: My question is related to our healthcare business. So, I understood that this quarter's performance was little subdued due to high-based COVID demand. So, how do you see this healthcare business outlook moving forward?

Mohit Malhotra: Our healthcare business is navigating a very high base. So, first quarter last year was a COVID quarter and last year saw two or three waves of COVID. So, the full year last year was on a very high base. So, while the current quarter was muted in terms of healthcare declining at minus-20, but the CAGR if you see it's a round 10% for us and we will continue at that 10% rate of CAGR and I don't see any reduction in that CAGR. But, if you ask me is the uphill mound of last year

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over? I would say not so, because we are getting into winters, and in winters also, we had a high base of COVID contextual portfolio selling and also in the month of February when there was an Omicron variant, there also we had a high base of healthcare. So, healthcare in the current year will be a little muted, but CAGRs will be pretty robust.

Gagan Ahluwalia: Thank you, everyone for your participation in this conference call. The webcast, audio recording and transcript of this call will be available on our website soon. Thank you. Be safe and healthy.

Call: Oct 2022

Ref: SEC/SE/2022-23

Date: October 31, 2022

To,

Corporate Relation Department

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai - 400001

W&T

India Ltd.

National Stock Exchange of India Ltd.

Exchange Plaza, 5th Floor

Plot No. C/I, G Block, Bandra Kurla Complex

Bandra (E), Mumbai - 400051

BSE Scrip Code: 500096 NSE Scrip Symbol: DABUR

Sub: Transcript of Investors' Conference Call for Dabur India Limited -

Q2 FY 2022-23 Financial Results

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on 27th October 2022 post declaration of Financial Results for the quarter and half year ended 30th September 2022. The said transcript is also available on the website of the Company at www.dabur.com.

This is for your information and records.

Thanking You,

Yours faithfully,

For Dabur India Limited

EVP (Finance) and Company Secretary

End: as above

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ASHOK

KUMAR JAIN Digitally signed by ASHOK KUMAR JAIN

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o=Personal,

serialNumber=ecb3e1fdc2a028c70333c2d10

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email=ASHOK.JAIN@DABUR.COM, cn=ASHOK KUMAR JAIN Date: 2022.10.31 17:13:37 +05'30'

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"Dabur India Limited

Q2 FY23 Results

Investor Conference Call"

October 27, 2022

DABUR INDIA LTD . - MANAGEMENT :

MR. MOHIT MALHOTRA – CEO

MR. ADARSH SHARMA – COO

MR. ANKUSH JAIN – CFO

MR. ASHOK JAIN – EVP (FINANCE) & COMPANY SECRETARY

MS. GAGAN AHLUWALIA – VP (CORPORATE AFFAIRS)

MR. MAYANK KUMAR – HEAD OF MARKETING , FOODS & BEVERAGES

MR. N. KRISHNAN - DGM (FINANCE)

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Gagan Ahluwalia : Good morning, ladies and gentlemen. On behalf of the Management of Dabur India Limited, I welcome you to the conference call pertaining to results for the Quarter and Half Year Ended 30th September 2022.

Present here with me are Mr. Mohit Malhotra - Chief Executive Officer, Dabur India Limited; Mr. Adarsh Sharma – Chief Operating Officer; Mr. Ankush Jain - Chief Financial Officer; Mr. N. Krishnan - DGM (Finance); Mr. Ashok Jain – EVP (Finance) and Company Secretary; Mr. Mayank Kumar – Head of Marketing, Food & Beverages. We will start with an overview of the company's performance by Mr. Mohit Malhotra, followed by a Q&A session. Over to you, Mohit.

Mohit Malhotra : Good morning to everyone. A very Happy Diwali and Seasons Greetings to Everyone! Thank you for joining us today amidst the festive season.

The operating environment continues to be challenging. We are seeing unprecedented inflation across the world, with 40-year highs in U.S., UK and other markets. India is also reeling under pressure of inflation which is visible in the CPI being higher than the MPC comfort levels target of around 6% for the 9th month in a row. Central Banks across the world are raising interest rates to curb inflation but this is impacting consumption and also leading to currency devaluations across the world and geographies. As a result, we are seeing GDP growth cuts across the board.

In such an environment Dabur's consolidated revenue from operations grew by 6% with a constant currency growth of 8.5%. India Business grew by 7%. The 3-year CAGR for revenue of India Business is at around 12% backed by double digit 3-year CAGR in all the three verticals of business, which is Healthcare, HPC and Foods. On account of continued unprecedented material inflation, our gross margins contracted by 300 bps plus, but this was partially offset by price increases and saving initiatives. This led to operating margins declining by around 190 bps to touch 20.1% in Q2 FY23. Consolidated profit after tax registered a decline of 2.8% to touch INR 490 crores during the quarter.

In terms of the categories Food & Beverage business posted a stellar growth of 30%. The beverage business was on a strong trajectory and outperformed the industry significantly with a market share in J&N category increasing by 410 bps. This was further bolstered by strong traction in our food drinks and milkshake portfolio which has helped us to expand our total addressable market substantially.

The Food business also performed well with the growth of 21%. It is also my pleasure to inform you that we have signed a definitive agreement to acquire 51% shareholding of Badshah Masala Private Limited. Badshah is one of the leading players in the spices and condiments category with major presence in Gujarat, Maharashtra and Telangana. The acquisition is in line with our

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strategic intent to expand our Foods business to INR Rs. 500 crores in three years' time and to expand into adjacent categories. It also enables our entry into Rs. 25,000 crore branded spices and seasonings market in India. We intend to leverage our market presence in both domestic and international markets to provide a further fillip to our Foods business.

Coming to the HPC portfolio, we recorded a 6.3% growth on a high base of 17%, leading to a 3-year CAGR of 11%. Toothpaste portfolio grew by 11.2% during the quarter. And our market share in toothpaste segment increased by 10 bps. Homecare reported a growth of 21% driven by robust double digit growth across Odonil and Sanifresh franchises. Odonil recorded an increase of 350 bps in market share in liquid air freshener category and Odomos increased its market share by 330 bps. Shampoo also recorded a 9% growth in an increase in market share of 40 bps. Hair Oil p

osted a 2% growth in the quarter impacted by category declining by 5.7% in volume. That said our 3-year CAGR, a healthy 7% in the Hair Oils category. Our market share in Hair Oils improved by 20 bps.

The Healthcare portfolio is lapping over a two-year base of exponential growth due to COVID onset. On the 3-year CAGR basis, Healthcare continues to be on trend of around 10% CAGR. Our market share in Chyawanprash increased by 120 bps and in Honey increased by 40 bps. The new entrants in Honey category saw a significant shrinkage in market share by around 200 bps across both traditional trades and modern trades. Digestive category saw a flat growth on high base of 22.7%. Under OTC and Ethicals business Honitus and Shilajit reported strong growth. Among channels eCommerce was a standout performer with a growth of 50% and now contributes to around 9% of our revenue. Modern trade also saw double digit growth during the quarter.

International Business reported a constant currency growth of 1.2% and a high base of 23% last

year. Sub-Sahara Africa business grew by 18% and SAARC business clogged a double-digit growth. While Egypt and Turkey businesses reported robust double digit growth in constant currency terms they were impacted by severe currency devaluations leading to losses in translations.

Overall, in spite of weak macroeconomic environment, we continue to drive our business aggressively and have gained market share across 95% of our portfolio. Going forward, we expect the quantum of inflation to moderate on account of high inflation in the bases. While current demand remains weak a strong festive season, near normal monsoon, a good harvest, and MSP increases should enable recovery in rural in the near term. Urban recovery will continue to be driven by a revival of economy, softening of inflation and buoyancy in new age channels.

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As for Dabur, we will continue to focus on gaining market share. Growing ahead of the industry on back of strong strength of our power brands, distribution coverage, innovation, cost optimization, efficiency enhancement initiatives.

With this, I bring my address to a close and open the session to Q&A. Thank you very much.

Abneesh Roy from Nuvama Institutional Equities

Abneesh Roy : My first question is on Skin and Salon on a YoY basis; I understand high base was there because of sanitizer. On a three-year basis 1.1% is one of the lowest growth within your own categories.

So, is there any shift in consumer behavior towards other products, other brands? See Nielsen market share data we know doesn't always capture the true trends.

And second related question is on sanitary napkins. Will this be more of an eCommerce play, because this is a very tough category and we all already have entrenched brands also here.

Mohit Malhotra : Right so Abneesh, first thing on Skin and Salon we were lapping over very high base. That's the reason why the growth of Skin and Salon is it's -5%, which is there and it contains Sanitizer piece like you rightly noted. And I don't think there's anything structurally which is wrong in Skin and Salon except for that discretionary products consumption it has still not reached the pre-COVID level so it is taking some time. That said we are on an agenda to taking market share from local players. Local players are actually very strong. We have seen high price increases in the skincare to a tune of roughly around 8% to 9% whereas some local players have not taken those price increases. So, there is a little pushback coming from the consumer in terms of offtake.

But I think as the advertising begins in Skin, I think the business should trend well.

Just to tell you the initiatives that we have taken in Skincare we have revamped our entire Gulabari portfolio. And with the onset of winters, there will be a little bit pipelining also that

we

have put in place and in winter, we should see very good growth coming on Gulabari on the back of consumer promotions and new packaging revamp that we have done. Even in the Fem business there is a big revamp which is happening.

On the Sanitary Napkin case this is essentially going to be an eCommerce place. We will test the market as to how it fares before we roll it out to modern trade like we do with most of our new products.

Abneesh Roy : Related question, in last three years Dabur has hugely diversified its portfolio with a lot of the products on eCommerce. So, which ones are successful and when you say eCommerce is 9% of your sales, how much is coming from the products which have been launched in the last three years?

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Mohit Malhotra : Yes so eCommerce is doing very well for us, as in the current quarter also, we've grown by roughly around 50% in eCommerce. Earlier we had some structural issues with Amazon etc., changing their partner and supply chain Cloudtail getting shifted to multiple other partners, but I think that is all behind us. And all the different verticals of eCommerce are doing well, whether it's a marketplace or it's the grocery verticals, or it is the pharmacy verticals all of them are doing exceedingly well. Plus, we have put in a separate infrastructure and businesses for eCommerce, and we are monitoring the business. And Quarter-on-Quarter our business is

trending up as you can see that it's already 9% around four years back this used to be around 2% to 3%. Now, this has become a cradle for all the innovations for us. So, whenever we are launching a new concept or a new product, we are first testing it out on eCommerce because the cost of entry is very low and not significant investments are required on eCommerce. And we use digital marketing to create demand and also on platform demand generation is pretty economical as compared to the mass market.

The products which have done really well for us in eCommerce, our baby care range has done

exceedingly well for us. And Apple Cider Vinegar, which is done very well. Most of the other products and juices and drinks have done exceedingly well for us. Our edible oils are doing well. Shilajit, new launches and variants have done very well. The new product contribution on eCommerce is already 11% for us. So, I think most of the products which we have launched on eCommerce are doing quite well.

And under the Real Chia Seeds and the Flaxseed both of them are doing well. As a matter of fact, the new launch of Peanut Butter is now trending among top sellers on eCommerce ahead of Pintola and other established players.

Abneesh Roy : One question I grapple with is, you mentioned in Chyawanprash, the new entrant has lost market share on eCommerce etc. and modern trade. So, that same question I had is because you are also entering late in most of these categories, initial sales is the reason because of either advertising or just consumers just wanting to sample or the pricing whatever. You have confidence on these scaling up over three to four years? And will these be taken to the general trade also?

Mohit Malhotra : Yes, so let me first address your first question. The new entrant when I meant was not

Chyawanprash, it was Honey. In Honey, there was a quick scale up happen to around 5% to 6% market share levels in modern trade. But there, there has been a drastic fall in market share that we have seen of 200 to 300 basis points. And moreover, the NMR claim on back of which they had actually gained market share and so much of euphoria was created in the marketplace, as all died down now. The NMR claim is also gone and now they have launched a new variant with the sub-branding of Active and no more claiming NMR. So, I am

suspicious on some

optimization of the formulation also would have happened by the new player.

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So, I think it is the competency and the core competency not being there in these categories and that's why the entrants have come in. As far as we are concerned on eCommerce, we launched a NPDs wherever we have a right to win. So, when I say we have a right to win, we have a core capability and a competency to create those products and we do not compete with established and a very big, organized players. We generally compete with the digital first players. And digital first players, don't have the wherewithal to scale the business in the general trade or in the brick-and-mortar channels where we have our strengths and we can scale up. And we are not launching in the areas where we have that strength. We are launching it on their turf, which is digitally first. And if we do well in that digitally first space, then the chances of our success in a turf where we are strong is very positive, which is modern trade and in GT, which will come later for us.

So, I don't think there is a problem. That said, Baby Care range is being scaled up to a modern trade and the other variants like Apple Cider Vinegar also being scaled up to modern trade. In modern trade also, we are not going to mass-modern trade, we are going through very selective modern trade chains and taking promoters to ensure that the progress of our NPD is very slow and gradual. And it is not that we give a target of doing a Rs. 10 crore or Rs. 20 crores, 2% market share targets to our team. We are talking about a share of shelf and share of market in the outlets that we are putting in. So, it's micro marketing that we guys are doing with our NPDs. So, that way I don't think we are actually worried because it is a very channel wise and a segmented launch that we guys are following.

Abneesh Roy : My second question is on Badshah Masala so after 60 years this brand is around Rs. 200 to Rs. 250 crore size. So, which means in branded masala it's around 1 % market share. So, what is the expectation of scale up here over a three to four years' timeframe, given in 60 years it is around Rs. 200 crores?

Second is of course a lot of the listed players are also having very aggressive plans here. And if you could talk about the margin profile versus your standalone margin and when you say cash EPS neutral in first year and EPS accretive in second year, what do you mean by that?

Mohit Malhotra : Okay, I will answer the first question. So, it's a very old brand. So, I think the answer lies in your question, I think there is so much of legacy and heritage in this brand, 64 years old brand, it's almost like Dabur which is 138-year-old entity which establishes a lot of trust and faith in the consumer franchise which is buying. Your point on market share yes they are around 4% to 5% market share in the core markets, they are basically present in Gujarat, Maharashtra and Telangana, where they are the good #2 player in the market with four to five share. And if you look at this whole masala and the condiment market the size of the market is very scalable and sizable around Rs. 25,000 crores as compared to categories like Oral Care or Hair Oil where we

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operate in the Rs. 10,000 crore market sizes and Juices where we operate around Rs. 1500 to Rs. 2000 crore market sizes, it's a very lucrative large market.

I think the first pivot of our winning is, that the market size s where we enter should be scalable enough and there should be enough room for us to grow. And with that kind of a market size there is room for multiple organized players to come in and gain market shares. And this market is essentially unorganized. So, there's a lot of room to get converted from unorganized to organized from organized also to big

, branded player. So, enough room for everybody to play.

And this is a very should I say state-by-state market growth which one needs to follow. So, we are starting from Maharashtra and Gujarat and then we will extend this portfolio going forward.

And we feel that there's a brand equity here which can be harnessed and can be ploughed.

As far as the growth not being there in past decade or so around 4% or 5% of CAGR, I think there were issues within the family and that's why the growth was not there. The family was a little divided on the investments to be put behind the brand. And there hardly was any investment put behind the brand. But the jingle of Badshah it still resonates very well.

As far as margins are concerned to your second point Abneesh, the margins are accretive whether it's a gross margin or operating margin it's accretive to our foods portfolio margin and this will only add on and improve our margins in the food segment where we guys operate with essentially Beverage portfolio. We have a vision to extend our Beverage portfolio to a Food & Beverage portfolio. And this is an attempt in that direction to become a Food & Beverage company rather than being only a Beverage play. We have a 70% market share in the Beverage play. But we want to extend this to the Food segment.

Ankush Jain : What we mean by this is that profit after tax, net of the interest opportunity cost will be accretive within the first two years. And without taking into account the brand amortization, which will come subsequently but cash EPS will definitely be accretive as such in two years and going forward.

Abneesh Roy : And Mohit on the question of the distribution scale up because you said only few states Badshah is present, will your plan be to first focus on these key states or you want to first take PAN India presence?

Mohit Malhotra : No, not really. So, we have a very focused strategy on this. So, in first stage we will focus on Gujarat, Maharashtra and Telangana that is the key core states. In the second phase, we will focus on the adjoining state which is Rajasthan. And subsequently, we will look at scaling it up to all India where Dabur has a presence. So, first that is the geography wise play.

As far as the distribution play is concerned, Badshah have got a distribution to roughly around 80,000 outlets so Dabur has a much huger scale of distribution, whether it's direct or indirect in Dabur India Limited

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both urban and rural. I think that distribution within the current states will be strengthen before we move on to the adjacent states and then subsequently to the rest of India. But for rest of India as you know, this is very specific to the palate, likings and preference driven category. So, we will have to create a back end and create flavors, which are in tune with the preferences and the pace of the consumers in other geographies also. So, that scale up will happen in due course of time.

Shirish Pardeshi from Centrum Broking

Shirish Pardeshi : Just two questions which are burning in my mind. During the COVID period, our Healthcare business has moved from almost 23% to 24% to almost 40% when I look at Quarter 3 last year. Now, clearly Healthcare tailwinds are not there and the product decline is already there. So, just wanted your thought that how we should look at this business the rest of the year?

Mohit Malhotra : So, Shirish pre-COVID, the business was roughly around 30% contribution to our overall business in Healthcare. So, Healthcare obviously got a growth spurt of around 70% during the two years of COVID, year 1 and year 2, post that there has been a rebalancing of portfolio which was expected to happen and which is happening. One thing is very heartening for us is that the penetration levels of these Healthcare categories has gone up vs the pre-COVID levels. So, if you look at the business, and this is

the offseason that you are looking at. Now in season, we will be back to 30% contribution in this business. If you look at the Foods business also that went down to something like around 15% or even lesser than that and it's back to 20% level, even the HPC business which was the more discretionary in nature and that went down to around 40% levels is back to 50% level. So, the rebalancing of portfolio mix which has happened and it's going to be back to the pre-COVID levels, so which will be 30% of Healthcare, Foods being around 20%, HPC is around 50%. And that's what we expected to be going forward also. The good thing is because of the catalytic impact of COVID now some penetration levels in these categories have kind of stabilized and they are higher than the pre-COVID levels. And

during the COVID period, we have actually gained sustainable market share. If you look at Chyawanprash I think year-on-year in past three years, we have gained something like around more than 1500 bps overall in these three years. So, we have actually strengthened our market leadership in Chyawanprash. We have strengthened our market leadership in Honey. In Honey, pre-COVID, we lost to Patanjali. But post-COVID we have regained the entire ground and our market share in the range of about 50% in Honey also despite newer players coming in because the whole market opened up and there was a growth we have not seen any slack in terms of our market share. And as a leader, we are growing this category as a leader and continuously launching newer format, newer innovations, packaging revamps etc. like you have seen in Honey. We have extended ourselves into Organic Honey, we have extended ourselves into squeeze pack. Now we are launching PET bottles where we have gone into Honey Tasties, we

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will be launching a Honey Tea and Honey for Cough and Cold. So, there are separate, multiple pivots and opportunities of growth which actually opened up post-COVID for us. And so is the case in Chyawanprash. In Chyawanprash also we see Chyawanprash in powder form coming in, Chyawanprash Diabetic scaling up, Chyawanprash Gud based coming in. And so therefore it just opened up the whole market for us.

Shirish Pardeshi : My second question on the Beverages part. Now we have a very strong strategy and we are now expanding and representing a larger market. So, if you can give me some data points that when we had only one brand, which is Real, and now we have Beverages, so what kind of distribution leg up which we have seen and what leg up will still continue next two to three years, because I clearly see that the Dairy Beverages is growing upward of 25%. So, in that context, what we should estimate I mean this is purely from the modeling purpose so I am asking the question?

Mayank Kumar : So, in Beverages, we were playing in Juices & Nectar category, and we had around 80% to 85%, Numeric Distribution (ND) with 90% Weighted Distribution (WD). We have been able to expand and add about one and a half lakh outlets from the pre-COVID level. Actually during COVID the distribution went down because of people staying indoors, and with the Drinks portfolio coming in what is really happening it is giving us legs to expand Real into rural areas, into areas where we were not there because earlier Juices & Nectar was primarily urban centric and a town class one centric brand. Now with the right price point and with the right packaging, we are really expanding our distribution into rural. We have created a whole suite of stockiest network; we are going out to about 18,000 sub-stockists now. And on back of that network even the price points of Rs. 20 which is the Real Juices & Nectar price point that is also finding a lot of headroom for distribution expansion. We are already there in about three lakh outlets as far as the drink business is concerned

which we have created. We are poised to be above Rs. 200 crore portfolio in Drinks which was launched a couple of years back.

So, there is a huge distribution opportunity for us. Earlier, when we were playing in the Juices & Nectar category which is a premium category, we were limited to urban centers. Now we are expanding into new geographies, be it beyond North to other geographies, like East, Central, Western and South, or be it beyond Metros and Class I towns to other town classes and rural markets. So, that's what the strategy is.

Shirish Pardeshi : Mohit my last question on Badshah, in terms of channel mix, if you can help me what is the channel mix in terms of modern trade, general trade?

And second, if you can give me some broad saliency, how much Gujarat and Maharashtra market contributes to the overall sales?

Mohit Malhotra : So, Shirish, second question first, that's the easier one. So, around 80% to 90% of the business comes from Gujarat, Maharashtra and some places that are adjacent to Maharashtra and Andhra

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Pradesh and Telangana, so now 80% to 90% of the business happens from there. So, it's very focused sort of the play which is there. In terms of channel mix, majority of the business is happening from GT which is around 95%. eCommerce is almost zero, and for Dabur eCommerce it's around 9%. So, I think this gives us a huge opportunity to make eCommerce at least 5% in a couple of years to come. Modern trade again, it's 3% for them, and for us Modern trade is roughly around 10%. So, we will scale up 3% to 10% and stage it up. So, there will be a lot of leverage, which will happen with the Dabur's infrastructure for Badshah.

Arbab Mitra from Goldman Sachs

Arbab Mitra : My first question is on the acquisition itself that you have given some FY'23 estimates of revenue and EBITDA if you were to derive it, which shows a reasonably strong growth in FY'23 versus what best we did in '22. So, how confident are you that the '23 numbers are reasonable and not

very aggressive, because you will probably not have much inputs to put in '23 itself. And the second was on the margins, once it comes into Dabur's fold, will the cost structure increase in the sense that you will have more overheads, and may have to put advertising? And will you be able to hold this 23% kind of EBITDA margin that you have.

Mohit Malhotra : So, as far as the numbers for the current year is concerned, we are well on the way to achieve those numbers. So, six months have already elapsed, and we have already done more than around 50% of the numbers. So, I don't think there is any issue in terms of achieving those numbers.

And Arnab as I have told you before that there was a little rift between the family and that's why the investments were actually stopped before the whole sell out, and this deal has actually happened. And that's why the growths were muted in the past. But I think now leveraging Dabur's infrastructure etc., I don't think there is any impediment in terms of growing this business to the numbers that we have taken. And we really think that we should grow this business at a 20% plus CAGR over the next 4 to 5 years. And that is what is there as a game plan.

And the whole strategy has been created around achieving those numbers, whether it's a distribution strategy, or its investments or it is a channel mix, or it is price pack architecture, or it is introducing new brands or variants or extending geographies or creating new formulations so all that blueprint already has been created. And I think there will be huge synergies. I don't think we will bolt on, we will take Badshah as a standalone entity, because we only acquired a 51% stake and the promoters of the Company are still there. And the promoter will be the Managing Director of the Company and we will want to get a lot of learnings from the promoters.

So, they will not be the overheads of Dabur which will be saddled onto Badshah, they will be running the Company independently. And as with a Board doing the governance of the Company and on the Board, Dabur will have a majority stake and we will be running the Company very prudently and judiciously. I don't think there will be any overhead which will come in, because

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Dabur is acquiring that Company but then -- professional talent will be actually seeded in the Board, and that we will do and in due course of time that we will let you know as to who will be from the Dabur side.

So, most probably the finance and marketing and sales distribution will be people from the Dabur's side and owner will also be there to help us and guide us with the entire relationships which are existing there. And also, on the purchasing prowess that they have, 50% of the raw materials that we purchase in Herbs and Spices is common to Badshah. So, there will be a lot of leverage and the scale benefits that we will get in terms of procurement also.

Arnab Mitra : And there is one add-on question to that this acquisition of the balance 49% stake, 5 years down the line, is it an option that you have and is there a valuation that has already been decided on which that transaction will happen?

Mohit Malhotra : Yes, it is not an option. It's a compulsory acquisition that we will have to do at the end of 5 years. And that's the part of the SPA that we have signed and it will be as the same multiple of revenue and EBITDA that we have acquired 51% stake at the end of 5 years, it will be on the same multiple of EBITDA and revenue.

Arnab Mitra : And just last question on this also brand amortization, which I think you briefly mentioned, would you be amortizing the entire brand over a period of time, or if you could help us understand how much of amortization comes in from this?

Ankush Jain : I think this brand amortization will be valued. And a fair value of the brand will be established at the time of acquisition. We expect this to be obviously amortized over a period of 10 years, which is in line with our accounting policy. And the share of that will be approximately Rs. 40 crores to Rs. 50 crores which will come to our P&L, which is a non-cash item.

Arnab Mitra : For the overall Dabur consolidated business, how do you see it in the second half given how commodities in your mix are trending right now?

Mohit Malhotra : Right, so therefore the inflation in the current quarter has been around 10%. And we expect the inflation to abate a little bit to 6% levels as we are navigating a high base of last year inflation. So, we expect inflation to be around 6% and the price increase benefit of 6% kicks in now so we expect the inflation to moderate in the coming quarters. With that sequentially, our margins should be better. But there will be some amount of margin erosion, which can't be ruled out in this quarter and also in the next quarter. Only in the next fiscal year we will have a benefit but sequentially, the margins will continuously become better as we go into the 3rd quarter, and the 4th quarter.

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Harit Kapoor from Investec

Harit Kapoor : Just had two questions. Firstly, was on the gross margin again, how much of these 300 bps decline that happened in the first half would you or 350 odd bps declined has happened in the first half in India, would you attribute to the inflation impact? And how much would you kind of attribute it to mix because you have also seen health supplements in Healthcare category actually decline and Foods actually grow at a faster pace.

Ankush Jain : Yes, Harit, out of this 350 odd bps, 200 bps could be purely because of inflation, rest 100 bps would be basically because of mix, and 50 bps would be basically because of

some rebalancing

in consumer promotions since we had to cut in the spends, so broadly these three factors..

Mohit Malhotra : But that said, we actually mitigated this 350 bps erosion in the gross margin, when it comes to operating margin. Operating margin falls only on 190 bps. So, I think that has come on back of some saving initiatives that we did in the first half, roughly around Rs. 40 crores. And there has been obviously price increases, which have happened. And leverage coming from S&M also has helped us to bridge this gap between 300 to 190.

Harit Kapoor : Second question is on these new product launches. So, it seems like the mode of launches are going to be starting from eCommerce, then moving to select Modern trade. And then depending on the performance of the launches, once you kind of, if they meet your action standards, then it goes into GT. So, is this typically going to be the template that you use and it seems like you have over the last couple of years, but is this typically a template you want to use across new launches? And if there are any exceptions if you could kind of mentioned in the last two years, if you have done anything different, whether you started with GT or started with MT, so just wanted your sense on that?

Mohit Malhotra : So, I think this is a good standard playbook that we have actually established for NPD. And this is also helping us conserve the investment which is going behind establishing a new product, because eCommerce is a little more economical channel wherein the investments are not huge.

And if you launch it lock stock barrel in GT, the investments on the mass media, especially in the Hindi satellite are very heavy, and it burns a hole in our pocket, especially with inflation being there we can't afford that to do. So, eCommerce is a great platform to fly a test balloon, and it establishes. And moreover, the consumers who are shopping on eCommerce are also the ones who are early adopters. And these early adopters want to try the new brand. So, it's working out well. And then we roll it out in MT and then followed by GT.

I don't remember any exceptions, which has actually happened. If at all, there are some exceptions, like in the MFD category, we have launched Vita the re. But that's also in selective open format outlets of GT where we had actually rolled that out. Otherwise, we are following this playbook, which is kind of working well for us.

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Harit Kapoor : One last housekeeping question if I may, you mentioned 9% in eCommerce so what could be MT now in terms of share?

Mohit Malhotra : Around 10% for us.

Shrenik Bachchawat from LIC Mutual Fund

Shrenik Bachchawat : My first question is, could you share the state wise revenue share for Badshah as of now, Maharashtra, Gujarat and Telangana?

Mayank Kumar : Maharashtra is around 35%, Gujarat is 40%, and Telangana is a round 10%.

Shrenik Bachchawat : And what is the outlook on the ad spend for FY'23 like how will ad spend span out for the second half.

Mohit Malhotra : See the advertising spends for us have been muted, we cut back on advertising spends by around 20% plus in the 2nd quarter, that is because the inflationary pressures were high. Some amount of optimization of advertising was required, but our overall advertising, ad pro spends which is advertising and promotion spent in the quarter has gone up by a round 7%. So, that is in line with our top line. So, there hasn't been any cut in the advertising and promotional, it is just moving resources from one bucket to the other, we have not advertised, but it all depends upon the channel mix where we felt, it was for the competitive intensity and the demand situation.

So, as the demand situation improves, we will put our money into advertising. And if the demand situation is not improving, and the categories continue to decline, then we have

vet to fight for

market shares and sell shares in which the trade spends and the consumer spends become more important than the advertising spends. So, the situation is pretty in flux. So, it depends upon how we maneuver those spends depending upon what competitive intensity that we face. So, I can't comment, but that said around overall spends are in the range of around 15% for us and will remain that much.

Shrenik Bachchawat : From the new Indore plant, the new CAPEX that we are doing for Rs. 326 crore, what is the asset turn expected in that front?

Ankush Jain : Indore plant, the CAPEX which we are planning Rs. 325 crores. We are expecting around three times asset turnover, so Rs. 900 odd crores turnover will come at the peak of it. So, which will be roughly three times.

Shrenik Bachchawat : So, around Rs. 900 crores revenue should be achieved by FY'26 or FY'27?

Ankush Jain : I think in the peak around between FY'27 you can say.

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Shrenik Bachchawat : And just to come back on Badshah and as you said that the market share is around 4% to 5% for Badshah Masala so that is in Maharashtra and Gujarat, right, Telangana would be much lesser.

Mohit Malhotra : That's right in the geographies where they are present, in Gujarat and Maharashtra.

Shrenik Bachchawat : Telangana would be around 1% to 2% --?

Mohit Malhotra : Telangana would be small around 5% market share, actually it's 5% market share in the blended category.

Avi Mehta from Macquarie

Avi Mehta : Just wanted to kind of first understand on the rural recovery, you remain optimistic, would you say your confidence on rural recovery is higher versus what you saw in 1st quarter or and if yes, what could have driven that?

Mohit Malhotra : Yes, so I don't know if I have been very optimistic, not really. So, I think what's happening is

Avi that rural for Dabur, as you know was for past six quarters always trending ahead of urban.

And this is the 1st quarter where we have seen the rural lagging behind urban whereas the category indicators which are the early indicators that we get that rural was lagging. But Dabur has actually put in a lot of infrastructure in terms of appointing Yoddha, 10,000 Yoddha's which is actually contributing to around Rs. 20 crores of our sales. And our village reach has actually gone up to 100,000. So, we did not see the telltale signs of a little slowdown happening in rural, while the FMCG category was all pointing to the same thing.

This quarter, we have seen rural actually growing by only 1% and our urban business growing at around 6%. So, we have seen credit pressure, liquidity pressure coming in rural business and more so in the rural heartland of Dabur, which is more UP and Bihar. And UP and Bihar the problem actually got exacerbated by the monsoon also being a little patchy in those areas. While all India, the monsoon has been good. But in our specific areas where there is a huge reliance of rural, in Bihar and UP for us, there the monsoon has been a little patchy. And therefore, a little slowdown is what we are seeing and credit pressure, liquidity pressure is what we are seeing in these areas.

It's very difficult for me to give you a definitive answer as to when will the rural recovery start, but I think the festive season, it kind of brought in a little glimmer of hope. In terms of our pipeline filling for Healthcare product has been good in rural with Chyawanprash and Honey kind of kicking in. And in the month of September, we have actually seen some growth happening in our Healthcare business here. So, that is what gives us a little optimistic hope that rural might just come back around.

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Avi Mehta : The second question was on the margin front, you did allude very clearly that sequentially, I think the worst of the gross margin pressures are behind us,

because inflation eases off and price

increases go through, would it be fair to argue that second half EBITDA margin performance should also kind of mirror this in that sense?

Mohit Malhotra : That's right, absolutely. So, we talked about EBITDA margins only. So, EBITDA margins sequentially are better, and they will get better in the second half. And we want to maintain our EBITDA operating margins in the range of 20% to 21% for the whole year, which is what the guidance also that we have given in the past.

Avi Mehta : And lastly, for Badshah, the acquisition, I understood the revenue synergies, you were kind of alluding to some synergies at the backend. But would you argue that the higher chunk of synergies is something that would be revenue driven? And margin is something that would not be the case? I mean, I guess that was the read through, but I just wanted to kind of understand it better from your perspective, was that understanding correct?

Mohit Malhotra : Yes, so the synergies are actually immense in the business. So, first is obviously the distribution muscle of Dabur, especially in the rural, that is huge for us in whether it's a core market of Badshah or the non-core market of Badshah, I think rural village reach of Dabur is far better.

And in rural, you sell small, low unit price point packs, and they don't have that so we are putting up CAPEXs and increasing capacity for them also, that's one of the states in which we can

expand.

Then the non-core urban markets, where they are not present and Dabur is present, that is a second lever of synergy that we will get. Then the third leg of synergy is alternative channels like Modern Trade and eCommerce where they are not present and we people are present in. The fourth synergy is actually overheads because being a smaller business, their overheads are higher, as compared to a Dabur which will leverages existing in infrastructure, and our marginal cost basis, we can just tag on this business to our business. That's the fourth.

The fifth is the procurement efficiency, which we buy on scale, and our systems processes enable us to get better deals as compared to the verbal negotiations which happen in their case.

Seventh is automation in the factories, which today they are manual operations, we will automate and therefore reduce manpower there. So, that is another level of synergy. And then, obviously, the manning in the organization structure can also be leveraged.

But this will be reinvested back in advertising spends, that they have been cutting back on, and therefore creating margin. So, whatever synergies we get, we will plough it back into the

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business, in advertising, because I think demand has to be created and this category is high decibel advertising category, where we need to invest money in creating the demand.

Kunal Vora from BNP Paribas

Kunal Vora : First question on Badshah, what's the reason for buying only 51% and not 100% to start with?

And you said you expect strong growth in revenue as well as profitability. So, you will have to share some benefits of that with the promoters for the remaining 49%. And also, the promoter will continue to remain the MD. So, will you be able to drive all the changes you want to implement with promoter still being in control?

Mohit Malhotra : First thing Kunal, I think, a good question. So, obviously these deals happen over a period of time and we have been in discussions and in talks with them for over 5 years now. And the deal has got consummated after a span of 5 years. So, there have been deliberations and discussions which have been happening with the promoters over a period of time in which we have established that chemistry connect also, so I don't think they being the Managing Director on the Board will hamper, actually it will help us because we are getting into this new category.

It is an

alien category for us. We have not done the business like this. And we need to get that understanding onboard and with the promoters being there, I think they will only handhold us because there are so many nuances that we will have to understand in this category. And there is a stickiness in the relationships, which is there as far as distribution and the channels is concerned. So, that stickiness of relationship also has to be harnessed. And with the Dabur's prowess in negotiations, so, that will come very handy.

Plus, creation of products involves a lot of understanding of the tastes and preferences of the core markets, and the promoters are Gujarati they understand the taste palate so well of the Gujarati consumer. So, therefore, extending the product, creating new variants, looking at the market, so we can provide the analysis and they can provide the real culinary sense of the taste of the local consumer.

So, a lot of learning has to come from them. And that's why (a) in a sense, the promoters would not sell out a Company, if we were to acquire 100%. They would not agree to that, that's one, (b) A lot of learning has to come from the promoter, and they will handhold us, plus, it will take us that much of time to understand the Company. So, if a part of that benefit will go to the promoters over a period of 5 years, we are okay with that. So, that's the way the deals happen, which are more win-win relationships, rather than a one-way deal.

Gagan Ahluwalia : And just to add to that a professional team is going to manage the business along with the Managing Director, and most of the members of that will be nominated by Dabur. So, we expect that all the changes and synergies that we want to capture, we will not have any issues, taking them forward.

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Kunal Vora : My second and last question, I just wanted to understand how did the reduced advertisement spends impact the strength of the brands, like we have seen this happening across the board, all companies have lowered ad spends. So, like besides the gross margin pressure, is there anything structurally which has changed, like say television, digital dynamics, because of which ad spends have been lowered? And how does it impact the business in the longer term, reduce advertisement spends?

Ankush Jain : So, the question is the reduced A&P spent, how did it impact demand in the long term, so this is specifically for Dabur, though in the short term, we understand that there are pressures and

therefore A&P spend being reduced?

Mohit Malhotra : But you know, as far as we are concerned, the acid test of a brand's growth is market share gain in volume and value and more so in volume and that's what we are trending. So, as you know, 95% of the portfolio, we guys are gaining market share, whether you gain market share, through advertising, pool creation or through pushing the product and the consumer actually uses it that's the acid test. And we have been gaining market share and strengthening our position in the marketplace.

So, as the situation warrants the investment moves into that particular sphere, depending upon how the demand is, competitive intensity is. So, that's the way things are. So, I don't think this is going to hamper the brand, but that said we are completely, for investing behind our power brands and new products that we guys are launching, as the situation becomes a little better, we will be back into investing behind the brand, the way we were used to doing it, and actually increasing our investments there in the brand. So, that philosophy is absolutely with us.

Kunal Vora : Earlier you were looking at ad spends to much higher levels like you wanted to go beyond 10% today we are at like 5.5%, so where does it settle, like would it settle somewhere in between?

Do you want to go back to double

digit ad spends or?

Mohit Malhotra : You know the intent is to go back to double digit ad spends as the situation demands. But at the moment because of the inflationary pressures being so high, I think temporarily we have actually got some efficiencies coming in on optimization of advertising which has actually happened, but that would not be a long term strategy. Long term is always to cut back on trade and consumer spending and put the money back into advertising.

Kunal Vora : On Middle East and Namaste, where you have seen declines in sales in on constant currency basis, what's happening there. And how do these markets look like for the coming quarters?

Mohit Malhotra : Again, inflation is the main culprit, there has been huge inflation. Like in India, we have seen a 10% inflation, in Middle East, we have seen a inflation of around 30%. And the 30% inflation is coming in because this entire portfolio is our HPC portfolio, which is Persona I Care portfolio.

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And which is very crude denominated in terms of the raw material prices. In addition to that we have seen Dollar actually strengthening. So, because of the inflation, we had to take price increases to an extent over 20% there, and because of the 20% price increase, we feel a little backlash coming from the marketplace and inventories also, reluctance of the distributors to pickup the high price stock. I think it's a momentary issue, which will get resolved.

So, it is because of that most of the categories while they are growing in terms of value, but volume wise, they are actually declining there. But I think it's a momentary thing, which is happening, both in the U.S. and also in our MENA Markets.

Mihir Shah from Nomura

Mihir Shah : So, firstly, I wanted to just pick a little bit more, get some more thoughts on the overall demand environment. I mean, narrative for most companies has been that demand is expected to improve going forward. But the recent demand improvement that we have seen in urban and you did highlight on rural demand that you are witnessing for yourself. So, the recent urban demand can also largely be a festival linked uptick that is there and can easily fizzle away. Any data or trends that you are witnessing, that can give you some insights on how rural demand and urban demand is expected to shape up going forward from here?

Mohit Malhotra : Yes, see the demand environment is actually pretty lukewarm as far as the data, what the data tells us. If I look at the syndicated data of Nielsen, we have seen a growth in the market, which was roughly around 10.9% has come down to around 8.1%. And the volumes have actually gone down by around 2.2% which was in the range of around 0.9% in the last quarter. So, the volumes are going down, the growth that you are seeing in the syndicated data is all coming on back of the price increases. And because of inflation, price increases, the interest rates are going up, so therefore, there all efforts being made by the government not to revive the demand, but if you destruct the demand to reduce the inflation. So, therefore, the telltale signs are to destruct the demand so that the inflation actually comes down. And that's the pressure that we people are facing. And we are not seeing this actually going down.

So, the only recourse for companies like us is to consolidate our positions and maintain margins as much as we can, and gain market shares, and get to a trajectory of growth through gaining market shares and consolidating your position. That is what Dabur is doing.

As far as urban and rural is concerned, we have seen rural decline at around from a category perspective decline by around 4.5% to 5%. And urban is just the reverse, which is actually flat, which is also flat on back of the emerging channels like eCommerce and Modern trade, doing well, and they are all opening up after the huge

backlog of COVID. So, but festive season is important, some glimmer of hope for us. And we hope that this will last and this will sustain.
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Mihir Shah : And I hear your comments on ad spends that you mentioned and the promotion. But only on gross margins, again, you did mention that you are expecting gross margin, or you are expecting raw material inflation to ease, to about 6% and you have already taken 6% pricing. So, does that really mean that from next quarter onwards on a YoY basis, you will not have a material pressure on gross margins, I mean, is that understanding correct?

Mohit Malhotra : No, not really. We did sequentially. So, it's actually Quarter 2 has been relatively better than Quarter 1, and Quarter 3 will be better than the Quarter 2. But if you look at year-on-year there will be inflation of around 6% though. But if there is a price increase of 6% that's not good enough to offset the inflation of 6%, you need to take a price increase of roughly around 10% or 11% to offset in places of 6% material prices., because you operate at a gross margin levels of around 45% to 50%. So, that's how it is. So, there will be some pressure on the margin for year-on-year, but sequentially there will be operating margin improvement, definitely.

Ankush Jain : So, what we can say is the contraction in margins will come down significantly from currently 50 odd levels, the contraction will come down significantly, in gross margins on a YoY basis, at least by 50% or so, Yes.

Tejash Shah from Spark Capital

Tejash Shah : My first question pertains to rural demand. And if we see among FMCG players, for last almost eight to twelve quarters, there is no consensus on rural demand. And that has been missing for quite some time. Overall, it looks more reflexive and led by recency bias for each company. But by and large, it has been tepid for long. And when we see this in relation to discretionary categories, they have been talking about a lot of premiumization and rural penetration led growth. So, how should we actually try to marry these two trends where discretionary categories are coming with reasonably better commentary on rural demand and FMCG players? And are we seeing any such divergent trends within our basket in favor of discretionary portfolio, in rural?

Mohit Malhotra : So, I don't know, there is no right explanation. I don't know what you are saying, but as far as we are concerned, the way we feel that rural demand has been tepid, and we have been seeing downtrading which is actually happening in the rural areas and our LUPs are doing well. And the inflation impact in the rural areas has been more as compared to in the urban area. So, they see that cutting back of the pack sizes also which has happened in the rural areas, and those products are doing well for us. So, we have seen Rs. 10 price points and Rs. 20 price points actually doing well. Rs. 1 and Rs. 2 price points also doing well. Our shampoo sachets are performing better than the shampoo bottles.

As far as the premium products doing well in rural, we have not seen that happen as Dabur. But a theoretical explanation could be a case of recovery, which they say, but we have not seen that
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pan out in the rural areas is basically for us. That is more evident, I think in urban but not in rural.

Tejash Shah : Second on broader capital allocation that we are seeing FMCG players across, there is a disproportionate thrust on putting money organically or inorganically both on food side of the portfolio. Many HPC guys are actually now acquiring assets on that side, including what we have done now. So, does it mean that HPC as a basket is not as attractive on inorganic route except some D2C initiatives. A

nd broadly, we are seeing a lot of opportunities on the food side or how should we read or there is nothing to read on this?

Mohit Malhotra : No, no, I think very good point actually made. The way I see it in a inflationary environment like this when companies are all taking price increases, there are some categories which are more elastic and some categories are inelastic. The food market and the staple market in India because it's so unbranded in nature, that is very inelastic in nature. So, no matter how much of inflationary pressures are there, and the market passes on that inflationary pressure to the consumer, this is an inelastic demand so the demand will always be there whether its edible oil or it is a food, and that's why the food category is growing at a fast pace. And what happens is in a discretionary category, we see the pressure being too much and people cutting back on discretionary in an inflationary environment. And that's why the discretionary products don't do so well. And India is a large unbranded market so a lot of inorganic play will happen in India, and we will see a lot of consolidation from unorganized to organized which will happen in India. That's why you see a lot of deals happening in foods.

That said, I think the personal care market is also very low penetrated in this country. And if you

look at examples of Southeast Asia or examples of Middle East, I think the penetration levels of personal care are low, and there is so much of catching up to be done in personal care. But I think the times are not great, these are inflationary times, the same times are not great for us, or for any D2C player to scale up a premium product or a personal care product. But I think on a long-term basis personal care should also see a lot of deals, which will happen in relation to Foods, and in relation to Healthcare, which is becoming salient and which are the three buckets that we have of businesses. So, it's not that we are shifting our resources into Foods, we want our Foods to be about 20, and also the put thrust on our HPC portfolio and our Healthcare portfolio, which is a window to Dabur's equity in the long term.

Sheela Rathni from Morgan Stanley

Sheela Rathni : My first question was, with respect to, you are talking about 95% market share gains across the category. And I think this is a very strong delivery. Just wanted to understand is there any category where we are seeing larger competitive intensity, both from large players, as well as D2C side?

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Mohit Malhotra : Yes, that's right. So, there are a couple of categories, so that's 5% is where we are facing competitive intensity. So, for example, Hair Oils is somewhere that we are facing a huge competitive intensity and that comes from one of the larger players, and at a lower price point. So, as you know Dabur Amla is a high price player and we compete with the competitor, who is at half our price. And therefore we have a flanker brand strategy, we need to strengthen or invest money in our core brand and protected by creating boats with our flanker brands. So, that is the strategy which is intact, and that is to hedge the competition that we are facing from almost like a market leader in the Hair Oils category. Barring that, I don't think we have any competitor wherein we are really worried.

In the Healthcare portfolio we had a competitor make an entry, but I think it got washed away. And we have only strengthened our position. So, barring Hair Oils, I don't think anything else worries us. Except in our Skincare portfolio, we are facing some pressure from local, small players, which are very regional players which are undercutting us like in FEM bleaches we face some competition from very local players which are Punjab based, UP based etc. But that is something that we can easily counter reasonably well as we have deeper pockets, as

compared

to them as one can maneuver.

As far as D2C is concerned, not really, I don't think we are facing any pressure on D2C. As a matter of fact, any category in D2C where we are entering, we are seeing our market share gains are instantaneous in D2C because consumer sees that trust and legacy and especially in the Healthcare category, and in the HPC category much better with Dabur as compared to a smaller D2C player.

Sheela Rathni : Second question was with respect to the Food & Beverages category expansion, especially on the distribution side. So, where do we see the distribution network being in the next three years?

And just a part to it is you talked about the playbook on the online side or the eCommerce side, which is working out very well. Do you think on the F&R portfolio, you think the same strategy will work out or you would need to be more aggressive on the GT side or the MT side?

Mayank Kumar : So, I just talked about some sort of fusion expansion strategy that we take with our Beverage portfolio, especially after getting into the Drinks portfolio. So, just to give you a flavor of the next three years since that's what you are talking about, so we have started this journey from North and East, next season we will be expanding majorly in Central, West and South part of India. So, that's how it will play out in the next three years. So, we are slowly and steadily building up our rural network and creating our own rural footprint rather than riding on the CCD or the FMCG footprint. Earlier we used to ride on the FMCG footprint, but now with substantial business coming in, we are creating our own Foods footprint because the kind of outlets that we cater to, the kind of routes that will cater to, the kind of Beverage outlets that we cater to are very different from FMCG outlet. And we are also appointing people who have an experience

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of Beverage category in terms of distribution and that is giving us a lot of synergies and that is really helping us scale the distribution very fast.

So, that's how, in the next 3 years this will pan out. We will reach out to newer town classes, rural markets, newer outlets, because E&D kind of outlets are very important. So, that's to answer your first part of the question.

As far as the second part of the question is concerned, because of the weight valuation, Beverage portfolio is not so conducive for eCommerce. But what has happened really is Quick

Commerce, which has now become very important for us, that has really helped Beverage portfolio. And I think as Quick Commerce goes up, it will really help the Beverage and the snacking portfolio, and that is what we are seeing. Our Quick Commerce used to contribute about 15% of the revenues for Beverages as far as last year is concerned, now it has gone up to 30% to 32%. So, Quick Commerce is really helping us. And I think that's the way forward for Beverage in the coming years.

Mohit Malhotra : But that said I think in the GT also distribution becomes significantly important to Mayank's point, and therefore we are putting up a separate infrastructure in place in GT also, for ramping up our drinks business which is already hitting at Rs. 200 crores and in three years time we want to build it to a Rs. 500 crore portfolio in drinks.

Ajay Thakur from Anand Rathi

Ajay Thakur : So, first question was more on the celebrity led advertisement that we are witnessing from Dabur's side. So, any thought process change over there? Or are we looking at, so for instance, we have already seen three brand endorsements by the likes of Amitabh Bachchan, Deepika Padukone, which we have brought in. So, what is the thought process change that we are trying to see over here? And would that be kind of catering to or trying to solve certain problems that we are witnessing in those brand or

is it going to be addressing more of, few market share gain

or some other kind of thought process over there, so that's the first question.

Mohit Malhotra : So, Ajay, Dabur has always been working on a template or play book of celebrity advertising, and this has been working well for us, and it helps us to gain market share. But yes, this is also towards solving specific problems for us like in Red Toothpaste, we are very salient in the South of the country. And in South our market shares are much higher as compared to North of the country. In North Patanjali is a strong player. And Baba's foothold is much higher as compared to Dabur's foothold in UP, MP, Bihar, which is the Hindi heartland. And in Hindi heartland to fight that kind of followship that Patanjali has, we needed a bigger name, and that's why we signed up with Amitabh Bachchan to gain share in the North belt for us. And we have made some two, three creatives and all the creatives talk about taking shares from white or plain toothpaste and that's what.

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And even in a Dabur Amla, we have signed up with Deepika Padukone but Amla has always been taking the top-notch celebrities. So, from Kareena Kapoor, we have moved on to now Deepika Padukone and that's also towards increasing our market shares.

Vishal Punmiya from Nirmal Bang Institutional Equities

Vishal Punmiya : So, first question is basically a clarification on the price increase. So, we had around 6% price increase for the quarter, any additional price hike that we took in 2Q FY'23? Or it is just the flow through of the previous price hikes?

Ankush Jain : There is actually a combination of both. So, these would be a flow through as well. And so our estimate is two-third is flow through and one-third would be the fresh price increases.

Vishal Punmiya : So, what is the weighted average price increase that we took in 2Q FY'23?

Ankush Jain : Weighted average price increase is 6% including the flow through.

Vishal Punmiya : So, additional price during this quarter would be around 2% to 3%.

Ankush Jain : Yes around 2%, 1/3rd of that, which will now come with full effect in subsequent quarters as well.

Vishal Punmiya : And secondly on Badshah, so based on the revenue mix that you have given, I am assuming that 15% is exports. So, if you can basically breakup the three years CAGR for the domestic business and export business? And any overlap of regions in exports for Dabur International business and Badshah business?

Mohit Malhotra : So, exports has been very marginal or miniscule for the Badshah business, roughly around 5% to 6% of their business. But I think exports holds a huge potential, especially in the areas where there is an Indian expat population which is essentially in Americas and in the UK. And we feel there is a huge opportunity and Dabur has got a massive infrastructure of distribution there, which can be leveraged for the Badshah business there. And we feel in due course of time this 5% of turnover will definitely go up to roughly around 10% in a shorter period of time, just by leveraging our distribution, because the huge expat population already holding. And expat population that too from the region, which is Maharashtra and Gujarat, being more so in Middle East and the Americas.

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Aditya Agarwal from Deloitte

Aditya Agarwal : In the current year, we have seen that the dairy beverage portfolio has been going good for the industry. And how on the same line is Real brand performing, and what's our outlook going forward for the same?

Mohit Malhotra : So, we are very optimistic and hopeful on the entire Beverage portfolio because our strategy is to build this for scale up the Real brand. And earlier we were only present in the Juices & Nectar category now we have expanded the total addressable market

from roughly around Rs. 1,700

crores to Rs. 1,800 crores to moving out to around Rs. 8,000 crores to Rs. 9,000 crores and enter the drinks space. And if you look at the J&N category, Juices & Nectars where our market share is in the range of around 65% to 67% as compared to the drinks category, where our market share is pretty miniscule at 10%. So, therefore, the total addressable market has actually gone up for us. And we see the 10% market share only scaling up in due course of time. And therefore that 90% headroom of market share is still there with us. That's what we alluded to before in terms of infrastructure expansion and distribution reach, advertising, new SKUs being added, new variants being added and now we are also proposing to enter the fifth market which is a carbonated fruit beverage market. And we should be starting up production in the coming season in Jammu to harness that particular category.

Aditya Agarwal: I was seeing that in the current quarter on a standalone basis, we have seen for the Food & Beverage businesses, the profit margin has gone up to 16.6% from traditional 13.5% to 14%.

So, are we envisaging to keep this at the same level? Or are we going to go back to the 14% level?

Mohit Malhotra : So, margins will keep increasing as the benefits of scale keep coming in. So, I think as we scale up the business we will be leveraging our S&M cost. And even if the investment is there, the indirect cost will be leveraged and also the fixed assets will be leveraged. And while it's CAPEX heavy and we are putting up investments, but I think the margins, the operating margin level will keep going up as we scale up the business.

Gagan Ahluwalia : Thank you everyone for your participation in this conference call. The webcast and transcript will be available on our website soon. Thanks, and have a nice day.

Call: Feb 2023

Ref: SEC/SE/2022-23

Date: February 7, 2023

To,

Corporate Relation Department

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai- 400001^^^

for

India Ltd.

National Stock Exchange of India Ltd.

Exchange Plaza, 5th Floor

Plot No. C/I, G Block, Bandra Kurla Complex

Bandra (E), Mumbai-400051

BSE Scrip Code: 500096 NSE Scrip Symbol: DABUR

Sub: Transcript of Investors' Conference Call for Dabur India Limited -

Q3 FY 2022-23 Financial Results

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on 2nd February 2023 post declaration of Financial Results for the quarter and nine months ended 31st December 2022. The said transcript is also available on the website of the Company at www.dabur.com.

This is for your information and records.

Thanking You,

Yours faithfully,

For Dabur India Limited

Jain]

EVP (Finance) and Company Secretary

End: as above^

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"Dabur India Limited Q3 Results Investor
Conference Call"

February 2, 2023

MANAGEMENT :

MR. MOHIT MALHOTRA - CHIEF EXECUTIVE OFFICER

MR. ANKUSH JAIN - CHIEF FINANCIAL OFFICER ,

MS. GAGAN AHLUWALIA -VP (CORPORATE AFFAIRS)

MR. N. KRISHNAN - AGM (FINANCE)

MR. DHARUV SHARMA - DGM(C ORPORATE AFFAIRS)

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Ahluwalia Gagan : Thank you. Good afternoon, ladies and gentlemen. On behalf of the management of Dabur India Limited, I welcome you to this Conference Call pertaining to results for the quarter and 9 months ended 31st December 2022.

Present here with me are Mr. Mohit Malhotra - Chief Executive Officer, Dabur India Limited; Mr. Ankush Jain - Chief Financial Officer; Mr. N. Krishnan-AGM (Finance); Mr. Dhruv Sharma - DGM (Corporate Affairs).

We will start with an overview of the company's performance by Mr. Mohit Malhotra, followed by a Q&A session. Over to you, Mohit.

Mohit Malhotra : Thank you, ma'am. Good afternoon, ladies and gentlemen. Wishing you all a great 2023. Thank you for joining us today for the results call of Q3 FY23.

The operating environment remained challenging during the quarter, rural markets continued to face a slowdown on account of high inflation, uneven distribution of monsoon and down trading by consumers. The quarter was further impacted due to the delayed onset of winters, impacting our winter-centric and immunity-building portfolio. Having said that, the new age channels performed very well and some green shoots are visible in the rural markets, indicating early revival in demand.

In this context, Dabur consolidated revenue crossed Rs. 3,000 crore mark for the first time in a quarter and registered a constant currency growth of 5.7%. India business grew by 3.3% and international business registered a growth of 14% in constant currency.

The 3-year CAGR for revenue of India business is at around 10% with near double-digit CAGR in health care and HPC and mid-teens CAGR in F&B business. Our gross margins contracted by 280 bps in Consol business due to material inflation and currency headwinds and led to the operating margin declining by 129 bps in Consol and only 26 bps in Standalone. The margin contraction is sequentially lower than the previous quarter due to moderation in material price inflation.

In terms of categories, Food and Beverage business posted a growth of 6.4%. The Beverage business continues to be on a strong trajectory despite being impacted by early onset of festive season. We outperformed the industry significantly with our market share in J&N category increasing by 250 basis points. Fruit Drinks and Milkshake portfolio reported a strong growth and will exit the year with Rs. 200 crore revenue. The Food business also performed well with a growth of 35%. This will be further bolstered by the Badshah acquisition, which will be consolidated Q4 onwards.

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HPC portfolio recorded a 2.2% growth despite the key categories of Hair Oils and Toothpaste registering a volume decline on account of down trading by consumers to LUP packs. Toothpaste portfolio grew by 3.2% during the quarter, and our market share in Toothpaste segment continues to increase, led by Dabur Red. We have become the #2 player in the Oral Care segment with our market share in the category now at highest ever mark of 15.8%, 80 bps ahead of the erstwhile #2 player. Home Care reported a growth of 18%, driven by robust double-digit growth across Odonil, Odomos and Sanifresh franchises. Odonil recorded an increase of 540 bps in market share in Aerosol segment, 410 bps in the Gel category. Odomos increased its market share by 220 bps. Shampoos recorded a 4% growth on a high base of 21% growth and saw its market share increasing by 40 bps. Hair oils were impacted by the category decline of 4.5%, but our market share witnessed an increase of 70 bps to touch the highest ever level of 16.2%. Healthcare portfolio has returned to a positive trajectory after lapping over the high basis of last 2 years of COVID. On a 3-year CAGR basis, healthcare continues to trend at a near double-digit with market share gains across health supplements

portfolio. Digestive category saw a strong growth of 11.2% on back of robust performance of our Hajmola franchise driven by successful launches of LimCola and Chatcola variants. OTC portfolio recorded a double-digit growth with a strong performance of Lal Tai I, Honitus and Shilajit. Ethical portfolio, ex-COVID contextual products, registered a growth of 7%.

Among channels, e-commerce was a standout performer with 40% growth and now contributes around 9% of our total revenues. MT also saw a double-digit growth during the quarter.

International business recorded a constant currency growth of 14%. While Turkey and Egypt recorded exceptional constant currency growths, INR growth were impacted due to currency devaluations in these markets. Sub-Saharan Africa and SAARC businesses clocked strong growths too.

On a consolidated basis, despite the inflation and currency headwinds, we continue to drive our business aggressively and have gained market share across the portfolio. Going ahead, we expect the quantum of inflation to moderate, but commodity-specific nuances will continue to linger, especially in the Food & Beverage basket, which is seeing a pickup in inflation. We are seeing green shoots emerging in the rural markets, especially in the months of November and December. Recently announced budget initiatives like 33% growth in infrastructure spending, increase in agri credit to Rs. 20 lakh crore, setting up of agriculture accelerator fund for start-ups, along with focus on job creation will augur well for the rural economy. Urban markets are

also expected to improve, driven by softening of inflation, buoyancy of new age channels and improved consumer sentiment on the back of reduction in taxes for the Indian middle class.

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As for Dabur, we will continue to focus on gaining market shares, growing ahead of the industry on back of the strength of our power brands, distribution coverage expansion, cost optimization and efficiency enhancement initiatives. In addition, we remain intensely focused on operational excellence and delivering consumer-centric innovation to expand the total addressable market. With that, I bring my address to close and open the Q&A. Thank you.

Moderator : We will now begin the question and answer session. The first question is from the line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead .

Abneesh Roy from Nuvama Institutional Equities

My first question is on the Toothpaste business. So, when I see your growth in this quarter, maybe even the past few quarters and compare it with the #1 toothpaste company, the gap is now very limited. So, earlier the gap used to be much more higher. And the MD of that #1 toothpaste company, in fact, said that for the category, now the natural growth will be either similar to the overall category or might even be a bit slower, because now it's fairly large. So, when you compare these two, your growth versus the market leader and the comment that now it is fairly large, so it may not expand too much in the next 1 year, 2 years, what would be your comments to that?

Mohit Malhotra : Right. So, as far as Oral Care segment is concerned, if you look at the category growth, so category has declined by around 8%. And in 8%, 50% share happens to be the market leader, I think significantly contributed in the part of that decline. We have grown at around 3.2% in the Toothpaste segment. While the category has declined by around 8%, our 3-year CAGR is around 14%-15%. We are the market leader in terms of the Herbal segment, which is 30% of the overall market.

And Dabur Red is continuously gaining share. I don't know and I can't comment upon the comments of some other person. But as far as we are concerned, we are seeing a steady growth coming in Dabur Red, a steady growth

coming in Meswak. Babool got impacted in this quarter

because of the rural decline which is happening across the board, especially in Central India, where we're impacted by the deficit of rainfall. That was an exception. Our herbal toothpaste entry has been doing exceedingly well in the Southern markets.

Our attempt of relaunching our Dabur Red Gel is also doing very well. This year, we should exit at around Rs. 20 crores in the gel market. If you slice and dice the entire oral care market, what we find is that consumers are down trading at a very rapid pace to LUPs. And there's a grammage reduction also which is happening by all the key players. And because of that, the gel market, which is a tad lower in terms of pricing as compared to the overall calcium carbonate market, has started showing a lot of growth signs.

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So, therefore, our herbal gel entry is making so much of sense and actually showing a lot of traction in the market. By the way, we've taken a celebrity Vijay Deverakonda in South also for Dabur Gel, which is showing great signs of growth. Our Red toothpaste has increased market share by around 36 basis points. Meswak has also grown. And overall, we have become the #2 player in oral care now and replacing Unilever, #1 is the lead player and #2 is us now in toothpaste and toothpowder clubbed together as a segment.

And even in toothpaste, we are not far. So, we are steadily increasing our market share. While you're right, in terms of growth rate the Herbal segment may not be growing as fast. It's already 30%. But consumer sees value as compared to a pure calcium carbonate toothpaste and a toothpaste which has got calcium carbonate plus laung, pudina, tomar and 20 other extra ingredients, which also cost to consumer extra.

So, our Red Powder also, if you look at the CAGR of past 3 years, is doing significantly better.

And now we're talking about supplementing Dabur Red on top of the calcium carbonate toothpaste. That's also showing a lot of traction.

I think we've got our fundamentals in place as far as Oral Care is concerned. Not commenting too much on what the competitor has talked about. I think we are steadily gaining share market-by-market, and we are launching it market-by-market. We are not looking at all India launches as ad spends then will also be significantly higher for us. Broadly that, yes.

Abneesh Roy : That's useful. I was in fact comparing like-to-like. So, if you see, quarterly results, obviously, are the more important parameter because in Nielsen we have always seen there can be a lag impact, etc. So, coming back to the toothpaste versus tooth powder because you have said #2

player in dentifrice. My question is, because of the rural slow down and because of the downtrading we are seeing across the board, would the toothpowder segment for the industry and for you, would it be higher versus the pre-COVID?

Mohit Malhotra : Not really, almost about the same level in terms of toothpowder. So, the category is stagnant, while we guys are consistently gaining share in the category of toothpowders. So, Red is taking share from whites, and which is what is the phenomena which is happening in toothpaste market also. It's value-added toothpowder to a plain calcium carbonate toothpowder. So, value-added toothpowders like Red will gain share, and that's what we guys are doing, especially in the Hindi heartland and other places also. There's a 5% CAGR for us in toothpowder in a category which is stagnant.

Abneesh Roy : Sir, my second question is on the winter-impacted portfolio. This quarter, obviously, it was negative. Jan month, we have seen, again, extreme temperature. So, would you say that in Q4, you will recoup whatever you lost, say, 5%, 6% in terms of dip in Skin & Salon business? Would Dabur India Limited
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that be recouped? Beca

use it's going to be just 3, 4 weeks of good demand, right in terms of winter.

Mohit Malhotra : Absolutely. Abneesh, what you're saying is absolutely right. Chyawanprash portfolio which got impacted during the season because December was the most summer y winter month that you could ever have. So, it was very high temperature this time in I think in 122 years that India has seen in terms of December. But that lag will get covered up in the month of January. And we are seeing in January, our Chyawanprash sales far better as compared to the previous ones. But that said, there was a COVID impact last year in the month of January, and therefore, there were higher sales of Chyawanprash. So, as we speak, our secondaries in Chyawanprash is almost as good as last year, which shows great confidence to us that because of the winter getting protracted, I think that cover up will easily happen in the winter-centric and also for skin care. Our sales for lotions, et cetera, are far better in the month of January is what we've seen.

Abneesh Roy : Mohit, my question was also on the Skin & Salon. So, there you would not see the COVID impact in the base. So, will that see a good growth in Q4?

Mohit Malhotra : Yes, exactly. That's what I said. In lotions and creams and Gulabari, we are seeing a significant amount of traction happening in the month of January also, Abneesh.

Abneesh Roy : Last question is on the lots of e-commerce and, say, quick commerce kind of products you have launched, say, in the last 2 years. In those if you could tell us which are the ones where you have seen good success, initial success, so maybe at some stage, they could be taken to kirana? And some of which you feel that now it is not working, so you may have to take a hard call on some of those products?

Mohit Malhotra : Right. So, there are 2 parts to this question. One is the NPD part that you've asked me and another is e-commerce part that you've asked me. Our e-commerce business is doing exceedingly well. Now e-commerce is contributing to around 9% of the business, and part of the business is steered by new product introductions because we are treating it as a cradle for innovation for us. We're launching the products here, learning with our experience, changing the whole mix and then making it ready for the modern trade to happen.

So, a lot of NPDs that we rolled out on e-commerce, I can just give you a little bit of flavor. Drinks that we rolled out here, we've already taken it to mainstream. And drinks should end up at around Rs. 200 crores of franchise in the current year, which is very significant and should very soon become a Rs. 500 crore franchise. And we are appointing a separate distribution network also for drinks. So, that is number one.

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Juices that we introduced on e-commerce, Amla, Aloe Vera Juice, et cetera, that have also got scaled up to the mainstream and it's a Rs. 20 crores business for us with a very high gross margin. Then DCP variants that we'd launched also has been taken to now mainstream, and that's also doing reasonably well. Vita and tea that we also launched in this space, also now going to be around Rs. 10 crores brands each. The entire baby care range that we launched on e-commerce is now trending at around Rs. 20 crores annually for us. And Herb'l Toothpaste variants, which we launched also around Rs. 16 crores, Rs. 17 crores.

So, overall, e-commerce new products will be in the range of roughly around 15% actually NPD contribution will be there on e-commerce. Chatcola variants around Rs. 35 crores, YTD in December, LimCola and Chatcola for us. Ghees, oils, multiple oils that we guys rolled out will be exiting at around Rs. 10 crores for us on e-commerce. And the list keeps going on. That's why you see an e-commerce growth of around 40% for us.

Avi Mehta from Macquarie
Avi Mehta : I just wanted t

o pick up on the inflation comment. So, you highlighted that signs of moderation in inflation. And logically, the price hikes have also kind of flown through. Could you give us a sense by when do you expect gross margins to normalize to the 49% to 50% levels?

Mohit Malhotra : Yes. So, we have seen abatement in inflation happening. Avi, as we speak, the total inflation in this quarter has been 8.5%. We've taken price increase in the range of around 6.5%. Going forward, we are expecting the inflation to move to levels of roughly around 5.5%. But the mix of inflation is actually changing. The crude is softening and herbs are softening. The concentrates that we are importing because of the currency devaluation of Indian rupee vis-a-vis dollar, that has become dearer, and therefore, there's a gross margin compression in our Food business going forward, is what we guys see.

But we are in the process of taking price increases because while price increases are only to a tune of around 4% to 5% in Food as compared to the overall company, we've taken a 6.5%. So, there's headroom. And we've got ability to take the price table up being the market leaders there. So, I don't think we should have a problem in terms of maintaining our gross margins. So, Food business, because the nuance of inflation changing, there could be going forward some compression. Healthcare, we've already taken care of inflation and our gross margins are in line with our pre-COVID gross margins now. HPC, also, the entire portfolio we've taken price increases. But for Hair Oils, where we are lagging because here we want to gain market share. And our price increases are determined by how much price increase our competitor takes because he being the market leader, we being the follower. So, we don't take the first step in taking price increases. There, our prices are actually lagging and that's where the contraction of gross margin is most visible in our Hair Oil portfolio.

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But rest of the places, we've been able to more than compensate the inflation impact and our gross margin is equivalent to pre-COVID levels. Overall, our gross margin is compressed by 280. Actually, in India business is compressed by 190. So, I think going forward, the compression will reduce. I think there will be another 2 quarters of pain before we are able to go back to our old gross margin levels. That's my prediction. But the market situation is quite in flux and it's volatile, so one can't really comment because it's dependent on war and multiple other macro factors.

Avi Mehta : A fair point, Mohit. And just building on that, would it be fair to expect the template of balancing ad spends in this period of high inflation in this near term to ensure that the EBITDA impact is lower? We retain that 20% to 21% kind of range to the extent we can. That template is what you will seek to kind of use in the near term. Is that understanding correct?

Mohit Malhotra : Yes, this was a template that we thought of when we entered the year and in the vision that we want to maintain a 20% operating margin. And that's exactly what we did in this quarter also, in the previous quarter also. We optimized the spend because there was a gross margin dilution which happened and we had to cut back and optimize our advertising spend. While overall ad pro spend was in line with the top line, around 2% increase of overall ad pro, the mix of the media changed. Instead of advertising too much in ATL, we advertised more in BTL and consumer promotion and trade promotion so that our market shares don't get impacted. Because of which, what has happened is our LUP percentages have gone up quite a bit. Our low unit price points have been selling, which is a little margin dilutive to us. So, that is a little change of course that we want to do going forward. We want to start again going back to r

educing our trade spend

and increasing our advertising spend. So, intent will be to increase our advertising spends going forward, rationalize the trade spends and consumer promotions and go back to building demand on our power brands also.

So, this is a little change that we are thinking. We are in the process of making our budgets. So, going forward, we will be budgeting a significant amount of increase in the ATL expenses going forward. But the intent is not to be at the cost of operating margin, but this is a dilemma that we will sort out as far as and when we are creating the budgets. But the intent will be to maintain our operating margins in the range of around 20%, broadly.

Avi Mehta : Perfect, Mohit. And just a bookkeeping. Could you kind of share what was the volume performance this quarter? I missed that. So, that is the only bit. That's all from my side.

Mohit Malhotra : I think the right measure of looking at the volume performance will be our secondary sales. And in terms of secondary sales, we've increased the volume by around 3 percentage points. But due to the mix of our low unit price point selling very high and the category mix also, healthcare being lower and food being higher, the value weighted volume is actually around minus 3%.

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Optically what you see is 6% is the price increase, minus 3% is the volume. But in terms of secondary sales and the transaction sales, we've actually sold 3% higher in terms of our absolute eaches and the tonnage that we actually sell.

So, because of the formula of accounting, which accounting standards mandate us to do, that's why it's showing a minus 3%. As far as I am concerned, consumer acquisition is 3% higher, and the numbers are 3% higher in terms of our volume business.

Arnab Mitra from Goldman Sachs

Arnab Mitra : My first question was on Beverages. So, now as you enter the season of summers in 4Q, which is the sell-in, and 1Q, which is the main offtake. Based on your capacities and things like that, how do you expect this to perform given that this quarter was soft? And any headwinds you see in terms of the scale up from Rs. 200 crores to Rs. 500 crores that you're looking at?

Mohit Malhotra : Yes. So, Arnab, our Beverage business has been doing very well. As I alluded to earlier, our beverages will end up doing around Rs. 200 crores only in the Drink segment. And in J&N segment also, Juices and Nectars, we've been consistently gaining share and we've gained 250 basis points. So, our competitive position in the market is excellent.

There are small cheaper players who entered the Beverage segment and they're posing us some challenge in some modern trade specific channels, but which we are handling. Coming season, we are augmenting our capacity and the capacities have been augmented in all the 3 plants of Pantnagar. And we are also setting up a new plant in Indore and also in Jammu. Jammu for aerated beverages and Indore for our drinks pack, which is a Rs. 10 and 200 ml price point, Rs. 10, Rs. 20 price point.

So, I think we are pretty much geared up. And there's surplus capacity which is available outside also. In case we are not able to ramp up, we can always outsource it. And I don't think we should face any capacity constraints in the summer season.

Arnab Mitra : And just on the margins, Mohit. As you said, gross margins possibly will start improving a couple of quarters down the line back to the older levels. But given that you have to also normalize like ad spend, would you basically expect EBITDA margins to remain flattish '24 versus '23 given that you need to get back ad spend to normalized levels?

Mohit Malhotra : Yes. But also, Arnab, we've taken price increases, and those price increases will follow through as the inflation abates. So, there will be upside of margin. Because of the price increases that we have taken, that

upside of margin along with the cost optimization that we are doing across the value chain will also flow in. We are also planning to embark on an RGM exercise, which will also release some cost from the system that will plough back in to advertising.

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So, our intent will be to balance between media investments and also the margin. We don't want to definitely erode our margins beyond the level where they are. We want to take it up to the pre-COVID levels, yes. And if you compare it to pre-COVID levels, our margins for the full year anticipated will be down by a round 60 to 70 basis points, which is what we want to correct going forward in the next year, which is not a very tall task with the kind of price increases that we have taken and the softening of commodities that we are seeing.

Shirish Pardeshi from Centrum Broking

Shirish Pardeshi : Hearty congratulations for becoming #2 player. Just 1 clarification. On the toothpaste market share what you have mentioned, is it volume or value?

Mohit Malhotra : Yes, that's value shares.

Shirish Pardeshi : And what could be the volume share?

Mohit Malhotra : Yes, volume shares will be even better, around 17-18%.

Shirish Pardeshi : While looking at the PPT, on the Foods & Beverages slide, the growth was 3.7% and 3 year CAGR was 14.3% in beverages. I think last 4, 5 quarters, we have been doing the distribution-led growth and the dairy beverages has done better for us. So, I was a bit surprised that is that the distribution-led consolidation is happening? Or there was a one-off in this quarter?

Mohit Malhotra : Yes. So, I think optically, Shirish, this is lower F&B, and we are not very happy with the 3.7% growth that we've seen in beverages. But that is illusionary. If you look at this year, the Diwali festival actually got preponed, it got pushed forward. Last year, Diwali happened to be in the month of November. This year, Diwali happened to be in month of October. And there is a festive season loading, which happens in beverages, which is pre-Diwali. This time, the entire loading happened in the month of September for us.

So, if I take September to December, the total growth of the beverage business is in the tune of 16%, which is pretty much in line with what we have done before. And therefore, we've gained 250 basis point market share. So, therefore, what you see is around 3.7% is actually a lower

figure. The right thing would be to look at September to December, which is where it's a 16% growth. Overall, YTD also the growth of beverages has been around (+30%) for us. And we should continue. And especially looking at some price increases that we may have to take, it may not be only volume driven. It could be a combination of volume and value going forward. Shirish Pardeshi : Just one follow-up on the Food & Beverages revenue what you've reported, Rs. 319 crores. If you can break up Beverages & Food? And maybe is there any number which Badshah has been put in here?

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Ankush Jain : So, just to clarify, out of this RS. 320-odd crores, beverages is Rs. 285 crores and balance foods, is Rs. 35 crores.

Shirish Pardeshi : But is there any Badshah consolidation?

Ankush Jain : No Badshah consolidation, because that will be effective from 2nd of January.

Mohit Malhotra : So, that will be coming in the fourth quarter of this fiscal. So, there's no Badshah here. And on this, our Food business, while it has done 35%, so we'll be exiting the year at around 160 cr. And we have given guidance to the market that this business will also become Rs. 500 crores in the next 3 to 4 years' time. So, we are well within our reach, and the business has grown by 30%, 40% plus for us, our Food business, on back of launch of oils, ghees, pickles, chutneys and almost getting into 5 more categories to increase our T

AM. So, I think we are well within our

pace to achieve that also. And Badshah will only bolster that effort for us.

Shirish Pardeshi : My second and last question on the Healthcare business. At least my past experience suggests that quarter 3 onwards, our base has become normal for Healthcare business. Though winter is delayed and understandably there is a spill over in quarter 4, which would have happened. But is it fair to assume that with the normalization of Healthcare base, I think our growth will be back on track, 8% to 10% is fair to assume. And thereby, the margin would remain intact. That's the correct assumption? Or is there anything which I'm not reading correct?

Mohit Malhotra : Yes. In a way, you're right, because past 2 years of COVID bases, we had very high bases. And this year also YTD if you look at, Healthcare has actually declined for us in the range of minus 7% or so YTD. So, therefore, that base should be over. Except that January last year there was COVID, so we are lapping over a high base in the month of January also. So, post quarter 4, I think our bases should normalize, and therefore, we should begin on a trajectory of growing the business at a normalized growth of what you alluded to.

Even if you look at our Ethical business, our Ethical business has declined by around minus 6%, 7%, but there's a huge component of a COVID contextual products here. If you take that out, then the business is actually growing by 7% for us. Our OTC business has already grown by around 11%. So, it's outside of the COVID basis. Honey is already on a trajectory of a 9% growth, so it's outside of the COVID contextual time.

Chyawanprash, which has declined by minus 5%, it is still COVID contextual, and therefore, another pain of 1 month is left, which is January. And after that, we should normalize our bases of Chyawanprash also. So, that is in granularity about Healthcare.

While on Healthcare, I think another news that I want to give to the market and yourself is that we are taking an executive director-level person from the market, Mr. Philippe Haydon, who was

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the ex-CEO of Himalaya. He's joining us from today onwards. And that is one of our efforts to really provide impetus to the Healthcare business in the company.

Shirish Pardeshi : Wonderful. Congratulations for that. So, expect the Healthcare should come back in flavor for you. Just you missed on the comment of margin story. Will that normalization will help you to get the margin back for Healthcare?

Mohit Malhotra : So, Healthcare margins, like I told you before, Shirish, they are already back. So, we've already taken price increases. So, all the margin downside which had happened because of our inflation, that already been budgeted. And there, it's actually higher than the pre-COVID levels of margins for Healthcare also. With the saliency of Healthcare moving up, this will actually help our overall margins of the company. Because our saliency of Healthcare will move up, which has gone down to 30% levels, and it will only move back to around 31-32% levels in Healthcare on an annual basis, yes.

Prakash Kapadia from Anived

Prakash Kapadia : Yes. Mohit, you've been traveling a lot to rural India over the last few months. What is the sense you are getting in terms of the demand and the inflationary pressure? Is worst of rural demand over and is FY '24 going to be a much better year for us as compared to '23?

Mohit Malhotra : Yes Prakash, I have a sense. So, therefore, because rural was dragging us, so I think one of the

effort was to actually see it up close and witness this oneself also. And that's why one did some pantry checks in the rural households and also in the rural retail and visited the sub-stockists market and our Yoddha markets, which is what our seeding operations are. So, one thing, a couple of indicators in rural is that

down trading is a reality and consumers are down trading in rural. That for sure is happening. So, cheaper products are the ones which are actually selling in the market and premiumization is no way to go.

While premiumization, I think, is only in urban. As far as rural is concerned, people are cutting back on their expenses and down trading on products and actually choosing. Among the consideration set, it's not necessarily a brand. So, a lot of smaller brands have made their way into the rural market just because they are actually cheaper.

So, that is one sense which is there is down trading. So, that's happening. So, price point becomes very important. Rs. 5, Rs. 10, Rs. 2, Rs. 1 price point is still which reigns in the rural. That said, consumers have not stopped using the products which are essentials, like a hair oil or a toothpaste, which is a glimmer of hope. They're still using. They're just down trading to cheaper brands.

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So, pantry checks, everybody has got a detergent powder and a toothpaste and a soap and hair oil, selling and using. Because the rural in India is heavily subsidized by the government. Actually, everything government pays for, except for the recreation of the rural. That's what I witnessed in the central states of UP, MP, Bihar. So, gas is paid for, electricity is paid for, food is paid for, wheat and rice is paid for, education is paid for, midday meals are paid for. Everything is paid for. And even the toilets are paid for, water is paid for. House, pucca houses are being constructed by the government.

So, that's why the demand for MGNREGA is actually going down because everything is paid for by the government. So, I think with the government focus on rural, rural is seeing now growth will happen in rural. A lot of rural people have also come back to urban post-COVID and started working and sending back money back to the rural. So, there is a rural development which is happening in the country, and rural development by way of infrastructure development, school development. Progress is very fast.

And down trading is happening at the moment. But I think the winter sowing has been good and harvesting has been better. I think the income in the hands of rural will only pick up. And we see this rural and urban gap between growth is actually reducing going forward. And in a couple of quarters, rural should come back to its old glorious days. I don't see rural languishing beyond a point. So, I'm pretty hopeful of a rural recovery. And as far as our infrastructure investments in rural is concerned, that will continue as the way we have thought it through. So, that's in a way on rural.

Prakash Kapadia : That is helpful. If you have LUP contribution for the quarter or year-to-date basis for the company as a whole as compared to last year, that will be helpful?

Mohit Malhotra : Yes. So, our contribution of LUP in the range of around 25% odd. But if you look at the growth rates of LUP in past couple of quarters, we see LUP growth rate in the range of around 20%, 25% growth rate as compared to a business growth rate of around 3%, 4%. So, you can imagine that contributions of LUP will only go up going forward the way things are. And therefore, it is essential to do some urban demand development here so that our premium larger packs also start doing well actually.

So, therefore, penetrations are going up. And it's in a way a virtuous cycle, because the more the consumers use your LUPs, they upgrade to the premium packs going forward, a bulk pack. It promises them more economy. So, it's a virtuous cycle. But we have to start doing the demand building also in my view, yes.

Prakash Kapadia : And this LUP was more like 20% maybe 2, 3 years ago? Is that the right number to compare?
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Mohit Malhotra : Yes, I think it should be

lower than even 20% for us. And more salient, in our HPC portfolio, where we have a Rs. 10, Rs. 20 price point, both in hair oil, in shampoo it's actually Rs. 1 price point, in toothpaste also, in home care. Less so much in Health care, because the price points are generally higher. And in Foods also, the Rs. 10 price point and Rs. 20 price points are doing very well for us. Actually, the growth there is in the range of around 80%, 90% for us in our LUPs in the drink business.

Prakash Kapadia : And on the urban side, you did mention to do a couple of things to ensure saliency and demand

is buoyant in urban. At least the sense is inflationary impact is far lesser than rural. So, in the near term, what segments you think will drive the urban side? Will premiumization come back? And how does demand look on the urban side?

Mohit Malhotra : From a consumer standpoint, I think premiumization of the premium packs and upgrading our existing franchises to more premium franchises, for example, honey to organic honey, honey to a single flower honey, honey to Acacia honey, et cetera, that will happen. And Chyawanprash in terms of sugar-free Chyawanprash, in terms of Gur Chyawanprash, all that is happening. In terms of hair oil portfolio, launching therapeutic hair oils. In oral care, launching sensitive toothpaste. I think those efforts are happening.

And e-commerce is the channel that is helping us to actually launch those and nurture those premium offerings within our existing franchises to actually grow. Therefore, our e-commerce NPD contribution is higher than around 10% there. And modern trade is also helping us with this whole premiumization story. And our growth in e-commerce is in the range of around 40%. Modern trade is also in the range of around 11%. We've corrected our modern trade issues that we guys were facing in terms of undercutting. And I think modern trade should go up to around 15% to 20% growth going forward in next year also.

Class II and Class III towns is also becoming very salient with infrastructure development. So, we are embarking on an exercise, which we called MSL, which is Must Stock List, in which we are looking at larger packs to be sold by the last-mile salesman at the retail and incentives to be linked with that in Class II, Class III. That's also happening as we guys speak, that exercise, yes, which we call Picture of Success Implementation. So, that exercise is happening, which will help us grow our larger packs and premium offerings there. This should help the margins improve and premiumize our portfolios.

Abhijeet Kundu from Antique Stock Broking Limited

Abhijeet Kundu : Yes. So, I was just alluding to the long-term growth of Dabur when it always used to be about 10% to 12%, health supplements growing at about 8%, 10% at least. And also your Hair Care business, Oral Care business. Oral Care business is really outperforming, growing in double digits. And your other businesses also, Food business is also growing in double digits. So, the Dabur India Limited
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point here is that if we have to look at the 1 year or 2 year and rural seeing a recovery, how do you steer it forward in case of your Hair Care and Oral Care business? My clear pointed question is that, that what would be the efforts required? And secondly, how much would be rural contribution for you in Hair Care and Oral Care?

Mohit Malhotra : Right. I think we've got our game plans and the market strategy is right in terms of Oral Care and Hair Care. In Hair Care, our strategy is very clear, we got core business and there are core brands and we got flanker brands. Flanker brands actually create a moat around our core brands and they keep protecting our core brands, which are more profitable. And we keep growing our market share with core and flanker brands in the Hair Oil portfolio.
In Shampoo portfolio, we are very clear. The

way we have done in Oral Care, carve out a niche

of natural in shampoo. That's what we guys are doing with Vatika Shampoo, increasing our bottle saliency in modern trade. Our bottle saliency is already 20% in shampoo. That will keep inching up, and our margins will keep growing. And we have a huge headroom to grow in the shampoo business.

In Hair Care, also, there are various subsegments of hair oils, and we are flanking our brand into most of the subsegments and trying to gain share from the competitor in those sub segments. So, strategy is being very clear. Oral Care is giving us great dividends. Even in Hair Oil, we are getting dividends in terms of market share gains in all the sub segments. In shampoo, also, we are getting significant gains.

So, we've got our whole game plan, the plan of action all placed out. And we are now trying to execute with perfection. And there is no reason because at the end of the day if you look at, Abhijeet, our market shares are only into 16%, 15%. So, we have a huge headroom of around 85% to grow. So, it only depends upon how much of execution excellence we have in the marketplace with the strategy being right and how much of market share gains we can have. But if the categories decline, then there is pressure on the #2 player, and that is what is happening now. So, we want to punch our weight over the category. And therefore, if the category is growing by 4%, 5%, we want to grow at around 7%, 8% to gain market share for us. So, it depends upon the category growth. If the category is flagging and is minus 5%, 6%, which is the case now, Hair Oil is down by 4.5%, Oral Care is down by around 8%, so we end up growing at around 3% and 4%. That's where it becomes a low single digit for us, because we are not isolated from the category growth rate. So, that's where we are.

As far as rural contribution is concerned, Oral Care, 40% contribution comes from rural, and Hair Care, around 46% comes from rural for us. We are more rural salient. If you look at the

Dabur heartland, which is UP, MP, Bihar, where we guys are very strong and higher market
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shares there, there our rural contribution will be even higher, around 50% is rural. So, that, I think, answers your question.

Abhijeet Kundu : Yes. And in Q3, suddenly there has been a further deterioration. If you look at the overall trend, then suddenly Q3 has seen a sharper decline. I mean, there has been moderation in growth. So, anything that has gone in during this quarter, any specific reason that you see?

Mohit Malhotra : No. If you look at the market growth rates, the markets have actually deteriorated in quarter 3, plus our base effect has kicked in. We had high bases of last year. Number 2, inflationary pressures which are there because of price increase. And there has been deficient rainfall also which has happened in our heartland. If you look at the bifurcation of our growth between North, South, East, West, all the 3 regions, whether it's North or it's East or it's West or it's South, all have done well, but for the Central Region, which has actually declined around 3%, 4%. And Central Region comprises of UP and Bihar for us.

If you look at ex-Central, which is ex these 2 states, our growth is around 8%. So, I think it's a 2-state phenomena, which is Bihar and UP because of deficient rainfall and rural slowdown, where rural contribution is also high, has actually pulled us down. That is an isolated factor because of rainfall deficiency and also late winter, and therefore, winter products also did not sell much there. So, that's a very isolated issue, and it's in a pocket. I don't think this should last for way long.

Abhijeet Kundu : But in the near term, Q4 should be under pressure for the industry also as a whole?

Mohit Malhotra : That is dependent on the industry. If I look at the FMCG industry growth rate

s, if you look at

quarter 1, the growth rate was 11%. In quarter 2, growth rate came down to 9%. In quarter 3, the growth rate is around 8.2%, is I'm talking about value growth rates. If you look at volume also, volume also has steadily declined. And in our relevant categories, growth was around 1%, then it became minus 4%, and now has become minus 5%. So, we have no isolated case here.

But if you look at rural, we are seeing some growth in rural markets going forward. So, I think with the government stimulus, as the budget talked about yesterday, 360-degree budget, there is something for everybody in that budget. The middle class will also shore up as more disposable income in the hands of middle class with tax rationalization which has happened. There is so much for rural. There are farm subsidies and overall micro schemes which are being introduced by the government. I think that should augur very well going forward in the future for the economy, and both urban and rural should see some improvement.

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Ahluwalia Gagan : Thank you, Aman. Thank you for your participation in this conference call. The webcast audio recording and a transcript of this call will be available on our website. Thank you, and have a nice evening, everyone.

Call: May 2023

Ref: SEC/SE/2023-24

Date: May 9, 2023

To,

Corporate Relation Department

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai- 400001

for

India Ltd.

National Stock Exchange of India Ltd.

Exchange Plaza, 5th Floor

Plot No. C/I, G Block, Bandra Kurla Complex

Bandra (E), Mumbai-400051

BSE Scrip Code: 500096 NSE Scrip Symbol: DABUR

Sub: Transcript of Investors' Conference Call for Dabur India Limited -

Q4 FY 2022-23 Financial Results

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on May 4, 2023, post declaration of Financial Results for the quarter and year ended March 31, 2023. The said transcript is also available on the website of the Company at www.dabur.com.

This is for your information and records.

Thanking You,

Yours faithfully,

For Dabur India Limited

EVP (Finance) and Company Secretary

End: as above

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"Dabur India Limited Q4 & FY23 Results Investor Conference Call"

May 4, 2023

MANAGEMENT :

MR. MOHIT MALHOTRA – CHIEF EXECUTIVE OFFICER

MR. ANKUSH JAIN – CHIEF FINANCIAL OFFICER

MR. ASHOK JAIN – EVP (FINANCE) AND COMPANY SECRETARY

MS. GAGAN AHLUWALIA –VP (CORPORATE AFFAIRS)

MR. N. KRISHNAN – DGM (FINANCE)

Dabur India Limited

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Gagan Ahluwalia : Good afternoon, ladies and gentlemen. On behalf of the management of Dabur India Limited, I welcome you to this conference call pertaining to the Results for the Quarter and Full Year Ended 31st March 2023.

Present here with me are Mr. Mohit Malhotra – Chief Executive Officer, Dabur India Limited;

Mr. Ankush Jain – Chief Financial Officer; Mr. Ashok Jain – EVP (Finance) and Company Secretary; and Mr. N. Krishnan – DGM (Finance).

We will start with an overview of the company's performance by Mr. Mohit Malhotra, followed by a Q&A. I now hand over to you, Mohit.

Mohit Malhotra : Thank you, ma'am. Good afternoon, ladies and gentlemen. Thank you for joining us today for the Results Call of Q4 and FY23.

FY23 saw geopolitical issues disrupting the global supply chain, which led to a steep rise in commodity prices. As a result, inflation across the world went up to unprecedented levels. While it had started to wane during the end of the year, pockets of stress remained. To tame this inflation, central banks across the world have raised interest rates, which has led to a demand slowdown and currency headwinds in our key markets, especially.

India has not been very different. With WPI in double digits for the majority of the year, CPI is still hovering around the upper range of MPC comfort levels. The operating environment remained challenging during the quarter. As per syndicated data, for the first 9 months of the year, there has been a volume decline across the FMCG sector. We have seen some positive growth emerging in the later part of Q4. This positive volume growth was mainly driven by the food basket. HPC and OTC categories continue to report volume declines. Rural markets have continued to lag urban on account of high inflation and contracting by consumers. Having said that, the silver lining for the year has been the performance of the new age channels and some green shoots which are emerging in the rural markets towards the end of the quarter, indicating early signs of revival in demand.

In this context, Dabur's consolidated revenue for the year crossed Rs. 11,000 mark to close the year at Rs. 11,530 crores and registered constant currency growth of 8.2%. India business grew by 6.2% and international business registered a growth of 11.1% in constant currency. The 3-year CAGR for India business is 11.2%, with near double-digit CAGRs in healthcare and HPC and strong double-digit growth in F&B business. Our consolidated gross margins contracted by 258 bps in consolidated business as we faced material inflation to the tune of 12.6%. The good news is that margin contraction is sequentially reducing with moderation in inflation.

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During Q4, the company recorded consolidated revenue growth of 8.6% in constant currency and 6.4% in INR. While India business reported a growth of 4.7%, secondary sales grew around 10%.

In terms of categories, the food and beverage business recorded a stellar growth of around 30%, both during the year and the quarter. The beverage business continued to be on a strong trajectory on back of strong execution and our initiatives towards expanding the total addressable market. We outperformed the industry significantly, and our market share in J&N segment have increased during the year. The food drinks portfolio under the Real Koolerz crossed Rs. 200 crores mark during the year. The Foods business also performed very well with a growth of 34%. This has been further bolstered by the Badshah acquisition, which was consolidated for the first time in Q4. Including Badshah, F&B business recorded a growth of 34% for the year. HPC portfolio recorded a 5.1% growth during the year despite category declines. Our toothpaste portfolio recorded a growth of around 5%, leading to a double-digit 3-year CAGR. Dabur Red

continued to gain market share in the category. We are the #2 player in the Oral Care segment

with every second household in the country being a Dabur Oral Care household. Hair Oils' market share witnessed an increase of 130 basis points to touch the highest ever market share that we've ever witnessed in hair oils of 17%. Shampoo recorded an 8% growth with a 3-year CAGR of 15%, and we saw our market shares inch up in shampoos by 30 bps. During the quarter, secondary sales of HPC saw a growth of 7%, but the primary sales were impacted on account of unseasonal rains and a bit of down stocking.

While for the year, healthcare portfolio recorded a 7% decline, the 3-year CAGR is strong 9% after lapping over the high basis of the COVID year. We saw market shares across health supplement portfolios also grow. The digestive category saw a growth of 10.4% on the back of robust performance of our Hajmola and Pudina Hara franchises. OTC portfolio recorded a double-digit 3-year CAGR with a strong performance in Honitus brand. Growth of healthcare in quarter 4 was flat on account of high basis due to Omicron variant in the base quarter.

Among the channels, e-commerce was a standout performer with a 30% growth and contributes around 9% of our revenue. Modern trade saw double-digit growth during the year. We also saw market-leading expansion in our distribution during the year with our direct reach now going up to 1.4 million outlets. Village coverage was further increased to 1 lakh villages. Efficiency of distribution, as indicated by the Edge score, also improved by around 20%.

International business recorded a constant currency growth of 11% in FY23. While Turkey and Egypt recorded exceptional constant currency growth, INR growths were impacted due to

currency devaluations in these countries. Sub Saharan Africa and Nepal business clocked strong growths.

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For the quarter, while overall inflation reduced, there is an increase in input cost of F&B basket leading to gross margin contraction of 163 bps in consolidated business and 74 bps in stand-alone business. Sequentially, our gross margin contraction has been reducing. Operating profit declined by 9.6% during the quarter due to resumption of media spends in the quarter, which saw a 16% growth in India. Reported PAT for the quarter touched Rs. 301 crores, recording a 2.2% growth. This includes amortization related to Badshah acquisition.

During the year, despite facing challenges such as inflation, demand slowdown in categories and currency headwinds, we have aggressively pursued our business growth and have successfully increased our market share across the portfolio. As a matter of fact, secondary growth in the quarter was in double digits. Also, our gross margin contraction is reducing. Inflation is abating and we are seeing positive volume growth in rural markets. Healthcare has already lapped over the basis of COVID and should see strong growth going forward.

With this, I bring my address to a close and open the Q&A. Thank you.

Mihir Shah from Nomura

Mihir Shah : Sir, first question is on juices. From next quarter onwards, we are likely to cycle to the high base. And will Dabur's entry into the drinks category help tide over this high base? Or just like what we had seen in health supplements, there can be a sharp optical decline in growth numbers in juices from first quarter onwards?

Mohit Malhotra : Mihir, good question. So, while we are cycling the high basis of food and beverage going forward, and majority of the business comes in Tetra Pak, which is sitting on a high base, a slight amount of moderation in the Foods growth cannot be ruled out. So, there will be moderation in the growth. We will not see a growth of around 30%, because 90% of the portfolio is around Rs. 1,700 crores for us and only Rs. 200 crores is happening, plus there is

a seasonality impact also,

which will be there. So, I think overall, our Foods growth should moderate, and I would say that it would be a high single-digit to a double-digit kind of Foods growth, but not a very high double digit of around 30%.

And we are also very careful on the Foods. So, this, in a way, has got a silver lining to it, because food is a low gross margin business. If it balances across the other portfolios, our gross margin also inches up. Plus, there is also a factor of seasonality. There are untimely rains happening now, which we saw in the fourth quarter and also, we are seeing in the first quarter going forward. So, a little moderation in the Foods growth is definitely on the cards that we see.

Mihir Shah : Sir, secondly, on Hair Oils, while you mentioned that you have increased market share to an all-time high, it seems that versus peers, what we saw in the other commentary from peer companies,

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the Hair Oil growth has seen some kind of a pickup. So, can that be a case for a delayed improvement for Dabur's brands in Hair Oils?

Mohit Malhotra : See, as far as the syndicated data is concerned, I can't comment on the results of the peer companies like Bajaj and all, but definitely, we'll tell you about the syndicated data. Syndicated data shows still a decline. While the decline is stemming and it's becoming almost flat, we see a decline of around 3% in the Hair Oil category, actually 2.3% in the Hair Oil category, whereas our business has increased by around 2% in the Hair Oils, thereby gaining market share of around 130 basis points as I talked about. And this is pretty secular across all the subsegments of Hair Oils for us. So, even in perfumed hair oils, we've gained market share, and our strategy of supporting our core brand with the flanker brands is working very well.

Our Sarson Amla registered a very, very high double-digit growth. Our Brahmi Amla registered a growth. Our Dabur Amla related products also registered a growth. Our coconut oil, which is Anmol, has also registered high growth, and we've increased our market share. We are also improving our presence in other subsegments, which hitherto we were not present, like cooling oil also, in the current season. So, I think overall, I'm pretty positive about the Hair Oil category. While the category growth is not there, Dabur has huge headroom to grow because we are only around 17% of the overall market. The rest of the market is open for grabs. Our Dabur Almond Hair Oil is also doing very well, and we feel it's got a lot of legs in modern trade and e-commerce, and that's where we're building the business.

Mihir Shah : Got it. Understood, sir. Sir, next on Health Supplements. I actually missed the point that you made. I believe you mentioned some strong growth in Health Supplements, likely because now the high base phase is over. Can you just allude to what you were indicating, please?

Mohit Malhotra : Yes. So, there are different parts of our Healthcare. I think you're referring to Healthcare for us. In the Healthcare segment, there are three subsegments that we have. First is the Health Supplement. Health Supplement was cycling a high base. So, I think we've already entered a phase where the last of the high bases of the Omicron quarter, which is now over and out. Like in the last quarter, we had a Rs. 90 crores base of Chyawanprash and we registered a business of roughly around Rs. 60 crores. There was Rs. 30 crores fall in Chyawanprash that we saw in the last quarter. But now it's all behind us.

And on honey, already registered a growth of around 6% in the last quarter, but Chyawanprash declined by around 35% in the last quarter. That's impacted our margins also. Going forward, I think that being behind us, we will see good growth in the Health Supplement part, which is glucose, we are already seeing.

And honey, we are already seeing some green shoots. And also, in case of Chyawanprash, the growth has begun, which is also high margin for us. That's one part of the Healthcare portfolio.

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The second part of the healthcare portfolio is the OTC business. OTC business on back of brands like Hajmola, Pudina Hara, Lal Taalil is already seeing a good growth. Again, COVID bases are now over, and we should see a high growth there. And third is the Ethical and the generic business for us, which is around Rs. 400-odd crores. That also should see a high growth. What we've done in the healthcare business is that we've inducted, and we've restructured the whole company, and we have got ex-CEO of Himalaya join us, Mr. Philippe Haydon.

I think I alluded to this before in my previous call also. He has come in and he has announced some sort of restructuring in our Healthcare business, in which we've created a new vertical. It's called Dabur Therapeutics Limited, it's therapeutics as a division. Now this division is manned by around 440 people that we've got. So, Fem Pharma business, which we inherited on back of the Fem acquisition, has been integrated with our branded Ethical business and 440 people will be doing advocacy to allopathic doctors.

Unlike hitherto we were only going to ayurvedic doctors, now we are going to allopathic doctors. There are almost like around 15 to 16 lakh allopathic doctors. So, in the key metros, we'll be reaching out to those doctors doing advocacy and they have been given a target of roughly around Rs. 200 crores. And Baby Care will be one of the front runner portfolios which we would sell through this team. And we've taken a target of roughly around Rs. 20 crores to going up to around Rs. 40 crores, Rs. 50 crores next year, driven by this advocacy where we'll be reaching out to gynecologists, pediatricians, etc., So, those plans are being made and also being executed as we speak.

So, I will expect good growth in the OTC and the branded Ethical portfolio on back of this. And then the third part is the Ethical business, which is already navigated the COVID basis, and we should see good growth in the Ethical business also, which is selling generic products through vaidyas, which is business as usual for us. So, that's a flavor on healthcare portfolio for you.

Mihir Shah : Got it. Sir, my last question is on other expenses. It seems that there's some kind of a one-off in the other expenses sequentially jumped quite a bit. Is there any cost of Badshah sitting there? Or is there any bunch up of cost that will likely discontinue in the coming quarters?

Mohit Malhotra : Yes. So, these are one-off expenses of roughly around Rs. 20 crores to Rs. 25 crores, which is actually sitting in with that other expenses, which is seemingly very high, growth of around 20%. Now what's happened in the business is, our business in terms of case sales has grown by around 11% in the quarter. And for the full year, it's grown about 14%. So, 60% are the variable expenses here. Those variable expenses have grown in line with my case sales growth, which is around 11%. So, that 11% is explained, and variable expenses include freight, travel, processing fee, warehousing charges, et cetera.

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Travel, which was not there due to Omicron last year, has also come in now. Processing charges with third parties have gone up, warehouses charges have gone up. Freight has gone up because the tonnage of the food that we sold in this quarter was very high on account of the season being there. That is one, which is intrinsic, which is not one-off. The other one-off in the range of around Rs. 20 crores, which is a Forex adverse impact, which we saw coming in from Sri Lanka. Last year, when the Sri Lanka currency got hammered, we had booked some gain there, which is a loss

coming in the current year. Then there was a phasing of CSR expenses, which happened roughly to a tune of around Rs. 10 crores here. There's some distribution restructuring that we

have done in International business in MENA markets. There are some costs, which are sitting in that bucket and similar expenses like that. So, I think that 's what should not get repeated. That's the other expense for us. There is no Badshah related expense here.

Chirag Shah from CLSA

Chirag Shah : Mohit, I think you did a good job explaining Mr. Philippe Haydon's role in the Healthcare business. If you can just elaborate a little bit further as to how do you see that part of the business growing over the next 2 to 3 years? And on Badshah, I understand that the national rollout would be a gradual play. Are we also seeing margin pressures over the re? And are there plans to get into adjacencies through that brand?

Mohit Malhotra : Yes. So, Chirag, first of all, Healthcare business. So, Philippe has just come in. It's already been around 2, 3 months since he has been there. But I must tell you that we are very happy with his joining the company. I think there's been a hockey stick kind of a growth which has come in action that we are seeing in the Healthcare space. We've created a vertical in a short span of time. And 450 people have already come in, and it's not additional recruitment, it is relocating resources from different places in the company.

So, we divide Healthcare into three parts now. One is the Ethical part; one is the Health Supplement part and the OTC part. There will be a part of the portfolio which will be promoted through advertising, which is our power brand structure, and there is a part that will be promoted through ayurvedic advocacy, and a part will be promoted through allopathic advocacy. And the portfolio will also increase there, which will be more relevant to allopathic, which will be more margin accretive.

Like I told you, Baby is the space that we are initially going with. So, slowly and gradually, I think we want to provide impetus to our Healthcare portfolio and grow there, and that could not happen just on back of advertising. So, I think doctor support was the most critical, which we guys were missing out on. I think with his coming in, I think that will really help us bolster that support. How to market to a doctor, what a pharmaceutical company does, all those missing pieces which were there, they are being plugged as a gap in the organization with his coming in.

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And a lot of new recruitments have also happened, which are from the healthcare space or pharma space that we are plugging in our business. So, there are 3 business verticals now. One is the Health Supplement, headed by a person under Philippe. There's a person who's heading OTC. There's a person who is heading our Ethical business. And the fourth person has been added who will be heading our Therapeutics division.

Chirag Shah : That's great. And just on the Badshah part.

Mohit Malhotra : Yes, the second part is the Badshah part. In Badshah part, we are still focusing on Gujarat, Maharashtra and Andhra Pradesh as being the key market, and we will focus there. We don't want to put pressure on Badshah to extend to all India at the moment until and unless we start the national advertising there and create some sort of pent-up demand before we start distribution there. We don't want the stocks to get stuck anywhere.

So, the second part of your question was about inflation. Yes, inflation in the Foods basket has gone up. Spices inflation is in the range of around 20%. So, there is a pressure on the gross margins definitely in Badshah, but we've done some rationalization in terms of marketing and sales. Margins and price increases that we have taken, pack price architecture, grammage reduction

s, etc., All those things are happening as we speak. We've got a different structure for Badshah. One of our key people, who was heading our Turkey business earlier and international business, Mr. Rehan, he is now the profit center head for Badshah, sitting out of Bombay and running the business.

So, we are continuously monitoring the situation, and we are very hopeful about Badshah registering a 20% growth going forward next year. And Badshah is one element of our Foods business, which is what we acquired. So, that is the 20% growth we're talking about. Our existing Organic Food business is also trending at around Rs. 120-odd crores. Badshah is another Rs. 250-odd crores. So, we're talking about Rs. 400 crores. Next year, we are targeting ourselves to reach a Rs. 500 crores level, which in the next 5 years should become Rs. 1,000 crores for us as a Foods business, I'm not talking about beverage Business.

Beverage business is separate. In beverage, we said drinks, which is Rs. 200 crores will become Rs. 500 crores for the next 5 years, and our J&N business is separate. So, we feel that our Foods business has got a lot of legs with the equity of Real and Badshah and Hommade, three businesses here. And we are providing a lot of thrust on the Food and Beverage portfolio. And with this Food and Beverage portfolio, I think, which is in the range of roughly around Rs. 1,700 crores, should easily, in next 5 to 6 years' time, it should double in 5 years. I think 18%, 19% growth has gone nowhere. So, we are looking at around Rs. 4,000 crores to Rs. 5,000 crores in the next 5 years' time for our Food and Beverage vertical, which today is 1,700 crores for us.

Chirag Shah : You were also looking at a separate distribution network for drinks you said last time, right?
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Mohit Malhotra : Yes, it is not just drinks. We are looking at a separate network for our Beverage business. So, what's happening is that when we were restricted to J&N market only in the metros and the two-way towns, we had separate distribution network. One network which catered to the chemist outlet and healthcare, one network which catered to the grocery, which is HPC, and the third network which caters to E&D outlets which is eating and drinking outlets. So, that team has got bolstered as the Foods business is increasing and drinks business is also increasing. So, that is happening as we speak in Dabur. But in Badshah, which is a separate distribution network for spices, that's a separate business altogether. I hope I answered your question.

Manoj Menon from ICICI Securities

Manoj Menon : Just continuing with the template which my friend Mihir had on few categories, I also have questions at the category level. Mohit, the first piece on Toothpaste. The tailwind of Natural and plus, let's say, South India penetration or distribution, maybe few other factors were, let's say, long-term drivers for growth in Toothpaste for you, let's say, in the last 5 to 10 years. How do we think into the medium term that Toothpaste growth for you, specifically, given that the natural salience in my understanding is somewhere in the 30s?

Mohit Malhotra : Manoj, Natural, as I understand, you want a flavor on the Oral Care business as far as we are concerned. So, I think we are in a very good space as far as Oral Care is concerned. So, Oral Care Natural segment, like you're saying, is 30%, and the growth has stemmed in value terms in the Natural segment, which is essentially because Sensitive has caught up in Oral Care. If you do a fine segmenting and analyze the whole thing, the Sensitive segment on back of Sensodyne is the one which is growing, and there's a lot of action happening in the Sensitive segment. But as far as Natural is concerned, I think the volume growth there continues to take business from the regular white. And I think the value-added

Natural segment will continue to grow. We

have our representation in that segment, which is our general Dabur Red. Dabur Red is doing exceedingly well for us. But before I came to Dabur Red and specific brands, I think now Dabur's penetration in Oral Care segment has gone up from 45% to 50%. So, every second household in India is a Dabur Oral Care household, like I talked about. So, it's already. So, our penetration is every second person has got a toothpaste brand from Dabur in his home. So, that is the kind of traction that we've gained over the past 5, 6 years and 5% increase in penetration over the past 2, 3 years is absolutely a humongous effort which the team has made and done pretty well. So, that is as far as Oral Care is concerned for us, and we think we'll continue to take a share from the market leader on the Oral Care space.

Now coming to Dabur Red, which is our flagship brand. It continues to do well for us, and we are looking at extensions of Dabur Red. We will continue to support Dabur Red with media, which is our core brand. That's why we've taken Amitabh Bachchan and the creatives are really

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working for us, and we've seen penetrations of the brand and market shares of the brand actually inch up on back of that communication. The second is Dabur Herbal Toothpaste, which has got very strong traction in South of India. It's doing well. The growth is around 23% for that brand. Meswak is doing well for us. And Babool, because of rural distress, Babool has pulled us down and our market share has declined in our Babool Toothpaste. So, we've got some work to be done there. Even our LDM declined on the back of rural stress. So, I think there's some work to be done there.

So, that said, I think overall, Oral Care, we are in a very good space. And in terms of margins also, our margins have gone up. Because inflation happened, we've been able to take the price increases and completely hedge the inflation with pricing. If you look at the growth in our gross margins, our gross margins have inched up in Oral Care and pretty profitably so. So, I think overall in a good space. I don't know if you want any other flavors, and I can provide you with that. We already had 7% secondary growth in Q4 in our Oral Care, and our market shares have improved.

Manoj Menon : Fair enough. I will take it offline because I've got a few follow-ups actually on Toothpaste, in the interest of time. Sir, I also had a follow-up on the juices business. In your presentation, thanks for the disclosure that the new launch Koolerz sees Rs. 200 crore exit run rate. And I also heard you had a medium-term target of Rs. 500 crores. But I was actually wondering, is it low balling or can this be much, much higher, because given your, let's say, distribution strength, given your expertise in the Beverages segment over the last 20-plus years. And also, the question on, let's say, Mihir's was on, let's say, high base, etc., But given your opportunity for simple placements,

and that also you are actually expanding or extending the Real brand only, right? It's just an extension, why should there be a high base issue so early?

Mohit Malhotra : So, 1 thing, we are not talking about drinks as exit. This is actually the total business that we generated for the whole year is Rs. 200 crores. It's not exit. Exit will be even higher. So, I think Rs. 300 crores should be the exit that we are talking about. And therefore, distribution, that's why we are carving out a separate distribution network for juices and nectars and drinks all together, because the same outlet actually sells that. And we are also intending to get into the fizz market, which is even a larger addressable market, again, and with the Real brand. So, which is, in a sense, consolidating the core brand of Real is what we are looking at. And this business will scale up for us.

So, there are no holds barred as to the growth in drinks, juices and nectars for us. Our gross margins were also increasing till the last quarter, but we've seen now inflation inching up of around 12% in Foods. So, there's a little pressure, and we are watching and doing some cost optimization if we can do that. But there are no holds barred on the juices segment for us, yes.

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So, as far as the season is concerned, now there are rains which have come in. And if you look at the drinks portfolio, Manoj, this is basically out-of-home consumption. And whenever rains happen, out-of-home consumption gets impacted, and it is not Real drinks which will get impacted, it will be all across. Other players will also get big time impacted, because I think the entire drink market, which is available in bottle, will get impacted, which is out-of-home consumption due to rains happening. So, that is what I was alluding to, not that we've just seen one month as yet, but our intent is to take up the business to Rs. 500 crores in the next 2 to 3 years if you ask me.

Manoj Menon : And just one last one on this, if I may. What proportion of, let's say, your direct GP distribution, in which, let's say, you'll be able to sell the beverage products?

Mohit Malhotra : See, our direct distribution is invariably around 15%, 20% to our overall distribution. Like we reach out to around 1.4 million outlets, and totally, we go to around 7.7 million outlets. So, it will be in the same proportion that direct will be there because a similar stockist will be selling that. But that said, the more the direct, the better it is because you are able to sell the entire breadth of the portfolio in those outlets.

Manoj Menon : No, Mohit, sorry, I didn't explain appropriately from my side. So, what I'm trying to understand is out of the 1.4 million direct overall reach which you have, what proportion of this, let's say, realistically you can actually place Real Coolerz? Or any of these newer products which you are looking to launch in Beverages?

Mohit Malhotra : So, if you ask me, around 80% of that we'll be able to place. But we've kept a separate distribution network, Manoj, from our Healthcare and from our grocery distribution. This is E&D, and this is a second or third person who's going and selling this to those outlets. So, we already have an equation to that outlet, but a new person will go and sell this, because the credit extension has to be separate, payment collection has to be separate. Separate investment by the stockist has to go there. And the agents have to be typically selling or they should have a DNA of selling drinks, which is a much higher turnaround time. So, it's a separate network. But that said, I think 80% of our direct network can sell, because rural is common and every grocery will carry a drink except for the chemist outlet, which is roughly a round 100,000 only.

Shirish Pardeshi from Centrum

Shirish Pardeshi : I have got 3 questions. The larger question is on HPC. And Mohit, you've brought in lot of complexity into the business. There are separate teams for different verticals. The healthcare team is separate, your HPC team is separate, and there is a separate distribution which you are trying. How we should think on a base of FY23 where the growth in HPC was muted. And I'm sure you have taken a lot of initiatives. So, the question here is how we should think of FY24 growth? The distribution piece is already stitched. You have been guiding that rural expansion

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is happening and you're already touching now almost 1 lakh villages. So, is the growth going to be more of the distribution? Or at the back end, the rural recovery is also going to be an important factor in FY24?

Mohit Malhotra : So, Shirish, cutting to chase on your question, I think

the total -- why the business could not

perform so well for HPC, while I will not say it's not performed, our CAGR of HPC for past 3 years, that if you see, has been near 10% CAGR of HPC business, which is a very good growth

that you see over the past 3 years. In the current year, we've seen our business also grow by around 5%, while the HPC categories, if you consolidate the categories where we exist in, which is Hair Oils, which was minus 3%; Toothpaste, which was minus 5%; Home Care, which was the only category which is growing for us; and Skin Care also reeling under COVID. So, these are the 4 different subsegments that we have in our HPC business, all were down. So, there was a negative (-4%) as compared we have grown by 5%, which is gaining market share across our brands. So, I will not say that the business is under pressure, or the distribution network is under pressure, or there is too much complexity. I think there is more efficiency and effectiveness to be added through analytics and data. I think that is the issue which is lacking in the company and which we are building with a very strong hold. This is the history of HPC. Going forward, granularly if I have to tell you, HPC, I told you 17% market share in Hair Oils is huge. But if the Hair Oils category is declining by 3%, if I'm growing by plus 3%, I'm actually gaining that market share there. So, that was a problem. And I'm getting into all the gaps in the Hair Oils segment also. In shampoo, our bottle saliency is picking up. Our shampoo market share is around 7%. I remember when I joined the company around 4, 5 years back, our market share was in the range of around 3%, 4%. Now it has gone up to around 7%, which we've never seen. Our bottle saliency is picking up. Modern trade Vatika has become very salient, and the bottle saliency is going up and there the gross margins are also very high. Yes, for last 1 year, we've seen huge inflation. And because in sachet, we are present in a 6 mL, 7 mL sachet, there was no scope of taking a price increase at the Rs. 1 price point. So, there was a gross margin pressure. But that said, our growth has been 8% for the full year as well as shampoos is concerned. Coming to toothpaste, our growth is 5%. The category is declining by 5%, so we've gained share from the market leader. There is also no problem, I've already told you. In Home Care, there is a big goldmine the way we see it. We have Odonil brand. The Odonil brand now has a 33% market share for us as compared to our competitor, which also has 33% market share. We are already teetering on the brink of being a market leader and becoming bigger than our market leader, who existed there, and #2 brand is Aer there, and Odonil is the parallel brand. And I think Dabur India Limited
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next month we should become the largest brand in the Air Freshener business. And now we are calling ourselves India's largest selling air freshener brand

So, good traction that we are seeing in our Odonil in all the formats, be it the gel format, powder format, aerosol format. Odomos, which is our personal application cream, is getting extended into LV, which is a larger category of Rs. 2,500 crores. That we have just rolled out in South of India, and we are growing the Odomos brand in line with our strategy of increasing the total addressable market. So, that's doing well.

Skin Care, Gulabari and Fem. In Fem, because of COVID, out-of-home consumption was impacted, but gradually slowly we are seeing that is also coming back. And so is the case with Gulabari for us. So, HPC is in a good space. Next year, I think we should be able to do a high single to a low double-digit growth as far as HPC is concerned, with gross margin expansion. Because petroleum-based, crude-based inflation is now abating quite a bit with LLP prices now softening. It used to be in the range of around 100. Now petrol

prices are in the range of

around 80, 85. So, there is an expansion happening here.

That said, because of rural pressure, there was LUP growth which was happening. And because of that, there was gross margin issue, but because of that our penetrations have gone up. So, there's a flip side to it. Our penetrations have gone up in Hair Care also. So, I think I've given you a flavor of HPC.

Shirish Pardeshi : That's really helpful, Mohit. My second question is on the margin front. We always used to be in the tight band of 20%, 21% EBITDA margin. Now what you have mentioned in the beginning is that there is some cooling of the inflation which is there. So, can we look back going to 20% margin in FY24? Or do you think we're still not there?

Mohit Malhotra : So, good point. Sequentially, we've seen the contraction of gross margins reducing and inflation also abating. So, we closed at around 18.8% operating margin. So, I think we will inch up definitely. Now I can't say with confidence that we'll inch up to a level of 20% in 1 year or will it take us 2 years, because our media spending has also gone down. And whatever upside that we get in gross margin, we want to invest in media, and we want to put it in operating margin. How much we can do that balancing is what we will have to see through the year. So, I can't really comment with confidence. But I think the first priority will be to put money back on media, getting the demand surge happen. And the second priority will be increasing the operating margin there to the 20% level.

Shirish Pardeshi : But suffice to say that FY23 we did 18.8%. So, you will be able to protect that number?

Mohit Malhotra : Definitely. Not protect that number, go beyond that number, for sure. We have set a target of

roughly around 19%, 19.5%. So, that much we should be able to do. It's actually situational, no,
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depending upon how much inflation there is. If inflation cools down, then we'll be able to get it. And it's a mix of a lot of things of competitive intensity, landscape we are operating, inflation, etc., I can't comment with confidence and give you guidance on that, yes.

Shirish Pardeshi : No, that's wonderful. My last question on the NPD. Over the last 5, 6 quarters, you've entered into mustard oil, you've gone into dry fruits, and you have done a lot of actions into the juices and nectars and also dairy beverages. If I look back, I mean, you always maintain that 3.5%, 4% contribution should come from the new product. But tell me, again, I'm using the word complexity, what is the success you see in those experiments? Is there anything materially you will be able to share that you look at the growth in the new product is looking promising or the experiment is done?

Mohit Malhotra : See, I've shared a couple of examples already in my commentary. Now the first example was juices. Drinks have already become Rs. 200 crores. We are scaling that up to Rs. 500 crores. This is NPD. This never used to exist around 2 years back. So, it's a complete, pure, new business which will become Rs. 500 crores. Now Hommade, chutneys, pickles, etc., I told you that we have exited the year at around Rs. 110 crores, Rs. 115 crores, which we will be scaling the Foods along with Badshah to Rs. 500 crores. This is all new product business that is generated. This is Food and Beverage which I talked about.

Now coming to Healthcare portfolio. We launched Tea and Vita here, and also a lot of honey extensions. They have done very well for us, and we launched Baby Care. Baby Care scaled up to Rs. 20 crores. We are taking it up to around Rs. 50 crores level in the current year. And we will all watch how Baby Care actually does in GT, because we are creating a separate team through advocacy like I talked about. Honitus extensions have done well for us. Pudina Hara fizz has done

well for us. Shilajit extension that we did in the form of a gel on e-commerce has pretty much done well for us. E-commerce - 7% of business is coming out of NPDs, which is doing well.

So, on Tea, we see a lot of green shoots. Wherever we've launched Tea, it's doing well, but I think we have to provide some advertising support to Tea and Vita. That is what we are in the process of doing. And then in HPC, we have NPDs in Amla that we did. I think our Sarson Amla has done exceedingly well. Our gel that we rolled out in Oral Care has already become Rs. 20 crores. We are taking it nationally now. And in Home Care, we launched aerosol extensions, which have done very well. I just told you our market share is 33%. We are already #1 air freshener brand in the country. So, that's done well. And LV extension to Odomos is what we've done. It's increasing the addressable market for us while using the Odomos franchise, which is the same thing that we did in Real also.

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So, I think across the board, we've got great examples of NPDs doing well. But some of them have not done well, like I've been telling you, sanitizers have not done well. Some Tulsi Drops and Haldi Drops have not done well. And we've culled it. So, just to tell you some numbers, we culled around 180 SKUs in the last 6 months. Already, the brands that are not doing well will be culled. It will be a weed and feed strategy. You keep weeding out SKUs which are not doing well, but you keep feeding within the guardrails of your core business, which is it will be Real, it will be Amla, it will be Red. So, we will launch extensions which are only feeding into the equity of the existing core brands. I have been alluding in all my calls the same thing. So, this power brand strategy is working well for us, and that's what we'll keep doing.

Shirish Pardeshi : Wonderful. This leads me to last one question on the Nepal investment. Maybe you can answer at a later time. What is this NPR 900 crores going to get us? Is it pure manufacturing? And what are the products we are going to manufacture there?

Ankush Jain : Shirish, this news about NPR 900 crores of Nepal investment first let's clarify that the approval for this was made through the Nepal government around 4 years ago as an enabling permission to go on investment over the next 5 to 6 years. Because as per law of Nepal, you need to get an in-principle approval beforehand, 5 to 6 years, as an enabling provision. However, having said that, in the current year, our proposal is to invest only Rs. 90-odd crores as the demand is increasing and in juices capacity there is a shortfall. But for that, this approval was only an enabling provision necessary.

Arnab Mitra from Goldman Sachs

Arnab Mitra : So, Mohit, you started by saying that there was a 5% gap between primary and secondary sales. So, wanted to understand what drove this? Why did you have to correct the pipeline here? And

also wanted to understand that from here on, do you expect secondary primary to track or there is some more pipeline correction that you need to affect, which is why primaries could be lower than secondaries even in the next couple of quarters?

Mohit Malhotra : Arnab, so slight correction. We did not do any pipeline correction, as there was no pipeline correction which was intended to be done. So, this pipeline correction or down-stocking or loading not happening, I think different semantics can be used here, but it is actually rains. There were unseasonal rains in the month of March and April, as you are seeing, and in North of India, where Dabur is very salient, usually, in the end of the quarter, we do loading of the season. So, there's a Beverage loading. There is a Healthcare loading of Pu din Hara, which happens. There's a glucose loading which happens. There's a Hair Oil loading which happens, which is the nature of the way

we do business. So, that loading, because of rains, could not happen this year. So, automatically the stock in primary with the distributors went down, but the secondary growth is intact, this is around 10%.

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So, in a way, I will say it's a 1, 2 day of correction which is happening, which is like a blessing in disguise. But that said, we are not very happy for this because they could be in other regions where competitors have loaded and there could be a market share fall because of that which has happened and which we've seen in some categories in quarter 4 also. But this is just by default. Rains, I think, and season loading has not happened, basically that. It is not a pipeline issue.

Arnab Mitra : Okay, understood. Thanks for that clarification. And my second question is on margins. I mean even if I do adjust for that Rs. 20 crores, Rs. 25 crores one-off that you mentioned, possibly the other expenses, your margins are still way below where they were in the first 9 months of the year. So, just wanted to understand, incrementally, what came significantly in the fourth quarter versus the first 9 months? And do some of those factors reverse very quickly? Or it's going to be a slow recovery from this 16% to, let's say, the 19%, 19.5% that you mentioned you would possibly look for the next year.

Mohit Malhotra : Yes, Arnab, it is a one-off issue. One is the one-off expenses that I just explained. I think the big picture was that the mix of the products, like I told you, in Healthcare business, we were cycling the Omicron variant base. And as I told you, Chyawanprash Rs. 90 crores versus Rs. 60 crores we missed out, so higher margin portfolio did not sell. Foods portfolio sold, which is actually low margin. So, the product mix and the portfolio mix that we sold was not very favorable. That was first. The volume of the business that grew, it actually grew by 11%, and 60% of our expenses are variable. So, the processing expenses, freight, travel, warehousing, all those increased by around 11% in line with my volume cases. But in terms of the volume that you see, which is value weighted, is around 1%.

So, the expenses were disproportionately higher as compared to what the profitability came in. So, I think this should get corrected going forward. Gross margins should increase, and all that. Plus, there's some distribution changes that we have made in international business. On account of that, there were some expenses that's come in, in the quarter. And that has also hit the business. We are doing a distribution rearrangement in our MENA market, which is a high-growth market and highly profitable market that impacted the margins. Plus, there was a phasing of some expenses like CSR. Rs. 10 crores of CSR came in extraordinary in the phasing in the last quarter, which I think will not happen henceforth.

So, I think we should be able to take it to the level what the other expenses used to be in line with business growth. But gross margin contraction, which is sequentially improving as we are going on, will take some time, to your point. So, therefore, 18.8% will not immediately go up to around 20%. It will just take some time as media investments, so there has to be recovery for that. So, our total media today is around 5%, 5.5%. We want to take it up to roughly around 7%, 8% and support our brands with that. So, we'll have to balance it. Ankush, you want to add.

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Ankush Jain : Yes. Plus, Arnab, what happened, in the first 9 months, if you would have seen, our media investments were contracting almost 18% to 20%. However, in India, we have increased it by 15%, point number one. And overall, also, it is flattish and not contracting on a 9-month basis, as it was on 9-month basis. So, we have started reinvesting

behind our brands, yes.

Percy Panthaki from IIFL

Percy Panthaki : A couple of questions from my side. So, firstly, on this allopathic doctor advocacy, this is not new. I have been hearing even Mr. Duggal saying this 10 years ago. So, just wanted to

understand if there is anything really changing versus what attempts we have made in the past. That is one thing. Secondly, in terms of the volume growth, I believe it would be approximately flat for the quarter. Now if I look at other companies which have reported or given their pre-quarterly results till now, most of them are showing some low to mid-single digit kind of volume growth.

While it is true that we have grown faster than the industry, as reported by Nielsen, that is a fact which almost every listed company can boast about. So, it really does not give too much information. I think we should compare ourselves with large, listed peers rather than the entire industry. So, the question here is that do you see some kind of timing mismatch, and we should see that if basically other large, listed players are showing this kind of growth, is it just a matter of 1 or 2 quarters? Or do you think that's not the right way to look at it? So, these two questions from my side.

Mohit Malhotra : Yes. Great, Percy. So, I'll take your second question first, which is a more tricky one. So, first thing, I must assure you the Dabur mix of the portfolio that we sell is very different from the other company mixes that you're comparing with. Some companies are secularly a single portfolio, and some are a mix, which mix is pretty different. Dabur has got a Healthcare mix, it's got a food mix, and it's got an HPC mix.

Our Healthcare, it was cycling a very high base, unfortunately, because in COVID, it did very well. Like I explained to you, Rs. 90 crores vs Rs. 60 crores. So, it will normalize over a period of time. That is one area. Our Food business is a Beverage business, which is a little dilutive to our portfolio, and this was season time, and Healthcare was cycling a high base. So, therefore, the Food became very pronounced, which is margin dilutive a little bit, and a high-margin business got depressed quite a bit, which has declined by around 6%, 7%.

Our HPC business categories per chance have not grown, and we have gained market share there, and which is being reflected in our secondary, which I was telling you. Ideally, secondary and primary should be moving in line. And if the unseasonal rains wouldn't have happened, I would have seen a 10% growth in primary also. Had I seen a 10% growth in primary, in my overall business in HPC, while Healthcare was cycling base, and Foods, the margins would have

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improved and you would have seen a high-volume growth also, because volume growths are value-weighted for us. And if a high case rate sale, which is HPC - Toothpaste will sell higher, then obviously, my volumes will inch up and the volumes would have been mid-single digits. I hope I've been able to explain it to you.

Percy : Got it. And the second question?

Mohit Malhotra : So, it is I think one-off untimely impact which has happened. Now on the first piece, Allopathic Doctor Advocacy, I don't know what Mr. Duggal talked about 10 years back, I wasn't around.

But I've been here for 5 years. One year overlapped with Mr. Duggal also. So, here it was very clear that we will only go to ayurvedic doctors because ayurvedic doctor universe is 5 lakhs.

And until and unless we cover 40%, 50% of the ayurvedic doctors, we can't spread out our resources too thin to ayurvedic and to allopathic. So, we decided that because our products are either Ethical, which are mentioned in the text of Charaka Samhita, which an allopathic doctor doesn't believe in, it's no point barking up the wrong tree, and don't go there. And therefore,

re,

focus only on ayurvedic only. And be core to your knitting. That is the mantra that I learned from Mr. Duggal.

But when Haydon has come and he has said, while Himalaya is also a company which is ayurvedic in nature, but going forward in the country, for ayurveda to become mainstream, you have to take the allopathic doctor, who charges Rs. 100 to see a patient, he has to say that it's good to take Chyawanprash. It is not bad to take Chyawanprash. If you don't take him by your side, then you will not be able to grow this category. And that is what the Ministry of Ayush is also talking about, and that's why Ministry of Ayush is saying that it's a complementary system of medicine, not an alternative system of medicine.

So, therefore, now that's why we created a separate vertical. So, earlier, an ayurvedic sales promoter was going to an ayurvedic. And maybe to your point, if you're saying 10 years back, Mr. Duggal used to say, maybe if he was making 10 calls to an ayurvedic vaid, one call would be to an allopathic doctor also. But now there is a focused team which would only cover allopathic doctors for us, like you have any other pharma companies. I hope I have been able to clarify the change.

Vivek Maheshwari from Jefferies

Vivek Maheshwari : A couple of questions. One is, as an outsider, my view is that there are like too many things happening at Dabur, whether it's your portfolio expansion or what you're trying to do with Healthcare or even in case of Foods, where you have given the guidance of this 18%, 19% growth, and you have had like hectic launches in the last few years, particularly through the

course of pandemic. While you have mentioned and always maintained that a lot of those are part of either narrow in terms of being only on e-commerce mode or trend or part of power Dabur India Limited
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brands. But this time around, we have not seen any new launches slide, which you typically have been putting every quarter. From a next 12- to 24-month perspective, do you think you will take a pause and basically consolidate and move forward after that, because as I said, as an outsider it looks like too many things happening at Dabur.

Mohit Malhotra : Yes, but that's an outside-in view. I think insider view knows how simple or complex it is, Vivek, if you ask me. So, it's not that difficult. And I think the second part of the question is, while it may be simple or complex, I think the key is to drive growth and volume tonnages and increase penetration in the country. We all drive businesses for the future, and sustainably so. So, that's why we are trying to make bigger, larger, bolder bets within the power brands and make them larger. So, to your point, will I give it a pause? The answer is, not really, focus only on the core brands. So, I think that's a singular message that I want to drive to the analyst community that its core brands, which are 8 core brands, and we are doing things only around those to make them larger. Like Real will, from Rs. 1,700 crores, move to Rs. 5,000 crores. Amla will become a Rs. 2,000 crores brand. Red will become a Rs. 2,000 - 3,000 crores brand. Chyawanprash will become a Rs. 1,000 crores brand. Honey will become a Rs. 1,000 crores brand.

That's how the business of Dabur will go from Rs. 10,000 crores to Rs. 20,000 crores, by driving megapower brands with some extensions around those brands, which will strengthen the core of that brand. Like a Healthcare brand will only have a Healthcare extension. So, we've not launched a new brand with a new name, etc., that we are investing money behind, no. Ma'am, you want to add something?

Gagan Ahluwalia : And in addition, Vivek, we are also doing a lot of culling, where the smaller NPDs have not worked, we are culling them and rationalizing scalable NPDs which are going to be bigger bets for us and put investments behind them as we go forward.

ard.

Vivek Maheshwari: Okay. Okay. Because again, just to, let's say, follow up or at least add my perception. Whether, let's say, it's a narrow one, but nonetheless, an edible oil, to pickles, to now you're thinking about LVs. While some of this could be under the core brand, these are new formats altogether, right? And at the time when your distribution is changing in a way, or the process is underway on the Healthcare side. But I think your point, maybe it's an outside view, and it's not as complicated from inside.

The second is, Mohit, you have very well-articulated the Food numbers, and you also mentioned a bit about HPC in FY24. On the Healthcare side, if you have to, again, take that view from a next 2, 3-year perspective, what is your expectation of growth, like Food, 18% to 19%, let's say, HPC probably high single digit to double digit. What will be the growth rate over here in your view?

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Mohit Malhotra : Yes. So, we are cycling now on a low bases, Vivek. And we've lapped over the high bases in Healthcare. So, I think the trajectory will start, and we are doing a little bit of reinvigoration also in our Healthcare portfolio. So, I think, again, a high-single to a low-double is what we are looking at at Healthcare portfolio. But Healthcare portfolio is a little slow burn portfolio. It's not as high burn as it because category penetration is an issue here, and especially post-COVID. So, I will say high single-digit growth is what is expected in Healthcare for us. But I think the negative is out of the way. If you look at the CAGRs of the past 3 years, our healthcare portfolio is also 9-10%; HPC is also 9-10%. Food is actually 20% for us because that market has intrinsically seen a tailwind of category growth. So, that is the CAGR that we want to continue at, yes.

Vivek Maheshwari : So, in that context, basically, Food will grow the fastest, and Healthcare, HPC, give or take, should grow around the same rate, right, which means that the excitement is much more around Foods in a way?

Mohit Malhotra : I will not say excitement is around Food. I think Food is a larger total addressable market. If you look at the total FMCG market also, Vivek, Food is one which is 60%, 70% of the overall market. I think that's the way the nature of the business is. Food will be larger. But if you look at the contribution of the business, we want to keep Foods at around 20%, and Healthcare at around 30%, and HPC at around 50%. So, that is the salience of the whole Dabur mix to be. So, that's what we are planning. And that's why a new vertical and a focus and the thrust on Healthcare.

Vivek Maheshwari : No, but sorry, Mohit, mathematically that's not even possible, right? If Foods grew at about 18%, 19%, and other businesses, high single to nearly double, that's not mathematically possible,

right? On the Food side, you are already at 21%.

Mohit Malhotra : No, I told you, no, that Food has a tailwind. When a category is growing at around 15%, 16%, then if you want to increase share, then automatically you will grow, but this Food tailwind will not last for long. The Beverage has been growing at 15%. If you look at last 5 years, so 2 years, the Food was the one which was dragging our business. And now, Food is the one which is helping our business come in. I think that's the magic of having a diversified portfolio. That if one portfolio doesn't do well, the other comes up. In COVID, Foods was in the cast, and Healthcare did well during COVID. Now post-COVID, Food is performing, Healthcare is in a cast. So, that's the diversified portfolio, and you need to have diversity. Had we been only a Healthcare company, during post-COVID, we would have been dead because of flat growth.

Vivek Maheshwari : Got it, Mohit. I'll separately reach out to you on this any which ways. Wishing you all the very best.

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Avi Mehta from Macquarie

Avi Mehta : I just wanted to clarify at this point that the divergence between case growth and volume growth that we saw in 4Q, should reverse, I mean, they should be in a similar trajectory going forward because this was more one-off. Is that the right understanding? Or is it going to take some more time?

Mohit Malhotra : I think it should even out. Ideally, I think it should even out. But what's happening, Avi, I will tell you, because of the rural pressure, what happens, there is a down-trading happening by consumers. So, low unit price points, the one which actually sells higher. So, as rural business recovers, I think this should even out. But if the rural is lagging behind urban and if we sell in rural with the rural infrastructure growth of Dabur, then this may continue. Our case growth may be higher as compared to our actual volume growth because we value-weight it, and larger packs don't sell as much as the smaller pack sells.

While the flip side is the penetration goes up, Ghar-Ghar Dabur comes up and Dabur is available in 80% of the households in India, those things happen, and people eventually upgrade from a low pack to a high pack as the penetrations move up. So, that's the silver lining to this whole thing. But till the time urban growth and rural growth parallel each other, this anomaly may continue for a while.

Avi Mehta : But Mohit, doesn't it also mean that other expense growth will be ahead of your sales growth? Because, obviously, when you have a scenario wherein case growth is stronger, as you rightly alluded, costs will move at a starker pace. And what you also said is gross margin pressures will also continue. Is that the right framework that I should be looking at? Or is there something that I'm missing from a margin story point of view?

Mohit Malhotra : Yes, you're right. That's why we are embarking on efficiencies happening in manufacturing, warehousing, and indirect overheads. So, variable expenses are only around 50% to 60% of the total other expenses that you see. The rest is where the leverage can definitely happen. And we generally embark on Samridhi program and saving initiatives to manage that cost.

Prakash Kapadia from Anived Portfolio Managers

Prakash Kapadia : Mohit, to help us understand the gross margin impact, it would be helpful if you could break it up into down-trading, product mix change, and input cost inflation. And also, if we have to assume a scenario of gross margin improvement, will it be mix change, as you alluded Food will not grow as it was looking in terms of the pace of what we've seen. And are there any price increases or some cooling of inflation, which we would expect to change the gross margin?

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Mohit Malhotra : Right. First of all, I think let me talk about inflation. Inflation is around 6% to 6.5%, and we've taken price increases also of 6%, 6.5%. So, I think gradually and slowly our gross margins here should improve on account of input costs. As far as down-trading is concerned, I told you, as the rural goes up, value piece will sell, and the penetration would go up. Eventually people upgrade. And so that is there, and also there's a mix change. Mix change is quite a bit dependent on the season. For example, if in summer season we sell juices more, in winter season, we sell Healthcare more, so that evens out each other. So, that's when -- and specifics, I will request Ankush to answer.

Ankush Jain : Sure. Prakash, I think just on your specific question. If you see India, gross margin contraction is 75 bps. Our estimate is that around 35 to 40 bps is coming because of mix change in the quarter. The rest 35 to 40 bps are coming because of, let's say, higher consumer promotions and certain trade interventions. But on a pure cost-to-cost basis, the good news is that at least in this

quarter, on a pure product-to-product basis, we have been able to mitigate all our inflation, as Mr. Mohit said, 6% inflation and 6% price increases. I hope I have been able to answer your question.

Prakash Kapadia : Sure. That is helpful. So, that would mean there is more pressure on the international side. That is why the overall gross margins are lower?

Ankush Jain : Yes, because international gross margins declined at a higher rate. But the contraction in even international business has almost halved. It used to be almost 500 bps. At this time, it is almost 250 bps only, the contraction.

Mohit Malhotra : Yes, because the inflation is cooling even in international, because the petroleum prices is impacting them, but also the country mix is impacting international business, because the country mix in favor of MENA is reducing because we are doing some distribution changes in the MENA market. So, the MENA saliency has gone down in the last quarter and that business went down and declined by around 10-odd percent. And other markets where the currency depreciations are impacting the India translation, those have actually shot up. So, that's the issue. So, you're absolutely right, international margins are under pressure. While you see a constant currency growth of 11%, margins are under pressure because of country mix being a little unfavorable.

Prakash Kapadia : Sure. So, going forward, mix change as well as this cooling inflation will lead to gross margin improvement?

Mohit Malhotra : Yes.

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Prakash Kapadia : And just one data keeping point. Honey, if you can give us the value growth in FY23? And we launched various variants, Tulsi, Ashwagandha, Organic, Himalaya. So, any meaningful contribution from these launches in Honey?

Mohit Malhotra : Yes. So, the honey category, if you see, is actually declining, but we've grown honey by around 7%, and our market shares have actually gone up. We see a very high competitive intensity in modern trade. There are a lot of players wanting to get into the honey market as the honey prices are cooling and the margins are going up. So, that is where the competitive intensity is. That said, our counter data is actually showing increases in our honey market shares in modern trade, and also in GT. And the new launches are more premium launches, so by virtue of those, our gross margins have inched up in honey. But that said, we are expecting a lot of private label play happening in honey also with Reliance getting into a lot of their own private label brands. So, I don't rule out the option that space will become very competitive, and we will have to have a solve for modern trade, Reliance also.

Sheela Rathni from Morgan Stanley

Sheela Rathni : So, my first question was, Mohit, in the last quarter, you had made a remark that the rural slowdown particularly for us is coming from Central India. Just wanted to get some sense from you how things are changing. You said that green shoots are emerging, but if you could just elaborate a little bit more on how the trends have been? And how should we think of it in this quarter, that is the first quarter?

Mohit Malhotra : Right. So, Sheela, good question, actually. I think Central India is where the reliance of Dabur is quite a bit. Actually, North, where the reliance of Dabur is quite high. We are a North salient organization. So, in Central India, what we've done is, North we've broken up into 2 parts. One is called Central, and one is called North. Our Central business wasn't doing well, which is basically UP and Bihar. There was a lot of pressure, but we've seen a secondary growth of 7%, and we've seen a revival in Central.

Central means basically Bihar and UP revival. UP was also marked by elections. But post the elections, I think there's a recovery which has happened in UP, and also there has been a change of manpower

which actually has happened, and we've changed our leadership in the Central region also. On the back of this, we see the Central doing far better as compared to the last quarter in the current one. And the South is where we see a little bit of pressure. As far as the West is concerned, that's also doing very well for us, and the East is also doing pretty well for us. The South is seeing a bit of pressure, which also we are in the process of correcting.

Sheela Rathni : So, this would particularly benefit our HPC portfolio, right? And this is not optical, it is actually improvement in demand?

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Mohit Malhotra : Yes, that is improvement in demand, and also execution. So, I think execution plays a big role. So, I think our execution has improved in Central India and also the rural comeback, the green shoots that we are seeing, they are more visible in Bihar and UP for us, which was a very

pronounced decline in rural in UP and Bihar. So, that's showing definite green shoots.

Ajay Thakur from Anand Rathi Securities

Ajay Thakur : I had just one question on the Hair Oil segment. Just wanted to understand which category would be showing the most growth for us in terms of where we would be getting the most market share in Hair Oil category, which brand or which segment?

Mohit Malhotra : So, Ajay, basically perfumed oil segment is where we've gained major market shares. In coconut oil, we've also gained market share, but that market share is a little muted at single basis point, but 130 basis points is coming majority on back of perfumed oils. And in Sarson Amla, we've gained market share. In all the flanker brands of Dabur Amla also we've gained market share.

So, perfumed oils to answer your question.

Ajay Thakur : And just one additional question. Can we get to know what will be the size of coconut hair oil now for us?

Mohit Malhotra : Rs. 300 crores, I think.

Tejash Shah from Spark Capital

Tejash Shah : Couple of questions. Sir, you spoke about that we culled out some 180 SKUs and some NPDs also. Sir just wanted to understand the technicality of accounting here. So, how do we account for unsuccessful NPDs which are still in the pipeline and are unsold at the channels?

Ankush Jain : Yes, so first of all, Tejash, yes, so as a process, we review our performance of the NPDs and whichever are below the performance standards which we have set in terms of either the saliency of sales or the growth parameters, we decide to cull it off. In terms of your specific question of accounting, when we have decided to cull off the SKU, we give it a time. Till the time raw material and packing material is in the system, we allow it to be produced, but hold the procurement of fresh raw material and packing material, so that the losses in terms of inventory don't come, point number 1. Point number 2, also the finished goods, which are lying in at our CFA or warehouses, are they allowed to be sold. It's only the fresh production is stopped or curtailed to minimize losses. So, then the sales happen only to the extent of stock which is there.

Mohit Malhotra : Yes, so I think to reiterate what Ankush was saying, it's basically a metric of topline and bottom line. If the topline is not happening, or the bottom line is also not happening because of whatever reasons, then we cull out the SKU.

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Tejash Shah : Sure. The second question is, Mohit, on rural distress that you spoke about, and most of the FMCG companies have also spoken about it in the last 4 quarters. But if I just see FY23 in review, something like tractor actually grew 15% this year. And even if we see commentary from microfinance companies or banks, there is no major distress in rural portfolio. In fact, they are doing very well on the rural side as well. So, where is the disconnect between when we pick up evidence beyond

and FMCG, then rural is not in as much distress as we are picking up in FMCG sector?

Mohit Malhotra : Yes. So, I think what we are seeing is actually recovery of payments is really not happening in terms of our servicing the rural. So, be it at a super-stockist level or at a sub-stockist level, at the retail level, I think that is where the problem was on payment recovery, and that's why the stockist is not selling out in rural areas while we try to facilitate funds also there. But that is the problem that we are seeing in our business in rural areas across the board actually. And I think it's more accentuated in FMCG because the allocation of funds by rural household happens to a durable like for tractor, etc., and they cut back on expenses on larger packs. So, down-trading is a big time. If somebody was buying a 100 mL, now he's buying a 50 mL SKU. So, the number of purchases maybe is going up, but the larger packs are down-trading to the smaller packs there. Sachet sales are the ones which are actually picking up. So, that's what I can say.

Exact answer, I really don't have, if other companies and other industries are doing well in rural and we are not. But that's not what we hear. I think rural stress has actually been echoed by most of the companies at our Board meetings also, where people are representing different industries, be it Maruti or others. So, we hear that rural stress is pretty much there, and it's all on the back of inflation. Because inflation is there, there is pressure on the purse strings of the rural consumer and that is what is telling on discretionary products.

Manoj Menon from ICICI Securities

Manoj Menon : Mohit, just an academic/accounting question. I understood Ankush, your response you gave about what you actually, let's say, which is futuristic thought process on what the culling, etc., means. But what exactly happens, let's say, if you have launched a product which has got a 12- or 18-month shelf life. And what is the time frame in which you look at the secondaries and tertiaries, see if it is, and decide what you need to do, but that is futuristic. But what exactly happens to the stock already there in the pipeline, whether a distributor, whether it is the retailer, etc., what exactly happens to those? And on a, let's say, logistical basis, the second aspect is, how do you account for this?

Ankush Jain : Manoj, just to build on what I initially said, initially, what I said was for the stocks which is currently in our system, but now I think you are asking for what has already been sold. So, as a normal process, anything which the retailer is not able to sell, we take it back as goods received,
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GRN, through our stockist, and they are accounted as sales write-off, or they are netted off from the sales as a sales return. So, we will compensate back our stock and the retailer eventually for anything which has not been sold in the stipulated time.

Mohit Malhotra : Yes, but just to tell you, our stock returns are pretty much in line with our historical averages. So, that's the way to do it, and it's pretty much in line with our industry standards also, that we are benchmarked against the industry. So, it's not alarmingly high in terms of our stock takeback. So, that's generally, in the range of around Rs. 20 crores a quarter is what is the historical average that we have, which is 1% of the business, so India turnover. It's 1% of return sales and which is best-in-class. It changes from category-to-category, but the average for HPC, HC, and Foods is roughly around 1%. In Foods, it's generally higher because shelf life is lower, but on average, it is in the range of around 1%.

Gagan Ahluwalia : Ladies and gentlemen, thank you for your participation in this conference call. The webcast audio recording and transcript will be available on our website. If any questions are left over,

r,
please contact us offline. Thank you and have a nice evening ahead.

Call: Aug 2023

Ref: SEC/SE/2023-24

Date: August 08, 2023

To,

Corporate Relation Department

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai- 400001

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India Ltd.

National Stock Exchange of India Ltd.

Exchange Plaza, 5th Floor

Plot No. C/I, G Block, Bandra Kurla Complex

Bandra (E), Mumbai-400051

BSE Scrip Code: 500096 NSE Scrip Symbol: DABUR

Sub: Transcript of Investors' Conference Call for Dabur India Limited -

Q1 FY 2023-24 Financial Results

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on August 3, 2023, post declaration of Financial Results for the quarter ended on June 30, 2023. The said transcript is also available on the website of the Company at www.dabur.com.

This is for your information and records.

Thanking You,

Yours faithfully,

For Dabur India Limited

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EVP (Finance) and Company Secretary

End: as above^

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Q1 FY24 Results

Investors Conference Call

August 03, 2023

MANAGEMENT : M R. MOHIT MALHOTRA - CHIEF EXECUTIVE OFFICER

MR. ANKUSH JAIN - CHIEF FINANCIAL OFFICER

MR. RAHUL AWASTHI - GLOBAL HEAD, OPERATIONS

MR. ASHOK JAIN - EVP (FINANCE) AND COMPANY SECRETARY

MRS. GAGAN AHLUWALIA - VP, CORPORATE AFFAIRS

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Gagan Ahluwalia: Good afternoon, ladies, and gentlemen. On behalf of the management of Dabur India Limited, I welcome you to this conference call pertaining to results for the quarter ended 30th June 2023.

Present here with me are Mr. Mohit Malhotra, Chief Executive Officer at Dabur India Limited,

Mr. Ankush Jain, Chief Financial Officer, Mr. Rahul Awasthi, Global Head of Operations and Mr. Ashok Jain, EVP Finance and Company Secretary.

We will start with an overview of the company's performance by Mr. Mohit Malhotra, followed by a Q&A session. I now hand over to you, Mohit. Thank you.

Mohit Malhotra: Thank you, Gagan Madam. Good afternoon, everybody. Thank you for joining us today for the results call of Quarter 1 Financial Year '24. During Quarter 1 Financial Year '24, most of the economies witnessed a moderation in inflation. In India too, inflation showed signs of easing, as witnessed in both CPI and WPI data. With this moderation in inflation, there has been an uptick in volumes in both urban and rural markets, indicating promising signs of recovery in demand. In such an environment, I am pleased to share with you that Q1 Financial Year '24 has been a quarter of strong growth across all geographies.

Dabur's consolidated revenue for the quarter crossed INR3,000 crores mark to close at INR 3,130 crores and registered constant currency growth of 13.3% and INR growth of 11%. India business grew by 8% backed by robust double-digit growth of our healthcare and HPC portfolio. The beverage portfolio got impacted by unseasonal rains in the North and West India. The 4-year CAGR for the India business is 10% with near double-digit CAGR in healthcare and HPC and strong double-digit growth in F&B business. International business registered a growth of 20.6% in constant currency terms.

Talking about the categories, HPC portfolio recorded 11% growth during the quarter. Our Oral Care portfolio grew by 13% in the quarter leading to strong double-digit 4-year CAGR. Dabur Red gained 50 basis points of market share in the category, consolidating our position as the number two player in the Oral Care segment with every second household being a Dabur Oral Care household. Hair Oils recorded a 10% growth and posted a strong gain in market shares of 200 basis points to reach its highest ever level of 17.4. Shampoos recorded a 9% growth in the quarter with 4-year CAGR at a robust 13% leading to market share gains. Homecare registered a 15% growth with all the brands witnessing strong performance. Odonil, which is the number one player in the air freshness category continued to witness gain in market share. In mosquito repellent category we saw an uptick of 340 bps in market share.

Healthcare portfolio recorded a 10.5% growth, posting a 4-year CAGR of 10%. We saw market share gains across health supplement portfolio. Digestive category saw a growth of 15% on back of robust performance of Hajmula franchise. OTC portfolio grew by 24% during the quarter, driven by double digit growth in Lal, Tel and Honitus. Ethical registered a 7% growth in the quarter.

We have recently established a therapeutics division which includes a team of 400 product specialists for advocacy and sales of our healthcare portfolio to allopathic doctors. This division
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is targeting an incremental business of around INR150 crores during the year with the portfolio of baby care, branded ethicals, pure herbs and dharma products. With this division, we are targeting to reach 70,000 allopathic doctors in addition to the current coverage of 70,000 ayurvedic practitioners. This should enable the company to bring Ayurveda into mainstream allopathic healthcare and accelerate growth of our healthcare verticals.

The beverage business saw muted growth during the quarter on account of unseasonal rains,

which particularly impacted North and West India. The foods business under the homemade brand performed exceedingly well with growth of 35%. This has been further bolstered by Badshah acquisition, which saw 23% growth in the quarter. We remain on track to exit the year with a run-rate of 500 crores from our Foods plus Badshah business.

We continue to drive our distribution expansion initiatives. Our direct reach stands at 1.4 million outlets, and we should increase it to 1.5 million by the end of the fiscal year. Village coverage is at strong 1 lakh plus villages, being ably supported by more than 13,000 yoddhas. EDGE score, which is an efficiency marker of distribution, continues to see improvement and has seen an increase of close to 10% in the quarter.

Now coming to the international business, with moderation of inflation and distribution changes, the international business has seen a strong recovery and registered a 20.6% constant currency growth. This was driven by robust growth across our regions, with Middle East, North Africa (MENA) growing by 10%, Egypt growing at 45%, Turkey business growing at 52% and Sub Sahara business growing by 13%. Our focus on innovation and customer centric strategies has enabled us to gain market shares across most geographies and countries.

A litigation has been filed against one of our subsidiaries Namaste LLC in USA along with other companies manufacturing hair relaxer products like L'Oreal, Godrej, Softsheen/Carson, Avalon, Revlon, etc., where it has been alleged that usage of such hair relaxer products leads to harmful effects. Namaste disputes the same and stands for the safety of its products. Namaste along with other defendants have formed a defence consortium and appointed lawyers to take adequate

steps to defend this lawsuit. The case has been filed on the basis of an incomplete and inconclusive study. Namaste along with other defendants maintains there is no legal merit to this suit. The portfolio in question is less than 1% of our consolidated revenue and we have a product liability insurance in place. The matter is sub judice.

Coming to the quarter's profitability, our consolidated gross margin expanded by 75 bps as material inflation reduced from high single digits to low single digits. During the quarter, we have increased our A&P investments by around 30%. We believe these media investments are essential to drive long-term sustainable growth and maintain our market leadership. This quarter, we recorded a market share gain in 90% of our portfolio. Our operating profit saw a growth of 11.2%. PAT for the quarter touched INR 464 crores, growing by 5.3% over previous year. This includes amortization related to Badshah acquisition. Excluding this amortization impact, the PAT growth was 8% on a like-to-like basis.

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Overall, the improving demand scenario augurs well for the business as we will continue to drive profitable growth across our business verticals backed by investments in our distribution network, brands, manufacturing, digital and organizational capabilities.

With this I conclude my address and open the floor for Q&A. Thank you.

Abneesh Roy from Nuvama Institutional Equities

Abneesh Roy: Yes, my first question is, of course, in Q4, your numbers were weak and now you have seen good recovery on Y-o-Y basis and even on a four-year basis. So I want to understand on this recovery bit, is it because of the inventory levels changing from Q4 to Q1 in any meaningful manner? Second is, of course, a 30% increase in the advertising also. So is it across categories, because it seems slightly higher than what some of your other peers are doing, on an absolute basis, the 30% increase? And when seen from a gross margin to EBITDA margin kind of a translation, it is much higher than the gross margin expansion versus the o

ther companies. So

could you elaborate this recovery bit, is that sustainable for the coming quarters also across categories?

Mohit Malhotra: Hi, Abneesh, so I think the recovery is seen in the market per se, it is not just Dabur recovery, if you have seen that, rural business across the board actually has recovered and there is a volume uptick, which is being seen in the rural business. So rural for the category itself or should I say for the FMCG market has actually grown by 4%. We are growing ahead in rural at around 8% and urban growth for us is around 10%.

So, across all businesses we have seen the recovery happen as the rural recovers and Dabur is more salient in rural. So backed by rural, we are seeing a recovery happening in our GT business. In MT, we had some issues in modern trade with Reliance. It was sorted out and modern trade is again back and growing at around 18% for us. E-commerce, there are some teetering issues in the business that is again going to be back on track and e-commerce should by the end of year, should be around 9% of our overall sales.

So broadly I am confident on the recovery of the business but for beverages, which got impacted by the seasonal, unseasonal rains which happened and that dampened the beverage portfolio, but our food portfolio grew by around 34%. So, it's a secular kind of a growth that we've seen across the portfolio and not much pertaining to any inventory levels in the market per se.

As far as the second part of your question is advertising., We had cut back last year because of the inflation issues, and we wanted to maintain the margins and that's why there was an advertising cut because huge inflation was there. Now inflation is kind of abated in our portfolio. In India, overall inflation was almost around 0.5%. International business still witnessed some sort of inflation, but we had alluded to earlier also that, we will be investing money back into advertising for surging demand and that's what we've done and that's why 30% growth in advertising is what you are seeing. We've also invested some money back from consumer promotion and trade promotions back into advertising. So gross margin improvements are being invested into advertising and some is flowing down into EBITDA.

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Abneesh Roy: Sure, my second question is on the health portfolio with this leadership change from Himalaya such a senior person. You have also shared the higher targets for FY '24 with higher feet on street etc. My question here is, why now how easy is it to target the allopathic for Ayurvedic because both are very different. If it was so easy, why did you not try it earlier?

And any other learnings because Himalaya being unlisted, we don't know much but it's very well run in the health and Ayurvedic segment. You are also very large. Any other learnings are there apart from what you are doing in terms of feet on street and targeting allopathy, any other

changes needed in your own portfolio?

Mohit Malhotra: There are a couple of changes in the healthcare. One is the leadership change that you know Philippe is coming and he is the one, who is driving the healthcare vertical for us. So, I think one major change is advocacy and advocacy not to, also we are doing it to Ayurvedic but also, we have started allopathic also because we feel that allopathic doctors are the mainstream practitioners in the country and without your portfolio getting a yes or a tick from the allopathic, you really can't drive healthcare in a country like India.

So therefore, we are going to be doing positive advocacy with allopathic doctors and also driving sales through them. 150 crores are incremental sales and we put around 500 people feet on street totally going to both allopathic and ayurvedic doctors. So this business should be incremental and moreover, if you remember, my previous speeches also I

talked about Baby care. We are

not taking mainstream and keeping it restricted to e-commerce till the time we establish a GTM for baby care.

So with this advocacy team coming in and going to gynaecologists and paediatricians, Baby care will come into mainstream. Baby care which exited at around INR 20 crores last year should see a INR 50 crores business in the current year. Baby care will be driven very hard through this vertical along with branded ethical and also some pharmaceutical products.

So overall we should continue on a growth trajectory of 10% CAGR on healthcare going forward with Philippe coming in. Apart from setting up an advocacy vertical and selling products through this advocacy vertical in allopathic channel which is not a very big challenge, it's not very difficult because Philippe has done it in the past, we are doing it except that training etc, has to go on a little slow burn but I think by the end of the year, we should see turnover growth coming from this vertical.

The second vector of growth in healthcare will be investing money on power brands, which we will continue to do, backing up Lal Tail, Honitus, Pudina Hara, all these brands and Chyawanprash and Honey, etc. That will go on the way the strategy was. The third vector is new product introductions to increasing the addressable market in healthcare. That will go on as it is.

Abneesh Roy: Sure. My last question is on the M&A strategy, which Dabur has. So clearly when I see Marico, HUL, ITC, etc. They have been quite more aggressive on the D2C front in terms of acquisition last two three years in the foods and personal care portfolio. Dabur obviously has done a Badshah acquisition. So wanted to understand on D2C acquisition, what is your thought process?

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And second in terms of Badshah, what is the interplay between Badshah and Hommade?

Hommade has done well. But are there any synergy benefits, which you are working on between both the portfolio in terms of either distribution team or in terms of brand architecture etc.

Because now both are fairly adjacent to each other or the customer.

Mohit Malhotra: Absolutely. So, Abneesh, what we are doing, we have got money sitting in a balance sheet for acquisition purposes, we are continually scouting on targets for D2C also. If we come across a company which is synergistic to us in the healthcare play or the personal care play or the skin care ayurvedic play, we will evaluate them and if it seems financially worthwhile, we will acquire the company.

The last thing we want to do is acquire a dilutive brand, which further takes down our EBITDA margin. That's why proper due diligence has to happen before we actually acquire the brand. But money is there in the balance sheet to acquire a D2C brand also, which could be a premium play for strengthening our urban business. That's one.

The second part of your question on Badshaah and Hommade is concerned. Both Hommade and Badshaah are doing well. Badshaah is growing by 23% also impacted by a lot of inflation of spices, etcetera. Hommade brand is growing at around 33%- 34%. Hommade is restricted to the northern side of the country, where Dabur is very strong and Badshah is today restricted to the western side.

We are cross pollinating the portfolio from Badshah to Hommade, Hommade to Badshah definitely. In terms of distribution, we are leveraging the Badshah distribution in the west for Hommade and we are leveraging the Dabur distribution for Badshah in the north. Still we have not started going forward. In the next quarters, we will start pollinating Badshah to our distributors in the Western region to start with, Western and Southern region to start with before we move to North.

This is what the playbook was in the beginning, and we are sticking to our strategy, what we had planned out to be. But both of them

are running at a rate of INR 500 crores going forward next

year. Next year we will be looking at a food portfolio totally INR 500 crores. So we will be exiting at around INR 450 crore and next year, the target will be INR 500 crores for a food

portfolio.

Abneesh Roy: Okay, thanks. That's all from me, thank you.

Avi Mehta from Macquarie

Avi Mehta: Hi Mohit, thanks for this opportunity. I wanted to kind of just understand the oral care positioning a little better. Do you see the need to extend beyond the natural positioning to ensure that the growth divergence versus the industry sustained at the earlier highs? And if yes, what steps are we taking for the same?

Mohit Malhotra: Yes, Avi, not really. We want to stick to our core and our core capability as far as oral care is concerned. Natural is our core and we will stick to the Natural's portfolio, and we will not dither from the Natural portfolio. If you look at the current numbers, which have come from Kantar, Dabur India Limited

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we see penetration of Natural category has moved up from 30% to 31%. 200 basis point of improvement is there in the growth as far as the natural category is concerned.

Within the Natural, overall we have been successful in taking business from the non-naturals to the natural. The category has grown in volume by around 2.5%. We have grown by around 9% as compared to our number one competitor, who has grown by 7%. We have taken share from them, and we are consistently taking share. 50 basis point gain has happened in Dabur Red. Even Lal Dant Manjan on back of rural recoveries also done very well. Dabur Herbal toothpaste had some teething problems in terms of stock out but that also we are correcting going forward. But in south of India, it's doing well.

We've launched our Dabur Bae Fresh Gel, which you can say is a kind of a non-natural slash and natural gel entry which is targeting youngsters and teenagers and the positioning is more on fresh breath, which is really not on health, but it is an extension of our Red franchise into a gel.

We have launched it; we have roped in Kartik Aryan as a celebrity for that.

We have already got a turnover of around INR4 - 5 crores, we have launched it in the end of June and for the full year, we will be targeting a number of around INR15-16 crores coming out of our Bae Fresh gel. Our earlier gel franchise has also grown by more than around 25% in the last quarter. So Gel was an area, which was absent in our portfolio, which we have kind of plucked now.

Avi Mehta: Okay. Just a follow up. In your opinion, this 31% natural share in Oral Care, where do you see it trending probably two years or three years ahead?

Mohit Malhotra: I don't know two years, three years but definitely a little longish term. I think five years to six years. The whole category 50% should become natural, and Dabur will consistently keep taking share from the market leader. Because the price points are similar, there is no difference between the price points. This is basically a value-added toothpaste. Like you have a value-added hair oil, this is a value-added toothpaste, calcium carbonate based, and we are giving more added ingredients and promising benefits like cavity protection, like sensitivity, etc. But more through natural means rather than through cosmetic and chemical means.

Avi Mehta: Fairly clear. Thanks, Mohit. Thanks a lot for that. The second bit was essentially on the margin. Now given the first quarter performance, where we've seen input cost kind of moderating demand strength and reflecting in this margin performance. Would you want to revisit your guidance for FY24 of 19% to 19.5% or how would you kind of, if you could share your comments on that please?

Mohit Malhotra: So as far as the inflation is concerned, we are witnessing inflation moderating across all categories, but the mix of inflation is also changing

towards food. We have seen food basket

inflation around 11% while it is moderated in HPC and HC but food basket, we have seen inflation with spices inflation being around 19%. Fruit concentration also have seen inflation. Now the monsoons are going to hit. I don't know how inflation will pan out in the immediate term.

But consistently, overall, on the hydrocarbon link, which is our bigger basket of raw material and packaging material, there we have seen deflation. And that deflation should continue for Dabur India Limited

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next quarters to come. And there will be a margin upside. We have seen the 75-basis point of improvement in our gross margin, which we have invested into media. That will continue to do. As the gross margin upside is higher, then that will flow into our operating margin. But we keep a guidance of the same similar band.

Till the time, we cover up our media investments to a tune of around 8%- 9% of the overall business should be media for us. Till the time, money will keep going into media because we feel long term we have to invest in media and not really look at a very short-term approach of giving it to margins and less to media and starving the brands.

Avi Mehta: No, got it. Okay. Just the last bit, Mohit, was on this recent news that came in about the Honey. If there's anything that you would like to comment on that, which is coming today? That's the last bit on mine. That's all from me.

Mohit Malhotra: Yes. So, I know that this news keeps coming in and we keep giving statements and one more statement I will give. We stand by the purity of Dabur Honey. Our every single batch of Dabur Honey is dispatched from a factory, and it complies with all FSSAI parameters, which is the regulatory body in India. We export to many countries and everywhere, we follow the regulations of the regulatory body there.

Most of the factories where we produce our honey, they are all US FDA certified facilities and no question of any impurity. It's our foremost duty and Dabur brand stands for quality and trust in the consumer's mind, and we don't want to breach that. That's our foremost priority to do. So, no question of anything.

So, every batch is tested as it exits the factory, and that batch is tested for 65 parameters of FSSAI and also beyond that which includes HMF also which has been questioned. Recently Dabur Honey has been granted AGMARK special certification post inspections and proper due diligence by authorities. This study which has actually happened is evidently a couple of hours before our quarterly business result announcement and is definitely motivated to malign the image of the market leader.

Last time also when the controversy happened with CSE report, we emerged much stronger. We gained around 500 basis points of market share since then. And I am sure even after this controversy we will emerge out to be much more stronger. And as a business, we do not pay any heed to such studies which keep happening. And these are some tactics by some companies to malign our image and take shares through ulterior motives. But we do not want to pay any heed to that and continue with our business as usual.

Avi Mehta: Perfect, perfect. The 500, I mean the margin market share gain which we saw last time is a very clear kind of indication that should happen. Thank you very much. That's all from my side.

Arnab Mitra from Goldman Sachs

Arnab Mitra: Yes, hi, Mohit. My first question was on the gross margin. While your consolidated gross margin has moved up, what I was noticing is that the India gross margin has been kind of flattish for the last three quarters. While we have seen input cost deflation and a lot of the other companies have

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seen strong expansion, is it something that is going to come in with a lag or are there certain pockets where the inflation is ve

ry high for you, which is why the India GM is not moving up that much sequentially?

Ankush Jain: India's gross margins have also improved by 80 bps in the quarter year-on-year. And so therefore, the benefits of deflation in healthcare and HPC businesses are flowing on into business. So, that's true. So, it's actually improving.

Mohit Malhotra: Yes, so 80 basis points is an improvement. What Arnab maybe you are reflecting on, other companies maybe have shown 190 and we are actually 80. One of the issues here is in food we have an inflation of around 11% which is hitting us in fruit concentrates and F&B as a segment is very salient in our summer months which is our first quarter.

So, 25% of our business is coming from summer centric food portfolio where we have seen inflation. As we move into Q2 and Q3, HPC and HC portfolio will become even more salient and therefore gross margin upside will be even better in those two quarters to your point also. So, and then HPC portfolio where raw material is essentially SL ES and hydrocarbon linked, LLP linked. There we have not seen very high deflation yet, which because of the strategic inventories that we will be carrying as we exhaust the inventory. And we move into the regular purchases, we will see gross margin upsides happening there also. So, definitely sequentially there has been a gross margin improvement quarter-on-quarter and we will continue to see that for next two to three quarters. Yes.

Arnab Mitra: Okay, I understood that. Thanks for that. My second question is on beverages. So, clearly this quarter there was an impact of the summer season. Just wanted to get your thoughts on how you see the full year now because you do have a very high base for 2Q also. I think there is a timing with the festive season. How do you see the full year growth for beverages overall and anything on the new initiatives on beverages, especially fruit drinks in terms of how you want to scale it up this year?

Mohit Malhotra: Yes, so beverages was muted on account of season and we could not help in the season. If you see most of the beverage companies as per the Bizom data which got released they are all down by around 25%. As compared to that, Dabur beverage portfolio is almost flat. We have declined by around 1.6% in beverages whereas in terms of transactions, we have actually grown by around 4%-5%. Transactions is number of eaches that you are selling in the market on back of the drinks that we guys introduced.

So, that is just been introduced. So, overall beverages will be muted through the quarter because main season was damper. But I don't know how the season will pan out to be next year going forward. But I think it will be muted for the full year beverages, which will be in a way a positive as far as our margins are concerned in the current year. Because the salience of beverages, if it's low, then the margins become positive for us.

Arnab Mitra: Okay, understood. Thanks for that. And my last question was on international business. You had those distribution issues. I wanted to know, does this quarter fully reflect that the issues are

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behind you or there is some restocking that you would expect going ahead as the distribution changes fully kind of kick-in, into those markets.

Mohit Malhotra: In international business, we have done the changes in distribution last year and therefore that got reflected in the first quarter. In first quarter, we lost some sales on account of change of distributor. Next quarter should be a full-blown quarter with distribution changes getting ironed out. For the full year, we can guide for a good double-digit growth in international business. Constant Currency, obviously, we have grown by 20% and will continue to grow like that in Constant Currency in international business. But currency depreciation impacts us. But even

in

Indian currency, we will have a double-digit growth as far as international business is concerned, the full year.

Arnab Mitra: Okay, thanks Mohit. That's it from my side. All the best.

Mohit Malhotra: Thank you.

Percy Panthaki from IIFL

Percy Panthaki: Just some comments from you on the hair oil segment, it has grown at 10% this quarter. And your other large competitor basically has seen a flat kind of a number. So, just wanted to understand what has led to this difference in performance?

Mohit Malhotra: Yes, so, Percy, we guys have grown by around 200 basis points, ever highest market share of 17.4% we've registered in the hair oil. So, I think our Amla portfolio, which is following a strategy of the core brand strengthening and through flanker brands, I think all our brands have done well, including Amla core. I think execution in the market has been absolutely great by the team and we have been gaining share in segment after segment. So, pack price architecture and MSL which is must stock list adherence is reaping results in the marketplace for us and shelf shares are going up, distributions are going up, all ends.

I think execution has been great. So, and our strategy is working for us, which took us time because in the INR 10, INR 20, we were losing shares to our competitor. But I think that we've come back and kind of anchored it well.

Percy Panthaki: Got it, got it. Secondly on margins, just continuing from Arnab's question, how do you see it playing out? You said basically you had some higher priced inventory, now that will get run through. Do you think that you will sort of end the year at the higher end of your guidance of 19 to 20?

Mohit Malhotra: So, I never give a guidance of 19 to 20. So, but Yes, higher end of the guidance, yes. So, definitely. So, I think it will take us another year. I don't know how the inflation pans out to be. All depends upon inflation. But we have already taken price increases in last year to manage inflation. And all the follow through impact of the price increases should happen in the current year. If inflation is really benign and it leads to deflation, which is not the case right now, it's 0.5% inflation still.

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If inflation becomes deflation, Yes, we could positively surprise you at the end of the year. But I can't give you that kind of a guidance at the moment. We should remain the band that we talked about earlier.

Ankush Jain: Sure, sure. And also, in India, while in India we will see some bit of deflation, but also in international markets, the currency devaluations are still playing a role. So, it's very difficult to say at this point of time, will we cross 20% or not? But yes, we would definitely improve versus last year. That is the intent. But whatever is the upside in gross margin, we will want to plough it back to the media spend and generate demand for the future.

Percy Panthaki: Okay, Yes, that's all from me. Thanks and all the best.

Shirish Pardeshi from Centrum

Shirish Pardeshi: Thanks for the opportunity. Just to start with, I think we have seen a base effect now playing out in the healthcare. So, would you be able to help us to give some thoughts how we should look at quarter two, quarter three onwards because I would assume now inventory also would have been depleted very sharply.

Mohit Malhotra: Shirish, as far as inventory is concerned, I don't know if inventory is depleted or not, but I can tell you a couple of examples. We were carrying a lot of inventory in e-commerce for healthcare and that inventory is getting depleted as we speak and Chyawanprash growth is still not back on track and Chyawanprash CAGR continues to be at 11% but still Chyawanprash is not growing as we would expect. Although it is a lower base for Chyawanprash, non-season for Chyawanprash but still the decline in Chyawanprash is to a tune of

around 9% or so but this is not the season.

In the season we expect Chyawanprash to actually grow. It's not a depleted inventory. That's the point I'm trying to illustrate. It's a normal course of inventory in healthcare. But that said, healthcare should trend at a high single to a double-digit growth. All verticals of healthcare should have a price increase element that we have taken last year and backed by mid-single volume growth and we should see a double-digit growth in healthcare going forward.

With baby care actually leading the pack and honey has been doing well. I don't know but for the recent controversy, I don't think it should impact the business much but honey continues to do very well for us. In the season, glucose was impacted because it is summer centric portfolio. Next season going forward when we do the loading in quarter four for quarter one, I think that should be better. So, healthcare should give us a high single to a low double-digit growth for the full year.

Ankush Jain: Yes, you are right, the abnormal bases has evened out. Business will now grow on a normal trajectory.

Shirish Pardeshi: That's what I was expecting. Okay, my second question is on the hair oil. From the presentation I can make out that we have launched Dabur Cool King. I think that's gone into the market. Can you share some initial feedback, how this product has done well, which are the markets you are seeing the pickup or any color on that?

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Mohit Malhotra: We launched it in the month of May, actually back end of the May, it's been two months of implementation in the marketplace, May and June. The initial response of the product has been very positive. The advertising that we released has been received very well with the consumers and we have gained 15% relative market share to market competitor, a market lead player in whichever towns and markets that we have launched. We have launched it in UP, we have launched it in North and we have launched it in Bihar.

These are the parts that are most impacted by the summers and that's where the cooling oil grows. INR1000 crores category and dominated by a single monopoly player. We have made multiple attempts in the past, all not very successful. Again, we tried to enter because we are trying to plug all the gaps of hair oil. Initial feedback is very positive but Shirish we will have to come back again next year and make a full hearted because the summer was muted this time. So, but that said the product response and the repeat purchase in the range of around 25% to 30% which is very encouraging.

Shirish Pardeshi: The reason why I am asking this question because similarly even Marico and Bajaj Consumer is also made inroads in the cooling segment. So, I was saying is the growth rates are so impressive that that's why everybody is trying to get into the footing.

Mohit Malhotra: Not really, I think it's a plugging of gap of the portfolio and each competitor, I don't know, I can't tell about themselves. As far as we are concerned, we see this is a definite gap in our portfolio. So, we want to plug the gap wherever we have a right to win. And we have a proposition which is very unique, which has been introduced with a chill tube in it. First time there is a tube in a bottle which has got camphor crystals in it which provides cooling and perpetual cooling. No other player in the market has got this kind of a proposition.

So, on back of this proposition and Dabur having a right to win in the hair oil market, we feel we have good chances of success here and that's why we are kind of pushing it. And this is in line with our Dabur Amla big strong brands and plugging the gaps in all the portfolios. So that's what we are trying to do.

Shirish Pardeshi: Okay, my next question is on the NPD funnel. I think last 15 months we have tried various products starting from

the baby care range we have launched some dry fruits, we have gone into the mustard oil, edible oil. And then now when we look back, what is the thing which is working or what is promising and maybe if you can guide over next one year, what is your NPD funnel, I mean not the product but what is your target in terms of contribution to sales?

Mohit Malhotra: See, we always maintain that our innovation as a percentage to overall business should be in the range of around 3-4% and that's what happened in the current quarter also. Our total NPD to total revenue is around 3% of the business across all verticals and that's what we want to maintain. So, but for emerging channels, the e-commerce where the NPD to the business revenue

is in the range of around 10% or so because that's an incubating funnel for us. And as we keep incubating and doing proof of concept checks, once it's successful then we roll it out to MT and GT, that's a playbook that's been established very well.

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In terms of successes, Baby Care is a definite success. In healthcare, I'll now talk about healthcare to you. Baby Care is a definite success. We hit a turnover of exit of around INR20 crores. Now we are making it mainstream. This year target is around INR50 crores is what we are doing, Cool King, we've already introduced. We've done a INR6 crores of revenue number. It's a seasonal brand. So, next we will follow. Bae Fresh Gel, we've already launched in the marketplace, entry into our gel category.

Odomos brand will increase the addressable market and we are launching Odomos LVP going forward. And the edible oil portfolio, the entire edible oil, mustard oil, sesame oil and heart oil that we have got, that will stay on e-commerce for us and it's doing very well. We are constraining supply of the edible oil portfolio in the marketplace deliberately because it's a contingency portfolio kept for us. So, that's there. Our coconut water continues to do well. Real Fizzin, as you know, has done very well. 200 crores of drinks franchise we have already created. Our Dabur Ghee, as we speak, is INR10 crores in exit. It's again, we can open floodgates but we are deliberately keeping it restricted. Hajmola extensions of Limcola, Chatcola, now Fantola being launched are doing very well and they are contributing 10% of the overall Hajmola business. Hajmola has grown by around 15% and 10% of the turnover is coming from innovations over there.

Our tea, our entry into chai was the attempt that we did and I think this year we have taken a turnover of INR10-11 crores coming from our Ayurvedic tea. Our health juices has grown by around 20% in the current year. So, overall, around 34% of our business should continue to come from our innovations which are future pillars of growth going forward in the future for us. And it's lying with our increasing our addressable market under the guard rails of our power brands which we will keep strengthening which are the core of the business contributing to around 70%-80%.

Shirish Pardeshi: That's helpful Mohit. Just one follow-up here. Though it is heartening to know that you have a very strong NPD funnel but how do you manage this complexity running these all businesses right from supply chain to manufacturing to the front end and at the distributor level?

Mohit Malhotra: Yes, so I think it's not very complex because I told you it's done within the guardrails of the power brand architecture. Now to tell you a guardrail of a power brand, I'll illustrate you with an example. Hajmola is a brand which has got three variants. I am introducing two more variants. It runs on the same line, it runs on the same bottle, only the color of the cap is different and the laminate is different. And the same supply chain handles it, same distribution handles it, same distributor handling it. So, I think it doesn't

cost us much. The new variants bring in more vibrancy and a better incremental business.

Similarly, real brand. A real brand is now available in a pet bottle. Earlier only a tetra pack was going. Now a pet bottle is also made available. Earlier five variants were going, now seven variants are going. The batches become multiple but that complexity we are geared to manage. And it is that we have learnt it through our international business also where the population is lesser and the runs are smaller and changes in the line can frequently happen with efficiency and economy.

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So, that we have learnt over a period of time. So, I don't think there's too much of complexity as far as hair oil is concerned. Again, similar bottles, similar economies which are there. It gives more news to the salesmen to sell and better throughput at the outlet is being promised. So, I don't think there's too much of complexity being added here. Rahul, you want to add something? We happen to have the privilege of having Rahul along with us. Maybe if he wants to add something.

Rahul Awasthi: So, for many innovations we adopt the principle of open innovation wherein we are not only deploying our own capability but we are taking help of lot of third-party manufacturing already available which are having the same kind of format already being produced. So, many of these innovations are not creating complexity in our manufacturing setup and they are very fast to do and that is the reason why we are able to roll out innovation in such a faster way.

Shirish Pardeshi: I got that Rahul, that's really helpful but just wanted to check at the front end when your distribution is common length, so in that how the distributor is doing justice selling all these

products unless it is channel specific?

Mohit Malhotra: So Shirish channel wise as far as I will give you a little more granular answer, so e-commerce is a common channel they are open to innovation so there is no pressure there so is the case with modern trade we furnish them directly distributor interface in 80% of our modern trade is not there. Now coming to GT, which is 70% of the business, complexity arises there. There we are planning to increase our feet on street. A, we are appointing more number of sub-stockists and more number of yoddhas that you know.

As far as, and in GT we have three separate verticals, healthcare distributor, HPC distributor, and foods distributor separate. And with the common distributor, we are trying to segregate lines also. And depending upon the threshold of turnover, we are separating HPC into HPC1 and HPC2 also, and adding more feet on street to ensure that delivery and execution happens of the NPDs that we introduce.

Prakash Kapadia from Anived Portfolio Managers

Prakash Kapadia: Hi, thanks for the opportunity. Two questions from my end. What could be the current sales mix of OTC and Ethicals? You obviously talked about new initiatives in the Ethical piece. Going forward as we are trying to scale both, could you give us some sense on margins, are margins similar or higher between OTC and Ethicals?

And secondly on the beverage business, you know, what happens when there is unseasonal rains or delayed summer? Does growth happen in the balance of the year or on an exit full year basis, is it fair to say growth remains muted or flatish or festive season can drive growth for beverages?

Mohit Malhotra: Alright, so first part of your question, OTC and ethical almost 50%-50% of the total turnover that we have, and margin profiles are also pretty similar because most of the ethical portfolio is the one, once it crosses a threshold level of turnover moves to OTC for us. So there is no margin profile difference between OTC and ethical and it's almost 50%- 50% of our portfolio.

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Like Hajmola when it was a classical or ethical product it used to be called Shudhavadhan Churan and then we nomenclatured it as Hajmola and we are calling it OTC now. So that is how we change it. So ethical and OTC is a different life cycle stage. In the previous cycle of the life cycle it is called ethical, then it becomes a branded ethical, then it becomes a OTC for us. So that's the life cycle stage depending upon the turnover.

So, yes, like Stresscom is the branded ethical which is called a Stresscom, but the active ingredient over there is Ashwagandha. So, when it is ethical it is called Ashwagandha, when it moves to branded ethical it is called Stresscom, when it reaches a INR 5 crores turnover it becomes an OTC for us. That is how we look at the life cycle stage management for our ethical to branded ethical to OTC to FMHG business also.

So that's the way our healthcare is again a playbook very well established in Dabur over the years and we stick to that, and margins are pretty similar which are overall margins of the company both from a gross margin perspective and from a net margin perspective. And the requirement of advertising is so much more lower. With establishing this advocacy vertical we will be able to now do more advocacy and reduce more advertising which is where we have more attrition of the consumers a gain, we have to advertise again lapsing happens but the doctor, doctor remains the same along the life cycle of the product and therefore requiring that's why pharma margins are much higher as compared to OTC or FMHG margins for you.

Second part of your question is beverages. Now the season has impacted beverages on account of summers being lower and 30% of the consumption of beverages is out of home for us. Out of home consumption when the rains are there people don't move out and people don't move out, the eating and drinking outlets don't have that kind of a throughput and they are not able to sell that's why the portfolio gets impacted.

If rains are not there and the marriage season is great which is what we think it should be or Diwali season is great, if the rain don't play a spoilsport, then I think that season should not get impacted by beverages. But because the season is so heavy and it contributes to around 30%-40% of the total consumption for the whole year, a little impact for the full year business definitely happens.

Latika Chopra from JP Morgan

Latika Chopra: Hi, thanks for the opportunity. Mohit question was on your expectations on volume growth progression for the rest of the year. We start lapping even a lower base as we come into the next few quarters. And depending on the rural recovery comments that I heard, do you anticipate volume growth tends to gradually move to mid to maybe even high single digit volume growth as we cross the year?

Mohit Malhotra: Yes, Latika. I think absolutely, I think rightly said. So if you look at now, giving a little better answer for you to understand it, if you look at the volume growth across our verticals, our volume growth in beverage has been very muted because beverage season wasn't in favour. So volume

growth was negative which dragged the overall volume growth of the company down. If you look at the healthcare volume growth, our healthcare volume growth while there was a 6%-7%
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of price increase impact, the overall business has grown by 12%. There is a 6%-7% of a volume growth in our healthcare business.

In HPC business, where the price increase wasn't very high, our volume growth has been in the range of around 7%-8%. And going forward, this should be the volume growth going forward. So mid-single to high-single volume growth going forward and a beverage portfolio a little bit negative but definitely mid-single volume growth should be there in the business. So, ex-

Foods

this time the volume growth is 6% for us in the first quarter and Yes, and we will have to do and with the rural recovery happening, as we see, the rural has grown by 4%, we have grown by 8%, volume growth in rural this time for the categories around 7.5% and back of all this, we should see a definite volume uptick happening in the business and we are always monitoring our volume market shares.

So for us to grow ahead of the category, the volume growth should be ahead of a mid-single also. For us to gain market shares across 90% of the portfolio that we have.

Latika Chopra: Sure. And my second question was on beverages. Sorry to check on this again. Because you know your earlier comments during the call suggested that a full year for beverages, you expect a muted full year. I understand the first quarter was sluggish, which is about 30% to 40% of the business. But for the remaining quarters, are you okay if we build in some growth or are you seeing any other challenges here? You know, of a high base or anything like that?

Mohit Malhotra: See, we have taken a target of around 8% to 9% growth on a high base of 40% of last year. So, we are looking at that target for us. The season now played havoc for us, but the targeted growth is definitely that. And we see the month of July, 22 days out of total 30 days in July was impacted because of rains. So this is an extraordinary event that we are seeing which wasn't planned earlier.

So I can't tell you guidance going forward for beverages because it is so much season driven for us. So that is what. But we have targeted a target of around 8%. And we want to inch up to that particular target. And all the incentives of the entire team, Salesforce and back end is linked to that particular target, Latika.

Latika Chopra: Yes, and the last one was just to get a sense of what is the toothpaste revenue and volume growth for the quarter and also to comment on your capex in FY24, FY25, that's all from me.

Mohit Malhotra: Yes, so easier question first. The total capex is in the range of INR450 crores for the current year and that's what in the current quarter we have done INR160 crores of capex. So full year we should be doing around INR450 crores of capex. Now the second part of your question in terms of oral care, oral, the volume growth of the category is 2.5%. We have done a volume growth of roughly around 8% in Oralcare with Dabur Red as a flagship gaining 50 basis point market share. The category of natural which is 30% was 30% now has become 31%. We've launched gel also in the market. So, I think we should definitely have a double-digit growth as far as oral care driven by volume growth for us for the full year in oral care. I think we are doing well in oral care. I don't see a reason why we should not perform well here. The business is on track and doing well for us.

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Latika Chopra: Sure, thank you so much.

Mohit Malhotra: And another point I just want to add, I missed out. Last year we had issues with Reliance because one of the SKUs that we had introduced in Reliance was undercutting into the GT market which we cut back supplies, but now that also relationship has been broad, and the business is back on track as far as modern trade is also concerned with the Reliance. So that's also worked in our Favor.

Latika Chopra: That SKUs ...

Mohit Malhotra: Yes toothpaste, I am talking. I am talking about toothpaste and like you know we are already a number two toothpaste company in the country today and we've placed the number two player and we've become the number two player even in toothpaste now.

Latika Chopra: So Mohit, if my understanding is right, this issue was there in Q4, right? So does it mean that Q1 was a bit of that issue resolution with Reliance, and do you think this 8% volume growth kind of moderates a bit in coming quarter?

ter?

Mohit Malhotra: Sorry, Latika I didn't quite get your question.

Latika Chopra: I am just trying to understand if this issue with Reliance resolved in Q1, and do you think this 8% volume growth kind of moderates a bit in the coming quarters ?

Mohit Malhotra: No, it's the other way round. It was an issue in the last quarter. In the previous fiscal year, we have corrected that problem in the quarter 1 and going forward, the business should trend well even in Reliance, I'm saying. Because last year, while in GT, we kept gaining share, but in Reliance, is a modern trade, in single account we lost some market share. So, that relationship on Oral Care category manager is back on track and we should start gaining shares back in Oral Care is what I am saying.

Latika Chopra: Okay, alright. I hear you. Thank you so much.

Mohit Malhotra: Thank you.

Sheela Rath from Morgan Stanley

Sheela Rath: Thanks for taking my question. Mohit, my first question was with respect to the rural recovery. You seem to be sounding much more confident on rural recovery, but we are getting very mixed signals from most other management on rural side. So, what has changed for us and how, and you talked about the big single digit growth at the aggregate level on the volume side, but what is it that has specifically changed for us on the rural side and any specific markets which you would like to talk about?

Mohit Malhotra: The way rural was, I am looking at the market indicators in FMCG volume. Rural used to be minus 5 in quarter 4 of 2022. From minus 5 volume, it became minus 2, then to minus 3, minus 3, then plus 0.3 and now plus 4. So, definitely these are trends of almost a recovery that one is actually seeing if one plots a graph. And the rains have been near normal and if you read the news articles etc you find that Rabi harvest was impacted by monsoon, but Kharif sowing has

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been great I think this harvest would only happen in the winter season to come and there'll be more money in the hands of the consumers and a wage rate in MGN REGA has also been taken up to around 10%. MSP rates have also gone up.

This will increase the money in the hands of the rural consumer. And while the category is growing at 4%, we have grown by 8% in rural. So, that is telling us that money is back in rural. And moreover, price increases have come down now and as we move into next quarter there the price increases will go down and volume growth will actually start. When the inflation was high, price increases were high, it was pinching the rural consumer and therefore their propensity to spend was impacted.

But going forward I think things will only move back plus election year is coming, so government will also invest more money in rural especially in the Hindi heartland and business should be back. So, one of the anecdotal examples is North. North is very high salient for us. It got impacted by monsoon heavily, but the FMCG market was down there, but we have seen where we are very salient with UP, MP, Bihar, and Northern Belt also. We've seen our business growing by around 6%, 7% in the GT also, despite our beverages not firing.

So, which was sub-stockist network, is kind of yielded results for us in the North. And that is telling me, giving me confidence that rural should be doing well for us going forward. And I don't see a reason why rural should not because if you look at around -- if I look at quarter 4 of financial year 21, rural was always the one which was leading the growth and urban was following. Now both urban and rural are kind of growing well.

So, I think rural we should keep inching up and the gap between urban and rural should keep narrowing and rural should fire, but how monsoon and the climate change is impacting the world.

I don't know how things will be. But I just hope that rural fires and that aug

urs well for us. We

are highly salient in rural with 45%, 50% of our business coming out of rural.

Sheela Rath: And any early signs of up trading because last year we were seeing lot of down trading. So, in any categories where we have seen a switch?

Mohit Malhotra: Not really, we've not seen any signs of up trading, but that said the price increase impact has kind of moderated now. The shock of price increase is now in the base and that is a kind of a up trade. So, consumer has gotten used to it and now they are buying products. So up trading in the sense that 8 ml sachet has become a 6 ml sachet and that's now in the base. So, that is kind of an up trade in a sense that you may take it like that. A lot of bridge packs which have been launched in the market, they have already got structured or pencilled in the bases now. So, that is a par for the course going forward, yes.

Sheela Rath: And just have one more question and I am not sure whether there will be an answer here. But from a portfolio perspective, what would be the share of brands which would be say less than INR50 crores for us? You talked about baby products where we are very excited about it's at INR20 crores. But do we have a number here that is what percentage of our portfolio would be less than INR50 crores overall portfolio?

Gagan Ahluwalia: I think we have the number, but we can get back to you offline.

Ankush Jain: We can get back to you with the exact details.

Mohit Malhotra: Yes, I will get back to you, but I think broadly to tell you 75% of the portfolio is power brand portfolio. And none of our power brand is below INR 50 crores. So, all are in the range with the exception of Pudina Hara which is in the range of around INR 60 crores to INR 70 crores. Rest all are above INR 100 crores portfolio. So, 75% so the rest is 25% of the portfolio out of which there will be many of them which are more than INR 100 crores, but not a part of power brand architecture. So, definitely it will be below around INR 20 crores. If you ask me number of brands, so number of brands will be more than 20 because Dabur has so many brands, but in terms of percentage turnover coming from less than INR 50 crore brands should be around 10-15%.

Sheela Rathi: This is very clear. Thank you so much.

Mohit Malhotra: Thank you.

Vishal Punmiya from Yes Securities

Vishal Punmiya: Yes, thank you. Just wanted to understand our OTC growth a little better. So, we have impact in our base quarter because of the COVID-related portfolio. But when I look at the CAGR performance, it looks like the OTC portfolio has picked up quite well and is reporting a strong growth even on a CAGR basis. So, what is helping this growth in OTC portfolio and also if you could help with the OTC revenue decline in the base quarter? That's all from my side.

Mohit Malhotra: Yes, so I think OTC has got sub parts to it. The first part is the digestive part of the portfolio which is Hajmola is a lead brand there. That has grown by around 15% and that is growing on back of a lot of innovations that we have done in Hajmola. As I told you, ChatCola, LimCola and now Fantola are coming in. I think they should be the ones which should be driving the growth.

Our Pudina Hara portfolio has been a little muted in OTC because of the season. Pudina Hara is more summer-centric portfolio that got impacted, that's not done well. Our Lal Tail, which is a baby care brand, that has done exceedingly well, growing by around 15%. 16%. And that is doing well on back of market share gains that we've gained market shares in the market from Johnson & Johnson, which is a market lead player.

The fourth power brand is Honitus which is cough and cold that on a higher base has still grown on by 30% odd and it is continuously taking share from other competitors like Benadryl and Torex etc. Then the 4-year CAGR

is around 22% for our Honitus. So, it's year-on-year we are taking share from the market lead player and growing because the size of the market is very big and we still in terms of market share are sub 10% in Honitus brands. So, there's a huge headroom for growth here. The fifth brand is Shilajit. Shilajit is growing at 20% 4-year CAGR for us, that is men's wellness, that is a category he is actually growing very well.

Vishal Punmiya: And what was the decline in the base quarter for OTC?

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Mohit Malhotra: No, no. There was no decline in the base quarter. It's coming on a high base. In the base quarter, the growth was in the range of -- we can just check.

Vishal Punmiya: Because OTC and Ethicals together regrew by 15%?

Gagan Ahluwalia: No, it might be because of COVID.

Mohit Malhotra: We can come back to you Vishal. We don't have the data readily available, but one can come back to you on the base numbers.

Vishal Punmiya: Sure, sure. No issues. Thank you.

Mohit Malhotra: Thank you very much.

Gagan Ahluwalia: Thank you, Aman. Thank you for everyone for your participation in this conference call. The webcast, audio recording and transcripts of this call will be available on our website. Thank you and have a nice evening ahead.

Call: Nov 2023

Ref: SEC/SE/2023-24

Date: November 06, 2023

To,

Corporate Relations Department

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai- 400001

Tla^r

India Ltd.

National Stock Exchange of India Ltd.

Exchange Plaza, 5th Floor

Plot No. C/I, G Block, Bandra Kurla Complex

Bandra (E), Mumbai-400051

BSE Scrip Code: 500096 NSE Scrip Symbol: DABUR

Sub: Transcript of Investors' Conference Call for Dabur India Limited -

Q2^Y 2023-24 Financial Results

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on November 02, 2023, post declaration of Financial Results for the quarter ended on September 30, 2023. The said transcript is also available on the website of the Company at www.dabur.com.

This is for your information and records.

Thanking You,

Yours faithfully,

For Dabur India Limited

-A^--

EVP (Finance) and Company Secretary

End:as above^

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Q2 FY24 Results

Investors Conference Call

November 02, 2023

MANAGEMENT : M R. MOHIT MALHOTRA - CHIEF EXECUTIVE OFFICER

MR. ANKUSH JAIN - CHIEF FINANCIAL OFFICER

MR. ASHOK JAIN - EVP(F INANCE) AND COMPANY SECRETARY

MRS. GAGAN AHLUWALIA - VP, CORPORATE AFFAIRS

MR. N. KRISHNAN - DEPUTY GENERAL MANAGER , FINANCE

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Gagan Ahluwalia: Good afternoon, ladies, and gentlemen. On behalf of the managem ent of Dabur India Limited, I welcome you to this conference call pertaining to results for t he quarter ended 30th September 2023. Present here with me are Mr. Mohit Malhotra, Chief Execut ive Officer, Dabur India Limited; Mr. Ankush Jain, Chief Financial Officer; Mr. Ashok Ja in, EVP, Finance and Company Secretary; and Mr. N. Krishnan, DGM Finance. At the outset, we will have an overview of the

company's performance by Mr. Mohit Malhotra, and this will be followed by the Q&A session.

I now hand over to Mr. Mohit Malhotra.

Mohit Malhotra: Thank you very much. Good afternoon, ladies, and gentlemen. Thank you for joining us today for the results call of Q2 financial year '24. While the macroeconomic indicators were showing an improving trend during the quarter, uneven distribution of rainfall and a deficient monsoon impacted rural consumption in quarter two.

However, we expect the uptrend in FMCG consumption to continue driven by new way channels, MSP increases, sustained infrastructure investments, robust crop sowing and onset of the festive season. Dabur's consolidated revenue grew by 10.4% in constant currency terms and 7.3% in INR terms to reach INR3,204 crores. Our international business grew by 23.6% in constant currency terms and 10.4% in INR terms.

The beverage portfolio in the India business was impacted by uneven distribution of rainfalls, especially in North India, which was significant salience in our business. Ex-beverages, India business saw a growth of 6%, backed by volume growth of 5%.

Talking about the categories. HPC portfolio recorded a growth of 5.8% during the quarter. Our Home Care portfolio grew by 15%, led by a strong double-digit growth in our Odonil and Odomos brands.

In the mosquito repellent category, we saw a strong uptick of 556 basis points in market share, taking our share of Odomos to 65%, and our air freshener portfolio also saw a gain of 164 basis points. Dabur Red franchise grew at a high single digit and the recent introduction of Dabur Red Bae Fresh gel is showing good traction in the marketplace. Our market share in the toothpaste category saw a gain of 20 basis points. Hair Care recorded a high single-digit growth in secondary terms, and our share in Hair Oils improved by 143 basis points to reach a level of 17%.

The Healthcare portfolio recorded a growth of 5.4%. We gained market share across the Health Supplements portfolio with Chyawanprash seeing a 45-bps gain and Dabur Honey gaining 64 bps improvement during the quarter. The Digestives category saw a growth of 18.1% on back of robust performance of Hajmola franchise. OTC portfolio witnessed 8.4% growth during the quarter, driven by Lal Tail, Honitus and Dabur Health juices.

Electrical portfolio recorded an 8% growth in the quarter. Our recent initiative of setting up a Therapeutics division is doing well, and we saw baby care sales double and the Therapeutics division recording a double-digit growth. While beverage business saw a 10% decline during the quarter, food business under the homemade brand performed very well with a growth of 40%.

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This was further bolstered by Badshah acquisition, which saw high-teens growth during the quarter. Despite the high inflation in spices, we remain committed to exiting the year with a run rate of INR500 crores coming from our foods portfolio. We continue to drive our distribution initiatives. Our direct reach stands at 1.4 million outlets and should increase to 1.5 million by the end of the fiscal year. Village coverage is at a strong 1.07 lakh villages being ably supported by more than 13,000 Yodhas.

The Edge score, which is a marker of the efficiency of the distribution, continues to see improvement

and has seen further improvement by 12% in the quarter.

Now coming to our International Business. With moderation and inflation and distribution changes in the international business, the business has seen a strong recovery and registered a 23.6% constant currency growth.

This was driven by a notable increase across regions with MENA region growing at 18.4%; Egypt business growing at 35%; Turkey at 78%; and Bangladesh recording an 11% growth. Our focus on innovation and customer-centric strategies has enabled us to gain market share across categories and countries.

Recently, we made a disclosure regarding litigation against our U.S. based step-down subsidiary, Namaste LLC. Let me assure you that this does not concern any of our Dabur brands or products. This litigation is against the entire hair relaxer industry players, including L'Oréal, Godrej, SoftSheen Carson Namaste Labs, Avon, Revlon and so many more.

Where it has been alleged that the use of these products leads to harmful effects to health. Namaste disputes the same and stands by the safety of its products. The case has been filed based on an incomplete and an inconclusive study and has absolutely no legal merit. The portfolio in question is less than 1% of our consolidated revenue and we have a product liability insurance in place. The matter is subjudice.

Coming to the consolidated profitability during the quarter. Our gross margin saw a healthy expansion of around 300 bps as we saw material deflation during the quarter. In line with our stated strategy, we have increased our A&P investments by around 43%. We believe that media

investments are essential to drive long-term sustainable growth and maintain our market leadership.

The consolidated operating profit recorded a growth of 10%. Excluding the one-off exceptional legal costs, our operating profit grew by 16% and consolidated PAT increased by 14.1%.

Overall, the demand scenario is improving. The onset of festive season augurs well for our business, and we will continue to drive profitable growth across our business verticals backed by investments in our distribution network, brands, manufacturing, digital organizational capabilities.

With that, I conclude my address and open the floor for more Q&A. Thank you.

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Abneesh Roy from Nuvama Institutional Equities .

Abneesh Roy: My first question is on Home Care. So clearly, you start this quarter with double-digit Y-o-Y growth and four years CAGR. My question here is not on Odonil. My question is on Odomos.

So other H1 players have pointed towards in-home consumption being weak, which I think in your case is more of out-of-home, but still wanted to understand, are there any learnings from this part of the business, which is growing double-digit Y-o-Y and on four years to some of the laggards of your business? And second, this 560-bps gain in market share for Odomos, on what number is such a sharp gain, what is driving this? And your recent foray in terms of the in-home mosquito essentially LVPs, any initial success if you can share?

Mohit Malhotra: Right. So firstly, I think Home Care is a category which is underpenetrated in the country. And I think because the category which is underpenetrated, there is a tailwind of growth which is happening as the country is urbanizing and from metros to mini metros to Class one, Class two towns, the penetration is moving up. And post-COVID, there's opening up of the market, that's why, rightly pointed like you did, that Odomos is more out-of-home consumption as kids move out and there is a learning.

So what is the learning across the category in our juice business. Our Real Juice business was in-house consumption. As we got into PET bottle with out-of-home consumption, it's catching up. So cross-category learning is there, but that's sort of a laggard. Out-of-home consumption i

s

really actually catching up well. So is there a learning in Skin Care also, which is a laggard at the moment. As far as our extension of Odomos into LVP is concerned, early days yet. Most of our distributors have already taken insecticide licenses, and we are rolling out LVP across the board all India.

As of now, we've garnered a turnover, we've just been two months since we've actually rolled out and a turnover of roughly around INR4 crores to INR5 crores, but the category size is around INR2,500 crores as compared to a very small size in which personal application creams operate. We expect good acceptance of this brand extension into LVP because the awareness of the brand is very high. So that's where we are on Odomos and the insecticide category.

Abneesh Roy: Mohit, my second question is on the beverage business. So in Q1, the performance of the cola companies and your performance was in a very tight band, both were weak. But this time, I see a very big disparity where both the pan-India national cola companies are double-digit kind of growth and you are at a double-digit decline. I understand it is not a like-for-like portfolio, but for the customer, it is broader form of a bit similar consumption.

So here, is it a one-off? Is it because of festival impact? I know you alluded towards the North India on an overall company basis, but is North India impacting this part of the business more? But can any proactive steps be taken so that we can close the gap in terms of performance with the overall beverage in terms of the cola companies what they are seeing from a medium, long term, can you close the gap in terms of performance?

Mohit Malhotra: Right. Abneesh, I think festive season impacted us. The festive season has shifted by around 20 days. So a lot of loading, which happens during the festive season, did not happen as far as the

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beverage business is concerned. And North India got impacted by incessant rainfall, which happened in the month of July. So the business got impacted in the month of July, and we could not cover that up in the month of August where rainfall was lower. But in September, again, the rains kind of caught up and therefore, the loading and the supply chain got impacted. And north so much because north contribution to the business is more than around 50% for us. That was one factor, festive season, north rainfall. And the third factor was that there is a new player called Storia, which has entered the market which is in coconut water. Our coconut water business got impacted because of that one player. Storia impacted our market share in the modern

trade as far as the coconut water is concerned. So we are ramping it up.

We are putting in a capex worth around INR30 crores to INR40 crores. So that the next season, we are able to catch up with the PET bottles in the real wherein coconut water can be launched. While we launched a Tetra Pak, but Tetra Pak in coconut water has not shown us as great a response as may be a transparent aseptic PET bottle. So we are putting up a Capex for aseptic PET bottle to try to cover up the lacuna that we faced in the first and the second quarter.

Abneesh Roy: Sure. And last question will be on the legal thing which you mentioned on Namaste. You mentioned product liability insurance is there. So two sub questions there. In terms of the legal cost, I think, which is fairly large, fairly substantial, any part of the insurance claims can cover that also. And second is, I understand it's an industry-wide impact. So is the collective action also being thought about because a lot of these are company-specific, but then it's a larger industry-wide also. So any industry-wide action, which can lower the legal costs, which can lead to faster solution? Anything of that sort can happen?

Mohit Malhotra: You're right. We have a product liability insurance

in place. That insurance actually covers any claims or damages arising out of the legal speed, the estimate of which is not known as yet because we are still in the discovery phase and the final scientific phase and the legal proceedings, court proceeding will determine all that, which is still little time away. It may take another four to six months for that to happen, but we've started incurring the legal costs. While the insurance is covering a part of the legal cost and so me part, we will have to bear. There is a ceiling and the cap on the legal costs there. That's why you see an expense which we have incurred. We've incurred an expense of around INR36 crores in the quarter. But initially, in the discovery phase, expense was higher. Going forward, we expect the expense to be lower in the range of around INR20-odd crores per quarter is the expense that we estimate going forward, but this is our estimation of the expense.

As far as the joint legal pursuit is concerned against the legal case, we have our lawyers and other company lawyers in the industry have got together and created a forum called the joint defence group and they are all working together towards fighting this case. There doesn't seem to be any legal merit to the case because it's based on an incomplete and an inconclusive study, which has got published in a journal, and that is becoming the basis of the legal suit. In the past also, a couple of cases like this have happened and we have a precedence, which works in the favour of the defence, which is us, and we are very confident of winning this case.

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As far as Namaste is concerned, we have safety studies in place, which are material in this case, and our products are safe. We and Namaste LLC maintain that our products are absolutely safe and do not harm the consumer health. And this kind of a product has been sold for people of African origins for generations together. And we don't see any legal merit, but the cost will have to be incurred for a time. That's how the legal landscape is actually set up in America. We have to defend it. And that's why we are trying to defend it with capping of the cost as I just alluded to. If I missed a point, Mr. Jain, you could add on. Yes. So that's pretty much from our side, yes.

Abneesh Roy: One last question on the India business. So essentially, India's largest biscuit company today said that even demand situation is challenging. So in that context, spending too much on advertising or say, promotion, doesn't make sense. In your case, 40% plus advertising spends are happening. I understand many other HPC companies are also sharply ramping up and foods is different.

But what would be your thought process given your volume growth, 3% or ex of beverage, say, around 5%, 6% is not something very high. So is -- are we now at the peak of the advertising spend? So if you could comment on that. And which categories are seeing more in terms of the ramp-up on a Y-o-Y basis?

Mohit Malhotra: Yes. So I think overall situation, you're absolutely right. As far as food is concerned, it's more impulse purchase. So they don't spend too much on advertising and building a consideration for your brand and saliency for the brand does not make a ton of sense because more impulse purchase decision is taken on point of sale. Therefore, food companies don't spend. And we also don't spend as much of money in our beverage and our food portfolio. It's more point-of-sale investment.

As far as considered purchases of HPC and HC are concerned, I think their advertising becomes very, very important to build the equity and build the brand in to the consideration set. And moreover, bring the brands to the core for the decision-making. There, we feel it's very important. And in the last one, two years, when the inflation was very high, we cut back

on

expenditures. So we are still at around 7.5% to 8%.

We think the band of advertising to sales ratio in this category should be around 8% to 10%. So

we will continue to ramp up advertising investments in that category. And in specific, we are talking about more of Oral Care, where we will ramp up, Home Care where we will ramp up. HPC categories is where we will look at more growth. And also in category like Chyawanprash, for which we are having a season.

Because what happens in health care is that attrition happens once the season is out and you have to enrol consumers. For enrolling consumers, some top-of-mind advertising has to be there. So our power brands will see a ramp-up of advertising and not so much in the beverage and the food portfolio, to your point.

Aditya Soman from CLSA

Aditya Soman: So first question on the season. I think you indicated that the season was weaker for juices and Chyawanprash. So are we seeing any sort of pickup in October as we enter the festive season?

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And secondly, I think you just mentioned on advertising support for Chyawanprash, so I'm assuming that this will be largely in 3Q and then in 4Q, the support goes back to normal levels. Would that be right?

Mohit Malhotra: Yes, Aditya. So absolutely right. So I think season for beverages was impacted in the second quarter wherein invariably we do loading for beverages for the season to come in the quarter three. This time, because Diwali has got shifted by 20 days, the loading got shifted to quarter three and whatever we lost in quarter two should ideally get compensated in quarter three. I think it's just a shift of season. It is not that season was damp or something. It was just shifting of festivity, which has happened and therefore, loading suffered in Chyawanprash and some amount of Amla and some amount of beverages, which should get compensated in quarter three, I'm pretty positive about that.

And if you look at the quarter three number, October has just gone past, and we've seen our beverage growth at around 10% -odd levels in the quarter already started, wherein it declined at around 9% to 10% in quarter two.. So, as far as advertising is concerned, yes, Chyawanprash advertising should and has already started as the winter has started in the north. We have started our advertising in Chyawanprash and Honey, and it will continue through the quarter three. And in quarter four, it will again abate a little bit.

Aditya Soman: Very clear. And in terms of Home Care, we've seen very strong numbers, in particular, Odonil. Anything to call out what's really driven this -- driven the market share gain?

Mohit Malhotra: So Odonil is in the Home Care category. The penetration of Home Care category is low in the country, as I alluded to before also. And there is a tailwind of a category growth of around 20%. So it's a great category to be in, and we feel as per Nielsen syndicated data, also the category is growing by 20%. Our secondary sale is in the range of around 23 %, and its margin-accretive category to us with low competitive intensity. And we have a high capability and a good brand in Odonil.

So we are extending the Odonil brand. So we were present in the PDCB block, from PDCB block, we've extended ourselves into gels. So we launched a gel pocket and the initial feelers from the market, the gel pocket has been received very well. It's a modern upmarket format, uplifting from PDCB blocks to the gel pocket that is doing considerable well in the marketplace. So it's on back of that. In addition, our aerosol format is also doing well. We've introduced a signature variant of aerosols also in the marketplace. So room freshener category is also picking up there. So that's where we are as far as Odonil is concerned.

Arnab Mitra from Goldman Sachs

Arnab Mitra: My first question was on margins. So in most of the com

modity benefit of lower commodity

costs already in the quarter. And in the context of you having already done a 20.5% margin this quarter, you're obviously seasonally strong in the Q2. Would you now be a lot more confident of holding above a 20% margin for the rest of the year?

Mohit Malhotra: Yes. As far as margin is concerned, we've seen a bit of deflation, Arnab, in most of our categories. But that said, we have not seen too much of deflation in petroleum-linked products.

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While there is a deflation in packaging, there is a deflation happening in edible oils. But as you know, the petroleum prices haven't softened to what they were when the inflation cycle had not begun. So LLP prices are still not where they were earlier during the COVID or pre-COVID time. So we are waiting for that to actually soften. And we expect the margin upside to continue to happen for us going forward in the quarter. I did not understand your question very correctly Ankush would you like to add to this?

Ankush Jain: Arnab, what I understood you are saying that 20% will hold in the rest of year. Is it?

Arnab Mitra: Pretty much.

Ankush Jain: Our business is seasonal. Now our operating margin is based on seasonality also. So Q3, it peaks, but Q4 doesn't really touch 20% or thereabout. H2, we'll have to see a blend of both the seasons put together, yes.

Mohit Malhotra: Yes. But that said, we have already given a yearly guidance, and we'll maintain by around 19.5% annual operating margin, and we are committed to this despite the legal cost, which has actually hit by around INR63 crores in the first half. Despite the recurring legal cost that we will have in the subsequent quarters also, we are pretty confident to what guidance we have given to the market of 19.5%. We'll be either at that or even better than that also. We will try as the commodity cycle is on a deflation sort of trajectory...

Arnab Mitra: Got it. Secondly, Mohit, on Health Supplements. That was one kind of soft aspect in this quarter where you had a flat versus last quarter being like a 5% growth. So anything to call out for why this quarter was softer than last quarter given that the base would be now correcting post-COVID, the impact had started going away. So anything to call out why it was weaker? And any specific factors which you think would drive the growth in the second half?

Mohit Malhotra: Yes. So I think on Health Supplements very clearly, I think the default came in from Chyawanprash. Because of the season shifting by 20 days, Chyawanprash loading could not happen as it happens in the previous years also. So that has got shifted. So as that gets shifted and the winters have also got shifted, I think it should get covered up. As far as Honey is concerned, the second big brand in our supplement portfolio, that continues to gain share and do well. We grew by around 6%-7% in our Honey brand, whereas Chyawanprash actually declined at around minus 7% only because of the season issue, so which I think in the second half should get covered up.

Arnab Mitra: Got it. And just one follow-up question on the legal issue in the U.S. So this 1% of the sales that you have, does that sales get impacted in any way because of the legal challenge or because consumers may be concerned on this product given the case? And secondly, this INR20 crores cost that you said, how many quarters do you think this continues? I'm just trying to understand the period of time in which the legal expenses have to be borne.

Mohit Malhotra: Yes. So there is a little bit shadow cast on the business. If you look at the overall Namaste business, which is roughly around \$45 million to \$50 million business. Out of that, around 25% of the business is relaxer business. Only the relaxer business is impacted by this and that is

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cont

inuously getting impacted and there is a delisting, which is happening of relaxers because of the sentiment being negative in the U.S. market. So that business is impacted.

But over the period of past four-five years, we have created a non-relaxer portfolio, which is now almost 75% to 80% of the portfolio and growing at a faster clip as compared to the relaxer portfolio. So we will expedite to build and bolster that non-relaxer portfolio. That said, U.S. contributes to around 60% of the business, 40% comes from outside of the U.S. That relaxer is not impacted. Even in U.K., it is not impacted. There, we'll continue to compensate the same. As far as legal cost is concerned, we had incurred a cost of around INR30 crores-INR35 crores per quarter in the first half. But going forward, we are capping it. We are trying to cap it at the range of around INR20 crores to INR22 crores per quarter. That is what we've done. We've done some changes as far as our legal attorneys are concerned and also taking up with the insurance companies, etc.

All that is happening and also working in joint defence group to cap the legal costs. So that said, invariably such multi-district litigations in the U.S. take invariably two years if not more, but two years is what we are trying to see that it should take, and this kind of a cost should continue till the time.

Shirish Pardeshi from Centrum

Shirish Pardeshi: Two questions in the beginning. You mentioned during the CNBC interview that there is a rural uptick you are seeing. So specifically, there are two parts of question. One, you alluded saying that the winter has started setting in. So is the north winter or north rural has seen these green shoots? And the second part is that where the rural problems is still not recovered or below expectation?

Mohit Malhotra: Right. So Shirish, overall, I was commenting upon the overall rural sentiment. If you look at the syndicated data also and the same thing we are seeing in our business, rural, if you look at past three quarters, we saw rural in the negative territory. From negative, it moved to positive at around 0.4 in last-to-last quarter, then it moved to 4%. From 4%, it's moved to 6.7% in terms of volume. So the trajectory of rural is only getting positive as you are lapping over the lower basis and those lower basis will continue for some time.

And I think rural will continue to gain traction, albeit it's happening slowly, but it will happen surely. With MSP increases that the government is announcing, with the election season coming

up, some softs will happen. Infrastructure investment is sustained by the government, direct benefit transfers are in place.

So I think on back of all this and rainfall in the crop proceeding has also been good for the winter crop. So on back of all this, I think rural will grow. And we have seen our trajectory also in rural kind of sustaining. But that said, rural is lagging urban, and we have seen in our business also the new way channels like modern trade, e-commerce are growing at a much faster clip and GT business is not doing so well. If you look at the distribution of how rural is faring, I think rural - the worst is in south of India.

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In south, rural is getting impacted the most because that is where the monsoon also got impacted if you look at distribution. So south is lagging in rural. Followed by south, it is, I think, west and then it is north and east. So that is where we are seeing a little shoe pinching in south for us, at least for Dabur. I can't comment upon the other companies. But South India, for us, is lagging quite a bit. But I think north -- with winter coming in, north should pick up.

And UP, Bihar and central region, Madhya Pradesh, they should be doing better as compared to the South India. Because in south, we are also impacted by a little bit of credit in the

market

because the money is not there in the hands of the consumer. And because the money is not there, the credit extensions are also picking up, the payment is not coming back. So a little bit inventory issues are also happening in our South India.

Shirish Pardeshi: Okay. One follow-up here in the rural part, but you mentioned that when the winter is setting in, you mean to say that the winter loading for our products -- our kind of business has now started with the ease in the north.

Mohit Malhotra: Yes, absolutely. Chyawanprash where north is very salient, I think, which got impacted in the last quarter, should pick up now.

Shirish Pardeshi: Okay. So now the question on health care is that though second half last year was weaker and base is now becoming normalized. So can we expect against 5% growth what we have seen in quarter two in health care should be double or high double digit?

Mohit Malhotra: I can't say high double digit, but maybe high single definitely as the season is approaching. So high single is what we expect because it all depends upon the power brands. Because while the rest of the portfolio is there, that is trending up at around high double digit, whether it's ethical portfolio or it's a branded ethical portfolio or OTC portfolio that will continue to grow. But till the time, the power brands like Chyawanprash and Honey fire, I don't think it's going to get to a high double-digit growth in health care. So Chyawanprash is where I think the bus actually stops for us. So we just hope that Chyawanprash business trends up well in the quarter 3.

Shirish Pardeshi: Okay. My last question is on the International Business. You've fantastically delivered a very strong growth despite the challenges in the Middle East. I mean, most of the companies are highlighting there is a crisis. But just if I extend your thought, how we should look at second half? If the momentum remains there, the inflation is subsiding, the margin trajectory is also there. So maybe a quick comment on how we should look at the overall revenue growth and margin trajectory in the second half for the International Business?

Mohit Malhotra: Yes. So, I think in the topline, we will expect a double-digit growth and a high double-digit growth in constant currency. Currencies that we don't know what kind of depreciation that they will go through. But high double-digit growth is what we are expecting in International Business going forward in the second half also. But I will give a caveat here. With the situation developing in Middle East, which is although Palestine is immaterial for us, we don't have too much of business coming from Palestine, it's a INR3 crores per quarter. That's a very small, negligible business, and that doesn't impact our business. But as the situation develops, it's a wait-and-watch situation for us.

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As of now, we are not impacted. But if the war spreads to the whole region, then the business can come into a little bit of frenzy and we will have to wait and watch. But at the moment, I think the way things are, I think we are very comfortable to say that double-digit constant currency growth will continue. And what we've delivered in the first half, we will deliver in the second half also despite the legal cost, which is hitting International Business only. So this entire INR63 crores hit International Business. And yet, it has delivered the business despite a little bit of cloud on the Namaste business also because of relaxers.

Shirish Pardeshi: Any word on margin?

Mohit Malhotra: So margin, there's a deflationary trend there in International Business. We have seen our gross margins improve by around 600 basis points. There was a 300-basis point in consol that you've

seen in GP going up, but in International it has gone up by 600 basis points because it's entirely HPC business and the entire

the basket of commodities of HPC businesses are kind of deflationary whether it's petroleum-linked, specialty chemicals or it is a little bit of edible oils that the guys use. So that entire thing is deflationary. This deflation trend will continue and margin upside on gross margin will, again, keep trending up in the second half also.

Amit Rustagi from UBS

Amit Rustagi: Just on the legal cost, when you mentioned that the legal costs are insured or the impact of outcome is insured, can you elaborate on that? Like whatever cost you will be incurring, will there be any recovery in some of these costs or these are like the legal expenses that cannot be recovered from anyway?

Mohit Malhotra: So there are two elements of legal cost, Amit. One is the legal cost, which will happen, which are the damages, which the plaintiffs will kind of put on to the company. The estimation for that is not known, and that will happen at a later stage of the case when there will be court proceedings. As of now, the cost that we've incurred is the cost of hiring a defence counsel and this is a legal cost. And that a part is recoverable, a part is not recoverable out of this. But the majority part of what we've already incurred is something which is really not recoverable.

Amit Rustagi: Okay. And when you mentioned like from the next quarter, it will come down to INR23INR24 crores. So will that have some component of recoverable part? Or is it still a non recoverable part going forward?

Ashok Kumar Jain: I have to clarify what happens when the insurance company take up the defence on your behalf. When they take up the defence, they engage the lawyer, kind of an average lawyer or it caps the fee. If somebody wants to defend its position in a better way, they want to engage the best of the lawyer in the class. So then there will be a certain higher cost than what insurance company reimbursed.

So this is that cost which we are going to incur. Why the cost will be lower going forward is that in the initial phase, there is a discovery phase. A lot of documents of the company are studied and the lawyers gain the information and then they submit in the court. So during that phase, the costs are high. Now that first phase is almost going to be over. So slowly, these costs will come down over the subsequent quarters. Then it will be more of a litigation cost.

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Amit Rustagi: Okay. Okay. Got it.

Mohit Malhotra: Yes. But Amit, just to tell you, for example, an insurance company will cover a cost of around \$300 per hour for a legal counsel, if we incur a cost of more than that, that balance has to be borne by the company themselves. And this is that kind of a cost. And to Mr. Jain's point, I think the discovery phase expense is more and post-discovery fee expense will be limited. That's why from INR36-odd crores, it will go down to around INR20 crores.

Amit Rustagi: Okay. Got it. And among the new and like new product launches, NPDs, do you think any material NPD where you think that brand extension is working quite well and can be a sizable opportunity for us in the near term? Any new products where you think that we should be very, very -- there is a lot of positivity around that new product launch.

Mohit Malhotra: Yes. So I think we - in HPC, we rolled out Cool King as a brand. I think first year itself; it will be doing around an exit of around INR20 crores. We launched a Bae Fresh gel as an extension of Dabur Red, that's got great reception in the marketplace around INR25 crores turnover that we will do there. LVP extension of Odomos is early days yet, but we've launched it on INR10 crores. In health care, we've done baby care. Baby care on back of setting up an advocacy team, we have already done a turnover around INR20 crores-INR25 crores. We'll exit the year at around INR50 c

rores turnover.

So I think that's a big call out and is doing exceedingly well. Tea is getting good traction of around INR15 crores we've already done. Hajmola variants that we rolled out Chatcola, Limcola, etc, have done INR50 crores sales. In food business, our coconut water introduction in the Tetra Pak has already gone at INR20 crores in the season.

And I think full year, we've also ordered a capex for the PET bottles that I alluded to earlier, wherein a new private equity players has done well. So I think that as and when we catch the next season, hopefully, in the coming summer, if we are able to catch it, then we should be able to ramp that up. Fizz is doing well for us. We've got a turnover of around INR20 crores in Fizz and PET bottles around INR25 crores. These are the call outs for the NPDs doing well for us.

Amit Rustagi: Okay. Great. Great to know this. Thanks, Mohit, and wish you and entire team a Happy Diwali.

Mohit Malhotra: Thank you, Amit. Happy Diwali to you, too. Thank you.

Gagan Ahluwalia: Thank you for your participation in this conference call. The webcast audio recording and transcript of this call will be available on our website. Thank you and have a great evening ahead

and wish you a very Happy Diwali. Thank you.

Call: Feb 2024

Ref: SEC/SE/2023-24

Date: February 5, 2024

To,

Corporate Relations Department

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai- 400001

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India Ltd.

National Stock Exchange of India Ltd.

Exchange Plaza, 5th Floor

Plot No. C/I, G Block, Bandra Kurla Complex

Bandra(E), Mumbai-400051

BSE Scrip Code: 500096 NSE Scrip Symbol: DABUR

Sub: Transcript of Investors' Conference Call for Dabur India Limited -

Q3 FY 2023-24 Financial Results

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on January 31, 2024 post declaration of Financial Results for the quarter and nine months ended 31st December 2023. The said transcript is also available on the website of the Company at www.dabur.com.

This is for your information and records.

Thanking You,

Yours faithfully,

For Dabur India Limited

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EVP (Finance) and Company Secretary

End: as above

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"Dabur India Limited Q3 FY24 Investors Conference Call "

January 31, 2024

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MANAGEMENT :

M

R. MOHIT MALHOTRA - CHIEF EXECUTIVE OFFICER

MR. ANKUSH JAIN - CHIEF FINANCIAL OFFICER

MR. ASHOK JAIN - EVP (FINANCE) & COMPANY SECRETARY

MRS. GAGAN AHLUWALIA - VP (CORPORATE AFFAIRS)

MR. N. KRISHNAN - DGM (FINANCE)

Dabur India Limited

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Gagan Ahluwalia: Thank you. Good afternoon, ladies and gentlemen. On behalf of the management of Dabur India Limited, I welcome you to the Earnings Conference Call pertaining to Results for the Quarter Ended 31st December 2023.

Present here with me are Mr. Mohit Malhotra - Chief Executive Officer, Dabur India Limited; Mr. Ankush Jain - Chief Financial Officer; Mr. Ashok Jain - EVP (Finance) and Company Secretary, and Mr. N. Krishnan – DGM (Finance).

At the outset, we will have an overview of the company's performance by Mr. Mohit Malhotra and that will be followed by a Q&A session. I now hand it over to Mr. Mohit.

Mohit Malhotra: Thank you, ma'am. Good afternoon ladies and gentlemen. Thank you for joining us today for the results call of Quarter 3 Financial Year '24.

FMCG sector continued to witness year-on-year improvement in volume growth, although there were pockets of stress due to liquidity issues and late winters. In fact, the pricing decelerated, as price increases started to come into the base and growth was largely led by volumes.

Dabur's consolidated revenue grew by 9.6% in constant currency terms and 7% in INR terms to reach INR 3,255 crores. This was driven by 6% volume growth in India FMCG business including Badshah. International business grew by 11.7% in constant currency terms.

Talking about the categories:

HPC portfolio recorded a 7% growth during the quarter. Oral Care portfolio grew by 8% led by volume growth of 5%. The herbal segment in the toothpaste category outpaced the non-herbal segment by almost 200 bps, now reaching 31%. The Home Care category grew by around 7%, which was led by double-digit growth, Odomos with a gain of 1067 bps in MRC category, taking our market share up to 65.2%. Odonil brand continued to outperform the category with an increase in market share of 180 bps. Hair Care recorded mid-single digit growth and our market share in Hair Oil improved by 140 bps to reach 17.1%.

The Healthcare portfolio recorded 3% growth for the full year CAGR, YTD of 8.3%. We gained market share across the health supplement portfolio with Chyawanprash gaining 151 bps and Dabur Honey recording a 33-bps improvement during the quarter. The Digestives category saw 15% growth on the back of strong performance of Halmola franchise.

With in the OTC portfolio, LaITail, Health juices and Shilajit performed very well, while Honitus had a muted performance in the quarter due to delayed winters. Our therapeutic portfolio is performing well and is on track.

In F&B portfolio, beverage business saw growth of around 7% during the quarter. The newly acquired Badshah business saw a growth of 33% driven by focused marketing efforts and a Dabur India Limited

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rejuvenated brand portfolio. We remain committed to exiting the year with the run rate of Rs. 500 crores from our foods portfolio including Badshah.

We continue to drive our distribution expansion initiatives. Our direct reach stands at 1.42 million outlets and should increase to 1.5 million outlets by the end of the fiscal year. Village coverage is at strong 1.17 lakh villages, being heavily supported by more than 18,700 Yodhas across the country. Edge Score, which is the marker of the efficiency of the distribution continues to see improvement and has been further improved by around 15% in the quarter.

I am pleased to inform you that the Board of Directors have approved capital expenditure of Rs. 135 crores for setting up a Greenfield plant in South India for capacity expansion of Toothpaste, Odonil, and Honey. This will enable us to enhance our presence in the South and add to our growth in this region.

Now, coming to our International Business:

With moderation in inflation and distribution changes, the international business registered a CAGR

growth of 11.7% during the quarter. This was driven by MENA region growing at 14.3%, Egypt business growing at 43% and Turkey business growing at 43.8%. Our focus on innovation and consumer-centric strategies has enabled us to gain market shares across categories and countries. Coming to the consolidated profit during the quarter:

Our gross margin saw a healthy expansion of 310 bps as we saw material deflation during the quarter. In line with our stated strategy, we have increased our A&P investments by around 36% in the quarter. We believe these media investments are essential to drive long-term sustainable growth and maintain our market leadership.

The consolidated operating profit recorded a growth of 9.5% with 50 bps improvement in the operating margins and Consolidated PAT grew by 8%. Excluding the exceptional legal costs, our operating profit grew by 13% with 120 bps expansion in the operating margins. On a like-to-like basis, our consolidated PAT increased by 15%. Overall, while the demand scenario is still challenging, we are cautiously optimistic about the future. We will continue to drive profitable growth across our business verticals backed by investments in our distribution network, brands, manufacturing, digital and organizational capabilities.

With this, I will conclude by address and open the floor for the Q&A. Thank you.

Mihir Shah from Nomura

Mihir Shah : Sir, firstly on the Hair Oil and Oral Care portfolio , in Hair Oils, Dabur's performance seems to be better while in Oral Care, the value growth now is in line with the market leader, can you share what is working for us in the Hair Oil portfolio and can this outperformance continue while

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in Oral, what steps can be taken to get growth back to a higher trajectory? Is pricing growth under consideration?

Mohit Malhotra: We have a strong performance in the Hair Oil. We have gained market share of 140 bps, and this is a secular growth in all the sub-segments for Hair Oils, I think whether it is coconut oils, perfume oils, cooling oil across the board we gained the market shares leading to substantial improvement in our market performance. So, if you look at the Amla portfolio, even perfumed oils have also grown, we have gained market share. Sarson Amla has also done well. Coconut oils have also registered 50 bps gain in the market shares for us. So, overall, while the primary sales growth is at 4.5 %, our secondary business actually improved further on, and we think the traction will continue. At the end of the day, we have only around 16 %-17% market share. We see headroom of roughly around 80% -85% of the business there for us. Dabur is doing great in Hair Oils and we are pivoting one thing that we are slow in Hair Oils in terms of premiumization. We are stepping the pedal on the premiumization in Hair Oils also and trying to plug the gaps wherever we are not present. In the last year, we closed the gap with cooling oil with launch of Cool King and Cool King has attained the relative market share of around 3 to 4% . If the coming summer is great , I think we will again ramp up our cooling portfolio. Ayurvedic Hair Oil which we launched in South India is also showing traction and we are launching premium variants on e-commerce and on modern trade . That is as far as Hair Oil is concerned . As far as Shampoo is concerned in Hair Care, category is growing by 3%, we are growing by around 11 %, thereby substantial market share gains there. Our sachet portfolio has gained substantial ground in rural driven by distribution and in modern trade and e-commerce our large packs are continuing to do well. As far as Oral Care is concerned, our growth is 8% backed by volume growth of 5% as compared to the competitor where it is only 2%. So, therefore we are substantially increasing our penetration

on. We are the number 2 brand in the country now after the market leader and we placated the #2 player who happens to be a very big player. We plugged the gap in Oral Care also in terms of Gel. Bae Fresh gel is what we launched in a couple of months back and that has notched up turnover around Rs. 17 crores and gained the market share of about 1% to 1.5% in the Gel category. So, we are also looking at plugging the gaps through the other parts of our portfolio, such as Dabur Herbal which continues to do well, growing ahead of the curve. So, we have grown around 8.8% as far as the toothpaste is concerned and Meswak we have registered a double-digit growth on the back of market share gains . So, our herbal portfolio still a lot of work needs to be done there. There we tested ourselves in the South of India and we will be sending our Herbal toothpaste portfolio across India also. That is as far as the Oral Care portfolio is concerned. The penetration of the Herbal category has actually gone up in the market and I think on the back of that tailwind , we will continue to ramp up our Herbal Care franchise as well.

Mihir Shah : Sir, my second question is on the Healthcare portfolio, can one expect the late onset of winter benefit 4Q sales or will the inventory in the channel be sufficed to take care of the demand? And can you also talk about the progress in the therapeutic initiatives that we had called out earlier ?

What kind of incremental sales can be expected and from when can we expect that, sir?

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Mohit Malhotra: Yes, there is not much implication on the weather as well as the Hair Care portfolio is concerned. So, I think Hair Care winter is muted, so we feel that Hair Care trajectory of double digit secondary growth for us will actually continue going forward and we will continue to surge ahead of the category growth rate and gain market share as far as Hair Care is concerned and focus on the potential there, like I told you, 80% market is still there. In Shampoos, our market share is only 7% and around 93% of the market is there for us to take and the herbal categories or tailwind on back of that we continue gain shares in Shampoos and also Hair Oils . So, if the summer is good and Hair Care for skewed for us since the summer is good, I think the business will turn up well , but our strategy doesn't change . I think as far as Amla is concerned our strategy is to have flanker brands but our core brand is Dabur Amla and create moats around that and be present in terms of pack price architecture on all price points of Hair Oils. As far as therapeutic portfolio is concerned , we created this division for the advocacy , which is also selling the

products and it has grown by around 14.8%, around 15% growth of therapeutic portfolio which is driven by Baby Care, our branded ethical division and also our pharmaceutical division by which we go to the dermatologist. So, that is trending well and doing well.

Mihir Shah : Sir, I was asking for health supplement, the H ealthcare, not the H air Care, sir, the late onset of winter on H ealth supplement healthcare portfolio ?

Mohit Malhotra: No, my mistake, so yes, health supplement business definitely got impacted because the winters have been little muted, contracted and also delayed , so all the three factors in the winter impacted our Health Supplement portfolio. Basically , Chyawanprash and Honey as we categorize in it . Chyawanprash did get impacted and therefore the growth was very muted. We had a flat growth as well as Chyawanprash is concerned. So, that we put in the store , but one good thing what is happening is that the winter is getting delayed. So, whatever stocks that we put out there to the stock is going to get now lifted in the marketplace and the STRs will get liquidated . The winter is getting delayed, and offtakes

will happen , while the trade will not take more stock. So, the growth will be what the growth is in Quarter 3 , but the offtakes will happen going forward in the quarter 4 for us. So, I think flushing out of inventory will happen there . As far as Honey is concerned, we have seen 11% growth. As far as Honey is concerned, in terms of penetration of the category, Honey category is doing well and we are ahead of the pre-COVID category growth levels also and it has stabilized. We have gained market shares in Honey by around 33 basis points, and it is doing extremely well for us . So, all the new players who made an entry in the Honey category have been placated by Dabur Honey, and we continue to make good progress on Honey and the category is also growing well as far as Honey is concerned. We are looking at modernizing Honey. We have launched premium variants in Honey called Organic Honey, Forest Honey, Sundarbans Honey, etc., they are all getting good traction in the marketplace. They are also squeeze brand with multiple SKUs around the marketplace which is facilitating the breakfast usage from medicinal usage to breakfast usage . Our glucose portfolio is also fine. Glucose has also increased market share although winter not being the right season for glucose consumption for us . So, that is the health supplement portfolio for you.

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Mihir Shah : Sir, one last bookkeeping question, a djusting for the Rs. 22 crores of one off of legal cost and other expenses, the cost has still gone up, i s there any additional cost or will this be the new normal going forward?

Ankush Jain: Just to clarify excluding the legal expenses , increase in other cost is 10% . But if you see at times phasing of certain expenses can happen , but if you see YTD excluding legal costs our other expenses has grown by only 4%.

Abneesh Roy from Nuvama Institutional Equities

Abneesh Roy : My question is on Shampoo business , it is your star category within your mix, so 11% Y -o-Y growth and 15% CAGR over 4 years . I wanted to understand is pricing a big component of this both on Y-o-Y and 4 -year CAGR basis and in terms of the naturals within Shampoo, how would that move within the last four years because the growth seems much stronger than the industry growth rate of 15% CAGR over the last four years ?

Mohit Malhotra: So, I think we have been sustainably growing so I am commenting upon the recovery. I think it is sustainable enduring growth that we have shown quarter -on-quarter . There is no recovery here as such. Just commenting on your choice of words ., As far as Shampoo is concerned all the Shampoo business, yes , our growth has been industry beating growth of around 11% and the growth coming on back of both rural and also urban . In rural, our sachet distribution has actually gone up and because of sachet distribution, I think this growth has come because we put ahead of the curve rural distribution network and infrastructure . We are actually riding the infrastructure and that is where the growth is coming. So, sachets are quite sensitive to your point and we are maintaining the pricing . There is no price growth here. It is more volume growth, the entire growth is volume growth as far as sachet is concerned . Now coming to bottle , bottle is more modern trade and e -commerce phenomena. We are introducing premium ingredients in our shampoo which we think will... it is early days for us to comment , but I think premium portfolio in bottles should be driving pricing growth. As far as our regular bottle is concerned, we are driving bottles which is very low , 20% of our overall portfolio and which is continuously growing and gaining market share in modern trade and e -commerce. So, that is as far as and there is a huge headroom in Shampoos to your point because our market share is only 7% here.

G

agan Ahluwalia: And herbal category is still very small.

Mohit Malhotra: And herbal category is strong with the higher growth rate as compared to the non-herbal category here also which is basically mirroring the Oral Care. Oral Care, the herbal category is around

30% and we feel in shampoo also it has potential to go up to around 30-31% the way it is as far as Oral Care business in shampoo.

Abneesh Roy : My second question is on Oral Care. So, when I compare market leaders performance in Q3, they claim to have grown double digits in toothpaste with the low single digit volume growth,

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which implies almost high single digit price plus mix growth, so if you could tell us what kind of price plus mix growth you would have seen in toothpaste? And second, when I compare your portfolio and toothpaste versus the market leader, clearly, in Premiumization you would need much more products. I do understand the gel, red toothpaste etc., but if you see consumer in terms of the market leader, the options in terms of sensitive whitening and so many products, would you also now need to think beyond the normal way which you are thinking say naturals being extended to gel etc., that is good, but is that enough from a 3-5 years perspective from a premium kind of a market share?

Mohit Malhotra: So, I think very well articulated, Abneesh you are absolutely right. As far as the first part of your question is concerned, volume and value, we have grown 8% in terms of value, which seems equivalent to the market leader, but our volume growth has been 5% implying that we have a 3% advantage as far as Oral Care is concerned. And going forward, we would want to drive our volume and increase our penetration levels, which is the strategy for the core that we do. But premiumization and trying to plug the gaps where market leader is paving the way, I think that is the way and also identifying more gaps in the premiumization is what we would follow. You will see that change as far as Dabur's portfolio is concerned. So, we are working on the same and trying to capture those premiumization in the segments, which includes widening, which includes 21.20, which includes gum, which includes sensitive etc., so our four-year CAGR is around 11% in Oral Care, and we have been growing ahead of the category and we feel natural as a sub segment is growing 200 basis points ahead of the non-natural. That tailwind is there and natural plus identified benefit is the way to go in the market. That is what ...you will see those changes in the next 2 to 5 years. Five years is a long period. I think in the next year, you will see a couple of initiatives from our side.

Abneesh Roy : Sir, last question is on Badshah, so Q2 Y-o-Y growth was 16%, which has jumped now to 33% that is a sharp acceleration, but there is a sharp inflation also in spices, so this good recovery in terms of growth number, how much is because of pricing and in terms of exports and going beyond the two states, what is the status on that?

Ankush Jain: In terms of volume, volume is close to 20-22% and balance is pricing, 9 to 10% and currently it is primarily in two states, a bit of export we have started. There is still alignment going on with certain countries, but most of this growth, I would say 90% of this growth is coming from organic sales states only, as of now. There are plans to expand it to other geographies and we are aligning our route to market with the current setup.

Mohit Malhotra: So, just to add to what Ankush has just said, I think huge vectors of growth possible in Badshah, and first of all, as you know, spice is very customized to different region. So, today we are only relegated to the western region and there is a potential of enhancing the portfolio from the western region relevant product portfolio to more North driven to

South driven which is what

we guys are working in terms of portfolio expansion. Then distribution expansion - we are only limited to Gujarat and Maharashtra. I think going forward we will extend ourselves to a adjoining

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states which is what the plan is to extend it to Madhya Pradesh and Rajasthan also. We will extend distribution there and leverage the Dabur distribution and expand our distribution reach. The third vector is international business. International business to your question has a good potential. Currently it is 5-6% of Badshah sales and going forward it can go up to almost 30%. So, the potential is there. Therefore gradually, slowly, we will be inching up our international business. We are in the process of regulatorily confirming our portfolio to go to markets like US and UK as a regulatory conformance is in place and we have GMP practices. We will start exporting and the demand is there, but we are not able to export there. Then, the fourth vector is our gaps in our pack price architecture. We have gaps in our portfolio in terms of Rs. 5, Rs. 10 packs. I think that has to be plugged also. And then the fifth vector is advertising and demand generation. We have barely done advertising on the western and regional channels. National we have not even started advertising the brand. So, huge growth potential and we see in the category is very big. Our market shares are in the range of around 2-3%. So, I think there is huge headroom to grow there.

Arnab Mitra from Goldman Sachs

Arnab Mitra : I read the comment on your release which talks about rural growing ahead of urban by 200 bps, this is kind of obviously a bit contrary to what we have heard from other companies. If you could just help us understand, is it specific to you because of initiatives or there are certain categories where you are seeing rural grow ahead of urban and how do you see this pan out?

Mohit Malhotra: So, I think Arnab that is specific to us, so our rural growth is in the range of around 6- 6.5% as compared to urban which is around 3.8% which consolidates to around 5% growth. It is growing on back of our initiatives are being taken on back of building infrastructure and our reach in terms of distribution points have moved up from 100,000 to 1,17,000 villages. We have added around 7,000 Yoddhas in past quarter and overall, our Yoddha network has gone up to around 18,700 Yoddhas now. So, I think the playbook for seeding or infrastructure investment in the rural is well on way. As far as direct reach is also concerned, our direct reach has moved up by 2 lakhs, the highest in the FMCG sector and direct plus indirect as far as the reach is concerned. So, around 2 lakh outlet reach has increased. So, that is tremendous. I think a lot of execution has been done and the next to leverage this infrastructure that we built, we have also curated a rural portfolio, which is accessible price points in all our power brands, so which creates, which is like a portfolio for people to carry in the rural and that has also helped the rural growth to surpass the urban growth for our case. But it may sound that urban growth is muted, but both are urban and rural growth is ahead of the category growth. Even in urban areas we have actually increased market share and our growths are higher than the FMCG growth in urban in our respective category. There it is up by 100 basis points and rural it is up by 400 basis points from our subscribed category growth rates. So, that is where we are.

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Arnab Mitra : And just a follow up on that sir, this rural expansion that you have done, do you see this as a continuum where you continue to expand over the next few years or with this expansion, you now take a pause and try to get more throughput and use this infrastructure better?

Mohit Malhotra: So, not really, I think we are on a path to only expand the distribution, there is a huge headroom and a lot of FMCG big boys are actually paving the way and showing us, the best-in-class examples and we have to just follow those examples and not much brain work happens here. So, there are 6 lakh villages, we are barely reaching out to 1.10 lakh villages, we have targeted ourselves to go up for 1.2 lakh villages going forward. Next year it will be 1.3. So, we will keep adding the number of villages here and the Yoddha network and the playbook like I was saying is already in place for us. Portfolio has been curated, so we will be adding the price points in the portfolio to leverage because Rs. 5 is now Rs. 10, Rs. 10 is now Rs. 20, so the pricing ladder has to be created for the rural and that is what we are looking at which helps us increase the penetration. So, this journey will continue in the rural growth. And there is no question of taking a pause and consolidating the rural. I think expansion will be the name of the game in India and across geographies whether, even for South and I think there is a huge potential to grow.

Arnab Mitra : And my last question is on margins. So, in the last two years, we have seen the fourth quarter margins suddenly to be much lower than the first 9 months because of probably some phasing in other expenses, so just wanted to understand, like your first 9 months EBITDA margin has been 20% despite the legal cost being there, is there any reason to believe this margin would be much lower in the fourth quarter because of phasing or the last two years for aberrations? Because this change wasn't there in the previous pre-COVID period as we have seen?

Ankush Jain: Yes, so I think first of all, you can't see sequentially our margins. The margins are in our business pretty seasonal. The last quarter is heavier on certain product mix and hence it is lower. So, it can't be 20% even in Q4 and if you see our 3- 4 years trajectory that has been the case. Q4 margins are the least while Q3 are the highest because we have Healthcare portfolio and so on and also some bit of expense phasing might happen, but I would summarize by saying that the expansion in margins will continue albeit at a slightly faster pace in Q4.

Mohit Malhotra: Yes, and one of the reasons what Ankush alluded to is because of the seasonality, I think our food business becomes more salient because summer loading happens, so the consumption of food beverages happens there. That is why there is a little bit of lower margins, but upside on margins will continue the way you have seen in Quarter 3 because the raw material prices continue to be benign. We have already given you guidance of around 19.5 margin and any upside in gross margin will be deployed into media. We continue to do the same and make all of the efforts to reach to 19.5% margin despite the legal cost hitting up of around \$10 million which is what the legal cost in YTD. It might go up to around 10-12 million actually. So, despite the legal cost, we are making all our efforts to reach around 19.5.

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Harit Kapoor from Investec

Harit Kapoor: I just have two questions. I just wanted to get your sense on what is your prognosis and we were given almost 46% of the India portfolio is there, yourself are doing well, but the market as a whole has continued to be challenging. In the last one year most of the comments of FMCG companies have suggested that recovery is likely, maybe near to medium term, but it hasn't really come about, where do you think are the top two or three key indicators there that can turn to make this slightly more full-fledged recovery in the rural market, just wanted to get your thought on that?

Mohit Malhotra: So, I will try to answer the question. So, please interrupt me in case I don't answer your question.

I think the rural if you look at the rural, it got impacted and if you look at the FMCG, growth in urban and rural, rural actually has gone down in the past two quarters now. And I think my hypothesis or my prognosis is that it has gone down because food inflation has started once again or has not abated. So, if you get fruits, vegetables, spices, cereals, etc. we have seen inflation pick up in the range of around double digits now and when it is rural, per capita incomes are lower, the incomes are skewed towards consumption of essentials and therefore discretionary gets impacted and that is why there is a slowdown. We have given a very contrarian sort of results because of the initiatives that are spoken to Abneesh's question because of village expansion, our outlet expansion, our portfolio creation, that is why we could beat to what the market is saying. But that said, there is a year-on-year growth as far as the rural is concerned. That, I think, is a positive sign. If you look at the sentiment, consumer sentiment in the market where rural plays a very big part, that is improving, that is in the region of around 90% and elections are approaching. I think there will be a lot of government investment which will happen on infrastructure which will help rural and also some dole outs should be given by the government to the rural which will only increase the disposable income for the rural pick-up to happen. But the gap, one very positive sign that I have seen once again is and the prognosis is that the gap between the urban and rural is reducing for last three quarters. We saw a gap between urban and rural of 800 basis points, it got reduced to 600, to 400. Now it is only 200 basis points, if you see. That is the difference. So, as the gap narrows between urban and rural with price going up, I think rural recovery is imminent to happen in the country but for one or two quarters. We will see the rural recovery is on way and election I think will only help the rural recovery and also will help the urban.

Harit Kapoor: And one short question, you have dealt with this legal issue for the last two quarters, at least a few months now, just wanted to get your sense on where we are here and any visibility on how long we may have to kind of deal with these three quarters, six quarters, eight quarters, any sense on that?

Ankush Jain: So, Harit, I think it has been now two-three quarters, while our teams have been in engagement with the lawyers. They have been in the middle of discovery phases, discussions with the lawyers, etc., but one or two positive news I can share. The courts have decided on corporate Dabur India Limited
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separateness, which means that the case is now restricted only to products sold in US by Namaste Legal Entity. So, any of the Dabur affiliate or Dabur products are out of the scope of this case, which means it impacts way less than 1% of our turnover any which way, and it is only restricted to US as of now, and not for products sold anywhere else in the world. And even Namaste products sold outside of US are outside the purview of the legal entity. That is a positive development while we are still in discussion and some bit of relief we have.

Sheela Rathie from Morgan Stanley

Sheela Rathie: Just extending to the previous question on the litigation related issue, just want to be sure that with respect to the legal cost, is there any change in terms of how we should see the impact on the P&L, at least for the next 3-4 quarters?

Ashok Jain: We have in the recent past changed our lawyers. Earlier we had one of the lawyers whose fees were much higher than the present lawyers whereas in the effectiveness of the two lawyers, they are as competitive as the earlier ones and the cost with effect from say October onwards has already reduced. And we do not see that the

same cost will be there in the financial year 24-25.

It will be lower than what has been in this current financial year, 2023-2024.

Sheela Rathie: If you could just give us some idea as to how much that would be?

Mohit Malhotra: As you see, roughly we are spending roughly around Rs. 20 crores is the cost that we people are incurring, so that cost will remain for the time till the case actually is lasting, but we already have product liability insurance in place. This cost is pertaining that we are incurring is pertaining to the lawyer fees, which is what we are incurring from our pocket, but any cost that comes in as outcome of the final judgment of the case, just in case, it comes will be covered by

the insurance and we have a product liability insurance in place for that.

Ashok Ja in: And even on that I will add to what Mr. Malhotra said, the legal costs are also covered under the insurance policy. Currently to be on the conservative side, we have provided the full legal cost and whatever recovery we will have from the insurance company that will be as a profit to the company.

Sheela Rath: My second question again is a repeat on rural trends. Mohit, I just want to understand, are there specific markets for us, I believe particularly North India, which have been doing well for us? Is there any particular insight you could give us for us to believe that this trend will continue even going ahead? I understand the distribution expansion which we are talking about and a rural portfolio which we have created, but is there anything more detailed which you can help us to understand that this quarter we have seen 6% growth, and this is the gap we should continue to believe that it will continue even going into the ongoing quarter as well as the next?

Mohit Malhotra: Yes, as far as the geographical mix, Sheela is concerned, I think our stronghold remains North India and East India. So, in East India and North India, which is also a rural salient kind of

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geography, there we have made substantial progress in terms of our tentacles expanded and our footprint expanding here in the rural and that has actually given us the good growth. That said, even on back of Badshah distribution and now Badshah and Dabur is going into rural West, I think on back of that, we are saying the rural actually reached the people in West. South was a little not so great for Dabur because we don't have that kind of a brand to begin a strength in South. So, that apart, but the major part of the business, South only contributes to approximately 20% of our business, 80% of the business comes from the other parts of India, where our rural distribution coupled with our brand equity and coupled with our portfolio creation has really worked well for us. And also advertising that we have increased by around 30% in India, helped off-takes to happen in the pan India Hindi belt so we say. So, I think it is more UP, MP, Bihar, Rajasthan, Maharashtra, I think that entire belt is pretty salient for us now there. I hope I have been able to address this.

Sheela Rath: And just the third question and the final one is with respect to us gaining a very strong market share with respect to the Odomos and Odonil portfolio and if we could also touch upon LVP (liquid vaporizer), it would be very helpful.

Mohit Malhotra: Sorry, Odomos, Odomos is the last half of the question I couldn't gather?

Sheela Rath: I saw that brand name on the presentation. I think that's your liquid vaporizer.

Mohit Malhotra: LVP, I get you. So, the earlier strategy for the business was to keep us as restricted to Odomos personal application product cream, which was the product application, dermatology application and we have changed our strategy from not just restricting to a small market of personal application creams, to increasing the addressable market to

the larger market. That is where we

have extended Odomos from a personal application cream to oils now, to gels now, to also now LVPs now. So, as far as Odomos is concerned, it is a mosquito repellent for us and that is the market that we are addressing. So, it is like a H1 market for us that we are expanding itself to.

On the back of that strategy, I think premiumization is working on Odomos for us and also format extension. On back of that, there has been a huge growth and thousands of bps gained in the personal application category because all these extensions are added back to the mother brand and the mother brand is adding back to the extensions also. So, it is working very virtuously for us. As far as Odonil is concerned, we are again doing the same thing in the air freshener category.

We are extending ourselves to all the formats. Earlier, Dabur was only restricted to Odonil blocks, which are basically toilet air fresheners. Now we have extended ourselves to air fresheners for rooms. We have extended ourselves to gels. We very recently added a gel pocket in it, which has done exceedingly well. Zipper pouches have done well, so all our innovations are actually firing. We are looking at driving solutions also here. So, all back of all that, I think the business is really trending well. Our NPD in overall home care would be in the range of around 3 to 4%, but under the power brand architecture, we don't require additional investment. So, when we advertise a new variant like an LVP, we have just taken Kajol on the brand, and I would request the investor team to share the creatives of Kajol with you on LVP also to the

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entire community. That is really adding back to our Odomos. We have generated, it has just been around the three months that we launched it and we have generated a business of around Rs. 7.5 to Rs. 8 crores on LVP and that is our strategy which is firing in the home care for us here. And in Odonil there is a pathway for premiumization to happen, we have also introduced diffusers. So, if you can go to Amazon, you will find Odonil diffusers now. They have got listed on

Amazon, and that is the news that we got today. So, that will be very premium in adding to gross margin. Likewise, all our key power brands will have premiumization as we speak by value-added products being introduced in them.

Shirish Pardes hi from Centrum Broking

Shirish Pardeshi : On slide 9, your comment is newly set up therapeutic division has reported double digit growth, so I think last time when we met it was a lot of excitement we have seen around , so maybe if you can give more color what is the depth, what is the distribution, what are the products which are firing and maybe more color on that what is more needed to do in that newly carved out divisions ?

Mohit Malhotra: So, Shirish, there is still a lot of excitement around it. As you know, Philippe has joined us, who has been appointed as the Chief Executive of Himalaya. I think the news becomes old, but the excitement still remains. So, I think there is no lack of excitement here. Philippe is driving the business very well. We have created this advocacy vertical in which we are actually creating a bridge from Dabur to the allopathic doctor. Till now our connect used to be the Ayurvedic doctor. The change of strategy is that we will now do advocacy to allopathic doctor. It is going to be a slow burn, but surely a good return business in the long term. In one or two, three years, we will be able to bridge the gap that we had between the doctor and Dabur and Dabur ought to be considered only as Ayurvedic, but as a scientific Ayurvedic organization selling and doing advocacy and providing science of efficacy to the allopathic doctors, which is one of the reasons why they don't subscribe to complementary or supplementary medications to al

lopathic medicines. So, that was the whole logic of the strategy of building this advocacy vertical. We merged our Pharma division with our branded ethical business and also our Baby Care business , so all the three have been clubbed together. We are selling therapeutic dermatology products here and we are selling Baby Care products, and we are selling our branded ethical products in addition to single herbs and nutraceuticals through this portfolio. This portfolio is doing very well. We have got growth of around 40 -50% on us, whereas the division has just come in place and we are looking at incremental turnover coming from the two.

Ankush Jain: So, I think, Shirish, almost Rs. 95 crores we have done so far in 9 months, 30-35 cr average per quarter . And YTD growth is almost 21% of the whole portfolio while Q3 is 14%, the YTD growth is 21%.

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Shirish Pardeshi : Ankush, on the margin front though Mohit has said that we will maintain between 19.5-20%, but at this point of time if I need to check which are the raw materials looking inflationary or maybe if you can say that how much is the deflation which you are seeing?

Ankush Jain: So, in the current quarter in India we have almost 4% odd of deflation while global level we had 2% deflation. Going forward, while the mix of inflation is changing , it is moving . The inflationary trend is more towards food and imported concentrates etc. and spices. While we see that this should remain broadly this way at least in this quarter and the gross margin expansion, which was around 400 bps in India, consequently, should also remain slightly in this range, though it may moderate given that price increases overlap have broadly happened.

Ankush Jain: And deflation will start coming into the base and most of the HPC categories, like mustard oil, oils, etc., LLP, most of the deflationary benefits have been come so far and some bit of it will remain in Q4 as well. Next year's budget we are still in the process of making, so it will be too early to say .

Shirish Pardeshi : That is helpful, Ankush, but I was just trying to understand if this is the stability which we are seeing, is there any room for price inflation next year we have budgeted?

Ankush Jain: Price increase. Again, I think it is too early to comment on this point. Price increases, definitely will come. We continuously benchmark our products with competition also. Wherever we are market leaders, we increase our prices plus as Mr. Mohit said, there will be a lot of premiumization opportunities as well. So, a combination of that will lead to some price increases , but yes, it will moderate. We have also taken roughly in this quarter, including the overlap, around 2.5% of MRP-led price increases. Part of it will also flow in the next quarter.

Mohit Malhotra: What Ankur mentioned in addition to that, we have just taken a price increase on our foods portfolio, which is inflationary. So, in juice portfolio we have just taken a price increase, a fresh price increase. So, I think price increases going forward in the year will depend upon how the inflation is actually trending. If the inflation goes up in the food business then that portfolio will have a price increase. But as of now, for foods portfolio and spices portfolio, the rest of the raw material and the packaging material is benign for us. So, we will see expansion of gross margins on the back of the benign material cost .

Vishal Punmiya from Yes Securities

Vishal Punmiya: Just two small questions , firstly, on the e-commerce business, what has been the growth in 1 H for the business and what is the contribution?

Mohit Malhotra: Yes, e-commerce business in the current quarter, the contribution was around 8.5% and the

growth is around 20% in e-commerce. This was a muted quarter as far as the quarter is concerned, but otherwise YT

Do you see contribution of around 9% to 9.5% coming from e-commerce for us and the growth will be higher in the range of around 30%.
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Vishal Punmiya: And secondly, there have been a lot of media news regarding FMCG companies becoming slightly aggressive in terms of activations in the region of Ayodhya, and we have also launched spatial identification packs, but apart from 4Q benefit, do you see a sustainable benefit in FY25 in this region?

Mohit Malhotra: Yes, Hindi Heartland is the core for Dabur, and this is like we invest behind power brands. These are our power markets. So, we will continue to invest behind our power markets, and they give us the maximum bang for the buck in these markets. And the entire UP belt, the East UP and West UP and East UP more, East UP and Bihar more have a very high salience of Dabur. So, we will continue to invest in our core markets. They are absolutely core for us and we feel that these activations will only give us a long-term enduring gain going forward.

Vishal Punmiya: And this would be across the portfolio or is there any particular portfolio which is slightly more biased in this region?

Mohit Malhotra: So, we are basically taking the power brands only. Within power brands, Our Red Tooth paste and Dabur Amla are the most salient because Chyawanprash and Honey becomes seasonal for us. In the power brand, this is more salient and juice saliency is also low in this region. So, it is basically the HPC portfolio which is more salient here.

Vishal Punmiya: And lastly, just one clarification on the margins comment that you made earlier. So last year base obviously was a very low base quarter in terms of EBITDA margin in the region of around 15%. So, while I do understand that seasonally it is a lower margin quarter, but there would be a sharp increase in margin even if you build 19.5% margin in FY24?

Ankush Jain: Vishal, it is the question of Q4. As I said earlier, you can see some margin expansion. Q4 obviously is a different product profile and hence it is slightly lower than the overall first nine months margins. Having said that, our assessment at this point of time is that the expansion in margins would definitely be higher than what it has been in past nine months. So, if our expansion in margins, including the legal cost is 50 bps as of now. In quarter 4 it will be higher than that.

Priyank Chheda from Valium Capital

Priyank Chheda: Sir, my question is on the Ayurvedic or the therapeutic strategy that we had discussed while we met in the investor annual meet and I just want you to touch base upon the incremental sales that we were targeting, so from Rs. 2,500 crores to Rs. 5,000 crores, this is the incremental sales of Rs. 2,500 crores over 5 years, how will this be divided across the existing categories and also the new categories like Baby Care, Tea and the therapeutic, allopathic side? If you can help me on that, what has been the progress in terms of any numeric data that you would like to share that you would want us to track?

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Ankush Jain: Right, so I think NPD contribution is innovation contribution, the growth will actually come from the power brands because there you are already listing out the 4-5 power brands that you already have in the healthcare portfolio. Like Honitus will drive the cough and cold, Hajmola will drive the digestives, Hajmola is there, Chyawanprash is there, Honey is there, these are the power brands and most of the growth will be centered around these power brands. NPD contribution will be in the range of around 3-5% is coming in, which will be driven by more Baby Care. Baby Care, we have already notched up a turnover of Rs. 27 odd crores, which is almost double of what we have done last year this time. So, that has done well for us. Then branded ethical

di vision, which should contribute to the growth. We have introduced Chai Tea. Dabur Vedic tea has introduced a turnover of around Rs. 10 odd crores and that is doing well and showing good traction in the marketplace. MFD is what we have introduced that should also come in and help us in the growth. The Nutraceutical verticals that we are adding to the therapeutic divisions is selling that and that should notch up in terms of sales and pretty much, so I think around 3.5% to 4% should come in from the NPD and rest will be the power brands in the healthcare portfolio should contribute to that growth in healthcare.

Priyank Chheda: And if I heard it correctly, the therapeutic division is right now contributing Rs. 95 crores over the last 9 months, which means that we are at a run rate of Rs. 25-Rs. 30 crores per quarter, am I correct?

Mohit Malhotra: Rs. 35 crores per quarter, correct .

Priyank Chheda : And we had a team which was working with Philip e Haydon and the team, which was going to target the doctors , what is the count if you can help me with that? We had 500 people recruited for that and what has been the increase in doctor coverage? I mean numbers on that if you want to highlight .

Gagan Ahluwalia: I think that the numbers have not changed significantly right now, but we are on the track of slowly increasing our coverage. We are right now consolidating the processes and the system.

And by the end of the year, we will be able to give you a better update on where we stand on the coverage.

Priyank Chheda : Does this mean that FY25 will have significant developments done on this whole of the therapeutic segment linked to the power brands? Should we see more developments happening and more action happening in FY25?

Gagan Ahluwalia: Yes, certainly there will be new product launches, there will be ramp -ups of therapeutic division and of course a lot of investment behind power brands which will help us move towards our objectives for the next year.

Priyank Chheda : And just a clarification again , on the Rs. 35 crores per quarter run rate or Rs. 100 crore sales via therapeutic segment are something which was not there in the previous years before we activated this new category or new segment , correct?

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Ankush Jain: No, Priyank, it was in the base as well, but because of the enhanced focus, the growth has been around 20-21%.

Gagan Ahluwalia: Accelerated.

Ankush Jain: Yes, it has accelerated our growth . So, it was in the base, and the growth has accelerated.

Priyank Chheda : The sales were there in the base, but because it is going at 30%, so we should consider that it was earlier Rs. 70, Rs. 80 crores, which is now Rs. 100 crores ?

Ankush Jain: Yes, correct.

Mohit Malhotra: We are reaching out to pediatricians, GPs, dermatologists and gynecologists. So, in the quarter, the number, if you want to know, 22,000 is the number of pediatricians we reach to and around 12,000 are the derma ts and around 22,000 are the gynecologists that we reach out to and that i s what , so around 70,000 -75,000 doctors broadly totaled is what we are reaching out to. And the universe is obviously very huge, so we are just scratching the surface and this we are reaching out with some addit ional recruitment and with the existing team. We will be adding personnel as the portfolio keeps expanding and recently we have added more people . So, that is broadly . Exact numbers I think as we are preparing the budget, we can s hare with you in the next concall.

Gagan Ahluwalia: Thank you everyone for your participation in today's learning call. The webcast, audio recording and transcript of this call will be available soon on our website. Thank you and have a nice evening.

Call: May 2024

Ref: SEC/SE/2024-25

Date: May 8, 2024

To,

Corporate Relations Department

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai- 400001

BSE Scrip Code: 500096y^^r^

T^Sur

Mndla Ltd.

National Stock Exchange of India Ltd.

Exchange Plaza, 5th Floor

Plot No. C/I, G Block, Bandra Kurla Complex

Bandra (E), Mumbai-400051

NSE Scrip Symbol: DABUR

Sub: Transcript of Investors' Conference Call for Dabur India Limited -

Q4 FY 2023-24 Financial Results

DearSir/Madam,

Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on May 2, 2024 post declaration of Financial Results for the quarter and year ended 31st March 2024. The said transcript is also available on the website of the Company at www.dabur.com.

This is for your information and records.

Thanking You,

Yours faithfully,

For Dabur India Limited

-(^4^

(A' K Jairt)

EVP (FMance) and Company Secretary

End:as above

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PAN: AAACD0474C, CIN: L24230DL1975PLC007908, Email: corpcomm@dabur.com. Website: www.dabur.mm

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Dabur India Limited

Q4 FY '24 Results Investors Conference Call

May 02, 2024

MANAGEMENT : M R. MOHIT MALHOTRA - CHIEF EXECUTIVE OFFICER

MR. ANKUSH JAIN - CHIEF FINANCIAL OFFICER

MS. GAGAN AHLUWALIA - VICE PRESIDENT

CORPORATE AFFAIRS

MS. ISHA LAMBA - HEAD, IR AND M&A

MR. N. KRISHNAN - DEPUTY GENERAL MANAGER ,
FINANCE

Dabur India Limited

May 02, 2024

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Gagan Ahluwalia: Thank you. Good afternoon, ladies, and gentlemen. On behalf of the management of Dabur India Limited, I welcome you to this earning conference call pertaining to results for the quarter and year-end of March 2024. Present here with me are Mr. Mohit Malhotra, Chief Executive Officer,

Mr. Ankush Jain, Chief Financial Officer and Mr. N. Krishnan, D GM-Finance, along with Ms. Isha Lamba, as Head, IR and M&A. We will start with an overview of the company's performance by Mr. Mohit Malhotra, and this will be followed by a Q&A session.

I'll now hand over to you, Mohit. Thank you.

Mohit Malhotra: Thank you very much. Good evening, ladies, and gentlemen. Welcome you to Dabur India Limited's conference call pertaining to the results for the quarter in the year-ended 31st of March 2024. During the quarter, the operating environment was largely in line with what has been in the preceding quarters, with some uptick in rural consumption, which grew ahead of urban for the first time in the last three years. The input cost environment has been largely benign, as deflationary trends continue in Q4. The currency devaluation continued across emerging markets, impacting translated growth in INR.

Climate changes marked by uneven weather patterns, such as unseasonal rainfall, delayed and contracted winters, impacted our seasonal portfolio. We remain optimistic of the gradual uptick in consumption trends over the course of next fiscal year, considering normal monsoon, improving macros, continued government spending and lower inflation.

In this volatile environment, Dabur delivered a resilient performance. Our consolidated revenue grew by 10.1% in constant currency terms and 7.6% in INR terms during financial year 2024.

Indian business, including Badshah, grew by 7.7%, backed by volume growth of 5.5%, and international business registered a growth of 16.4% in constant currency terms. Our operating margin for the full year reached 19.4%, which is in line with our guidance. On a like-to-like basis, the operating margin was 20.2%, an increase of 130 basis points. We continue to see the market share gains in 95% of our portfolio for the full year and also in the quarter.

During quarter 4, the company recorded consolidated revenue growth of 7.3% in constant currency terms and 5.1% in INR terms. Our India business, including Badshah, reported 5.6% growth, backed by volume growth of 4.2%. Consolidated gross margins expanded by 280 bps and operating margins were up 14% YoY. Profit after tax recorded a growth of 16.2% during the quarter.

In terms of categories, HPC portfolio recorded 8.1% growth during FY24. I will now cover each of the sub-segments in detail. Our Oral Care penetration has reached 52%. With every second household consuming the other oral care product, we are nationally the number 2 player in the oral care category and gradually becoming number 1 in many of our geographies. In Orissa, Karnataka, and AP, we are already number 1. Our strategy of driving the herbal category with Dabur Red being the core is working well for us.

Home Care continued a strong double-digit growth trajectory for FY24 led by Odomos and Odonil. We saw our market share in mosquito repellent cream category expanding by 600 bps and in air freshener category it expanded by 260 bps. In line with our strategy to increase total Dabur India Limited

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addressable market for Odomos and Odonil, we have forayed into liquid vaporizers and Odonil gel formats.

In the Hair Care category, Hair oil gained 115 bps market share during the year. Our strategy of building Dabur Amla and flanker brands is yielding good results. Our Shampoo Portfolio is continuing its growth momentum and this year we registered a growth of 8% led by the Vatika franchise. In skin care, Gulabari grew by aro

und 18% in the year led by premiumization

initiatives and extending the franchise into adjacent categories like body wash.

The Healthcare Portfolio grew by 4.2% in FY24 led by Digestive category which witnessed a strong growth of around 16% led by Hajmola and consequently our market share in the Digestive category increased by 210 bps. In OTC and Ethical vertical, market share in Honitus and Lal Tail increased by 114 and 70 bps, respectively. Due to delayed and contracted winters, our Health Supplement Portfolio got impacted and was flattish. However, we have continued to consolidate and gain market share in Chyawanprash and Honey. We are undertaking multiple initiatives like newer formats, doctor advocacy, all weather communication to enhance consumption, relevance, and penetration of health supplements.

Our Beverage portfolio was flat during the year on account of unseasonal rains during the peak summer season. However, the foods business which includes culinary products under the Home made brand recorded a stellar growth of 23.2%.

Badshah business reported a 23.3% growth during the year with gain in market share.

Emerging channels like e-commerce and Modern Trade are the fastest growing channels driving urban growth and contributed to 19% to 20% of the India businesses. Our digital spends have gone up to 30% of our total media spends.

Distribution expansion is a key growth lever. We have expanded our reach to 1.22 lakh villages through 22,000 Yodha's. Direct reach for the company has gone up to 1.42 million outlets and total reach is at an all-time high of 79 lakh outlets. We have added 2 lakh outlets during the year,

the highest addition among all FMCG peers.

Therapeutic division which is our doctor advocacy vertical is scaling up well and we now cover around 1.1 lakh ayurvedic and allopathic doctors with turnover of more than INR120 crores. International business grew by 16.4% in constant currency in FY 24 led by strong growth in Turkey which grew by 52.3%, Egypt that grew by 46.6%, MENA markets that grew by 12% and Sub-Saharan Africa that grew by 15%. However, we lost 2.5% of our top line due to currency devaluations.

Let me now talk about profitability. Our gross margins expanded by 240 basis points during the year and 280 basis points during the quarter 4 on account of deflation and cost savings initiatives under project Samriddhi. We remain steadfast in investing behind our brands and as a result of this, we have increased our spending in A&P by 33%. Our consolidated operating profit grew by 14% during the quarter and 11% in FY24.

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Adjusted for legal costs, our operating profit grew by 16% in Q 4 and 15.2% in FY24 touching 20.2% almost near to pre-COVID levels. Our PAT grew by 16.2% in Q4 and 7.9% in FY24. Adjusted for legal costs and Badshah amortisation, PAT saw a growth of 22.7% in the quarter and 16.8% in FY24.

We are optimistic that with the expected normal monsoons and improving macroeconomic indicators government spending, lower inflation, FMCG demand will see a gradual uptick primarily driven by rural that augurs well for Dabur. We will continue to drive profitable growth across our business verticals backed by investments in our distribution network, brand, manufacturing, digital and organizational capabilities.

With that, I conclude my address and open the floor for any Q&A. Thank you.

Abneesh Roy from Nuvama

Abneesh Roy: Yes, congrats on the good set of numbers. My first question is on beverages. I understand there was a high base and unseasonal rains in the month of March. My question is, if I see even full year, your dip is in fact around 2% and dip is there even in this quarter. So, wanted to understand in Q1, very harsh summer is projected. So, would you see strong double-digit growth here coming back?

And what

it would be your target for the full year also? Because the base year is minus two. And what could have gone here better? Because there are other beverage players who are growing much faster. They may not be competing head-on, but they are broadly in the same segment on the overall level. Yes.

Mohit Malhotra: Thanks, Abneesh Yes, overall, I think beverage was a kind of a muted performance last year.

Coming on a high base, like you rightly said, but it could have been better. But during the peak of summer, we saw unseasonal rains. Therefore, out-of-home consumption got impacted. And therefore, juice consumption also got impacted. So, that was a first-quarter issue. And subsequently, also we had some supply chain problems also. We were gearing up our manufacturing in the new plant in Indore etc. So, there were some hiccups in supply chain.

Going forward in next year, I think if the summer is what it is now, what do you see? Summer is in Delhi and Bombay. But we see in some northern parts that rainfall is still persisting, and some snowfall is still happening in Kashmir area. So, it's a very high per capita consumption market. But if weather remains, our beverage business should fire. And we have taken a target of double-digit growth for the full year going forward for the beverage business.

And we've seen in the past also. So, as we go through a number of years, if there is a one year down, next year, the beverage business kind of bounces back for us. So, we are hopeful that if the weather supports us, then beverages as a portfolio should do well for us.

And we've also already made an entry into drinks and aloe vera. So, we are very well prepared in terms of augmenting our capacity also to feed the marketplaces.

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Abneesh Roy: Sure. Thanks. My second question is on Badshah. So, one is on the industry leaders like the top two players, they are facing ethylene oxide issue in SGHK. So, does that open opportunity for you? And second, if industry leaders are facing this kind of an issue, is there a risk that given raw material sourcing could be fairly common in terms of the channel?

Would you also face that kind of a risk? And second is for Badshah, how do you see growth in FY'25? I understand a lot of pricing growth has happened in the second half of the year. How do you see margins? Have you passed on fully? And how do you see overall sales growth in FY'25?

Mohit Malhotra: Right. So, first is this burning issue of ethylene oxide. Now, there are two regulatory bodies as

we see. There is a domestic regulatory body and there is an international regulatory body. The domestic regulatory body being FSSAI. So, whatever mandated regulatory norms of FSSAI are there, we are following those norms. And ethylene oxide is not a part of their norms. So, we don't give any radiation to our product when we are servicing the domestic market with this at all. So, as far as domestic is concerned, we are conforming with the regulatory norms of the law of the land, FSSAI. As far as international business is concerned, there is an Indian spice board. And all our batches go through proper screening in the Indian spice board before we send it to any one of the export markets. Ethylene oxide is generally radiated to prevent any microbial growth and this has certain limits. And we are within those prescribed limits of the spice board. EU very recently has reduced the limits drastically. And that's why the problem happened with the market leaders like it happened. But we guys are within the prescribed limits. So, we think that we are on the safer side. Whether it opens the opportunity or not, as of now, nothing from our portfolio has been caught or highlighted. So, to that extent, there could be a limited, I think, upside which could happen if the competitor is under attack. But I wish them well also. And I hope this issue is behind

the entire industry. And that the whole market should grow because the market is fairly unbranded and there is a huge opportunity to brand the market. And the opportunity is both in international and also in the domestic. As far as Badshah growth is concerned we grew by 20% plus last year partially came from price and partially came from volume. Going forward as the inflation, not inflation, but a muted inflation sets in we are single-digit sort of inflation, last year to double-digit as inflation, so some price increase happens, some roll back of prices is what we have initiated also to spur the volume growth.

And but overall we've taken a value growth of more than 20% in Badshah because a huge upside which is there in geographical expansion and international expansion and our portfolio growth in terms of entire arena is happening. And just to allay your fear on the quality we have also constructed a micro lab which was earlier missing when we acquired the company. It's now in action.

And we are sterilizing all our export batches. Sterilization is a preferred method of sanitizing your entire produce. So we are in steam sterilization unlike other competitors radiating it with lead oxide. I hope I answered your question. Then as far as margins are concerned, we think the Dabur India Limited

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margins in Badshah will expand next year because of a little lesser inflation and we have taken price increase although a little roll back will happen, but pretty much I think margin expansion will happen. So we've taken a higher growth in bottom line as compared to top line in terms of targets that we are able to see.

Abneesh Roy: Sure. My last question will be on Oral Care. All the three listed players seem to be doing well at least this quarter, you grew 22% on a soft base of minus 3, achievement of good double-digit growth and market leader also is likely to report strong double-digit growth in this part of the business. So I wanted to understand is the number four player losing market share?

Second is South India leading the charge here or is it broad-based growth which is delivering this kind of a double-digit growth? Third is could this be a precursor to revival in other FMCG categories because this kind of a growth for the full year also double digit for this quarter also strong double digits, why other categories are not showing for you and for the other companies also? So could this be a precursor or for revival in other categories?

Mohit Malhotra: So first thing, I think the entire category Oral Care is showing an uptick if you look at the Oral Care category which is 90% penetration in the country is growing at around 7.5% which is a very good growth as compared to the FMCG market which is growing at around 6%-odd. So it actually growing ahead of the FMCG market. So, Oral Care is doing well.

Now all the players I think clearly are doing well. I would not say that we are getting market share at the cost of the fourth player. While we see what is under the radar I think we're on the same page on referring to the fourth player as you are seeing, but he is also gaining market share in the Oral Care category is what we have seen This is in line with GSK, Colgate and so are we. We have gained our 20 basis points in Oral Care and all the three brands are doing well.

Our herbal toothpaste which is a new foray we have already clocked the turnover of more than INR11-12 crores in that also. Although, it's just a modern trade and selected geography norm that is doing well. Our share that we introduced last year is already clocked a turnover of about INR40-odd crores and that's towards good success in the Oral Care category. Our Dabur Red has grown by around 25%- 26% is beaten on a rural base that's also has done well and market share kind of inched up.

And this growth is happening secularly across more geographies and more

e in South India too,
because for us, at least Dabur Red is more skewed towards South India and it's doing well there. Our South India market is also doing well. Per capita income is going higher. People preferring more functional products in South of India. So that's doing well.

Now is it a precursor to other categories also showing green shoots and therefore growing. To me, I can't answer with the great conviction, but in terms of our categories I think it is because in the Hair Oil category in the last quarter has grown by 8%. If you have syndicated data to go by, hair oil as a category has grown by 8% in value. Dabur has grown by around 12% in value and which is very unlike a Hair Oil business going up.

And that actually is an illustration of the fact that rural growth is kind of coming back because it is rural and in Eastern also we've seen 120-150 basis points improvement in rural India. While
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urban growth is kind of almost remain same or a little bit come down, but rural growth is kind of picking up and that's happening sequentially in 2-3 months that we have seen. But if you actually traded back rural growth, we have seen rural growth from minus 5 gradually and slowly now it has become plus 6 almost now over 120 basis points, 130 basis points ahead of urban. So rural took time to come back after COVID. So after almost 3 years of time we are seeing that rural ahead of urban and I hope it is more structural in nature and not one off that we see.

With the infrastructure spending of the government and all the initiatives is happening and monsoon also seem to be normal going forward. I think this should auger well for all of us and the overall FMCG space.

Abneesh Roy: One small follow-up on the market share which you mentioned. So the top four or five players in toothpaste will be around 90% market share. So if all are doing well the tail of 10% is too small for others to report a double-digit number or market share gain. So if you could clarify in the last 6 months out of the top 3 listed players and maybe even number 4 who has grown faster in terms of market share? Who has a lost market share if that's available?

Mohit Malhotra: So I don't remember the number off hand, but I think Patanjali would have gained market share and they have been gaining market share consistently. Colgate in my mind has lost market share. I'm talking volumetric market shares now. So Dabur has gained market share. Himalaya has lost a bit in terms of market share and GSK has gained value market share and they have gained volume market share on back of Sensodyne.

The smaller players would have gone down and there would have been consolidation because there is lot of ATL spending also by the organized players which is kind of spurred up the growth of the category and also will lead to shrinkage in other players going down because distribution ramp-up has also happened by the organized players. And that's my sense.

Abneesh Roy: Thanks a lot Mohit. Very useful. Thank you.

Mohit Malhotra: Thank you.

Mihir from Nomura

Mihir: Hi, sir. Good evening. Congrats on good set of numbers. Thank you for taking my question. So my first question is actually on the macro front. You did mention rural is showing signs of recovery and it has been growing at about 6%-odd you mentioned.

However, when we see your volume growth and the volume growth for other organized players is lower than the industry volume growth indicating that the unorganized guys are clawing back share that they lost in the past few years.

How should one think about this trend going forward? Should one expect rural recovery to continue and organized players also to get benefit or there will be a phase where our organized
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players -- where rural will improve, but organized players will not be a key beneficiary of this

rural recovery. So that's question one, sir.

Mohit Malhotra: Yes. So I think overall -- now this is a very short time frame. As I was telling you in 3 years' time rural will just come back in like 2 months, 3 months regularly one after the other. And if these numbers are anything to go by, I think rural recovery should continue because there is such a long hiatus of rural lagging urban.

So it should continue and that should be well for the entire industry. I think it's a wave and this wave will continue for some time, and it will take all boats up. So one thing is organized players generally get better dividends when this happens because we have better infrastructure investments in place.

If I talk about Dabur here now, we ahead of the curve have put in lot of infrastructure investments, our villages have gone up from 1 lakh villages to 120,000 villages now. So

significant improvement in our village coverage. Our Yodha have gone up to around 21,500 which is again substantial improvement.

Our overall direct coverage has moved up substantially. So all of these are moats in a way to protect the organized players with unorganized players generally go through wholesale and wholesale is not easy to come by because advertising expenses as that's going up. So on price how much they can do and so during a deflationary environment a lot of unorganized players come into play and super normal profits come in.

Consumer promotions and other tactical measures and price roll back helps plugging in gaps by organized players, prevent with the unorganized players will really make a headway. To me, the dividends will be more in organized going forward. But it's different categories and different margin profiles organized, unorganized very slow category so I can't comment upon detergents. That's not where we play.

As far as hair oil is concerned, I think unorganized players are very limited. Oral Care unorganized players are fairly limited. Home Care unorganized players is fairly limited, it has been a more urban category and therefore difficult-more entry barriers, unorganized. Skin care, gulabari and all, we see some unorganized players, but then we get value offerings wherever the margins float and we edge out unorganized players.

In health care, in any case, unorganized doesn't play much. In beverages, yes, a lot of unorganized players come in it is easy to raise the portfolio. About that we are very competitive and therefore in the marketplace. So that's the flavor, Yes, on big picture. I hope I answered your question.

Mihir Shah: Yes, I get a flavour of what you're trying to highlight. Sir, on volume growth how should one think about Dabur's volume growth going forward. Over the past four quarters 3% to 4% volume growth was on a low base or a flat base. Now we will be starting to cycle 3% to 4% volume growth. So while you indicated that rural recovery is happening and you're growing ahead of peers, can we see more constructive volume growth to sustain, or do you think there will be a softness in volume growth going forward?

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Mohit Malhotra: I think the question of softness in volume growth doesn't arise. If we have to grow volume growth is mandatory to have and as far as the annual operating plans are concerned, we've taken a target of a mid-volume growth, mid- to high volume growth. If taken we have to grow at a high single to a low double-digit growth rate.

So it's not something which we can decide I think we have to grow volume growth and it's in line with our vision of Ghar Ghar Dabur and Ghar Ghar Ayurveda. So we need to increase our penetration. We are already there 8 out of 10 household, 80% penetration. If we want our entire portfolio to go to every house volume growth is something that we have to do.

It's no question asked, there are no compromises here. So

o I think volume growth will be the way

forward. Till last year, we were at least having some price increases anyway and now going forward it's going to be mostly driven by volume across categories while we budget a 3% price increase, but price increase they'll be fairly limited in some part of the portfolio while the rest will all be driven by volume only for us. So we feel it will be mid- to high single digit volume growth, top it up with around 3% value high single to low double kind of a business that we will want to achieve and that's the number that we've taken.

Mihir Shah: Got it, sir. Sir, and lastly on margins what can be possible tailwinds for gross margin given pricing will be limited going forward, mix improvement will be one, but do you see potential higher gross margins going forward? So that's my last question.

Mohit Malhotra: Yes. In terms of gross margin we've seen 280 basis points of gross margin inching up on back of deflation. So we've taken price increases. So we will see some amount of gross margin expansion, but it will not be in line with what we've seen in past 1 years, 1.5 years because we've taken drastic price increases and the rate of price increases come down. So it will not be as high as that.

And whatever gross margin improvements happen, we invested partly in media and partly flow down to operating margins. Going forward, gross margin in mid-term to long-term will grow, but not to the extent that we've grown in last year. And we also want to take up the media percentage, which is now 6% and has become 7%.

Now we want to inch it up from 7% to 7.5% to 8% even in terms of media. So with that, I think mid to long-term, our margins should improve. We've also embarked on the second leg of the Samriddhi project, which is a cost-saving initiative with the help of a consultant. And also our intervention is required for optimization of our spend and expenditures across the value chain in the company. They're working with us. So on the back of that, we should see around INR100 odd crores benefit again coming in this year on the back of cost-saving.

That should yield some gross margin expansion and therefore investment in media and operating

margins. So we ended up with an operating margin of around 19.4 . But this includes the legal cost, like I mentioned. So on a like-to-like basis, it was around 20% or so. We want to take it up to around 20%. So I think that's what I can guide you with all these initiatives put together. Yes.

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Arnab Mitra from Goldman Sachs

Arnab Mitra: Yes. Hi, Mohit. My first question was on health supplements that you've seen a big decline this quarter and also the full year has been relatively soft. So if you could help us understand, is the problem limited to Chyawanprash and how the other parts of health supplements are doing? And what's your own analysis of what is the issue with Chyawanprash ? Is the product losing appeal? What are the steps you are likely to take to get the growth back in the segment?

Mohit Malhotra: Yes. So, Arnab, hi. So there are three parts of our healthcare portfolio. The first part of our healthcare is the largest, which is the health supplement business. Health supplement business, Chyawanprash, is a relative problem. A, I think the weather did not support us. Chyawanprash generally skews towards winter and winters have been delayed and contracted. And the way wholesale or the trade behaves is typically, you know, in the beginning of the season, pull up a lot of stock and the liquidity of stock as the season progresses.

So this time, because of delayed winters, the up-stocking was limited. And whatever up-stocking happened due to contracted winters, that remained on the shelves. And because of delayed winters, the down-stocking happened. So the better thing is that we don't have inventories, too

much inventories for next year. But Chyawanprash, we are modifying the format. We have Chyawanprash in capsule form. As you know already, we are introducing Chyawanprash in gummy form, in powder form, trying to improve or modernize our format in Chyawanprash so that we can extend the usage and increase the relevance of the category and thereby increase the penetration. But penetrations have definitely kind of gone down .

So there is an endeavour by the company to have all-season communication, not keep it restricted to only winter, have a communication for monsoon, extend the TG to women, extend the TG to kids, and also do advocacy on Chyawanprash through the doctor channel and make it secularly, both ayurvedic and allopathic, both use it for immunity building.

That's what we are trying to do. Honey, was impacted by season. I don't think there's any problem with the honey. Honey will be consumed, and honey is doing well for us. We are gaining market shares consistently. There was a little stock issue on the honey and some Crystallization problems which we have corrected going forward and it was in winter and because of the spike of winter it actually happened. So that was the reason why the honey has been softer. Glucose has done well for us.

Summers are approaching, acute summers. So we had a 14% growth in the last quarter as far as glucose is concerned and increasing market shares. And globally , we are gaining market shares. As far as our digestive portfolio is concerned, Hajmola is performing well. Our new version of Mr. Aam variant launched in Hajmola is doing exceedingly well. Our Chatcola, Limcola and all other variants have done well.

Variants are contributing to about 22%, 20% of the overall franchise. The bottles are doing well and so are sachets for us. And we are looking at the extension of this brand to the unbranded digestive category. So that's doing well. Our Isabgol, we revamped last year. It has grown 112%.

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Pudinchara has shown a 14% growth. Honitus and Lal Tail, cough and cold is again a big problem. Now because we were circling a high base, Honitus showed a little decline and so did Lal Tail But both the baby care category and the cough and cold category are resilient in India, and we will come back after we navigate the high bases. Our baby care portfolio is already around INR40 crores-45 crores. It was last year around INR20 crores. So we have almost grown by 60%-70% of baby care. Our Super Pants and baby care is doing exceedingly well, both on e-commerce and also on the advocacy channel. The third part of the portfolio is OTC and Ethical. Our Ethical business has grown by 8%, which is the classical and that's doing well. And Shilajit has grown by 21% and the market is really blossoming on Shilajit. So I think overall healthcare is doing well, but with the exception of Chyawanprash and we have initiatives lined up to take it to a new level. And so that's where we are. So it's a small part of our business. So I think we should be able to come around. We are introducing gummies and new age formats also in it like I alluded to. Yes.

Arnab Mitra: Understood. Thanks for that, Mohit. Any update on the legal case in the US and do we expect the same level of legal costs in FY25 as we reported in FY24 or there's any change in that

expectation? That will be my last question.

Mohit Malhotra: Yes. As far as legal is concerned, it is pretty much status quo. The last update that I've given you on legal is that depositions have already happened. Fact sheets have been received from the plaintiff's lawyer. Discovery phase is still continuing. We've been able to achieve corporate separateness of Dabur International and Dermoviva from Namaste. So no Dabur entity is involved in it, including Dabur International and Dermoviva. Only Namaste is

involved, which

is less than 1% of our turnover in terms of top line and profitability. So we've been able to reinforce Namaste and limit our risk to a very great level.

So I think that's on the update. This will continue for another, I think, 1 year and a half years.

We are trying to expedite the scientific discovery, scientific phase in which we are requesting the plaintiff to give us fact sheets on how this allegation or accusation has been made that this is injurious, where this has been used for generations, etcetera, in the African American population. So the moment it comes to the scientific phase, I think the case will get really diluted and it will come in our favour. As you know, this is based on unsubstantiated incomplete study, which has been held redundant by Cosmetic Society, Perfumery Association, etcetera.

So we are pretty confident and Dermoviva is confident that we will win this case. It comes to the end of the case, but we are trying to expedite as much as possible. A lot of our peers who have been involved in it have not even cited this case and not even kept a provision. So we are also trying to see that our insurance gives us a claim of the legal cost that we have actually incurred, in which case we could definitely surprise you going forward. But that is another litigation which is happening as we speak with the insurance companies to reimburse the cost that we are incurring on this because of the stipulated number of how much they give you, double the number of hours.

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We can have a separate call where we can go on. But I think we only had good news as an update and which we have given you last time. Subsequently, we are incurring a cost. This year we have incurred a cost of 105 crores and next year, we will continue next year also. We have taken a budget of roughly around INR80 crores-INR90 crores, similar cost for next year also, but it is left over. So there is no incrementality in terms of the legal cost that we will incur next year on account of the case.

Arnab Mitra: Okay. Thanks so much. All the best.

Harit Kapoor from Investec

Harit Kapoor: Hi. Good evening. My first question was on the distribution side. So you mentioned that the pace of distribution expansion for you has been higher than historically. As well as higher than what peers have done. I just wanted to get a sense about, say, the next year or two. Do we see now us consolidating, especially on the rural and direct side, and focus more on throughput? Or do you see this to be a continued, fairly sharp expansion? Especially because at 1.2 odd million outlets, as well as on the rural side, we have done a fairly strong job already. So I just wanted your sense on how do you see this going forward? Is the next phase, like, starts about now? Or will you see a focus on throughput?

Mohit Malhotra: Yes, Harit. So distribution expansion is a very key strategy growth pillar that we see. So there are two legs to distribution. One is the expansion leg, and one is the efficiency leg. Expansion leg is rural expansion and also urban expansion. Rural expansion is more village expansion. I told you the villages went up by 20% from 1 lakh to 1.20 lakh. But the headroom for increasing the number of villages is huge. We've got about 6 lakh villages.

And as government is investing in infrastructure, roads and highways and railroads, et cetera, most of the rural India is actually becoming urban India. And therefore, the headroom only remains for us to convert the rural into urban. And therefore, our Yodha playbook and our sub-stockist playbook rural expansion is working well for us.

And that's what is giving us higher than peer dividends as far as the rural is concerned. So that's the kind of expansion. In urban, we are expanding our direct reach. As you know, we are reaching out directly to around 14 lakh

outlets as compared to almost 79 lakh outlets that we

have present. As compared to peer, this should be around 20%-30% of our direct to indirect reach. So again, huge headroom available to take up 14 lakhs to something like around 20 lakhs. That's our direct reach expansion of outlets in urban. As far as urban-urban is concerned, I think e-commerce is already 10%, 9-10% of our overall business. We continue to engage with e-commerce and get deeper into e-commerce. With quick commerce continuing, which is already contributing around 30% of the e-commerce business, that presents a big opportunity to us. And we want to get in with Swiggy, Zomato, Zepto, all those coming and opening up the towns one after the other in urban India. So that presents a big opportunity.

And modern trade also. Last quarter, modern trade has only grown by 7%. But if you look at the tertiary data modern trade, tertiaries have grown by around 22- 23% for us. Because Reliance kind of cleaned up their inventories, I think prior to listing or whatever the case may be. But they

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held back on primary sales, whereas tertiary sales was very good for reliance. And reliance is big for us, around 30% contributing to modern trade.

So I think as they've cleared their inventories, next year again that should show up. That's the third leg of our distribution expansion. The second piece is efficiency. Efficiency, we have a metric called Edge-score, everyday trade Edge-score. In that Edge-score, we monitor the number of outlets we visit, the number of lines we've sold, and what is the premiumization that we do in every outlet. That is happening as we speak. And there's a lot of churn of the Edge-score that happens there. People who are not performing below the ROI, we churn.

So pretty much similar strategy. Staying the course on our strategy and not anything very different than what we've been talking about in the future. This is giving us results, so we will continue. But continue with the discipline. I think we were a little lackadaisical about monitoring them. I think the moment we put more discipline into it and monitor it more steadfastly, this will only become better.

Harit Kapoor: Just my last question was on the pricing side. Your long-term model is medium to high single-digit volume growth and mid- to high volume growth and some pricing, probably 3% odd. So I was just wondering is at a time where pricing is not so easy to come forth, would FY25 also have a similar kind of 3-odd percent pricing you think at an average of -- that will only happen through the year. So we shouldn't assume an average for the year at 3%.

Mohit Malhotra: That's the average for the year, but it's different for different verticals. You're looking at our juice portfolio, which is very price-sensitive, only a 1% price increase there. In healthcare, which is more resilient, we're looking at a 4% price increase. In HPC, we're looking at about 2% or a price increase. In line with all the competitor data, we have followers there. So the weighted average of that will be around 3% for the full year through the year.

So we're not looking at any immediate price increases. I think honey will have a little bit of a price increase because the table of the quality honey price is actually inching up. So that's where we are on the pricing here.

Harit Kapoor: Great, sir. Thanks and wish you all the best.

Mohit Malhotra: Thank you.

Vivek Maheshwari. from Jeffries

Vivek Maheshwari: Hi, Mohit and team. Two questions. First is, you know, again, something that has been asked for F25 and even the earlier participant asked about medium-term. But let's say if you have to grow your earnings, let's say, a double digit over the next, let's say, three, five years, and at some point, of time, margin upside will be limited. That will imply that, you know, maybe volume growth has to be

about seven, seven and a half and, you know, two, two and a half, two and a half, maybe, pricing to get to, let's say, 10, 11% kind of revenue growth. Which essentially means after a point, once margins, you know, let's say, start to plateau, the entire bottom-line growth will be led by top line.

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Do you think over a three, five-year perspective, from a three, five year or longer-term perspective now, you know, not just you, but, you know, a lot of your peers will have to settle for growth, which is more like nine to 11, 11-ish from an earnings perspective. Is that a fair, you know, model?

Mohit Malhotra: Yes, I think your numbers stack up well. So we also feel that the volume should be around mid to high, and seven and a half should be the volume. But as of now, the way FMCG market is actually behaving, it's, I think, mid-single is what one is looking at. And therefore, a high single-digit growth is what one looks at. And price increase in our portfolio, where we are market leaders in a lot of categories, where we are existing, pricing could be a little better. But because the rural favour is double, and if rural comes back, I think volume growth will also be driven by rural for us. That's what I think.

But I think long-term, that's what it will be. So if the commodity remains benign, which is not the case internationally, internationally, the inflation is much more severe as compared to India's inflation. If India also follows international, I think more price increases will come to India also, like we've seen in the past one year. India has been insulated by that kind of inflation, which is what we are seeing in the US. That's why the rate cuts have happened in the US as of today also. So I think because of elections, they are also keeping a lot of inflation down.

So I don't know what the next will be. So as far as now is concerned, we are looking at a mid-single kind of volume. It's looking more plausible. If monsoon is there, everything goes well. Stability of government happens. Everything is consistent. Then it can be 7.5%. Otherwise, 7.5% volume growth is a little on the higher end. I would say a better mix would be a 5.5% and a 5-4%. And that's what is the right sustainable sort of volume growth. But if you look at Dabur, Dabur's portfolio is pretty widespread and diversified.

We are better off than our peers. So like we have seen in the last quarter also, that our beverage business and our healthcare business, both were impacted by unusual rains and climate changes, etc. But our HPC portfolio, which also has a fair diversity, it came and bailed us out. And international business, also HPC driven, came and bailed us out. So I think we should be in a better position than our peers. That's what my take would be.

Vivek Maheshwari: Got it. And if I actually add to that, Mohit, I would imagine in some ways, let's say what you have done in the toothpaste, and there have been communications from the past to, let's say, mainstream Ayurveda, natural herbal. So arguably, you can still grow faster, gain shares, let's say health supplements.

It all depends on what you keep in the denominator or even on some of your healthcare products or even the mainstream FMCG business also, given the herbal orientation. So if you have to move, let's say, volume growth to a higher level, which arguably could be easier in your case versus your peers, given that you have share gain opportunity just sheerly because you have this architecture. How would you do that?

Otherwise, for the industry, as in your peers as well as you, if we assume margins at some point, the best case is like 8-9% earnings growth, right?

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Mohit Malhotra: Absolutely right. I think we are in a better position. So no, one good thing for us is, besides the rural leg, then I explained the

expansion, that is definitely for a portfolio which is more accessible price points of INR10, INR20, INR50, INR100. But beyond that, you suddenly find modern trade in e-commerce where Dabur is the only differentiated player in natural and owning natural and driving the growth to your point of where we've done Oral Care. We can do it in shampoos. We can do it in hair oil. We can do it in hair supplements, and we can do it in food also and on all natural and that's how we can grow.

So two pivots of growth. One is more rural driven growth, which is expansion driven growth. And one is more modern trade and e-commerce driven growth for us. So two legs. One is premiumization led and another is penetration led. So that can come in and that's what we've been attempting to do. So to harness or leverage our rural infrastructure, we've created bundles of products which are all accessible price points which the teams are driving there. And in terms of verticals of distribution, we are creating separate food and beverage, separate food, separate beverage, separate HPC and SC, distribution verticals also. So opportunity is there, but we are limited by bandwidth and time and resources. So that's where -- but attentive to what you're saying is right to grow at double digits, yes, driven volume, yes.

Vivek Maheshwari: Got it. And the second question is if I look at your fourth quarter numbers for -- so post pandemic once things started to normalize, every year, you are seeing in the fourth quarter margins are significantly lower than the first nine months whether it's FY '24, FY '23 or I think FY '22 also. And if you go back to FY '19, the margin delta between fourth quarter and the rest of the year or the previous quarter was never that high.

Now part of the reason that I see your revenues actually declined quite a bit in fourth quarter versus, let's say, third quarter, your other expenses, even if you adjust for the legal cost, that also moves up quite a bit on a sequential basis. So what has changed so much after pandemic that fourth quarter revenues go down quite a bit. Other expenses jumped up quite a bit and your margins actually down fairly significantly?

Mohit Malhotra: So we are actually prepared with an answer. I will ask Ankush to give that answer. So I will over to Ankush.

Ankush Jain: Thanks, Vivek. So Vivek, just to broadly answer this, five years ago and over the last two years, structurally the saliency of business has changed. So if you look at exact numbers of four or five years ago, which is pre-COVID, our business saliency used to be 25% in Q4. Today, as we speak, it is 22.7%. So just to give a broad number, every first nine months we have done INR3,200 crores average per quarter, first three quarters. In this quarter, it is INR2,800 crores, which means, the last quarter is slightly lower. And because of that, the leverage in overhead, is slightly lower. And hence, so therefore, in our business model, we have to probably see at both yearly numbers, and that would probably be the right way.

Mohit Malhotra: Yes, thanks, Ankush. So that's the diagnostic of the issue and why it has happened post-pandemic. It's a very intelligent question, and therefore, nicely answered by Ankush. But how do we course correct? I think we have to increase the relevance of our summer portfolio and

therefore, in charge to leverage all the expenses. So what we're doing is we're launching a lot of summer portfolio products.

As you know, Cool King came in last year, so which is a Thanda Tel, which sells in summer. We are putting a lot of pressure on Pudina Hara. A lot of pressure is happening on juices, portfolio, glucose as a portfolio. So we are trying to summer-skew a lot of our products so that that actually comes up. So as we speak, we are launching talcum powders also under the Cool King brand and trying to build

that brand so that we are able to increase the salience of summer-driven portfolio for us in Q4.

Ankush Jain: And just to add one more general point Vivek. Also with four, five years ago, our expense in Q4 used to be the least. But now, even in this quarter, it is plus 6%. So it used to be 5%. So that structuring is also impacting. So therefore, you have to actually see more YTD and their portfolio.

Vivek Maheshwari: Sorry if I'm stretching this a bit longer, but my point is two things. Absolute revenue. Why is it lower now versus pre-pandemic? What has changed, number one? Number two, even if you look at other expenses, forget about the denominator, but even if you look at it on an absolute basis, your fourth quarter, other expenses, rupees crores also jumps up quite a bit. So why is revenue base lower? What has changed since pandemic? And why absolute other expenses also higher?

Ankush Jain: No, so absolute revenue is not lower. What we said, the saliency of the revenue in quarter four is lower than what it was pre-COVID. So absolute revenue is still higher. It used to be around INR2,200 crores in Q4. Now we are still INR2,800 crores. So if absolute is higher, the saliency of the quarter four has gone down.

Vivek Maheshwari: Okay. Got it. Thank you.

Mohit Malhotra: So I think there is some more color which has to be given. So Vivek, we can send across, or we can have a discussion post this meeting with you to explain you. So the way I want to summarize it, he's saying the saliency has come down in quarter four, but absolutely our turnover has gone up.

So it's 23% as compared to 25% what used to be happening during COVID or immediately post-COVID. And post-COVID, Chyawanprash was selling all through the year because COVID continued. And after that, Chyawanprash saliency went down, profitability went down. It's only juice salient and summer brand, whereas overheads remain the same.

Prakash Kapadia from Spark Private Wealth

Prakash Kapadia: Yes, thanks for the opportunity. Most of the questions are answered. I just had one question, Mohit. You mentioned monsoons are expected to be good. The pace is fairly low in rural. So what kind of momentum would we expect in the near term and what categories will drive this growth for us on the overall domestic business? And if you give some color on rural and urban, that would be helpful.

Mohit Malhotra: Yes, so therefore, if you look at the previous quarter, our rural has grown by 8%. Our urban has grown by 4%. So there are 400 basis points different between urban and rural. And that is an indicator of what things will be going forward. If the rural growth is ahead of the urban growth, so rural for us. So we are, kind of, a barometer of how the performance in the market will be. So our rural has done a long way.

On back of a portfolio, which is more summer-centric portfolio, we as a brand are also pretty rural-centric and Ayurvedic products do well in rural India as compared to urban India. In urban, we have a premiumization strategy. This is different from too much Ayurveda, but contemporary scientific Ayurveda compared to rural is more traditional product for us.

So it will be OTC-driven, healthcare-driven, oral care-driven, which is also fairly 90% penetration, hair oil-driven, shampoo-driven, so it goes. And in beverages also, we've entered into drinks, which is at a price point of INR10, INR20, and INR 60, which also trends well in rural. Earlier juices was only INR160, INR150, more urban phenomena. So we are getting more into rural and leveraging our rural infrastructure. So I don't think I can say that any particular part of the portfolio should do well in rural. I think it's across the board. If we are able to bring our brands to accessible price points, and leverage our rural village infrastructure for our portfolio, I think the potential is

huge as we increase our reach and make inroads into more hinterland.

Prakash Kapadia: Okay. And at least what we are reading and hearing, monsoon seems to be on the right trajectory.

So will that also add to the momentum, especially in rural?

Mohit Malhotra: Yes, I think so, because rural is an agrarian economy. And if the monsoon is good, agricultural crop will be good, more money in the hands of the farmers. And therefore, more shampoo sachets and more toothpaste and more hair oil consumption should happen which is more traditionally in nature.

Prakash Kapadia: Yes. And for the legal cost, you mentioned around INR85 crores would come in this year also. It will be apportioned throughout the year, or it will be across quarters? Or how will that pan out?

Mohit Malhotra: It's broadly around INR20 crores - INR25 crores per quarter. Because this is pertaining to the legal fees of the lawyers, and it's generally spread out through the year.

Prakash Kapadia: Okay. Understood. That's helpful. Thank you.

Mohit Malhotra: Thank you.

Aditya Soman from CLSA

Aditya Soman: Yes, hi. Good evening. I mean, just following up on the question earlier in terms of seasonality for revenues, I think, can you explain why the salience in 4Q has come off? I mean, you mentioned that the 4Q salience is lower than earlier. Can you just talk through why that has happened? And then, yes. And then the second question is just on EBITDA margin guidance excluding this legal cost of INR 20 crores - INR25 crores per quarter.

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Mohit Malhotra: Right. Quarter 3 is actually higher because of Chyawanprash and honey and high-value items selling. And because the value is higher, therefore the saliency is higher typically in the third quarter. In the fourth quarter, juices, the case rate of juices is much lower. Therefore, the value saliency goes down, albeit in volume. The number of cases that we sell is almost the same as the quarter 3, but value actually is lower in the quarter 4 because it's a seasonal business. So, you sell more of juices, and you sell more of pudina and other things as compared to Chyawanprash and honey, which typically goes in the winter.

And that's why the saliency is lower in the quarter 4. During COVID, it became also because pandemic was there also, and we were selling Chyawanprash and honey also in the summer season. So, that has actually reversed since COVID. As far as the mid-term margins are concerned, we want to go back to 20%. And if you look at without legal cost, our operating margin is already in the range of 20.2%. So, we should go back to 20%. Ankush, the challenge for our CFO here. To reach our operating margin to 20%. So, Ankush, you want to add a line also?

Ankush Jain: Yes, definitely. I think I just want to add. Pre-COVID, our operating margin was 20.4%. And today, as we speak, adjusted for legal cost, it's almost there, 20.2%. And it's also because we have acquired Badshah. Adjusted for that, it's almost there at 20.4%. So, I think any upside now, we'll also be partly redeployed back in advertisement and generating demand. So, I think what we saw this year, the expansion of 150 bps adjusted for legal cost, obviously, will not be there. But our endeavour would be to gradually increase it in mid to long term.

Aditya Soman: I understand very clearly. Thank you for that. Just on the first question, I mean, in terms of the saliency coming down, I understand during COVID, health supplements did very well through the year. But even prior to that, I mean, the gap between 4Q and 3Q wasn't as sharp. So, why are we seeing such a big drop?

Ankush Jain: Drop in saliency.

Ankush Jain: Yes, even pre-COVID saliency of Chyawanprash was slightly higher even in Q4. But now we've seen that even in this quarter, at least this quarter, saliency of Chyawanprash and health supplement actually went down.

An

Ankush Jain: And therefore, overall saliency was lower.

Aditya Soman: Okay. I understand. That's very clear.

Tejash Shah from Avendus Spark

Tejash Shah: Hi. Thanks for the opportunity. Mohit, last annual presentation which we did somewhere beginning of the year, this fiscal year, a key focus for this was supposed to be transforming our power brands to power platforms. Now, when I see our final presentation for this year, there's no mention of platform. So, I was just wondering, where are we on that journey? And is it, like, much longer term which should not be monitored on a quarterly basis?

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Mohit Malhotra: Tejas, absolutely. So, our strategy doesn't change. I think it remains the same. In the presentation, it doesn't mention because it was more based on the quarterly results and not on the strategy. But as far as the budget presentation was concerned, it was pretty much based on that. That's why

you look at, in category after category, we are plugging the gaps and spaces where we are not present. And wherever the power brands can extend, we are extending them. Like, Dabur Red has got extended to Bae Fresh. And that's what we've done in Oral Care. Dabur Amla is getting extended to value-added hair oils. And that's what we're doing. Home Care. Odomos has got extended to LVP. It was just a personal application. Now we are extending it to LVP, which is a much larger addressable market and therefore a platform. Odonil was more of a solid block for us. We've extended it to Gel platform. And Gel has already got a INR50 crores turnover coming in now.

Gulabari, which is only a rose water, got extended to body washes. So, therefore, power platforms from power brands. And in Chyawanprash in powder form is what we're introducing. Chyawanprash in gummy form we're introducing. Honey is also getting extended into breakfast cereals that we talked about. And therefore a platform there to take honey from the medicine chest to maybe bring it to the breakfast table. And therefore, contiguous categories like breakfast cereals, which will be honey-based, will also come into the picture. And in the beverage segment, we've extended juices to nectars to drink. So that's also a platform extension. And now we're going to carbonated also. So it's across the board. Homemade from culinary is moving into the food category. So we are very consistent with the strategy that we laid out in front of you on the capital markets day. And that's why. The numbers may vary, but the strategy remains on course. Tejash Shah: Great. Second question, if I look at our annual growth from the lens of power brands and non-power brands, except Oral Care, I believe the other six power brands would not have contributed above our company's average growth rate for this year. So it also means that the last part of heavy lifting for growth was done with the long tail of other brands, which are emerging brands, which would have done so. First of all, is the math correct on this? And if you can share some insight on the same.

Mohit Malhotra: What you're saying is right now because power brands contribute to 75%-80% of the business, if season doesn't favour you, so real as a power brand will get impacted and that will impact. So juices got impacted, it was flat, so it didn't fire.

Mohit Malhotra: Chyawanprash, which is a power brand, did not fire, so that took down the business. And other brands, saliency looks up. But that said, the power brand contribution to the business remains as it is. The growth may not come because of some season issue or other, because it is a power brand at the end of the day that could positively or negatively impact the business. But the strategy on power brand remains. That doesn't change from quarter to quarter.

You have to look at it from a 4-year period or a 5-year period.

d. It's the strategy of the company.

So therefore, if you look at the CAGR period, you will find power brand CAGR, like real CAGR is 15%, over the past 2-3 years. Last year it was 30% growth, this year it's flat. So average growth is around 15%, so higher than the company average. So that's the way to look at the business.

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Mohit Malhotra: And also, I think in every power brand, we continue to gain market share, both in the quarter and in previous years. We have actually also seen a relative performance when there is some bit of stress and growth.

Mohit Malhotra: And distribution initiatives also. In power brands, we'll go up and by virtue of that, our distribution expansion has been 200,000 outlets in the current year because you can't distribute a smaller brand because that doesn't have the strength to get distributed and neither does the advertising spend on it. So, yes.

Tejash Shah: Thank you. And so last one, if I may. So given the surge in this consumer and judicial activism that we are seeing globally and in India, and now there are increasing frequency of these accidents which are happening on brands now. So as a very responsible company, do you think that industry at large will be kind of investing more on product quality and safeguards so that we are not attacked very so frequently? And we also will have to time and again reinvest in branding equity. So at a very long-term or medium to long-term level, do you think that margin expansion will take a backseat versus protecting product and brand equity going forward, at least in the near term?

Mohit Malhotra: Yes, that's a very good point. I think consumer activism and consumerism and placing the consumer interest first is a priority of the brand as the brands become more responsible because if you look at social media growth and digital growth, this is what has come in. And consumers in the metros and consumers in the millennials and the Gen X are all embracing brands which are talking about environmentally friendly products which are eco-friendly, which are more sustainability driven, which do not contain nasties, which do not contain plastic. So therefore, this consumer first approach with environment, climate and health will take a front seat. But I think I don't agree with the second point that you've made that will the margin take a backseat? The moment a brand becomes environmentally conscious, sustainable, consumers are ready to pay a price premium for that. So the moment they pay a price premium, as you become

environmentally friendly, it becomes a virtuous loop. Premiumization grows, the brands become quality conscious, environmentally friendly and the premiumization happens and therefore profitability also inches up. So I think consumer rewards you with the profitability and the value that the consumer gets.

Now this is relevant for urban India today. Rural India for the per capita income of India being so low, I think still it's a little time away for the rural India and at least 65% of the population of this country is still fighting hunger and poverty and therefore sustainability and eco-friendliness and climate care is an urban phenomenon. But it's catching up, the consciousness is catching up. So that is where we are. So you look at the example of plastic straws and paper straws. Paper straws are still more expensive as compared to plastic straws, but the prices of paper straws have almost become 40% more premium to plastic straws, which used to be 200% premium. So I think the whole price table comes down but everybody's making more money because the capacity has gone up and scale improves the profitability. So yes.

Tejash Shah: Got it. Thanks and all the best.

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Mohit Malhotra: Thank you.

Nillai Shah from Moon Capital

Nillai Shah: Yes. Mohit, there are a few que

stions on margins. I just had a question on margins from a longer-term perspective. I had this discussion, I think, on the call with you earlier, but since you've just finished your annual review, maybe you can shed some more light on it. Your margin aspiration near term of 20%, when I take it line by line and compare your businesses with your competition, let's say in the case of Oral care with Colgate, in the case of healthcare with Rx company, etc., your margins seem very low. Most of these companies in India are now trading at, are now reporting margins which are in the mid-20s.

And I think you've got a beverage portfolio, but you also have a very large healthcare portfolio which would offset those margins. What are your thoughts on margin expansion from a long-term perspective in the next three to five years?

Mohit Malhotra: Yes, Nillai. That's a very valid question and I think it's good that you keep reiterating this. It actually makes us think more to inch up the margins. So long-term, we know that there is a pharmaceutical business that we take business from. That's our source of business. And there the margin profiles are much higher as compared to what margins we have. And that's why we build the advocacy vertical of going to the doctors and therefore advocating our brand. But it's a little slower. It's going to take time. So to your point, the more long-term margin improvement that we're doing, we have driven the business of baby care, skin care, and also in our general in the doctors.

So it's only around INR120 crores for us. So gradually, slowly, as we put more products there, we'll be able to get better margins out of that. So if I compare my pharma business, which is going to doctors, I make a 70% margin as compared to the health care where I make 50% margin, to your point. The more products I put on that bridge of advocacy, the more margins I will make. But the scale of the business takes time to build. So long-term, we are on the same path and on the same thought process of building margins on back of OTC, Rx, et cetera.

But the time-taking business, like before I came on board, two, three years back, we only used to go to Ayurvedic doctors. And Ayurvedic doctors, again, commoditized a play of children. And therefore, you've got to command a premium. Since we're now going to allopathic doctors, there is a huge upside on the margins that one can get. And in mass categories like oral care and hair care, we were busy fighting with our competitors and gaining shares on back of pricing. There's a huge opportunity to preimmunize that.

In Dabur rate, for example, sensitive is at a much higher margin. Can we launch a Dabur Red sensitive? Answer is absolutely there. This category is doing well on back of GSK. There is an answer. There's no natural play there. Dabur has a right to win. In that market segment, we can do that. In Ayurvedic hair Oil like Indulekha, where again, Dabur has a right to win, has got a higher margin profile in mass categories also. So there also, there's a vertical. So we are thinking on those lines and working on it there.

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Nillai Shah: Just to be clear, Mohit, when you benchmark your different categories with the competition, in some cases, you're the number one player, but elsewhere, when you benchmark, are you saying that the margins that those categories make for Dabur are broadly similar to what competition is able to deliver and report? And the only difference at this point in time is the fact that the healthcare business is probably making a 50% margin, which can be higher from a long-term

perspective. Is that the synopsis of your answer?

Mohit Malhotra: Yes, the synopsis is whichever categories we are operating in, our gross margin profile is pretty similar to our competitors. So it is similar. We've done the benchmarking. And we

we've not done

the benchmarking. We've taken the big four consultants to help us do benchmarking, like BCG, McKinsey, have done that benchmarking for us and assured us our gross margin profile remains the same. But sometimes what happens is we are only 15%-16% market share.

As we scale up the business, we'll be able to leverage the overheads and therefore it will flow down to the operating margins. Because overheads are higher, that's why operating margins would be lower, but the gross margin profile is very similar. In Oral Care, if you see our gross margin profile, it will be very similar.

If there are areas in which gross margin is lower, we are continuously working on optimizing our formulation and packaging to ensure that our gross margins are there because we are not compromising on price. Our price is actually higher on the back of our differentiation of natural. And our cost is also benchmarked to competition.

But the only area where we suffer is because of the lower scale, we are not able to leverage our overheads. But with scale, it will come. And because of the diversified and varied portfolio that Aval has.

Nillai Shah: I understand Mohit. This is very clear. Thank you very much.

Mohit Malhotra: Yes, thanks. Thanks so much.

Priyank Chheda from Vallum Capital

Priyank Chheda: Hi Mohit. Sir, my question is on the progress if you can share on the three new categories within healthcare that we had shared while we met last year in your annual meet and greet which is baby care, tea market within basic and herbal and then the large segment of therapeutic. So a broader progress within these three categories would be helpful.

Mohit Malhotra: Great. As on baby care, last year we did a turnover of INR20 crores. I told you this year we are talking a turnover of almost INR 40 crores, INR45 crores of baby care turnover. That's the update as far as baby care is being sold through both e-commerce for us and also through therapeutic portfolio. The second category we talked about was health juices.

Health juices, we did a turnover of about INR20 crores. We've done INR26 crores in the current year. On tea, which we have test marketed it because it's a very competitive category. While we had a right to win, but the proposition was not very differentiated. We've improved our

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population and we've got INR12.6 crores turnover as far as tea is concerned. That's on the health care category.

We had also done Ghee where the margins were lower. So therefore, we were not too much pushing it. But we have improved our margins now on back of scale and we have delivered a INR24 crores sale on back of Ghee also. So these are the four updates on the health care portfolio.

As far as HPC is concerned, we have built Bae Fresh. As I told you, has done around INR40 crores for us. Gel pocket, extending Odonil into Gel pocket has done INR25 crores. And LVP is around INR12 crores for us. So Odomos was getting extended to LVP.

Extending our power plants to power platforms and increasing our total addressable market. That's where our drinks portfolio is INR200 crores if we mentioned. This year, we've not grown on drinks because of the season issue. But I hope next year, this will really inch up for us.

Priyank Chheda: Right. And how are we tracking the therapeutics proposition that we were supposed to take from Ayurvedic doctors to allopathic doctors? That whole of the portfolio which is ready at Dabur.

How do we track that progress?

Mohit Malhotra: So we have an advocacy vertical. And Philippe is the one who's driving it. We've done a turnover of INR120 odd crores on the therapeutic vertical. It's more advocacy with the doctors. And after advocacy, we go to the chemist outlets in the vicinity. And that's how we sell.

We've got a turnover of INR120 crores. But more importantly, it's more qualitative that

we are

reaching out to 1.1 lakh doctors as compared to 20,000 test points that we had earlier. So this has moved up to 1.1. And it's paediatricians, its dermatologists, it's gynaecologists. So it's women, baby, and paediatrics. So we are focusing on these three, and paediatrics. Right.

Priyank Chheda: And in baby care, we had targeted a sub-segment for hygiene, wherein diapers and wipes were one of the products to be launched. Any progress or update on that?

Mohit Malhotra: Yes. So we have launched Dabur Super Pants, which is a baby diaper sort of. And that's done very well. We almost, last year it wasn't there much. How much is it? We've got a turnover, I think around INR10 crores, INR11 crores on baby pants alone, which is doing very well on e-commerce. And the category is very lowly penetrated, and it's increasing.

Priyank Chheda: And just a last question on the overall premiumization portfolio. What would be the

premiumization portfolio as a sales? And how are we tracking that and the growth that we saw in FY'24?

Mohit Malhotra: Yes. So the way we look at premiumization is, we look at the average pricing of the category at 20% premium. Then the average category price, 5ml price, is what we categorize as the premium brand. 18% of our portfolio is premiumization portfolio. We are tracking it on a yearly basis. And we see premium, and we are tracking it on all of our brands and giving targets to the team to increase premiumization year-on-year.

So it's a very objective exercise of tracking and increasing the premium portfolio, which is more driven from modern trade in e-commerce, which contribute to 20% of the business. Besides

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doing premiumization internally of our brands, we are also doing joint business planning with Reliance and Depto and e-commerce players also, and planning premiumization wherever gaps are there, as per their demand. Just to give you some examples of that, we are building Apple Cider Vinegar with one platform.

So now this is all premiumization, but we've got a GDP with Reliance, and Reliance wanted to build the Roles brand on their own. So Reliance and Dabur have collaborated together, and we've introduced Gulabari Soaps. Only in Reliance, that itself has plotted turnover of INR12 crores only on the back of Reliance alone. So that is another innovation stream that we have started with them. Yes, but this is not really premiumization, just to give you an example.

Priyank Chheda: And what would be the new product contribution, new product NP D sales and contribution in FY'24?

Mohit Malhotra: Around 3.5%. But it varies differently vertical-wise. For food business, this is 4.6%, 2% for HPC, and around 4% for healthcare also.

Priyank Chheda: All right. Thank you for all your answers.

Gagan Ahluwalia: Thank you. I thank all the participants for joining today's call. The webcast and recording and transcript will be available on our website. Thank you and have a great evening ahead.

Call: Aug 2024

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Ref: SEC/SE/2024-25

Date: August 7, 2024

To,

Corporate Relations Department

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street,

Mumbai-400001

BSE Scrip Code: 500096x^^^^ ••»•^^ys-^»^

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India Ltd.

Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza, 5th Floor

Plot No. C/1, G Block, Bandra Kurla Complex

Bandra (E), Mumbai - 400051

NSE Scrip Symbol: DABUR

Sub: Transcript of Investors' Conference Call for Dabur India Limited -

Q1 FY 2024-25 Financial Results

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on August 1, 2024 post declaration of Financial Results for the quarter ended June 30, 2024. The said transcript is also available on the website of the Company at www.dabur.com.

This is for your information and records.

Thanking You,

Yours faithfully,

For Dabur India Limited

(Saket Gupta)

Company Secretary and Compliance Officer

End: as above

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"Dabur India Limited

Q1 FY'25 Results Investors Conference Call"

August 01, 2024

MANAGEMENT :

MR. MOHIT MALHOTRA – CHIEF EXECUTIVE OFFICER

MR. ANKUSH JAIN – CHIEF FINANCIAL OFFICER

MR. ASHOK JAIN – EVP(FINANCE) & COMPANY SECRETARY

MS. GAGAN AHLUWALIA – VP (CORPORATE AFFAIRS)

MS. ISHA LAMBA – HEAD-INVESTOR RELATIONS AND M&A

MR. KRISHNAN – ASSISTANT GENERAL MANAGER (FINANCE)

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Isha Lamba: Good afternoon, ladies and gentlemen. We apologize for the delay in starting this call. On behalf of the management of Dabur India Limited, I welcome you to the earnings conference call pertaining to the results for Q1 FY '25. Present here with me are Mr. Mohit Malhotra, Chief Executive Officer, Mr. Ankush Jain, Chief Financial Officer, Mr. Ashok Jain, EVP-Finance and Group Company Secretary, Ms. Gagan Ahluwalia-VP, Corporate Affairs; and Mr. Krishnan,

AGM Finance.

We will start with an overview of the company's performance by Mr. Mohit Malhotra, and this will be followed by a Q&A session. I'll now hand over to Mr. Mohit Malhotra. Thank you.

Mohit Malhotra: Thank you, Isha. First of all, let me apologize for the technical glitch, which was there at our end, apologies for that. So good evening, ladies and gentlemen, we welcome you to Dabur India Limited conference call pertaining to the results for the quarter ended 30th June '24.

The FMCG sector has demonstrated a gradual pickup in rural markets in the past 2 quarters, despite countering challenges such as unprecedented heat wave and high food inflation.

However, the timely arrival of monsoon, coupled with rural-centric budget with a focus on rural infrastructure, agriculture and employment is a key positive for the sector.

Dabur continued to perform well in quarter 1. Consolidated revenue grew by 9.8% in constant currency and 7% in INR terms. India business, including Badshah, grew by 7.3%, underpinned by volume growth of 5.2%. Our diversified portfolio continued to thrive achieving market share gains in 95% of the portfolio. The International business exhibited a strong growth of 18.4% in constant currency terms backed by market share gains in most of the categories.

Within the domestic business, the Health Care portfolio grew by 7%, driven by performance in Digestives which grew by 11%, Health supplements registered 7% Y-o-Y growth, recently launched Hajmola Mr. Aam garnered positive feedback from the consumers. Dabur Glucose, a key brand in our health supplements portfolio, surged by over 30% amidst harsh summer conditions, gaining 70 bps of market share gains.

Within OTC and Ethical category Health Juices, Baby Care and branded Ethical grew in double digits. However, there was some impact of harsh summers on brands like Shilajit and Honitus.

Going forward, we will continue to focus on consumer-centric engagement initiatives, strengthening the doctor advocacy channel and launching innovative campaigns aimed at reinforcing relevance and expanding market penetration in the health care business.

Coming to the HPC business. This portfolio achieved an 8.1% growth; Shampoo and Post-Wash segments grew by 14%, driven by strong performance of the Vatika franchise; hair oil franchise grew by 3.3%, with coconut oil posting a robust 20% growth. Both coconut and perfumed hair oils grew ahead of the category, gaining 25 and 100 basis points, respectively. Additionally, we added Cool King franchise with the launch of Toofani Thanda cooling oil and Cool Talc during the quarter, which has been well received by the consumers.

Oral Care portfolio recorded a growth of 11.4% with Red franchise growing at 12% and Meswak growing by 18%. Our core offering of Red Toothpaste continued to gain market shares in the Dabur India Limited

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quarter with Dabur oral care products reaching 1 out of every 2 households in the country. Our strategy of focusing on herbal category, driven by Dabur Red Toothpaste has proven to be highly successful.

Home Care sustained its robust growth trajectory with 8% growth during the quarter. Odonil registered a high single-digit growth with particularly strong performance in aerosol and gel formats. In line with our strategy to increase our TAM, we have recently introduced Odomos liquid vapourizer, which has performed well. S

anifresh posted a double-digit growth, driven by strong on-ground execution.

Skin Care registered a growth of 6% led by Gulabari, which grew in double digits. The newly launched body washes under the Gulabari brand name received a good response from the consumers.

Food and Beverage segment grew by 4%. Within the segment, the Foods business demonstrated exceptional performance with 21% growth. Badshah also posted a robust growth of 15% year-on-year. The J&N segment got impacted during this quarter due to exceptionally harsh summers due to which consumer preference shifted to thirst quenching products such as carbonated beverages.

Our drink portfolio grew in double digits. In the J&N segment, Dabur exceeded category growth, expanding our market share by 330 basis points.

Emerging channels like e-commerce and modern trade posted a robust double-digit growth and now contribute to around 20% of our India business.

Coming to our international business. We recorded a strong growth of 18.4% in constant currency terms. This was on back of good performance in Turkey business with 19% growth.

Egypt, which grew by 64% growth; MENA13% year-on-year growth; SSA business21% growth; Bangladesh business posted25% growth. We witnessed currency devaluations across emerging markets like Egypt, Nigeria and Turkey, which impacted our INR performance.

Talking about our profitability, during the quarter 1, our gross margins expanded by 120 basis points, driven by moderation in inflation and cost-saving initiatives. We remain committed to investing behind our brands and our A&P expenditure increased by around 16% in the quarter,

with digital spends now more than 30% of overall media spends.

Our consolidated operating profit increased by 8.3% higher than the top line of 7%, with margin expanding by 30 bps during the quarter. And PAT grew by 7.8%.

We are optimistic that with a good monsoon, improving macroeconomic indicators and rural-centric government spending, FMCG demand will see a gradual uptick.

We remain committed to delivering profitable growth across all our business segments. This is underpinned by strategic investments behind our brands and distribution expansion, enhanced manufacturing capabilities, enhancing digital advancements and fortifying our organizational

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strength. These endeavors are pivotal in our commitment to driving sustainable value creation and reinforcing our strong position in the FMCG landscape.

With this, I conclude my address and open the floor to Q&A. Thank you. And apologies once again for the late start. Thank you.

Abneesh Roy from Nuvama

Abneesh Roy: My first question is on Badshah. Would you be a bit disappointed with the 15% growth even you could have gained from the distribution expansion? Plus in the international market, some of the market leaders had a quality issue. So can you gain in the international markets because of this from a medium-term perspective?

Mohit Malhotra: Abneesh, apologies again for the delayed start. Yes, in Badshah, I think the performance has been reasonably good. We've been sustaining a good performance for over a couple of quarters now. If you look at the volume growth in Badshah, it's around 16%, which is very high.

In the previous quarter, because of the inflation in spices, there was some amount of price increase. Now that price increase amount is not there. So volume growth is 16%, and the value growth is 15%. In a couple of SKUs, we've actually taken a price dip in Badshah because of softening of the commodity prices. Our gross margins have improved by 500 basis points in Badshah. Overall, I think the business is doing reasonably well, and we are very confident of doing well.

As far as the international bit of Badshah is concerned, we also faced a pushback from international regulators, especially in the U.K., there's been very tight screening and scrutiny of

all the dispatches which are happening from India to international driven by the controversy which has happened.

So while our products have not got picked up, but because of a very high scrutiny, there's a long queue and backup of the suppliers, which is lining up and leading to delays in the supply chain.

Actually, our international business declined in Badshah on account of supply chain constraints in the international business, which I think we will correct going forward in next quarter and growth should pick up.

Abneesh Roy: Sure. My second question is on Oral Care. You have done well double-digit growth. Market leader has also seen very good growth, 13%. So here specific question, is this a signal that other categories for FMCG could also revive because clearly in Q1, this is one category which did not suffer because of the heatwave. So this was more a normal quarter for the Oral Care and good double-digit growth with high single-digit growth for both, number one and you also. And second is Meswak, last few years, I think, has been lower growth clearly than Red Toothpaste. But this quarter, it's much higher. So is this a base effect catch-up in Meswak? Or is it that some proactive steps is really helping here?

Mohit Malhotra: Yes. The overall, I think strategy is playing out well. The strategy of building our power brand, which is Dabur Red and also bringing in economy which is Babool and also strengthening our Red franchise in tooth powder and Meswak being the premium brand.

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Even in Dabur Red, as the quarters go by, we'll be introducing premium offerings in this because we are a little bit weaker as far as the premium portfolio in Oral Care is concerned. So that pack price architecture we are correcting, and we recently conducted a RGM study, which is revenue growth management on Oral Care, and there are now action points which have actually come out of that, which we will be implementing.

So still, I think a lot of opportunity in the Oral Care segment as the Natural segment which is 30%, has now become 31%, and the growth in the Natural segment is higher than the non-natural segment. So we are pretty hopeful on how we've gained around 15 bps of market share in Dabur Red also.

And as you know, we are the number 2 players now in the market, vacated the earlier number 2 player now and the penetration is also significantly higher, between every 2 household, every 1

household is the Dabur Red household and our penetration is in the range of around 51% in Oral Care. So a huge opportunity in Oral Care. We are revamping our entire Dabur Red portfolio also. You will see that, I think, in the second quarter, if we don't get delayed to a third quarter. So as far as the Oral Care example panning out to other parts of the portfolio, I think, yes, opportunities are there. Rural is rebounding and our shampoo portfolio, which is also very highly penetrated has also done very well in this quarter with 14% growth. So that is a telltale sign of the fact that rural recovery is in place and sequentially, things should only get better for the overall FMCG sector.

Abneesh Roy: One follow-up on the Oral Care. So the market leader under the new MD is also seeing Beauty Care strategy within toothpaste. So clearly Visible White is something which they have done, and it's doing well also. So my specific question is in Ayurveda, do you have that technology or the brand proposition, which can be extended? And when you say you will be coming out with premium products, will it specifically target this kind of a gap when I see your portfolio versus market leader, specific whitening toothpaste you don't have. So would you need that? And would you have the capability to do that?

Mohit Malhotra: Right. So, Abneesh, Ayurveda has the capability and I think the technical know-how, which the market leader may not have, which is where our unique selling prop

osition cut ice with the

consumer. That's why you see the Natural segment doing better, whether it is for the problem of sensitivity or for removing stains on the toothpaste or for better sensorial for germ kill, etc, Ayurveda has got very potent recipes and they are all there with us.

And we are planning to roll that out. But the first one is the sensitive one, which is what we are working. Charcoal Toothpaste, which is what we have positioned it on Whitening. Again, that's there, but I think that is not cutting ice because the SOVs are pretty low on the amount of money that we have invested behind it. So to your point, again, yes, there is potential, there is capability and only limited by a little bit of execution, and that will ramp up going forward.

Abneesh Roy: Sir, last quick question. So in hair oil, clearly, very strong growth you have seen in the coconut part. So here, I wanted to understand, is there a big down trading happening here to the lower end of the portfolio across the industry?

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Because the other listed player which came with results today, they saw 15% dip in their premium hair oil, but good growth in their base oil. So what will be your take on this? And could this reverse because this is more of rural indexation in the hair oil. So would you expect that hair oil, which has been a big challenge for all companies last few years could see a more moderate growth coming back in the coming quarters?

Mohit Malhotra: Yes. So I think the competitive intensity has really picked up in hair oil business. And earlier, it was only between a tug-off between the number 1 and the number 2, we being the number 2.

But now there's a number 3 player also who's come, who has deeply discounted the number 1 player, and they see the revenue growth coming in there. So a lot of focus on coconut oil by not the new player, but the old player for whom this category is actually new. So that has come in.

And that is leading to a little bit of margin squeeze.

Abneesh Roy: Who is that player, Mohit? Who is that player?

Mohit Malhotra: We are talking about Bajaj. Bajaj has become very, very aggressive in the coconut oil category now. And as you are aware, besides Bajaj Almond, they have become very aggressive in coconut. And for them, a new growth pillar is coconut and we've seen a lot of prices getting dropped by them and because of which the margin squeeze happening across the entire category.

But our strategy has played out well for us, and we are doing well in coconut oil. As you know, we are trying to plug all the sub segments wherein we are not represented in hair oil because we have a right to win in hair oil. One was value added and you will see a lot of action in the value-added perfumed light segment from Dabur.

The second one is Cool King which is what we have added. We plugged the gap of cooling hair oil. Coconut, we are just trying to ramp up our ante and in perfumed hair oil, our entire playbook is working well for us with Amla and the flanker brands. Now what's happened in the flanker brands. There's not all good news and rosy picture.

Our Sarson Amla has not done very well in the previous quarter because the Sarson prices have actually inched down. So there's a softening of Sarson prices from INR120 per liter, has dropped down to INR110 per liter, whereas the price premium has increased from unbranded to branded and our strategy is to take shares from unbranded to branded.

So there is some sort of price correction, which one will have to do going forward there also.

And we've seen competitors already doing their price correction and gaining share from us. So competitive intensity in nutshell has picked up. Dabur strategy of representing ourselves in all subsegments of hair oil stays and premiumization will also happen. There are some subsegments where we are not present, which we may want to get presence by way of, if not o

rganic through
inorganic route also.

Percy from IIFL

Percy: So I'm saying in terms of the demand trends, what is it that you are seeing in the last 3 to 4 months, is there an accelerating trend? If not, is it something category specific, etc? Can you give some idea on that?

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Mohit Malhotra: Yes. Percy, so as far as demand trends are concerned, I will not be very specific to month-on-month, but I think quarter-on-quarter, since last 3 quarters, we've seen volume growth from 3% to 4% to now 5%, and I'm talking about volume growth sequentially for Dabur. It has been inching up and you've seen 5.2% volume growth in the current quarter.

And in the month of July also, we've not seen any flattening of volume growth. Volume growth is picking up. But the only little not so nice part is that there's no price component now, which is building on the volume increase while volumes are inching up, and that's what we expected. So volumes are going up and sequentially in the quarter, volumes will pick up, but the price increases and the ability to pick up price increase is going down. We only had 2% price increase there and that's why you see a growth of 5.2% plus 2% is equal to 7% overall growth. So going forward, volume will increase on back of rural inching up for us. So I expect the subsequent quarters to be better than our existing quarters, but definitely not worse.

Percy: Right. And I know it's a little difficult to answer the following question, but to the best of your judgment, do you think that this increasing trend from 3% to 4% to 5% has got to do more with the macro demand recovery? Or is it more to do with your own sort of initiatives that you might have taken?

Mohit Malhotra: No, you're right. That's a very difficult thing to say. I think I would not take the entire credit away from the team. I think Dabur team has done a substantially good job on ground and in execution. So a lot is driven by our own efforts, hard work and perseverance of the team, both at the ends of demand building and also at the end of distribution increase and also on cost cutting. So all the three, whether it's gross margin inch up of 120 bps that was driven by more Samriddhi and pack price architecture in RGM study, where the finance team actually worked. Distribution initiatives also worked. Outlets reach have actually gone up by 50,000. Our villages have gone up by around 21,000. Yoddhas have gone up by 3,300. Our price bundles to leverage the distribution on ground has also improved. We've created bundles of INR10 and accessible price points across different portfolios, and that's done well.

As far as emerging channels are concerned, our innovation rate in e-commerce is roughly around 10% to 15%. We've seen innovation is firing as far as e-commerce is concerned.

Our modern trade margins are also now in line, if not better than our GP margins now. So the more we grow in the emerging channels, which are growing by around 15% and 30% the better we get in terms of our margin delivery also. So all these efforts taken by the teams internally and obviously, externally, there has been some tailwind on the rural recovery. Because all those efforts don't get catalyzed until and unless you have a positive market environment and the winds of change working in your direction. And it is just a multiplier effect. And I think that's what is playing out, yes.

Ankush Jain: Maybe just to add also, I think this also emanates from the fact that almost in 90% to 95% of the categories we have gained market share. So that means the efforts of the team both in terms of driving availability and building awareness and driving affordable SKUs, which we call 3As, is actually working really fine in the organization, just to add.

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Percy: Got it. Got it. Since you mentioned innovation, just a question on your innovation rate, which is

3% this quarter. So see, innovation is any new product, right? Now there are two types of innovations. One is which opens up new consumption and one is which drives excitement in the category but might cannibalize.

So for example, if you have, let's say, you don't deal in soaps, but just an example, if you have a soap and you come out with a new variant of a soap, it's not going to add to your consumptions, right? I mean it will just be a substitution. So I just wanted to understand from you this 3%, how much is actually incrementally adding to your top line?

And how much is basically driving excitement and what sort of cannibalizing? So if basically, I look at just 3% on the face of it, is it fair to say that rest of the portfolio has grown only at 2% or maybe you can say it's half and half in terms of some part of it being incremental completely and some part of it cannibalizing?

Mohit Malhotra: So I think as far as Dabur is concerned, if you look at the overall construct, our addressable

market, total addressable market is only in the range of around 2% to 3% of the overall FMCG. So there are a lot of white spaces which are there in the portfolio, which is what we are trying to plug with innovation.

So it is more increasing trials, getting more consumers in the ambit of the Dabur brand by introducing new categories. Just to tell you, for example, Odomos getting extended into LVP. It is to get the LVP consumer into Odomos rather than the personal application cream moving into LVP because we were addressing a very, very small market. Dabur brand moving to health juices, we were never addressing that particular consumption or the occasion. So that is what we are addressing and people don't switch from a tablet to a juice ever.

So if we are getting into drinks, drinks market is to a tune of around INR8,000 crores, we are only reaching to INR2,000 crores of nectars and juices. Now that is additional TAM added. When we are launching Fizz that's a carbonated market that we are addressing. So we are trying to increase our TAM and therefore, increasing our consumption and not really doing something for excitement. Excitement comes in some categories. But again, in Gulabari, we have rosewater. Rosewater has got extended for us into body bath. But body bath was not present and Gulabari wasn't used for a body bath. So that has kind of picked up for us. So it's more of addressing new categories for us. And so I think this will be 3%, , but I don't think there's any cannibalization per se.

Ankush Jain: Significant part of it would be new categories as Mr. Mohit said, Odomos LVP or Cool King franchise completely something which we are even not targeting initially or maybe Vedic Tea.

So we have entered completely new categories, which are different here.

Percy: Got it. Got it. Last question on Oral Care. See, your growth is very similar to the market leaders, but the market leader has a higher element of pricing, I would guess, than you. So generally, don't we see that when basically there is a brand which extends its premium beyond a point, then it starts to lose market share, but that has not happened.

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And I mean on the other hand, I mean, if your discount or your relative price premium, let's not say discount has changed because of the actions of the market leader, would you not treat this as an opportunity to sort of be opportunistic or rather take advantage of this changed market relative price and gain market share? And why is that not happening?

Mohit Malhotra: No. So therefore as far as market share is concerned, you are absolutely right, too much of premiumization, you end up losing actually market share, and that is exactly what is happening with market leader. While you see premiumization and the growth happening, but the Nielsen and the syndicated data is showing that the market leader is losing market share in the non-

herbal

segment and all the herbal players, be it Patanjali or us or other herbal players are actually inching up their volume market share. So there's attrition happening from the non-herbal to the herbals and that's why herbal penetration is actually moving up, absolutely, to your point.

As far as our business is concerned, 8% is our volume growth and 3% is our price growth, leading to our 11% growth. But our secondary growth is in the range of around 12.2%, which is in line, and we've done some sort of inventory correction also here. So that's what we've done.

But you're absolutely right, market leader is actually paving way for us to follow and therefore, increasing premiumization in our portfolio so that we can play catch up too. But it's not just about gaining market share and keep at a lower price, because they've got a Visible White and they've got Total , which are different segments altogether rather than only the main categories.

Percy: I agree. I'm just saying in the Colgate Strong Teeth also, they had couple of quarters ago, taken a fairly big price increase, which I think was not mirrored in your portfolio. And I'm just saying from that point of view, with that price differential widening, shouldn't this doesn't matter to the consumer in any way? And should that result in a market share gain for you?

Mohit Malhotra: So there is an opportunity. As I just told you, we just finished RGM activity with a very big consultant in India, and we have compared and contrasted our prices of all SKUs across the board with competitor and any opportunity in that we will not lose especially in oral care. So that we have already plugged the gap.

Mihir Shah from Nomura

Mihir Shah: Sir, I wanted to check on the juices portfolio. last year, it had a low base and start of the year also has been subdued because of the weather conditions. Ex of seasonality going forward, how should one think about the growth in juices? Do you think it can come back to early to mid-teens growth? Or do you think there is some other issue that is hampering its growth profile?

Mohit Malhotra: Yes. So let me not restrict myself to juice portfolio, let me talk about the beverage portfolio. There are some parts. But for beverage, our food portfolio is doing well. I already explained to you in my call that our foods is growing by 20%, Badshah is growing by 15%. So we are well as far as food is concerned. In beverage, there are three parts of the portfolio.

One is a 100% juices. Our 100% juices under Active is growing by around 21%. So that's taken

care with very healthy growth. Now we come to the nectar part of the portfolio. Our nectar part of the portfolio is the one which is a little bit flagging. I'll come to the reason in a bit. The drink Dabur India Limited
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part of the portfolio is growing at 19% or 20% for us and the Fizz part of the portfolio is growing by 100% for us. As far as carbonated is concerned, that's 100% growth. Drink is a 19% growth. 100% Juices is a 21% growth.

Now coming to the Nectar part. What's happened is, that there are cola wars which are happening in India, in which there's a third entrant, which has entered into the cola business. And because of which and for him to take market share, it has dropped the prices and made 250 ml available at INR10 due to which the market leader has also dropped the prices, due to which the number 2 player has also dropped the prices.

So the price index between a nectar and cola has significantly increased. Our relative price index used to be 2.2x. This 2.2x has gone up to around 3.2 to 3.25x. So that is just to give you an example. The INR10 pack, which is available at INR10 for cola or a drink, our 200 ml, which is a portion pack available at INR 20, 2x the price point.

So that's the problem, which is happening. And because these drinks and nectars or these colas have become so cheap, consumers are trading out of nectar

into cola and the summer season has

accentuated this problem, because of this acute summer of 40-degree, 50 degrees outside, the consumer wants more hydration and more refreshment rather than nourishment and health.

So it's a dual impact, which is what we are facing. One at the price end because the price premium of nectars have gone up as compared to cola, which is the market of INR50,000 crores as compared to drink market, which is INR12,000 cores to INR15,000 crores. And number two, consumers were seeking out more thirst quenching products. And if you taste this, this is more thirst quenching as compared to a juice or a nectar.

So that is why there has been a muted growth as far as J&N is concerned. If you look at other competitors' data also, whether it's Varun or others, the nectar market is only growing at a very muted growth. Our market share in the nectar market has gone up by 332 basis points. All other, whether it's ITC, and all other players, market shares have actually gone down. So the team has done a very good execution on ground, gained market share, but yet the growth has been muted there.

Mihir Shah: Understood. Sir, can you share the saliency of nectar within all of these 4 subsegments? Or maybe if you can talk about how you're going to address the issue because it doesn't seem to be an issue that is going away soon. So maybe the saliency of the other 3 segments can go up. Anything that you can shed light on that one.

Mohit Malhotra: Yes. So what we are doing is we are ramping up capacities for Fizz in Jammu and that is getting ramped up. Our capacity for drinks is also getting ramped up. Coconut water also we are ramping up, but that takes time. But Nectar represents more than 70% of our total saliency. And we are the number 1 player with a market share of more than about 56% there in the Nectar segment.

Mihir Shah: Understood. Got it, sir. Sir, second question is on the OTC and Ethicals portfolio. There were quite a few new initiatives and launches that were planned including the Doctor Advocacy etc, steps that were taken. Can you share any update on those initiatives? Are you revisiting any of them? And when should one expect growth to pick up in this category?

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Mohit Malhotra: So Doctor Advocacy is progressing well, and Philippe Haydon is actually leading the charge here and it's doing well. We are reaching out to more than 30,000 Ayurvedic practitioners. 30,000 another general practitioners, 12,000 dermatologists, 22,000 gynec and pediats each. So that's well on way. We've got around 400 feet on street on ground. So we are trying to advocate that allopathy's alternative system of medicine as good as allopathic which is there.

So I think that whole playbook is working well for us, but it's a slow progress. As far as growth is concerned, we've got a growth of almost around 9% to 10% in therapeutics vertical. So there are new people, getting trained, etc, so it's taking time to really get into a flywheel growth. But overall, I think it's long term to build health care. That is what we are doing on the Advocacy. Overall doing well.

As far as Ethical is concerned, we've seen a good growth in the Ethical business and Ethical business has grown by around 7% to 8% for us, and it's doing well. OTC saw muted performance in the OTC mainly driven by the base effect of Honitus, which grew by around 30% plus and one or two other brands also grew by 30% last year. That's why the growth is actually muted. Plus severe winter's incidence of cough and cold was limited in the summer because of the acute summers. So that's why.

But our Pudina Hara liquid has done very well, grown by around 20%. Our Hajmola has got extended into Hajmola Zeera. That has done very well and the response from the market is exceedingly well. Imagine Hajmola as a brand getting now pivoted to drink segment which is so big in size.
And we've seen

on the other Zeera players also doing very well. I think that's a very big news that Hajmola as a brand is now pivoting into the very large TAM, which is the drink segment, so we were limited by the kind of capacities that we people had.

Our Baby Care business has also grown by around 45%, and that's also trending well, driven by both e-commerce and also now by the therapeutic business. So overall, OTC and Ethicals have done well. Health juices are going to be around INR50 crores for the whole year, and we are striking at the rate of around INR10 crores plus in the quarter.

So I think juices are doing well for us, yes. So overall, OTC Ethical had par performance. Some part like Lal Tail and Honitus, we had to do some media work to grow the market as a leader, which we are up to doing.

Mihir Shah: Perfect, sir. Great to hear that. Sir I have one macro question. If you can talk a bit more on the rural growth. What changes are you seeing there? Is the group looking better because of a low base? Or are you seeing some consumption improving post the Rabi harvest? Or are you seeing changes from the unorganized sector or players to the organized players that change is coming back, which you were seeing a few quarters back. And in a sub part to it is, what do you think is the issue with urban? Why is it tailing? Why is it going down, sir?

Mohit Malhotra: No, I think overall, the rural is coming back if you ask me. It's a large long-term impact happening inflation going down, elasticity of demand working very well as inflation goes down,
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price premium goes down, more traction happens in discretionary and staple. That is what is panning out. There's a deflation of around 2% that we've seen in the quarter.

And that's why rural consumer is kind of coming back into the fold of consumption. I think that's getting built up by good harvest, normal monsoon, government initiatives of putting in a lot of infrastructure, more employment opportunities, MGNREGA outlay going up from 60,000 to 84,000 crores. New schemes being announced by the government.

So I think all that is leading to a better sentiment and this better sentiment generally leads to better consumption. I can't tell you a very hard fact of correlating with the money in the hands of the consumers. But I think sentiment euphoria leads to better consumption, and that is what is, I think, happening in rural and the government has also come back in the third term.

So there is a fair amount of stability as far as the economy is concerned. And that is all going up in the overall consumption. But we would have expected even better sops by the government, which has not come through. But I think everything is not hunky dory. Because overall FMCG market continues to go down.

So we have seen a sequential decline from 12% to 9% to 6% to 4%, while rural is showing some sort of recovery. But Dabur is the bellwether for the rural performance, which we think we are.

For past 3 quarters, we have seen our rural recovery happen whereas the FMCG market is showing rural recovery for the past 2 quarters.

So we are the lead indicators. I would imagine that we would be for the rural consumption. And our sub stockist channel is doing well. Money is coming back. Earlier, the credit terms were higher. Now the money is coming back. Our inventory levels also gradually slowly are coming down, which had piled up. So all in all, I think we are in a good space, and I think the subsequent quarter should be better than the previous quarters in the FMCG sector.

Mihir Shah: Yes, I get it. And absolutely, we believe that you will be the key beneficiary of rural recovery. So one is keeping the fingers crossed.

Lokesh from BOB Capital Markets

Lokesh Gusain The first one is if you could discuss some trends in urban markets, like how they performed in the June quarter relative to the March quarter? And then secondly, I know

Chyawanprash is a

low saliency in the June quarter, but I just want to understand how the trends were on a year-over-year basis when you look at the March quarter performance and when you look at the June quarter performance. Did the heatwave have any kind of impact on that product?

Mohit Malhotra: Lokesh, as far as urban markets are concerned, urban markets, again, got part, I'll answer your question in the part. E-commerce is flying for us. So it's a growth of around 30% in e-commerce and driven by quick commerce. Quick commerce growth around 70% for us, driven by Zepto, Blinkit, Swiggy, Instamart.

All they are doing very well, and we've got a structure and a playbook in place, which has kind of put this business on a good high growth track and we are working along with all the major

players in the quick commerce and devising mixes and portfolio so that our growth is driven along with their growth and it's a very high-growth channel for us. Today, quick commerce is almost 30% to 35% of our overall e-commerce and doing exceedingly well. Our modern trade, the second part of the urban is growing at around 15% thereabout.

Reliance and D Mart which are more than 65% of the total MT, is also doing well for us. So that's, again, a good thing and margins for both modern trade and e-commerce are in line with the GT margins. So the more they grow, the better we get, except for the fact that credit is a little higher in these two channels, which also in due course of time, we should correct.

GT is a big elephant that is a drag on the business, which is also urban one, and in which wholesale is where the shoe pinches. So we are trying to convert our indirect to direct and therefore, trying to reach maximum number of outlets. 50,000 outlets is what we've added in the overall direct reach in the quarter. So that's our endeavor for this to go out. So that the productivity of people also moves up. So that is what one is trying to do here.

As far as Chyawanprash is concerned, this is a very low salient quarter for Chyawanprash and the heatwave was severe. Amid the heatwave, Chyawanprash to consumers is not making sense. We ushered in a campaign called a monsoon campaign to capitalize on the monsoon. And immediately after the monsoon, we've seen around 8% to 9% growth happening in July. And in the current month also, we are seeing some good growth on the lower base, of course, it's not a consequential quarter for us again. So I think with the La Nina impact coming in, we are expecting the winters to be a little bit more severe as compared to usual and which should be a very favorable indication for Chyawanprash season to go by. So we are keeping our fingers crossed this year for Chyawanprash to do well..

Lokesh Gusain And then just you mentioned something about inventory correction in the Oral Care segment.

Could you just talk a bit more about like where was that exactly & in which channel?

Mohit Malhotra: No, see inventory correction I was telling a difference between primary & secondary. We've not consciously corrected any inventory. So let me put the facts in place. We've not corrected inventory, hasn't corrected or taken a beating on the sales to correct the inventory. We are trying to drive secondary to correct the inventory.

So our secondary sales has been higher than our primary sales. To that extent, the inventory levels of the stock actually depletes down. In Oral Care, I was telling you our growth is around 13% in secondary as compared to 11%. So 2% of our overall Oral Care volume should be roughly around INR 10 Crores. So around INR10-11 crores of inventory correction in Oral Care would have happened and mostly in the GT channel. Ankush, do you want to talk to...

Ankush Jain: Just to give a bit of fact. In fact, our secondary revenue is slightly higher by INR1 or 2 crores in this quarter. So it's marginally high. It's just

that in the base, the primary was higher.

Mohit Malhotra: But I think overall in the business only, I think secondaries have been higher as compared to our primary. So overall, there should be a stock correction to an extent of around INR10-odd crores, which would have happened in any case overall, yes.

Jay Doshi from Kotak

Jay Doshi: First question is on juices and nectars category. Now as per Nielsen, you've gained share by 330 basis points. But when we look at the reported numbers of Varun Beverages that for them, the segment grew 40% this quarter. And from whatever we understand, even Tropicana has grown at 20% odd plus. And this year, they have trebled the capacity for Tropicana. So I was just wondering that are you losing market share? Is it real in the nectars segment losing market share to Tropicana? Maybe it's not reflecting in Nielsen as yet. And if you could share some thoughts here.

Mohit Malhotra: We've sliced and diced the numbers, actually, you're talking specific. Tropicana used to be 19.3%, now it's 17.3%, 200 basis points lower. Minute Maid is down by 100 basis points, and the Real is up by around 330 and B-Natural is down by 280 basis points. It's all syndicated data. So I think we were very careful to analyze and understand this. I think our business has done significantly better as compared to all competitors, and Real has been the only exception which has grown in consolidated market shares. I can't talk about Varun Beverages results because it contains export market, drinks & this that. So there are too many moving parts there.

As far as Real is concerned, I don't think we are losing. We are not at all losing market share here. We were losing market share in the coconut water segment. That is what we are still losing market share that we are plugging. So we've already ordered for a aseptic line because you require an investment in capex there that we have invested.

So I think with next season on, even coconut water for Real will be available in the pet bottle, which is where we were losing. We were available in Tetra Pack and they were available in pet with the new player Storia coming in, it had taken market share from us, but that we will be plugging in the coming season. That much of time we took, but that's the learning, yes.

Jay Doshi: One more question. Earlier, you mentioned on the call that modern trade and e-commerce margins are similar to general trade margins. So is this an apple-to-apple comparison in terms of category comparison or your portfolio in MT and e-commerce is far superior in terms of product mix and category mix. And hence, when you look at the margins of GT versus MT e-commerce, you probably see similar because what we hear from most other companies is modern trade and e-commerce are actually margin dilutive.

Mohit Malhotra: No. So I think over the past 2 years, we have very consciously worked on this to inch up the margins and inching up the margins has happened with negotiations with the trade and in the channels earlier, we were doing modern trade through our distributors. Now we are moving directly. So we saved the distributor margin of around 5%. Now that's coming in handy. We are selling larger packs. We are doing more premiumization there.

So I think it's a very conscious attempt of taking up margins because we realize these are the emerging channels growing at a faster pace. If margin dilutive, this will lead to overall decline in the operating margins and things will become worse. So we worked on it, I think, very consciously. Earlier, we used to offer a lot schemes, now schemes are getting net off from the

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top line, therefore some GST savings happening there. And then overall, I think it's proving out to be a very positive sort of look for us.

Jay Doshi: This margin, when you talk about margins between chann

els, is it EBITDA level or gross contribution level?

Ankush Jain: It is net margin, net of all direct expenses with the media including visibility spends.

Jay Doshi: okay, understood.

Sheela Rathii from Morgan Stanley

Sheela Rathii: I must admit this time's annual report completely resonates with the company's positioning. So my first question was with respect to the market share gains, which we have been seeing in Odomos and Odonil. I understand that Odomos is much smaller than Odonil, but what is working out in favor for us? And where do we see the scale-up in this category at the overall level in the next couple of years?

Mohit Malhotra: Yes. So Sheela, so I think Home Care is a great opportunity for us and very high margin accretive category. We make margins in tune of around 60% broadly in Home as compared to other places. So we are very well placed. Odomos is an underleveraged brand for us because the total top-of-mind recall for Odomos will be very high, and Odonil also will be very high as to the amount of turnover. That's why we are now pivoting Odomos towards mosquito repellency and insecticide, so to say. Therefore, we had introduced Odomos Racquets first, then we introduced LVP that is also coming in. So we are trying to expand the total addressable market for Odomos. And so is the case with Odonil getting extended to different formats. Odonil just not being PDCB block, but also being air fresheners, also being gels, also being powder, also now getting into air fresheners, etc.

So the entire gamut of freshener category will be captured by Odonil and insecticide with the Odomos. That is the overall attempt, and we want to take our Home Care to INR1,000 crores. And still, it is not INR1,000 crores. Odomos totally for us should be around INR800-odd crores. So total Home Care will be around INR800 crores. So we should be able to take this up to INR1,000 crores by increasing the TAM. That's a big picture.

Sheela Rathii: Understood. Second was just a follow-up to the previous participant's question. With respect to the margins. But again, more importantly, we have called out that quick commerce is doing very well for us, up 70%. Which brands from our portfolio fitting to the quick commerce related demand and are the margins similar for quick commerce similar to e-commerce?

Mohit Malhotra: Yes. So I think juices are doing well. Juices are doing well for us than quick commerce also now toothpaste is doing exceedingly well. So quick commerce players, besides just carrying grocery. Now they started carrying the personal care also and the new product bundles are going on personal care and doing well. Even our Badshah Masala has now been geared to our quick commerce business. And I think it will do well. Odomos also is doing exceedingly well in quick commerce for us, yes.

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Sheela Rathii: Would the margin be similar to e-commerce when you say for quick commerce? Or Will it be

better?

Mohit Malhotra: Quick commerce margins are better than e-commerce. Amazon's rate and all is higher as compared to Zepto and Blinkit and Instamart, etc. So quick commerce margins are better than e-commerce.

Sheela Rath: Understood. One final question was on the rural bit, while responding to the earlier question. You mentioned that your channel is doing well and money is coming back. Is this the first quarter when we are seeing this money coming back from the channel much faster. Is it fair to say? Or has it been something we have been seeing as a trend improving for the last few quarters?

Mohit Malhotra: So I think I'm talking about the current quarter. So I don't know if it is a trend we have to wait and watch that's what I said. The sentiment seems to be improving. So it's a little wait and watch. And geographically, the mix is very different. If you ask me, South India is still reeling under pressure. And where the little ease is happening is in

UP, Bihar for us, that is easing out, that's getting better. Central is getting better. But I think South India is still reeling under deep pressure.

Avi Mehta from Macquarie

Avi Mehta: I just wanted to better understand your comment on pricing that you had indicated during the start of the call. Is this in any way you worry in suggesting that the 3% pricing growth that we were aspiring in FY '25, that could be at risk because the price hikes in health care are getting harder or if you could kind of help us better understand that comment.

Mohit Malhotra: No, I did not say that we aspire to have a 3% of a price increase. I did not say. I only mentioned the deflation in the current quarter is to the tune of around 2%.

Avi Mehta: I misunderstood that comment. I'm sorry then.

Mohit Malhotra: Yes. So I said that there is a deflation of 2% and there's a 2% of carry forward price increase that we are seeing in the current business. And this is a price increase that we've taken in the previous quarter, which is getting rolled over to the current quarter. So that is overall sort of 2% plus volume growth of 5% and 7%. So I anticipate volume growth going up and price growth to be muted in the tune of around 2% only. As far as health care is concerned, our price increase in the current quarter, a 6% price increase in the health care business.

Our HPC business has a price element of around 1.4% to 1.5%. And food is actually all volume driven. So that is the way it will be going forward in the quarter because if there is inflation, which there is, as I see the inflation in food is very high today, so we might have to take some price increases in food, but it depends upon how the situation is. Our margins are holding up, and that's where we are, yes.

Avi Mehta: Got it. Perfectly clear. And yes, I misunderstood your earlier comment. And the other just wanted to understand what's on the Namaste, any update over there?

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Avi Mehta: I just wanted to get an update on the Namaste case. Is there any update over there? Or it's status quo? Any news over there, if there is?

Mohit Malhotra: Yes. In Namaste last update when we gave you and an update now, we've been able to achieve the corporate separateness in Namaste. So Dabur International & Dermoviva are not a part of the litigation now anymore. So only Namaste, which is less than 1% of our profit and turnover is in the ambit of the legal case. So that's a very good development happening in our favor.

Number two, we've been negotiating the legal cost and the legal cost as compared to last year to the current year is substantially lower. So this quarter, we've only incurred INR18 crore of legal cost. In Q1 FY24, it was in the range of around INR25 crores, so substantially lower for the full year. We should be incurring a cost of around INR80 crores as compared to INR100 crores last year.

So, I think overall, still the case is in the discovery stage, and we are also talking to our insurance companies to see if we are able to get 50% of the amount that we are paying to the lawyers for fighting the litigation. If that happens, then we will be able to reverse the provision that we've kept for the cost that we've incurred right now.

Amit Purohit from Elara Capital

Amit Purohit: Sir, just on the Health Supplement segment, you grew by 7.8% this quarter. And if I look at historically, since FY '21, this segment has faced challenges post the COVID benefits that we had. How do we think I mean, for this year, since the base is favorable for Q3, would the slower growth you would attribute largely to the unfavorable seasonality or is there any structural change which is happening because we have taken price increase as well in this segment.

Mohit Malhotra: Yes. So there are three elements of health supplements for us: Glucose, Chyawanprash and Honey. If you see our Glucose has done very well. I think the entire

heatwave actually provided

a tailwind and a favorable environment for Glucose to do well. Our Glucose business grew by around 30% and a market share gain of around 70 bps in the overall segment. So that's done

well. We also introduced Glucose in our drink segment, which also has done well for us. Our value-added Glucose is doing better. Vitamin C and other flavors are doing better than our regular glucose, which is also margin accretive. Our margins have substantially improved in the Glucose segment also.

As far as Honey is concerned, we faced some concern on last winter. The winters were very acute and some part of Honey had actually crystallized in the marketplace. So we've taken back some stock. So therefore, the growth on honey wasn't there in our health supplement piece and even Chyawanprash due to the high heatwave it's not done so well in the current quarter but post our monsoon campaign in the month of June and July, we've seen good growth happening in Chyawanprash. And going forward, as I was telling you before in my previous remarks, that with La Nina impact, we anticipate winters to be severe. So Chyawanprash should do well going forward in the season.

Amit Purohit: Sure. And lastly, on the margin guidance for FY '25, should we assume to be similar to FY '24?

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Mohit Malhotra: Yes. See, we've got 120 bps of gross margin improvement. Part of that around 80% of that will be plowed back into media and balance will flow through to the operating margin. So there will be some amount of improvement in operating margin. If the deflationary environment continues and we anticipate in the second quarter, the deflationary environment will be there, we'll have a flat sort of inflation that's the prediction that we got from our procurement function.

So that should remain. But in quarter 3 and quarter 4, there's some anticipation of inflation coming in. And if that inflation comes in, we'll have to watch the gross margins and our media but we are committed to investing behind our brands and therefore, doing higher media. In India, the media percentage to top line was 8%. We want to inch it further through Samriddhi benefit, some part of gross margin flow-through and balance will get into operating margin. So I can't really comment with certainty. Margins will grow beyond 19.6% that you see, but how much? I really can't say.

Nihal Mahesh Jham from Ambit

Nihal Mahesh Jham: Sir, one question would be that in the Oral Care segment where you're seeing strong growth. Is there an element of distribution improvement also considering, I think we reached 3 million outlets in the segment versus the 8 million in total that we have and could that be a sustaining factor of growth going forward?

Mohit Malhotra: Yes. So I don't know. I think the distribution initiatives actually incrementally add to the entire portfolio or not really to oral care per se. But I think our visibility, our activations in modern trade and e-commerce have really ramped up as compared to last year. So we changed manning in modern trade. There's a different head who has come in.

I think we've got higher shelf shares in modern trade for Dabur Red and for others. I think our share of shelf in modern trade would have significantly improved. And also in e-commerce, our business would have ramped up. As far as GT is concerned, I don't think distribution has incrementally added to the growth which is happening. We are investing ahead of the curve as far as media is concerned. So South business has done well. Our market shares have improved over there.

But in North India, there's a huge scope and Patanjali in particular State of UP, etc, has gained market share from us. So there's a lot of hard work which has to happen there on a INR10 price point and a INR20 price point to gain shares there, but we are investing. I think it will be more demand generation activity there because

se its more wholesale driven rather than distribution. So

yes, modern trade e-commerce, definitely. The activation would have played a role.

Nihal Mahesh Jham: That's clear. Just one clarification in juices if you would give the split between in-home and out-of-home in the Nectar's business only.

Mohit Malhotra: Our in-home business would have stayed put while in Nectar, both have gone down, but out-of-home has significantly improved because of our drink portfolio and Fizz portfolio. And the 200 mL part of our juices and nectars portfolio suffered because it is Tetra Pak and a lot of Fizz and drinks not just us, but also the other players would have taken share from us in out-of-home. But in-home, we are staying put as far as our 1 Liter is concerned.

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Vishal Punmiya from Yes Securities

Vishal Punmiya: Just one question on the international growth. The Y-o-Y CC growth looks to be quite strong. but a sharper impact from the currency devaluation compared to even the previous quarter is kind of restricting our INR growth. How is the situation as of today in terms of currency devaluation across your international markets?

Mohit Malhotra: Ankush, you want to answer?

Ankush Jain: Yes. So I think the currency that has been hovering around 3% or so or thereabouts in last 2, 3 quarters. I think we will take 1 or 2 quarters more to overlap. And then by Q3, we will start reducing, though not completely eliminated.

Isha Lamba: I would like to thank all the participants for joining today's call. Our sincere apologies once again for the delay in starting the call. The webcast recording and transcript will be available on our website. Thank you and have a great evening ahead.

Call: Nov 2024

Ref: SEC/SE/2024-25

Date: November 6, 2024

To,

Corporate Relations Department

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street,

Mumbai-400001

BSE Scrip Code: 500096^A^.^w;^,^^/'<?-9>

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India Ltd.

Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza, 5th Floor

Plot No. C/1, G Block, Bandra Kurla Complex

Bandra (E), Mumbai - 400051

NSE Scrip Symbol: DABUR

Sub: Transcript of Investors' Conference Call for Dabur India Limited -

Q2 FY 2024-25 Financial Results

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on October 30, 2024, post declaration of Financial Results for the quarter and half year ended on September 30, 2024. The said transcript is also available on the website of the Company at www.dabur.com.

This is for your information and records.

Thanking You,

Yours faithfully,

For Dabur India Limited

rw^/'

(Saket Gupta)

Company Secretary and Compliance Officer

End: as above

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PAN: AAACD0474C, CIN: L24230DL1975PLC007908, Email: corpcomm@dabur.com, Website: www.dabur.com

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"Dabur India Limited

Q2 FY '25 Results Investors Conference Call"

October 30, 2024

M

ANAGEMENT :

MR. MOHIT MALHOTRA - CHIEF EXECUTIVE OFFICER

MR. ANKUSH JAIN - CHIEF FINANCIAL OFFICER

MR. REHAN HASAN - HEAD, SALES

MS. GAGAN AHLUWALIA – VP, CORPORATE AFFAIRS

MR. N. KRISHNAN - GENERAL MANAGER , FINANCE

MS. ISHA LAMBA - HEAD, INVESTOR RELATIONS AND M&A

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Isha Lamba: Good evening, ladies, and gentlemen. On behalf of the management of Dabur India Limited, I welcome you to the Earnings Conference Call pertaining to the results for Q2 FY '25. Present here with me are Mr. Mohit Malhotra, Chief Executive Officer, Mr. Ankush Jain, Chief Financial Officer; Mr. Rehan Hasan, Head of Sales; Mrs. Gagan Ahluwalia, VP-Corporate Affairs; and Mr. N. Krishnan, General Manager-Finance. We will start with an overview of the company's performance by Mr. Mohit Malhotra, and this will be followed by a Q&A session. I'll now hand over to Mr. Mohit. Thank you.

Mohit Malhotra: Thank you, Isha. Good evening, ladies, and gentlemen. We welcome you to Dabur India Limited's conference call pertaining to results for the quarter ended 30th September 2024. This quarter, the sector faced challenges from heavy monsoons, floods, and high food inflation, which slowed down urban consumption, especially in the beverage category for us. However, rural continues to be resilient and has outpaced urban growth for last 3 quarters. We believe urban consumption has bottomed out and should see an improvement going forward.

As new channels have been growing ahead of general trade, this has put some pressure on profitability of our GT channel partners. We recognize the challenging times faced by our GT channel partners who are integral to Dabur and have significantly contributed to building our esteemed business. As part of our commitment to good governance and in solidarity with them, we have undertaken one-time strategic initiative to rationalize inventories and enhance their profitability. As a result, our consolidated revenue declined by 5.5%. While this one-off proactive measure resulted in a temporary dip in sales, this was a necessary step to enhance the profitability of our GT distributors and ensure long-term health and hygiene of our business. Our business fundamentals remain strong with all underlining key consumer metrics of market share, household penetration, secondary sales and compounded annual growth on a positive trajectory. Our secondary sales during the quarter grew by 2.3% year-on-year with Home and Personal Care growing at 6%, Health Care growing by 4%. In addition, we gained market share across 95% of our portfolio.

The international business exhibited resilience and registered a strong growth of 13% in constant currency terms. Within the domestic business, Home and Personal Care secondary sales grew by around 6%. Hair Oils grew ahead of the category and gained 40 bps market share. We are market leaders in hair oils with representation in both coconut and perfumed hair oils. A key white space has been premium Ayurvedic hair oil segment that we have been calling out for a long time.

I'm happy to announce that Dabur has entered into an agreement to merge Sesa Care Private Limited, which has a consolidated turnover of INR133 crores. This proposed merger brings to Dabur the premium Sesa brand with strong credentials around Ayurveda that will complement our existing portfolio and strengthen our presence in the INR14,000 crores hair oil category. Given Dabur's extensive distribution network and category leadership, this transaction will bring in substantial revenue and cost synergies. Sesa brand will also enable us to premiumize our hair

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oil portfolio as it is gross margin accretive. International businesses contribute to 19% of overall Sesa's sales with Sesa being number 1 Ayurvedic therapeutic hair oil in Bangladesh market. Home Care portfolio continued on a strong growth trajectory with 9% year-on-year secondary sales growth and market share gains of 220 bps in air fresheners and 510 bps in mosquito repellent cream category. We continue to premiumize and expand our product range in Odonil

with gel pockets, diffusers, and premium air fresheners. We have extended Odomos brand into liquid vaporizer format, which is seeing an encouraging response from the market. We intend to scale up this during upcoming months.

This initiative will enable the Home Care portfolio to grow in double digits going forward in the future, taking up the portfolio from INR700 crores to around INR1,000 crores in 2 to 3 years' timeframe. In oral care category, our flagship brand, Dabur Red recorded secondary sales of around 5%. We have a strong number 2 position in the category with 1 out of every 2 households using Dabur Oral Care products.

Dabur Red toothpaste has a number 1 position in states like Orissa, Andhra Pradesh, and Tamil Nadu. I'm happy to inform you that Dabur Red has become India's first Ayurvedic toothpaste to get accreditation and recognition from Indian Dental Association, a consortium of allopathic dental practitioners. Going forward, we will ramp up our engagement with dentist community to cover around 1 lakh dentists.

Our Health Care segment posted a secondary sales growth of 4%. To promote all-weather consumption of Chyawanprash, we rolled out a special monsoon campaign during the quarter, which has resulted in secondary growth of 12.6% in Chyawanprash. The brand gained 20 bps market share to reach 61%. The Chyawanprash category penetration has improved by 10 lakh households from pre-COVID levels.

To drive premiumization, we recently launched the Khajurprash variant, which was very well received by the consumers. Digestives portfolio recorded a secondary growth of 6% year-on-year, led by good growth in Hajmola and market share gains of 160 bps. Dabur Honey also grew ahead of the category and gained market share of 60 bps. Health Juices and Shilajit recorded a year-on-year growth of 20% each and Baby Care portfolio grew by 30%.

In Foods category, the business performed well with 20.6% growth in secondary sales. Badshah continued on a strong footing and grew by 15%, both primary and secondary terms, driven by 15% volume growth. Food business, including Badshah, will cross INR500 crores this year, as alluded earlier. We intend to continue to grow Foods vertical aggressively going forward as well. Due to aggressive monsoons leading to floods and landslides in some parts of the country, the Juices and Nectar category declined in high single digits. Despite the slowdown, we grew ahead of the category and gained volume market shares of 240 bps. We have put in place a multipronged strategy of ramping up our drinks portfolio, improving affordability through pack price architecture, revenue growth management and drive premiumization in emerging channels and expanding the distribution footprint to put Juices and Nectars back on the growth trajectory.

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Coming to profitability, the consolidated gross margins expanded by 102 basis points. The company increased its investment in advertising and promotion and went up from 6.8% of net sales in quarter 2 to 7.4%. However, deleverage on account of decline in revenue impacted the operating profit, which declined by 16.4%.

I am pleased to announce that our company's Dow Jones Sustainability Index score has reported 170% improvement from 30 to 81 in last 2 years, reflecting our unwavering commitment to sustainability and responsible governance.

I would like to once again reassure you that the underlying business fundamentals remain strong and overall health of the business continues to be robust. With rural growth continuing to be resilient, urban slowdown expected to have bottomed out and riding on the strategic initiatives, we are confident of our performance in the upcoming quarters to be back on track. We remain dedicated to investing behind our brands, expanding our distribution reach, and building our back-end capabilities to continue to d

eliver superior value creation.

With this, I conclude my address and open the floor to Q&A. Thank you.

Abneesh Roy from Nuvama

Abneesh Roy: My first question is on toothpaste. So we have seen 3 results till now in that space. You have grown by 5% and the market leader has grown in double digits with around 8% volume growth. And the number 3 player has also seen high single-digit growth. So one, how do you see your growth versus the other 2 players? Second, have you seen a sharp ramp-up in the competitive intensity in Q2 and do you see this as a structural development or that was a one-off given the margin pressure which market leader saw?

Mohit Malhotra: Right. So Abneesh, overall, Oral Care category is growing quite well. We have grown ahead of the category at around 5% value, and we've gained market shares also in Dabur Red. Besides Dabur Red, even Meswak has performed very well in the quarter. Dabur Herbal toothpaste for us has also been doing very well. Lal Dant Manjan, which is our tooth powder brand, has also grown by 7% in terms of secondary.

So all the vectors of oral care for us have done well in the market and market shares have gone well. I can't comment so much on the competitor. But as far as we are there, I think Oral Care is one of the very aggressive vectors, which we will keep pushing to drive our growth.

On Oral Care, I would want to mention one thing that we are really seeing huge tailwinds on our product portfolio and international business. Oral Care will be one of the second vectors of our growth besides Hair Care in the international business. We have completely saturated our installed capacity in markets like Egypt, MENA etc. on Oral Care, and we are augmenting capacity there. So there is a real heavy tailwind towards herbal, natural and Ayurvedic products in oral care.

In many countries, in MENA and in Egypt, we have already become number 2 and number 3 brands placating large global competitors that we have there. As a matter of fact, in Egypt, we've become the number 2 brand in Oral Care, and we are putting up special installed capacities and

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the business is surging at the rate of around 70% to 80% on volume terms. Even in MENA, we are seeing a huge growth happening in Oral Care. As far as competitive intensity in India is concerned, yes, from the competitor and the market leader, we've seen competitive intensity gone up, but we are matching up their prowess in trade and in visibility in the marketplace.

Abneesh Roy: Understood. My second question is on the fruit juice and Campa Cola impact. You were the first company to really highlight the risk well before other companies. You said on the impact of Campa Cola in Q1. So I wanted to understand now Coca-Cola is also looking to cut prices from INR25 to INR20 in the 400 ml. So if you could talk about that, how does that impact your price architecture?

Second is, if you could discuss on how much is the presence of Campa Cola in your market,? Because what we understand is that it is still in few markets. So if it is in a few markets, how come the impact is there on pan-India business for you?

Mohit Malhotra: Yes. So as far as beverage is concerned, firstly, the season did not favor us. I think without the season, which is more monsoon and flood led. Secondly there was high competitive intensity. What has happened is that, it didn't directly impact our businesses, but the pack price architecture and the pricing index has actually become worse.

So for us, the 1-litre pack happens to be INR130. And for Colas, the 1-liter pack happens to be around INR50. So the price index has gone up to 2.7 from something around 2.1. So going forward, we'll be increasing our value proposition to the consumers by introducing INR100 price points in the 1-litre category. This is on the 1 litre.

As far as out-of-home consumption is con

cerned, which is INR10 price point, Campa Cola is at

INR10 now. And even the big players like Varun and HCCB are also looking to cut the prices and will be available at INR15 price point. We have a Tetra Pak, which is available at INR20.

So we've introduced INR10 bottle. We've introduced INR20 bottle. We've introduced INR65 bottle and also now 1 litre. is also available, and 2 litre. will also be available. So we are trying to plug all price points with juice-based drinks across.

As far as the impact is concerned, I cannot directly correlate the impact, but we can feel a little bit of shift in this coming season from juice-based beverages to fizz-based drinks. Firstly, the summer was a little bit acute and therefore, people preferred refreshment-based drinks rather than health based. But I think that was more momentary and transitory because of the price. So there is an impact, but it's an indirect impact of carbonated drinks on the juices.

Abneesh Roy: Mohit, two quick follow-ups here. One, in terms of the shift from the juice towards the fizz, would that be structural in nature? I know you are taking multiple steps to overcome it. One is if you could comment on margins, how it impacts because if you are becoming more sharper in terms of pricing, provided nothing changes, say, in raw material. What happens on margins? Second, the awareness quotient clearly is increasing for consumers. So the perception is though its fruit juice, but it is sweet. And the fruit content, obviously, people can easily read on the pack. And you also said that in the fizzy drink clearly, because it is so hot and so warm, there is a requirement.

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So even if that is also sweet and maybe the non-sugar-wise anyway, that issue is not there. So I'm asking, is this a structural issue of more focus on health, so awareness is there. So do you need much more in terms of the R&D aspect to overcome it rather than just pricing? And what happens on the margins given the sharper pricing, which you have taken?

Mohit Malhotra: As far as margins are concerned, the margins in the total juice portfolio have actually moved up. And that has happened because of the premiumisation at one end and also introducing the price points, which are more value offering to consumers on the other end. So both are kind of going hand-in-hand for us. So we've introduced coconut water also, so which are margin accretive to us. We've introduced value-added juices also, which are accretive to us, etc. So that is like kind of balancing our margin.

And overall, our margins have actually moved up. As far as our representation in drinks, fizz and carbonated is concerned, we are also pivoting ourselves to have representation in carbonated and in drinks. So that has given us good benefit. As you know, we've got a INR200 crores business, which is a drinks portfolio and our fizz-based businesses, fruit-based fizz drinks for us has also done very well.

We've also introduced cans in Jammu, test marketed it and this has also done exceedingly well in the marketplace. So I think, A) pivoting the business towards refreshment besides health is there, B) Fruit plus fizz which is the second vector of growth.

Coming to if there is a structural change? I don't think there is a structural change. If you look at overall big picture, a 50,000 ft -level view, you would find that the penetration of juices or fruit-based beverages in India is still 8% as compared to 25% in China. And that is the example that I can give you from our neighbouring markets.

So I don't think there's a structural shift because the penetration of juices is still so low in the country and fruit is definitely considered more nourishing than only flavoured waters. So that's what my take would be.

Abneesh Roy: Sir, last quick question. So this inventory correction you have done, I wanted to ask on that. So

clearly, FMCG companies keep doing it. The issue was that the quantum was extremely high. And we have not seen any other consumer company even talking about it currently. So what is different about your business since you are also very diversified. I understand in juice business there was a clear 2 quarters of issue. But how come it impacts overall business and the quantum if you can discuss that?

Second, you mentioned in the coming quarters, the growth will come back to normal. You also said that urban slowdown has bottomed out. Now other companies are not saying that. They are saying this is start and so we need to watch out. So what is your confidence of saying urban has bottomed out? Is it because you have taken the correction or it's more of a company-specific thing you are highlighting?

Mohit Malhotra: So first, let me answer your second question first. I think as far as urban is concerned, why I say it has bottomed out is because if you look at the base effect, base quarter of urban was very high.

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It's already gone down to around 2.8% kind of a growth in FMCG urban that we are seeing. I don't think so it's going to go beyond bottoming out from here.

And if you really look at the intrinsic urban consumption, which is also driven by e-commerce, quick commerce, modern trade, etc, these channels are definitely showing a high growth, and they now contribute around 24% of the overall salience of our business. That is growing at a very high double digit, and that is 50% of the urban consumption as far as we are concerned. So that is showing no tell-tale signs of diminishing. So that is where I'm coming from. It's already bottomed out even in GT.

So whether the consumption is happening through GT or through these emerging channels, something. So that's what my take would be that it has bottomed out. And as far as rural is concerned, rural remains resilient, and we see secondary growth in rural higher than urban by around 130 bps for us. But if I look at the Nielsen data, our growth in rural is 600 basis points higher as compared to urban. So rural remains resilient and urban, in my view, should start recovering with the festive season.

And we've seen the kharif acreage is also high. So that augurs well for rural, and there has been MSP increases on the Rabi crop also, which should give more disposable income in the hands of the consumer. But food inflation is something which is worrying me, which is in the range of around 9% and which is shifting the monies from discretionary to more essential items. So that was the first part of your question.

As far as the extent of inventory correction is concerned, now extent of inventory correction was high, yes. We were deciding to take this inventory correction. But when we press the pedal on the 25th till that time, our business was doing very well. Our HPC business till the 25th of September, HPC was growing at 9%; Health Care was growing at 8%; overall business was growing at 6% and beverage business was declining in secondary by 11%. So beverage business is the one which exacerbated the whole issue of inventory for us. And generally, beverage which is low shelf life product is high, as compared to HPC and HC businesses which have the 3-years of shelf life whereas beverage has only 6-month shelf life. It occupies a lot of space at the distributor end as well.

So, the inventory piles up and the pressure is then felt on HC and HPC business because the entire ecosystem revolves around targets. So people have to do their numbers. So if one vertical doesn't fire, they try to push in the other vertical and therefore, inventory piles up. So when we took correction, the correction happened across the board for the entire portfolio, but more so in the beverage business. That's why optically the quantum is looking high for you.

Mihir Shah from Nomura

Mihir Shah: So I wanted to check, would it be fair to assume that the GT inventory correction is now behind completely and 3Q will be a normal growth quarter? And what according to you is normal growth in volume and value terms in the second half? So that's my first question.

Mohit Malhotra: Yes. So I think inventory correction is behind us. Whatever inventory correction we had to do, we quickly did it in 1 month only rather than prolonging this pain for a long time. It's like a

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disease is better to cure and correct it in one go. That we have done. So we've done corrections, but for health care business, which was pre-season, and therefore, we loaded Chyawanprash, so that is not compromised at all. In second half, we expect to grow back in mid- to high single-digits. This is subject to good winters and FMCG also doing well.

We will continue to grow ahead of the category and gain market share. So on the overall strategy and big picture, I think matrices are fine. Our market shares are going up, household penetrations are moving up our distribution is expanding. This is one-off correction, spring

cleaning that we have done, and that too only on behest of our distributors, so that our ROI of the distributors improves. And that's the feedback that we got. So very strong fundamentals of the business, which do not change at all.

Mihir Shah: Got it. I see the market shares are going up and maybe the inflationary environment is also kind of helping that from the unorganized players. But is it fair to assume that given Dabur's rural saliency and winter saliency is high and La Nina here, you should be geared to be a key beneficiary, and grow ahead of the markets and peers? I just wanted to get a confirmation on that.

Mohit Malhotra: Yes, absolutely. I have no doubts about it. I think we should be going ahead of the market with La Nina here. I hope the winter is strong, more severe and more protracted so that Chyawanprash business does well for us. We also have plans to recover our beverage business, which is a little pain point at the moment.

Mihir Shah: Understood. Secondly, Mohit, if you can just deep dive a little bit on the hair care portfolio, the hair oils, particularly. If you can give any qualification or quantification on how your Dabur Amla has done? And how do you see that portfolio shaping up?

Mohit Malhotra: Yes. So in hair oils, we are market leaders in the perfume category. As you know, we've got representation in perfumed oils where we have Dabur Amla and Dabur Amla has got this ring-fenced by the flanker brands, which is Sarson Amla, Badam Amla, etc. So the ring-fence brands promise economy to the consumer and therefore unbranded shift to those branded oils. Dabur Amla is our cash cow and that we are protecting from competitor, which is half the price here. And therefore, the flanker brands come in. We've done well in hair oils and perfumed hair oils, wherein we've gained around 120 bps in perfumed hair oil. So there is Amla, there's Sarson Amla, then there is almond oil where also we have gained market shares from a single largest player in the market. Plus, we launched cooling oils in the market, Cool King. Cool King this year will be around INR25 crores, and it's actually doing very well and the reception from the market is fantastic.

So what we are doing is that we have a right to win in hair oils, and we are trying to plug. We are trying to have representations in different subsegments of hair oils. So Cool King, we plugged organically. And with Sesa coming in, we'll be plugging the Ayurvedic segment. On hair oils, we make a gross margin of around 44%.

With Sesa coming in, it comes at around 57% gross margins. And those gross margins are coming without the scale of procurement of Sesa Private Care as a company.

With the scale of
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Dabur, we feel that we'll be able to take up the gross margins even further. If you look at the price points in the market, if Amla is at INR0.45 per mL, this is at INR1.7 per mL. And so is Kesh King at INR1.7 per mL. Indulekha sits at around INR4.7 per mL.

So getting the leverage from our scale of procurement, I think this gross margins of 57% is also under-pitched. So this is plugging our premiumization strategy. This is plugging our white space strategy and solidifying and consolidating our core business of hair oils. Plus it also has opportunity in international business, which contributes to 25% of our hair oils.

For Sesa brand, international business is only 11%. So that will critically go up to around 25%. But I think that's huge. Like if we do around INR1,600 crores in India, we do overall around INR2,000 crores portfolio of hair oils we have in the overall kitty and Sesa will only add on to that.

Yes. Coconut oils, which is another subsegment for us, grew by around 14%, and we've gained market share. The market leader took price increases in coconut oil due to the inflation and so did we. The gross margins also inched up there in the coconut oils. So Sesa can play in two categories for us. One is coconut-based ayurvedic oils.

Other is perfume-based ayurvedic oils. So we would want to compete in both the subcategories wherever the consumer need is, somewhere the consumer need is pre-bath, somewhere the consumer need is post bath. Different markets have different consumer behaviours, and we would want to plug that gap here. So overall, in both the subsegments of coconut and perfume, we've gained market shares. So, on back of market shares, we feel the growth in this category for us will be higher as compared to the market growth rate.

So this acquisition should not be seen from point of view of the hair oil category. It's a low-growth category. It's been stagnant for the past 3-4 years, and therefore, why this acquisition. The real rationale for acquisition is we are a INR2,000 crores business, and we want to solidify this business as it's a core business, we have market shares of 16%, and we have huge headroom for growth in terms of market share gain. That is the way we see it, and that's the lens with which we want you to have a look at this.

Such distribution, if you look at Dabur's distribution is 45 lakh outlets where hair oil goes to, the Sesa brand only reaches out to around 6 to 6.5 lakhs thereabout. In terms of direct distribution

also, they are available in 1.2 to 1.3 lakh outlets. We are available in around 3.5 to 4 lakh outlets. So, I think each of the places, we have miles to go. Plus the penetration of ayurvedic hair oils, which are therapeutic hair oils, is only around 6% to 7%. And if you look at the overall market, the instance of perception of a hair problem or a hair fall is 60% and the penetration is only 6% with a huge headroom to grow here. Plus, there is an extendibility of the brand. If you look at most of the market players like Indulekha and Kesh King, 20% of their business comes from shampoo business.

And shampoo is a huge market, again with a high growth rate there of around 6% to 7%. 20% of the market is shampoo market, which is extended from ayurvedic. So this theoretically can

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also be extended there. Around 8% of Sesa's business is coming from shampoo. That also has huge legs to grow and hair fall, shampoo can be a very big opportunity.

Mihir Shah: Mohit. Great to know it is quite ring-fenced and seems to be like a good acquisition. My last question is actually on the health supplement business. You did mention Chyawanprash grew by 12%, and that was a bit of a relief as well. Do you expect this to continue? Because if you see over the past 3 years, on an absolute basis, the

Chyawanprash or health supplement absolute

numbers has stagnated. Do you expect growth to finally pick up in the second half in the winter in the health supplements business? And which ones did not do well, which led to overall growth to be lower at 2% for health supplements in Q2 if Chyawanprash grew by 12%?

Mohit Malhotra: Yes. So there is a no stop strategy here. So we are having no hold on to anything, whether it's advertising or it's activation or it's trade lubrication. I think we are working on all levers to ensure that Chyawanprash comes back on track and back on the growth path. And hopefully, with La Nina, I think Chyawanprash should continue to grow. We've done the loading in the marketplace.

Now we are looking at secondaries to actually pick up in Chyawanprash. We have introduced a format called Khajurprash, which is basically meant for women and handles the iron deficiency in women also. It's a very tasty variant as well. I will nudge you all to have it. If we are able to send across the sample to the investor community, we will definitely do the same. So, we've done innovation.

We've also introduced small pack of Chyawanprash for trials to be generated at around INR65 pack for increasing the penetration. In Q2, we did a monsoon campaign to promote Chyawanprash's all-weather consumption. Chyawanprash has a perception that it's good only in winters. So, to kind of demystify that Chyawanprash is an all-weather friend for building immunity, we did the monsoon campaign and monsoon campaign gave us great dividends in terms of this 12% growth that you see. So yes, we're keeping our fingers crossed that

Avi Mehta from Macquarie

Avi Mehta: Just first bit was on the margin side. With inventory correction largely driving almost 100 basis points contraction in reported margins at the operating level and a move towards giving higher value, could you help us understand how should we look at FY '25 margins?

Ankush Jain: Yes. I think widely at an H1 level, it is almost 100 bps correction. And now at least with some top line improvement foreseen in H2 with hopefully good winters and if the top line happens to the level of mid- to high single digits, then I think we should be able to leverage cost and protect margins for H2. So almost flattish margins at this level in H2. That will be our intent at least.

Avi Mehta: Fairly clear, fairly clear on that. And the second bit is on the Sesa acquisition. Now while I understand the strategic rationale, could you help me understand the EPS impact over the next few years? Because it seems at least on year 1, there is dilution, but you did point towards synergies. Could you give us a sense on what are the synergies quantum that you're looking over here?

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Ankush Jain: I think what will happen is, the process will go into some bit of merger and regulatory approval. It will take at least 1.5 to 2 years. The next 1.5 years, there will be no impact on Dabur EPS to start with. Post that, we feel that once most of the synergies start coming in, the operating margin should inch up to 18% to 19%, which is similar to Dabur once the complete synergies get in.

Avi Mehta: Okay. Perfectly clear. And sorry, with your permission just a clarification. The mid- to high single-digit growth comment in the second half is on volume basis and the pricing growth of 2% odd expectation should sustain. That is correct, right?

Mohit Malhotra: Yes. We have a price increase of around 1.5% that we've done in H1, but the price increase impact got diluted by the trade and the extra value that we give on the top line. So that has kind of got nullified. So, it's a mid- to high single-digit kind of a growth rate that we are looking.

It all depends upon how the market kind of behaves and grows. To the previous question, Avi, want to mention that Sesa business is really gross margin accre-

tive, operating margin accretive

and will provide leverage on all the cost heads to our hair oil portfolio, which is today giving me an operating margin of low double digit, which will end up giving me a high double-digit operating margin. So it will be a positive leverage on the operating margin for us.

Avi Mehta: Okay, that's very clear, Mohit. Perfect. Thanks a lot for this and wish you all a very happy festive season. Thank you very much.

Harit Kapoor from Investec

Harit Kapoor: I just had two questions. One is on the improving the ROI for the distributor part. So there are other ways as well in terms of credit periods etc, or probably at a numerator level, even taking the margin. Just wanted to know, have any of those other pieces also been moved or it's only been reducing the inventory pipeline? And if it's only inventory days reduction at the distributor level, what's the quantum of that? And is it fair to assume that since you started this on 25th September, it was 6 days reduction?

Mohit Malhotra: So the ROI of distributor will be improved on back of the number of days of inventory that he's carrying. He was carrying inventory of 30 days. And as we speak after the correction, it will be around 21 days of inventory.

So, ROI substantially improves for him. The turnover remaining the same and the inventory correction will reduce the amount of investment that he has in the business. And therefore, there will be an improvement in the ROI. That is what I think the question was. I hope I've been able to answer.

Harit Kapoor: Yes. Just the question was really apart from this 9-day reduction, has there anything else been done, whether it's credit periods or overall percentage margin, etc?

Mohit Malhotra: Yes. For the past couple of months, we've been giving a little extra credit to the distributors also.

So that has also gone up. Because the inventory was high, there was inability on part of the distributor to extend that extra credit in the marketplace also because he watches his ROI etc. So

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I think that trade extensions will also go down, which we were offering earlier. The number three lever is that a lot of stockists used to have stockist salesmen on their payroll.

We shifted them from their payroll to a third-party payroll, which is a team lease payroll, and some part of the margin was given back to them to improve their ROI also. So all that is also happening alongside. Plus this phenomena of ROI reduction is more in urban India rather than rural India. So in urban, we are also providing some sort of subsidy to our distributors to ensure their ROIs come in.

As far as rural is concerned, there's not too much of pain because the cost of doing business is much lower in rural as compared to urban. And urban also the shoe is pinching of the distributors because of the quick commerce and the e-commerce surge, which is happening. And some part is the price conflict, and some part is also offtake from the retail outlets in urban India going down and therefore, the inventory piling up, which will get corrected as we have reduced the inventory.

And going forward, we are also looking at a way to do some sort of consolidation of distributors in urban India and not so much in rural. In rural, we will look at expansion of distribution, get into more number of villages and small towns and expand our distribution, divide our distribution into HPC, HC and foods and for urban looking at more consolidation.

Harit Kapoor: Got it. But any of these incremental initiatives over the next 3 months, 6 months, 9 months, in your view, should not have a material impact on the business from a disruption standpoint?

Mohit Malhotra: No, I don't think there's any disruption in business. No, not at all. I don't think so. This was one-off. And this one-off also we've done in almost 20 years. Dabur has never do-

ne it. And this is

like a spring cleaning of the house, which was warranted once in a decade at least. So yes, maybe after a decade or so, you might expect it, I might not be there. So I don't think we foresee this happening again.

Harit Kapoor: Sure, sure. I'm not so sure if I'll be on a call after a decade as well, so. The second thing was on Sesa. So you've very clearly mapped out the rationale. I just wanted to get your sense on how are you thinking of kind of category growth because certain interactions that we have for the top two players in this space also suggest that their growths have not been so flattering. So I'm sure you've kind of seen that when you evaluated this.

I also see basis your numbers that there was a slightly lower rate of growth last year for this entity. So that's my first question on Sesa. And the second one really is on the geographic mix, which part of the market does it have a higher salience?

Mohit Malhotra: Yes. So as far as Sesa is concerned, I told you there are a couple of levers that make us so

confident that we will continue to grow and grow at a higher pace, higher growth than what our hair oils is actually growing. It's a national brand, unlike Baidisha that we acquired, which is more of a Western brand, and their contribution is very complementary to us. Their contribution comes from Central, which is the mainstay of Dabur, which is UP, Bihar, etc, at 30% contribution.

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West, which is low for Dabur, they are high, which is 27% contribution coming from there. They are over-skewed on chemist channel and less skewed on grocery channel where Dabur is high skewed on grocery and less skewed on chemist. So that provides opportunity as far as we are concerned. North for them is 11%, for Dabur is skewed at around 25%, which is double. There, there is upside from our distribution is concerned.

East, they are around 20% contribution and for Dabur is about the same. And South, they are higher skewed, 11% contribution in South and Dabur hair oil has low contribution coming from South and ayurvedic hair oils tend to be more salient in South. In Bangladesh, where Dabur is low, they have a higher presence. They are market leaders with 90% market share in the ayurvedic segment in Bangladesh. So they will help, and it's a coconut market.

So there, they help us to premiumize our entire portfolio in Bangladesh. Middle East, which is a huge 25% contributor to our overall global hair oil business, they are not present in Middle East. So that entire place is up for taking. We have the RTM and the GTM established in around 20 countries in Middle East, where they have zero presence whatsoever. So that's the upside that we have. In terms of sheer numbers, we have a direct reach of around 3 lakh to 4 lakh outlets. They have a direct reach of 1.2 lakh. So this direct reach immediately in our control.

The moment we bolt on the distribution to our distribution. And the indirect distribution is around 6 lakhs as compared to us being around 45 lakhs. And this category will have to be advertised, and the high gross margins allow that kind of advertising to be done there. They've got 300-odd distributors. We have got around 3,000 distributors. So their presence in rural is low. Our presence in rural with sub-stockist and Yodha network is extremely high. So I think all these are very synergistic sort of opportunities, which we saw.

And it's a premium hair oil and the extension possibilities are many, can be extended into shampoo, into serums, etc. And hair care, I told you an instance of 60% of problem solution, and they solve the problem solution space in the benefit segmentation in the consumer's mind. So all these things work in our favor. Did I miss out any point of your question? I don't know.

Harit Kapoor: No, fair point. If I have anything, I'll come back.

Prakash Kapadia f

from Spark PMS

Prakash Kapadia: Two questions from my end. Mohit, you alluded to food inflation being a big concern in urban demand. So any sense you could give us on down trading by consumers? Is LUP increasing? And you obviously mentioned you feel that from here on, growth should come back. So what's the outlook on urban demand coming back? That's the first question.

And secondly, earlier for us and for most of the players in the FMCG business, GT was the real moat, direct and indirect partially, then came modern trade and then e-commerce and now it's quick commerce. So what does the future lie in terms of distribution and sustainable moat for us and your thoughts?

Mohit Malhotra: Right. So I'll answer your first question, Prakash. So as far as urban is concerned, why I'm saying is urban has bottomed out because urban at the same time last year was growing at 11%. Now

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it's come down to 2.8%. I don't think urban demand will go down. The last urban demand went down was during the COVID time to around minus 2%, 3%. And that was under the COVID time.

After that, I think 2.8% is the most bottom kind of demand that I've seen. And if you look at sequentially, I think the volumes in urban have grown sequentially from 2.1% in Quarter 1 is now to 2.8%. If you look at the same period last year in quarter 3, the urban demand was 7.7%; from 7.7% on that base, I think it will be somewhere in the range of around 3%, 3.5%. And so I think rural and urban both will inch up like they've inched up. So it's a base effect also, which is kind of kicking in here, and we see urban demand picking up from here. And so the rural resilience is going to be picking up.

Now coming to food inflation, food inflation is definitely high. If you look at all the subsegments of FMCG growth, we find food is the one which is growing on back of value, on back of price increases, whether it's food, non-staples, or food staples. The rest, Home Care, OTC, and Personal Care by far have remained flat. So I think with urban bottoming out, I see some amount

of growth coming in even in the discretionary categories also.

And as I told you, the acreage is higher, MSPs have gone up, so hopefully, food inflation should also tame going forward. And government has also called out on the food inflation. So there will be steps that the government will also take to tame the food inflation.

The second part is modern trade, e-commerce, and quick commerce. I think one fundamental thing which is happening in India is that GT as a percentage of sales will go down and e-commerce driven by quick commerce will only grow in the country. So what we are doing is that we are strengthening our relationship and bondages with e-commerce and quick commerce players and doing joint business planning with them, creating new products for them, connecting with them on a monthly, quarterly basis and seeing that we continuously grow shares in quick commerce and e-commerce portals, be it marketplaces like Amazon, Flipkart or be it quick commerce channel like Swiggy, Instamart, Blinkit and Zepto. Our growth there is higher than their FMCG growth. So if they have grown by 50%, we've grown by 70% with them on their verticals.

So we are ensuring that we grow market shares, and we continuously launch innovations which are very customized to these customers. As far as modern trade is concerned, our visibility is still little muted in modern trade and therefore on back of investment in modern trade and on back of gaining market shares from other players, I think modern trade for us should also continuously grow.

But the quick commerce players are putting pressure on modern trade also besides GT. So if you look at the results of DMart and Reliance Retail, they are also a little under pressure today

because the quick commerce and e-commerce is actually putting pressure on them also, and they would also be pivoting on multi-ways of distribution, whether it's electronically or through offline, etc.

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So going forward, this gradual change from GT to MT to e-commerce is something which will endure. I don't think this is a flash in the pan and will disappear. I think this is enduring here, and this change will come. And how fast, we will have to watch. But GT is a very integral part today and will continue to be an integral part because rural is a huge part of India. So at one end, we would be wanting to consolidate in urban India and other end, we would want to extend our distribution in rural.

So keep expanding rural with sub-stockist and Yodha channel which provide visibility to our business there so that assortment would go up, increase our direct reach in urban smaller cities, increase our direct reach in rural to have visibility and better assortment, reduce our reliance on wholesale and increase our direct reach. That is the fundamental strategy for rural and semi-urban markets. For metro markets, 8, 10 cities, I think, will keep expanding along with the quick commerce portals as they expand from 10 cities to 20 cities to maybe 100 cities going forward.

Sorry for a long answer, but yes.

Prakash Kapadia: No, that's helpful. So what essentially you are alluding to is work with them and try and be part of that and do customization and see what sells and how much we can participate in that growth to adapt to this, right?

Mohit Malhotra: Absolutely. Yes.

Prakash Kapadia: Fine. At least on the urban side. And rural still, I think the GT would continue to play a larger role.

Mohit Malhotra: In terms of villages, we reach out to 1,20,000 villages. Headroom is to go up to 6 lakh villages in the country. So huge headroom there. And in direct reach also, overall, Dabur's direct plus indirect is 84 lakh outlets. We only go to something around 15 lakh outlets. So where is 15 lakh, and we should be minimum around 30% of 84 lakhs, so around 25 lakhs, and we are only in around 15 lakhs. So we can double our direct reach also.

Percy Panthaki from IIFL Securities

Percy Panthaki: I just wanted to know after this pipeline correction, what is the distributor days now?

Mohit Malhotra: Around 21 days, and we want to bring it down to around 19 days by end of December.

Ankush Jain: And maybe just to add on even with 21 days, it's slightly on the higher side because we have loaded bit of Chyawanprash to take care of season.

Percy Panthaki: Okay. So even in Q3, basically, the primary will be lower than secondary by 2% approximately?

Mohit Malhotra: No, no.

Percy Panthaki: So then how will 21 come down to 19 then Mohit?

Ankush Jain: These inventory days are based on forward cover. Hence, even in December end, we expect it to bring it to 19 to 20 days, maybe around 20 days.

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Percy Panthaki: Okay. On beverages, I just wanted to understand where the large st impact is. So you have the fruit drinks portfolio, then you have the nectars and then you have the juices. So where is the impact the most? I would assume it is in the fruit drinks, but just correct me if I'm wrong there. And secondly, the drinks that we had ventured into in a materia l way some 3 or 4 years ago, I believe in the first year, we had crossed INR100 crores, etc. S o versus what was the peak turnover that we did in juices? And versus that, what is the so rt of number that we are likely to do in FY '25?

Mohit Malhotra: Okay. Let me answer this question. Our complete beverage portfo lio is divided into 4 parts. Now first part is coconut water. Our coconut water, we were struck by Stora last year, who came out with a PET bottle. So just to te ll you, it's a good news that w e've bounced back by giving a

lot

of value in coconut water and the market shares have gone up by 200 basis points. The overall Activ Coconut portfolio has increased by 16% in terms of second ary.

So that's one part of the portfolio. The active 100% juices for us has not got impacted by the season. I think this is premium portfolio for us, which is 7.3% growth, which quarter to August was also growing by around 18%, 19% for us, and it's the most m argin-accretive portfolio. So that is the second part of the portfolio.

The third part of the portfolio is a drinks portfolio. which r egistered a turnover of around INR200 crores. In the current year, we've got a growth of around 16% i n this portfolio. But the 16% growth is excluding East, where we were the hardest hit because of the Northeast. Our per capita consumption of juices is the highest in Northeast in India, hig hest. And Northeast was reeling under floods in the quarter 2, and that was a wettest monsoon t hat we could see in the Northeast, and that was hit. Minus Northeast, our growth was 16%, 17%. Nor theast impacted and the growth became negative to around 8%.

But drinks is not what has got impacted so much. The real impac t which has happened in the Nectar business. Our Nectar business has declined by minus 12%. So drinks, Activ Coconut and Real Fizz which is the carbonated portfolio. Carbonated portfol io grown by 100% for us. So therefore, there's a tailwind towards carbonate, albeit very sm all for us, but around 70%, 80% of the portfolio is Real Nectar, which is where we got impacted th e most, which declined by around 12%.

Percy Panthaki: And that decline is basically cus tomers' preferences towards mo re cheaper alternatives? Or is there anything else towards that decline?

Mohit Malhotra: I think the entire category declined by around 8.6% in terms of volume. We gained a market share of 230 bps. So, if you compare to relative performance vi s-a-vis Tropicana or Slice or B-Natural, Real is surely a preferred choice among the consumer i n the juices and nectars' market. So market shares have gone up. So it's a very good sign. So in Nielsen data, we've grown higher than the category. That's one. But category itself is declining .

So I think Tetra pack is moving to bottles. The consumer prefer ence is they want to see what they are having. So in Tetra p ack, we've launched a 1-litre bot tle. We have launched a 2-litre bottle. We've launched a 500 mL bottle and there is a 200 mL bo ttle also at all price points of Dabur India Limited

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INR10, INR20, INR100. That is the price point that we have plug ged with nectars as well. So that should take care of the problem.

Percy Panthaki: Is the problem in Nectar is that the average price per litre. o r per 100 or 200 mL, whatever you count it, that is much more expensive versus some of the cheape r options like colas, etc, as you called out that Campa is sort of giving a lot more value, altho ugh it's not a comparable product, but it's like an imperfect substitute. And therefore, people ar e saying that this is not something that is affordable in light of the other options available in t he market, and that's why this category is declining. Is that understanding, correct?

Mohit Malhotra: Yes, that is a correct understanding. There is a price differen ce because Campa for 1 litre., which is a party pack and in-home consumption is available at a INR45 –and forget Campa, even Pepsi or Coke is available at around INR50 for a 1-litre price point. And as compared to Real, which is 70% market share player, it's available at INR130. So there is a definite difference between the 2 things, yes.

Percy Panthaki: But Mohit, if this is the reason , then what is the solution? Be cause then we don't see an end in sight, and this can keep declining for many more quarters. So i s there an end in sight? And is there a solution if th is is the root cause?

Mohit Malhotra: So theref

ore, the solution to this is we have pivoted into drin ks. Drinks are pegged at a similar price point as soft drinks. That's exactly what I explained to you, INR10, INR20, INR50 and INR100 price point, drink is pegged at par with the carbonated and fruit-based fizz drinks are

also at par. That said, it is a small base. So therefore, it cannot compensate for the 80% of the Nectar business. We have to provide value in the Nectar business also. Therefore, we are introducing a INR100 tropical juices in nectars.

And also, we are planning to give a value on Nectar by giving a tangible goody there. So that is what we are trying to do. But I think it's a matter of time before the pricing will get normalized and this cola war should end, and we have been a little collateral damage in this cola war for past 6 months or so. But I don't think that is the only problem. I think it's more monsoon and season, which created havoc for beverage.

Percy Panthaki: Got it, Mohit. That's all from me. Thanks and all the best.

Kunal Vora from BNP Paribas

Kunal Vora: First question on Namaste litigation, how much did you spend in first half? And what's the status now? How much longer do you expect to continue spending on it?

Ankush Jain: Yes. So in fact, in first half, we have spent around INR40 crores to INR45 crores, and we expect around INR85 crores to INR90 crores in full year. Last year, it was INR110-odd crores on a yearly basis. So there is a reduction in cost because there has been some optimization, not only in terms of lawyers, but also in terms of their management and more optimization of the lawyers.

Mohit Malhotra: So therefore, we've got a INR20-30 crores of saving from last year's base on the litigation cost on Namaste. That said, this is all a provision that we are keeping in our books. As the insurance

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company gives us a guarantee to pay, this part of this provision can be reversed depending upon the case that we are fighting.

Kunal Vora: Understood. And is there a visibility on when does this end?

Ankush Jain: We think around 1.5 years from now is the best estimate which we have got from various lawyers interaction. But knowing U.S., it can do plus/minus 6 months or thereabouts.

Kunal Vora: Understood. Second is, how do you supply to quick commerce? How does it work? Are you supplying directly or through distributors? And how are the margins offered to quick commerce companies versus like overall portfolio? And as the distribution, which was like fragmented earlier through GT, now like there is a consolidation happening with modern trade and e-commerce, especially in cities. Is there a risk which you see to the margins?

Mohit Malhotra: Yes. So we guys used to supply to quick commerce and modern trade through our GT stockist. But I think around 1.5 years back, we've started direct supplies to the quick commerce players. Let's take an example of Blinkit, so we supply from our side to the Blinkit warehouses. There are roughly around 20 to 30 warehouses they have. From those 20 warehouses, they supply to 500 to 600 dark stores. From the dark stores, it goes to the consumer.

So that's the supply chain which is there, from us to the quick commerce players, all of them, whether it's Zepto or a Blinkit or it is Swiggy. As far as margins are concerned, our margins are around 100 to 200 basis points higher in quick commerce as compared to e-commerce marketplaces. And moreover, compared to GT also, our margins are higher because we sell larger packs to them and TOTs are better as compared to modern trade.

Kunal Vora: Understood. But how do you see this consolidation happening on the other side, modern trade, e-commerce, they become larger, they will have like higher bargaining power. Do you think this can be a longer-term risk to the margin?

Mohit Malhotra: Yes, we used to think that there could be a consoli

dation. But knowing India, I think question of consolidation doesn't arise. Now everybody is pivoting towards being a quick commerce player. So if you look at big basket is also a quick commerce, and Amazon is also wanting to become a big quick commerce. Tata is becoming a quick commerce. You heard the news today. So I think one after the other, there will be many players. Flipkart has introduced 'Minutes' as a quick commerce player.

So therefore, there will be multiple quick commerce players and the bargaining power shifting in their hands is very difficult when there are many players. So I think it will remain in our hands only, and there are so many manufacturers. So as the market democratizes and more and more quick commerce players come in, I think because of the competitive intensity, margins will be where they are. So I don't think margins will go up.

Kunal Vora: How are the distributors reacting to you supplying directly to various large players like quick commerce and modern trade versus through distributors earlier?

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Mohit Malhotra: As far as distributor is concerned, there is a distributor consortium of All India Consumer Product Distributors Federation. They are up in arms against all these quick and e-comm players, and they have made representations to the Commerce Ministry against the predatory pricing

because so many of these quick commerce players are private equity funded and they subsidize products, come out with events like Big Billion Day etc and they deeply discount the products which become loss leaders and hence attract footfalls for them. And then that disrupts the GT market.

And as far as the general trade is concerned, they are also the vote bank of the government. So government can't afford not to appease them. And that's why you've heard so many articles of government against the predatory pricing of these quick commerce players. So I think it's a larger question there.

So obviously, stockists have not taken it in good taste of what's happening on quick commerce. But you can't help it. So you have to bypass the stockist and go to them because their terms of trade and their want of products is such which only company themselves can fulfil. Dark store keeps an inventory of 3 days, not more than 3 days, which distributors can't fill in, which only a company EDI Direct connect with the Blinkit EDI can fulfil on a replenishment basis in their warehouse. It's not possible for them to supply the entire assortment, which may be required by quick commerce players.

Kunal Vora: Understood, very helpful. Thank you, that was from my side.

Shirish Pardeshi from Centrum Stock Broking

Shirish Pardeshi: It was a bit excited to not get into the much deeper on the inventory and other thing. But you mentioned in the opening slide, quick commerce growing at a rapid pace. And you just mentioned that the dark store inventory is sub minimal at 3, 4 days. So rather than looking at the front end and the distributor connect, do we need to have a breakthrough innovation in the supply chain at the back end so that the distributor inventory correction issue will not come in future?

Mohit Malhotra: So I think the back end is supply chain. So on supply chain, we are actually trying to do an experiment with the Blinkit etc, to have a direct connect with them, connecting our internal supply chain of our warehouse to their dark store, but seems very difficult because they keep a very low inventory, and they don't have a backup there. And as far as distributors are concerned, we are trying a model, something like where an app can be given to a distributor or retailer so that direct orders can be sent to us and the delivery and the cash management can happen from the distributor.

So we are trying and experimenting multiple models on digital to see how to navigate this problem. B

But the short-term solve for us was inventory correction and also moving the salesmen on a third-party payroll and refunding and a little bit of subsidy to be given to them to improve their profitability. I don't know if I answered your question correctly.

Shirish Pardeshi: Yes. So, having spent time in FMCG at the front end, I was more curious because have you done any studies, say, for example, Bombay, Delhi or for example, Bombay, if we would have been doing on an average, about INR25 crores, INR30 crores on a monthly basis. And there is a quick

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commerce, e-commerce, and modern trade, which is flourishing. Is there an actual demand which has been getting crushed because I still don't understand people are pointing out the urban demand is coming down. Is there any study or is there any depth you can give me?

Mohit Malhotra: So as far as urban demand is concerned, I don't think urban demand is really coming down. Overall, FMCG urban is under pressure because of food inflation that is understood. But this urban demand is getting catered through e-commerce and quick commerce because the consumer behaviour is changing to wanting to shop digitally and online and not go to a nearby Kirana Store.

And what Nielsen does is, which is a syndicated data that the entire industry refers to looking at the consumer demand in urban, they generally track the GT and the pop and mom stores and not so much the quick commerce or the e-commerce players. They track MT and they track GT. So a lot of demand, which is there on e-commerce and quick commerce is perhaps not getting captured by the data which is there in urban today. So that is also an issue.

Ankush Jain: Yes. Maybe just to add on, while there's no study on this, but the impulsive purchase because of quick commerce probably the demand is actually getting generated, but it's not getting captured. That may be a hypothesis.

Shirish Pardeshi: No, I'm more curious, sorry, I'm hopping on this. Though we have a product portfolio, maybe because of that, we need to keep our inventory at the higher level. But then if I look back, there are so much variation. Certain companies, I don't want to name, they keep an inventory of maybe about 5, 6 days, and there are certain companies who keep the inventory more than a month. So that's what my question was, that at the back-end innovation because we have digital and AI, which is coming up, so what is the issue to reinvent? Anyway, I'll take it offline.

My second question is on the skin care and the health care portfolio, in healthcare specifically OTC and Ethical, we are doing better. But in this quarter, the growth rate, which was mentioned in the presentation, is flat. So is there a sharper inventory correction, and has it been done

consciously?, Is the inventory under control now or we will have further impact on this?

Mohit Malhotra: Okay. Skin care, as far as skin care is concerned, I think the real growth will happen in winter. Skin care consumption for us is more winter skewed. So I think we have a winter portfolio, and we expect skin care to actually pick up. As far as market shares are concerned, we've gained market shares in Fem also, which is more bleaches. So overall, I think skin care is doing okay. The secondaries being down in skin care, I think, was more of a collateral damage because of the inventory correction that we've done. It's a small percentage of our portfolio. And therefore, secondary may have suffered because of that.

As far as Health Care is concerned, I think all verticals of Health Care continue to do well for us. So I told you Chyawanprash is 12% growth. Even in honey we gained market share, a little bit of crystallization problem is behind us. Glucose wasn't salient. Our Baby Care portfolio grew by around 30%.. Our Lal Tail continued to grow. Shilajit had a very high double-digit growth.

Hajmola did well under the digestive portfolio.

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So I think OTC, digestives, all portfolios did well for us. Now I think if you're talking about Honitus, which would have declined a little bit, I think that is on account of the high bases that we have in Honitus. That's why decline was there in Honitus. Otherwise, I think all verticals of health care did reasonably well.

Shirish Pardeshi: Okay. My last question on the international business, though we have done a very good job there. But is there any further room in terms of margin improvement? Because last time when we had a physical meeting, we were banking on the international business will show some good profitability path.

Mohit Malhotra: Yes. So international business is doing well. And I think one good thing on the margins is that our Middle East, North Africa, which is the most margin-accretive geography in the entire region is doing well. And we have a lot of innovations, as I was telling you, that Oral Care is something that we are doubling down, and Oral Care profitability is also pretty high in international business, that we are doubling down in. Dabur Red is one of the high-priced toothpastes. So I think on back of that, we will expect the margin improvement to happen.

So, currency depreciation is something which arises in international. But as we lap over the currencies, now it's been happening over a year. And if you look at the first half also, we are down by INR181 crores on the currency depreciation. And this currency depreciation is a translation loss. There is also a transaction loss that happens because a lot of the products in international are imported by us, and they have to pay a dollar currency for the import of that, especially in Turkey market. So therefore, as we lap over the currencies, I think our margins will only improve in Egypt and in Turkey, which are very high salient markets for us.

Shirish Pardeshi: Okay thank you Mohit and Ankush happy Diwali to you.

Vishal Punmiya from Yes Securities

Vishal Punmiya: Just one question from my side. So historically, we have been a key participator in the Maha Kumbh Mela. What are your plans for this year? And if you can also talk about the benefits as well as the cost that go behind this event?

Mohit Malhotra: Yes. So I think for us, we are a rural salient company. 50% of the business comes from rural. And in rural, activations is a very big avenue to touch, feel and experience the product by the consumer. And we are very aggressive in terms of taking hoardings and doing experiential marketing. Last time when Kumbh was there, we did a special RTP campaign in Kumbh and had RTP taps that consumer could come to and take a toothbrush and take RTP on that and use it. And the more they try, the more conviction they build in the product and the more they buy. So this year also, we'll be participating in Maha Kumbh. And we also participated in other melas like Pandharpur Mela, Nauchandi Mela etc., which is a very huge congregation of consumers, to provide them experience with our product. Now we have Cool King, so we do special chumpies in these melas also, do auto branding, van branding, retail branding, stall branding etc.

Vishal Punmiya: Sir, is there any major benefit that comes in? Or is it more lag in terms of demand improvement from all these events?

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Mohit Malhotra: So it's a demand improvement that we get and which results in a better offtake and also sampling. So the more people sample, the more sampling happens, the more cascade effective trials and therefore, repeat purchase and market share moves up. So it's very tangible actually.

Vishal Punmiya: Understood. Just quickly on the high interest cost and other income for the quarter, quickly you can comm

ent on that? That was from my side.

Ankush Jain: Yes. So first of all, you see ot her income and interest cost jo intly. And if you see it jointly, it is almost 18%. In India, it grew by 7%, but in international, it g rew by almost 18% or thereabouts. And this is primarily because in international geographies, we had some benefit, especially in Dubai, where some of the yields almost got doubled in certain i nternational markets because of inflation and therefore, the interest rates going up. So that w as the main reason for other income net increasing by 18%.

Vishal Punmiya: Thank you and happy Diwali to team.

Isha Lamba: I would like to thank all the participants for joining today's call. The webcast recording and transcript will be available on our website. Thank you and wish you all a Very Happy Diwali.

Call: Feb 2025

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Ref: SEC/SE/2024-25

Date: February 4, 2025

To,

Corporate Relations Department

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street,

Mumbai- 400001

BSE Scrip Code: 500096'^

India Ltd.

Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza, 5th Floor

Plot No. C/1, G Block, Bandra Kurla Complex

Bandra (E), Mumbai - 400051

NSE Scrip Symbol: DABUR

Sub: Transcript of Investors' Conference Call for Dabur India Limited -

Q3^FY 2024-25 Financial Results

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on January 30, 2025, post declaration of Financial Results for the quarter and nine months ended on December 31, 2024. The said transcript is also available on the website of the Company at www.dabur.com.

This is for your information and records.

Thanking You,

Yours faithfully,

For Dabur India Limited

(Ashok Kumar Jain)

Group Company Secretary and Chief Compliance Officer

End: as above

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Q3 FY25 Investors' Conference Call

January 30, 2025

MANAGEMENT :

MR. MOHIT MALHOTRA - CHIEF EXECUTIVE OFFICER

MR. ANKUSH JAIN - CHIEF FINANCIAL OFFICER

MS. GAGAN AHLUWALIA - VP-C ORPORATE AFFAIRS

MS. ISHA LAMBA - HEAD-INVESTOR RELATIONS AND M&A

MR. N. KRISHNAN - GENERAL MANAGER -FINANCE

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Isha Lamba : Good evening, ladies and gentlemen. On behalf of the Managemen t of Dabur India Limited, I welcome you to the Earnings Conf erence Call pertaining to the R esults for Q3 FY '25.

Present here with me are Mr. Mohit Malhotra - Chief Executive O fficer; Mr. Ankush Jain - Chief Financial Officer, Ms. Gagan Ahluwalia – VP-Corporate Affairs a nd Mr. N. Krishnan - General Manager-Finance.

We will start with an overview of the Company's performance by Mr. Mohit Malhotra, and this will be followed by a Q&A session. I now hand over to Mr. Mohit .

Mohit Malhotra : Thank you, Isha. Good evening, ladies and gentlemen. We welcom e you to Dabur India Limited Conference call pertaining to the Results for the Quarter Ended 31st December 24.

The quarter presented a challenging operating environment marke d by unfavorable weather conditions and a slowdown in consumption. India experienced del ayed and contracted winters with October and November being the warmest in many years.

While urban demand showed signs of moderation, the rural market remained resilient. The rural has outperformed urban for the fourth consecutive quarter. Orga nized trade channels such as e-commerce, quick commerce and modern trades continue to deliver robust growth for us.

Consolidated revenue for Dabur grew by 3.1% in INR terms and 5.6% in constant currency terms. India business including Badshah grew by 1.7% underpinned by volume growth of around 1.5%. The international business exhibited strong growth of 18.9% in constant currency terms. Within the domestic business, HPC portfolio performed well with 5.7% growth.

The Oral Care portfolio recorded a growth of 9.1% driven by strong double-digit growth in the Red franchise and Meswak. The Gels toothpaste portfolio has received a good response in the market, recording a 50% year-on-year growth in this quarter. Dabur Oral Care is now the number two brand in the modern trade pan India.

The Hair Oil portfolio grew by 3.1% year-on-year. Within Hair Oils, both coconut and perfumed oils grew ahead of the category, gaining market share of 125 and 236 bps respectively, taking our overall Hair Oil shares to around 18%, the highest ever. We remain focused on premiumization and portfolio expansion in this segment.

Home Care grew by 5% year-on-year. Odonil grew in double digits in volume terms with Aerosol and Gel pockets performing very well.

In the Air Freshener category, we gained market shares of 101 basis points. Odonil Aerosol is #1 brand in the liquid sub-segment of the category with market share gain of 630 bps.

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Odomos portfolio was under pressure due to cyclones in South India and delayed winters, but performed better than the category and gained 574 bps market share.

Sanifresh in Homecare continued its strong performance achieving double-digit growth during the quarter.

The Skincare portfolio registered a growth of 5.6% driven by strong performance in the Gulabari franchise which recorded 9% growth. This was led by robust demand for our flagship product Gulabari Rose Water with new formats such as body washes, body lotions, creams, contributing more than 20% to the Gulabari portfolio.

Our Healthcare portfolio was flat, impacted by delayed and contracted winters. Health Supplements comprising of Chyawanprash and honey reported soft performance because of unfavorable weather conditions. However, in Chyawanprash, we have grown ahead of the category and gained market share of 140 bps. Honey continues its leadership position with 54% exit market share.

Digestives grew by 4% driven by Hajmola portfolio. Extension and variants of Hajmola now contribute more than 15% to Hajmola franchise.

Within OTC and Ethicals, Honitus, Shilajit and Health juices reported a high double-digit growth.

The Foods bu

siness demonstrated strong performance with the Culinary and Badshah domestic portfolio growing at 30% and 15% respectively.

Juices and Nectar category was impacted in the quarter due to muted festive season demand and price driven competitive intensity. However, we performed better than the category and gained market share by 320 bps. The Activ range of 100% juices and coconut water posted high single-digit volume growth.

We are undertaking several initiatives internally in our Beverage portfolio to bring real back to the growth path in the upcoming season.

Emerging channels like e-commerce and modern trade posted a robust double-digit growth and now accounts for more than 20% of the India business.

Coming to our international business:

We recorded a strong growth of 18.9% in constant currency terms. This was on the back of double-digit growth in Middle East, North Africa, Egypt, UK, US and Bangladesh. We

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witnessed currency devaluations across emerging markets like Egypt, Nigeria, Bangladesh which impacted the translated growth.

Talking about profitability, we faced inflationary pressures this quarter and took judicious price increases in our portfolio. Operating profit increased by 2.1% and PAT grew by 1.8% year-on-year.

In light of the volatile geopolitical landscape and uncertain macroeconomic indicators, we have revised our strategic vision cycle from 4 years to 3 years. We have partnered with leading consultancy firm McKinsey & Company to refine and align our strategy for the next three years in line with the evolving dynamics. This exercise has already begun, and we plan to conclude the same by end of the fiscal year. This will enable us to capture emerging opportunities and navigate the future with sharper and more focused vision.

We expect sequential improvement in demand over the next few months on the back of increase in infrastructure investments, good harvest and government initiatives to spur growth in the upcoming budget. We are committed to driving profitable growth through strategic investments in brands, innovations and operating efficiencies aimed at delivering sustainable value and strengthening our leadership in the FMCG sector.

With this, I will conclude my address and open the floor to any Q&A. Thank you.

Mihir P. Shah from Nomura

Mihir P. Shah : Hi, sir, thank you for taking my question, and congrats on a decent volume growth in BPC. Sir, if I can ask on health supplements, post the high sales during COVID, the segment seems to have stagnated over the past few years in absolute sales. I understand there is some impact this quarter due to delayed winter, but is there anything else that you can share which is ailing this category? And also any update on the Ayurvedic doctor advocacy initiative and the expansion around the new subcategories that were planned in Healthcare overall?

Mohit Malhotra : Yes. So, Mihir, what happens in Healthcare, I think the answer can be divided into four sub-parts. The first sub-part of the business is the Ethical portfolio, which I call the backbone of the whole business. That is doing well for us.

This time we faced a lot of inflation because of gold prices actually moving up and because of that, while there was a price increase, the volume growth was little muted, but otherwise, that business grows at a high single digit for us, which is the Ethical and the branded Ethical business and also supported by doctor advocacy. That is moving okay. We will continue on the trajectory of doctor advocacy, and that is one piece of the business which is roughly around INR 500 crores for us.

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Then the second part of the business is OTC business. Within the OTC business, most of our star brands are doing exceedingly well. Let us take an example of cough and cold

Honitus.

Honitus this quarter actually grew by 12%. Then we have health juices, which grew by around 44% broadly.

Then there is Baby Care. There is a new range of Baby Care, and there is an old Lal Tail of baby care. The new range of baby care which we seeded, which is going to be exiting at around INR 50 crores this year, has seen a growth of around 25-26%, which is also very healthy.

Lal Tail, which is a seasonal product, got impacted due to delayed and contracted winters and that sales was really muted because of some self-inflicted issues as well. I think there was a rate disturbance. We had given a consumer offer on the last day which got rammed in the marketplace because of which there was a rate disturbance. But I think going forward in the quarter, that should get completely ironed out and we will be back on the growth path.

As far as Lal Tail is concerned, our market share in the Baby Care segment remains flat and we have not lost any market shares, and we feel there is a lot of headroom to take shares from an LLP driven market lead where we can take the lot of share and in the upcoming season we will be launching another variant which will take care of the issues which we faced in the Lal Tail.

Our Pudin Hara, during the summers, I think will continue to do well, and it's not a season for that. And our Women Care business, which is about Ashokarishta, Dashmularishta and all women products, that has grown by around 8% in this quarter. Our Asavs business, which is also women centric business, also did well with around 5% growth.

That gives you a flavor on the OTC bucket. This OTC bucket is in the range of, turnover-wise, around INR 800 to INR 900 crores business. So, I have covered INR 800 crores plus INR 500 crores, around INR 1300 crores.

Now then comes the Health Supplement business for us, in which the key brands are Chyawanprash, Honey and Glucose. In Honey, we had some issues which we face in the marketplace on crystallization. That has completely behind us now and it's back on market share gains. Our exit market shares in Honey are 54% market share, highest ever. So, all the competitive intensity of competition launching Honey, etc., all that is already behind us, and I think the brand basis exit wise sales growth is perfectly on track.

Now comes to Chyawanprash. That is the only brand. The turnover of Chyawanprash is around INR 500 crores for us. In this 500 crore portfolio, which did so well during COVID, post COVID we had little headwind because Chyawanprash penetration really went up in the country to settle that problem, which is a big problem for us as we see. So, we are trying to come out with modern

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formats of Chyawanprash. like tablets, liquid, powder Chyawanprash, capsules of Chyawanprash, whole format extension. That is underway and that is doing well.

Then we came out with target group expansion. So, Chyawanprash for women in terms of Khajurprash handling iron deficiency, Chyawanprash for geriatric population which is Kesarpash and Ratnaprash. That's also doing well. These all variants including Chyawanprash for sugar-free cohort contribute around 20% of the overall Chyawanprash portfolio, which is high margin and high growth as compared to a mainstay Chyawanprash.

So, unfortunately, the weather conditions marred the season. Otherwise, market share wise we are right there. The market declined by around 6% and Chyawanprash decline was around 3%, thereby we gained shares because there is a decline. So, I think it's a matter of time. Also, we are trying to position Chyawanprash as an all-weather product. So, we are coming out with a monsoon campaign. We are coming out with a memory enhancing campaign for Chyawanprash. So, all those actions are on way. We will also validate all these efforts with McKinsey when they are

working with us on category-wise growth and make all efforts to bring back Chyawanprash back on track. So, that's on the Healthcare portfolio on how we are trying to handle our Healthcare piece.

All the new initiatives in Healthcare are doing very well, whether it is the tea initiative or it is health juices that I talked about, or it is food supplements that we introduced. So, all the new initiatives, which are 2.5% of the Healthcare portfolio are doing well for us. This is about Healthcare piece. Sorry for the long answer, but I think it was necessary.

Mihir P. Shah : No, thank you for the detailed answer for that. That was very helpful actually. Secondly, if I can check on the Oral Care category, there seems to be a divergent trend across players, with one growing in low single digits, other in mid, while Dabur has grown in high single digits. Is this very divergent trend due to various exposure or different exposure across subcategories or is there something else that one should read into?

Mohit Malhotra : So, the Oral Care category itself is doing very well, if I ask you. So, there are different vectors of growth in the Oral Care category. A, the category is doing well. And our Dabur Red is doing well on back of a lot of tailwind coming from the herbal category. Herbal category saliency, which is 30%, has improved to around almost 32% now. The herbal category has grown by 7% as compared to the growth of 5% in overall Oral Care non-herbal category.

There are gaps in our portfolio which we are in the process of plugging. Last year we plugged the gap of Gel, which is doing well for us as I alluded to. It should be around INR 44 to INR 50 crore brand exit this year. So, that's growing by around 50% for our Gel portfolio.

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There is another gap in terms of sensitive and bleeding gums and whitening that we have. We are in the process of plugging that also and hopefully in the next season, we shall plug that. We have gained market shares because we have grown ahead of the category in Nielsen terms, and we have gained roughly around 5 to 6 basis points market share, and in most of the country now, we are the number two player, and we feel there is a huge headroom which is available in terms of us taking shares from the market leader who is still in 40s in terms of market shares. So, therefore, there is huge potential.

Even in modern trade, where the competitor is very strong with premium variants etc., there also we have become a number two brand now in modern trade. So, this is very encouraging for us. So, besides Dabur Red, which is a flagship brand, our Dabur Lal Dant Manjan is also doing well. We are talking about a complementary usage of Dabur Red with toothpaste to give power to the white through red. That campaign is doing excellent for us.

Meswak, which is a premium variant in the toothpaste category, has also grown by around 16%. We have engaged with a celebrity called Nagarjuna in South. On the back of that celebrity, we have got great actions happening in South on Meswak also.

We have got some work to be done on Babool yet. We have not been able to take up the performance of Babool and Babool has declined in this quarter.

One good news I want to share with you guys is Dabur Red toothpaste is the first Ayurvedic toothpaste to have been accredited by IDA, which is Indian Dental Association, which only used to have accredited fluoride-based toothpaste. For the first time they have given accreditation to a non-fluoride-based toothpaste. So, now we can get into dentist endorsements also and as we continue the efforts of doctor advocacy, this will also get leveraged, and we will reach out to more number of dentists and try to spread this across.

So, I think overall, Oral Care, we are in a good space. So, you will see in coming fiscal year

, we are in the process of revamping the entire face of Dabur Red also. The packaging revamp is going to happen to make it more modernized and make it more modern trade centric for our Oral Care.

So, Dabur Herbal toothpaste, which was a new entrant which we introduced last year, has also

grown in high double digit. So, that was the gap in the marketplace. Ingredient-based toothpaste also is doing well for us.

So, overall we are very excited with the Oral Care category. In terms of manning also, we have done some changes in our manpower in Oral Care category, and we have given it to our best performer, and we have been increasing our share of voice also, which has been lower as

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compared to our market share. So, that also will be heightened going forward in next year. So, extremely excited about the Oral Care opportunity. Thank you.

Mihir P. Shah : Got it, Mohit. Thank you for that. Subpart to that question is, will this category or any other category see any one-off benefits in the coming quarter due to Maha Kumbh activations or anything?

Mohit Malhotra : In Maha Kumbh we are doing very exciting and if one of you is travelling to Maha Kumbh, it was a little activation which we should dial up with social media and which we are planning to.

This is something which is called a Dant Snan that we are introducing before anybody goes to the Triveni Sangam which after the accident may not be possible.

But if at all somebody is taking a bath, so we put up around 10 to 15 stall counters basically wherein we are dispensing toothpaste from water taps and giving toothbrushes so consumer will take toothbrushes, take the toothpaste from the tap, dispense it, do the Dant Snan before he goes for the Triveni Snan, Ganga Snan. So, those kind of activations what we are trying to do. So, that's active. If you go and if you see, please send us pictures of that. So, a lot of activations in Haats, melas and all that.

Besides that, in Kumbh we are doing LED screens around 38 of them. We have branded all police barricades, police booths. We had 13 billboards. We are branding all changing rooms. Ladies changing rooms have been branded by Dabur and these Dant Snan stations. So, all that is happening. So, rural India, which is highly salient for Dabur, we will continue to do a lot of activations here.

Mihir P. Shah : Got it. Mohit. Thank you very much. I have one on beverages, but I will come back in the queue for that. Thank you very much and wishing you all the best.

Mohit Malhotra : Thank you very much.

Abneesh Roy from Nuvama

Abneesh Roy : Yes, thanks. My first question is on McKinsey. So, if you could tell us if this is across categories, across brands, or some specific categories have been given?

Second is, your payout to McKinsey, will it be linked to targets being achieved?

Third is, in some of your issues, for example, last two years, many quarters, you have faced a lot of challenges. Some are still going to continue. For example, Campa Cola will continue to remain a challenge for the entire beverage industry and now they will ramp up. So, that issue continues to remain and Chyawanprash, you did discuss that post COVID, there is a challenge. So, how does McKinsey help you meet these challenges in which you may or may not be able

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to do much? Because those are either competition or they are basically category linked. If you could discuss this entire thing?

Mohit Malhotra : Right. So, Abneesh, what we do in Dabur is, we have a four-year vision plans and as we speak, we are in the seventh vision cycle of all the vision exercises. Earlier we used to have a four-year vision cycle. So, we feel that in this volatile and heavy headwind macro-economic environment and FMCG not doing so well as a sector, I think we require a validation of our strategies

through

external consultant.

That is why we kind of got external consultant on board like McKinsey, and we are truncating a vision period from 4 years to 3 years so that we are able to tap up, fine tune, align and quickly recalibrate our strategies. Four years becomes the longish period and therefore we have truncated to 3 years, and it's also in line with the best practice in the industry which is also around 3 years that we have done.

So, we have tied up with McKinsey at the moment for this vision exercise to do all the numbers, to do the category reviews and validate all our strategies which we have been following, and which includes Chyawanprash, which will include beverages, etc., with a special double down on the beverage and the DCPs because that is where shoe is pinching on the business. So, they will focus on that along with defining the numbers in the milestones for the next three years, and this vision exercise will dovetail into the next year budgeting cycle also for us.

At the moment, we have not linked them to our target achievement. But that is something that we will contemplate after this exercise is over. So, then we have a truncated approach, first

approach for they having a big picture view on the business and defining the vision exercise for next three years. And from the vision exercise, there will be a lot of offshoots that will emerge in terms of category, GTM, pain points in the business besides big ones like beverage or this thing. And then we will get into long-term specific arrangement with them, if at all.

That we will review once the exercise is over and we have already begun the exercise. So, this is supposed to be ending by the end of this fiscal year or March end. At that time, we will see whether to extend or not to extend, or to do specific projects as we deem fit.

Abneesh Roy : Sir, my second and last question is on two specific categories . So, in toothpaste, you have done well. In fruit juice, you have seen a big dip in terms of sales . So, in these two segments, if you could discuss it in FY '26, from a pricing perspective, would you expect some pricing growth in each of these segments?

Because clearly in toothpaste, market leader is delaying price hike, is happy to sacrifice growth and EBITDA margins and operate at a slightly lower band. And that does mean that pricing

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growth rate in toothpaste in the near term, medium term looks difficult if category leader is not taking. And the trade incentives, the trade intensity is also high in toothpaste.

And similarly in the fruit juice business, clearly Campa Cola is operating at a very high trade margin and Rs. 10 pricing is also there. So, there if you could discuss it, would you need to increase the trade spend here to match up with Campa Cola because they are operating at a much, much higher level in spite of, say, Rs. 10 pricing parity, their trade incentives are much higher. So, would you need to match up? And how do you see FY '26 in terms of pricing and trade incentives for the fruit juice business?

Mohit Malhotra : I get you. So, overall, I think the inflation is picking up in the country. Last full year, the inflation was 3%. We passed on the entire inflation to the consumer. Because the inflation was too high, we had to give trade and consumer inputs to buffer it up, and I think going forward the inflation is inching up across the markets of business. We expect a 5% inflation to actually hit us.

So, whether it is SLEs, SLAs, Oral Care, so inflation will hit us and fruit concentrates also that we are purchasing because Indian currency will depreciate. Some of the imported food concentrates will also become expensive for us. So, A-price increases will happen in toothpaste also and in juices also, but we will have to take very calibrated price increases observing the competition

and intensity in the market place so that not to become uncompetitive in the market.

As far as Oral Care is concerned, there is still a headroom of taking a price increase growth in Oral Care, especially in the avenues of premium Oral Care where there is a huge delta which is available between what the market leader is having and between what we are having. So, there is a huge delta margin available.

So, I don't think in Oral Care taking price increase will ever be an issue for us while growing volume. So, there will be a part volume and part price increase in Oral Care that will be easy for us to handle there in Oral Care. And also we are coming out with premium variants. So, in terms of mix, that premiumization should take care of the inflation which might hit us and we expect the best growth to come in from Oral Care only going forward next year.

As far as juice portfolio is concerned, yes, there are headwinds in juices which is basically price driven. To reduce the relative price differential between the Colas and us, what we are doing is we have already planned it for the next season, we are planning to give consumer value. Now again the beverage business is not very simple. It has to be divided into again 3-4 parts for us versus Activ juices.

Activ is pure 100% juice. There is no problem in terms of business growth. We are having a 110% growth on the business, but this business contributes to a round 10% of the overall beverage portfolio. So, there we have resilience of taking pricing increases and we will continue

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to take pricing increases. And we will be introducing health-based juices also in which we will have the ability to take the price increases.

The second part of the portfolio is drinks. Drinks have done well on the back of distribution expansion. We are very small players in the drinks space. We are continuously taking inflationary price increases with inflationary warrants and on the back of distribution, we will be growing that portfolio also.

As far as Coconut Water is concerned under Activ, there also we have invested in an aseptic pet line and coming out in a pet bottle besides tetra pack which will give us huge growth in the beverage.

Now the big part is the nectar business. Nectar business, yes, there is a pressure in terms of RPI.

So, there we are proposing, or we have already designed to do a consumer offer to reduce the prices from Rs. 130 to around Rs. 100, but this will happen by way of consumer offer, not by reducing prices. Also, we are coming out with a range which will be a relatively economical range with a relative price index of around 2 to the Colas and that will also hit the marketplace in the season very soon. So, that is our game plan for the juice business and to fight the Colas etc.

Abneesh Roy : Mohit, one last follow-up and I will end there. So, essentially on toothpaste, you said you expect that to be fastest growth. Now, rural is recovering for every Company and every category. For toothpaste, for you, how much is rural? So, if rural does well, is that a benefit for you?

And second, the market leader is doing all these AI programs, wherein they are connecting customer to the dentist. Would you also need to look at this or it doesn't really matter too much?

Mohit Malhotra : See, as far as we are concerned with AI, rural contribution to us in oral is in line with the overall Company contribution which will be around in the range of 45 to 50% for us.. As far as the AI intervention in the business is concerned, also it's a great thing for us to do and if there is the best practice in the industry, we will absolutely follow the best practice the way we have done the advocacy now on Oral Care. So, we will do that, but I don't think it will make any material difference to the business volume of AI-based connectivity to the dentists.

I told you that we have just got an endorsement of IDA, Indian Dental Association. I think that introduction and doctor endorsement for us will go a long way in building our overall Oral Care business. Yes.

Abneesh Roy : Sure, I am done. Thanks a lot.

Mohit Malhotra: Thank you, Abneesh.

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Percy Panthaki from IIFL Securities

Percy Panthaki : Hi, again a question on beverages. So, I just wanted to understand why we are getting affected so much by the Cola wars. I mean, our product is very, very different in terms of its proposition, taste, composition, etc. And in fact, if I look at the second largest player in this business which is a listed Company and they report, in fact, despite having an exact like-for-like product versus Campa, they are not getting affected much. So, why is this happening?

Mohit Malhotra : Yes, so Percy, couple of issues. I am not attributing this exact performance on the price index or the Cola war. There are a couple of more reasons. I think the first reason is the season, last summer did not favor us. In the peak of summers, there was unseasonal rain and because of unseasonal rain and we doing a little bit of season loading, I think that impacted and secondly the festive season also not been very conducive to I think all the categories and because of urban contractions.

The third is, it's a very urban centric consumption of juices and urban India has been reeling under pressure and the growth rates are actually muted. That is the third reason. First is season, second is urban not performing and third is this a little bit of RPI getting worse. We used to operate at a relative price index of around 2. If Coke and Pepsi 1 liter is 50 bucks, we guys are 130 bucks for a liter. So, that RPI has actually gone worse from 2 to around 2.7. So, that is impacting.

And in the out-of-home consumption which is good around 30-40% of the business, it's more impulse purchase. So, anything which is cold, whether it's fruit juice or it's refreshment drink, that gets taken. And there has been a slew of new brands also which has actually made an entry whether energy drinks or these Cola. So, that has impacted the business.

So, I think it's again a three-pronged attack that we are doing. First is communication revamp.

We are wanting to educate the consumers that Colas which are no thing but sugared flavored waters are not great and they are more sin products compared to juices which, Activ especially, which doesn't have any added sugar content in it. It's only natural sugar content. That's one. Second is offering value for money to the consumers by reducing the price of 130 to around 100, introducing a new range thereof, and also offering a little bit of extra margin to the distributor, so that distributor ROI improves when they have to distribute a beverage where the case value is lower as compared to our HPC case value.

So, all these three efforts are ongoing for us to capture the season better. So, those are the attempts to revive the beverage business for us.

Percy Panthaki : Got it. So, just a question since you mentioned out-of-home is a major component. Would it be right to assume that your 200 to 300 ml packs are like 30 to 40 % of your total beverage sales?

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Mohit Malhotra : Yes, broadly around 40% of the total business will be Tetra Pack 200ml which is an out-of-home

consumption pack. And to your point, that is the most impacted. One liter is not as much as it is used in the home. It is the out-of-home which is most impacted.

Percy Panthaki : Understood. And so you have of course the 100% juice which is not impacted, but you have the nectar and you have the fruit drinks. So, between the nectar and the fruit drinks, which is the more impacted one?

Mohit Malhotra : It is the N

ectar which is the most impacted. Fruit drinks are not impacted. Fruit drinks is giving me double-digit growth. Even my coconut water is giving me double-digit growth. Activis giving me double-digit growth. It is only the Nectar portfolio wherein our market leader with 70% market share is where I am getting most impacted and that too in a 200 ml pack and that too in metro cities, which is where the major impact is coming to us.

As far as the market leader is concerned, you talked about the second largest player. In the category of Nectar, J&N, which we call Juices and Nectar category, the category is declined by around 16% and our decline is around 8 to 9% in the Nielsen terms. We have gained market shares of around 320 basis points in Juices and Nectar category. All other players, the players that you named it and like-to-like product like ours has declined by 400 bps there. And they have declined.

So, we have consolidated our position as well as their 80-90% of the portfolio is Cola's and therefore they are not impacted. Plus they are not impacted because of the geography growth that they are getting which is more inorganic and not really organic. If my guess is right, you would know better.

Percy Panthaki : Understood. Also wanted to understand on the rest of the consumer care or rather the consumer care portfolio if I leave the Foods and Beverages aside. There also the growth has been a little lackluster. So, what is really needed for growth to improve? Is it just consumer sentiment or is it something else that can be influenced at your end even if the consumer sentiment remains poor?

Mohit Malhotra : So, we have to bifurcate the portfolio and see. I just talked about the Healthcare business. Healthcare business was impacted by only the winters being contracted and Chyawanprash is only suffering. The rest of the business verticals we are completely on track and we feel the growth will come in. Our CAGR for the past 5 years in this business is around 6% to 7%. So, I don't think the issue there except for this time winter was very short and delayed winter. So, this is Chyawanprash which got impacted. There also we are having plans of making Chyawanprash all season etc. Rest of the broad categories we are really not concerned.

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If you look at HPC, HPC is grown by 5.7%. Then category after category whether it's hair oils or it's shampoo or it's Oral Care, everywhere we have gained market share And we have gained market share by a mile.

In Oral Care, we have gained market share. In hair oil, for example, overall hair oil we have gained 150 basis points. In coconut oil, we have gained 120 basis points. In perfumed oil, we have gained 236 basis points. Homecare, we have gained 110 basis points. In all subcategories and air fresheners, we are now the number one brand in the country, 600 basis points is where we have gained. In Gels, which is a new entry for us, there also we have grown by 88% in that new format.

So, I think format after format, Gulabari has done very well for us. Bleaches, we have gained market shares by around 55 basis points. So, I think everywhere we are doing well. So, I don't think there is any problem as far as home and personal care is concerned. And Healthcare, you know, this quarter is impacted by the season. I think that should get corrected. Beverages, I talked about to you.

Percy Panthaki : So, then would it be fair for us to assume that, I mean, if no one-off events, then Q4 at the overall Company level or at least excluding beverages, your growth should be in the region of about 6 to 7% if basically the Healthcare is the only thing pulling it down and that was seasonal and if let's say that normalizes in Q4? Do you see any other moving part where something which did well in Q3 could sort of come down in Q4 because of any specific reason that you can

foresee as of now?

Mohit Malhotra : I don't think so there is any specific issue that I want to highlight or anything that comes to my mind. Not really. I think overall, you are right. The growth will be in line with that. So, we expect a mid-single kind of growth coming up, except for inflation is picking up now. So, I think that's a little concern, but I think that inflation should be mitigated by pricing increases and cost saving initiatives that we are embarking on. So, we expect a mid-single, if not, high growth to come in and there will be a sequential improvement. Definitely the business will be much better than quarter 3 for what we have done.

Percy Panthaki : Got it. Thanks a lot, Mohit. That's all from me. All the best.

Mohit Malhotra : Thank you, Percy. Thank you.

Avi Mehta from Macquarie

Avi Mehta : Yes, hi, team. Hi, Mohit. Thanks a lot for this. Mohit, I just wanted to kind of pick up from the last participant. You know, you did allude to a pickup in the sales growth trajectory. That's appreciated. But would it also be fair that the margin profile also should logically be relatively

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buoyant and the flattish expectation that we were hoping to achieve in the second half is something that we can still gun for?

Mohit Malhotra : Yes, so I told you that inflation is actually picking up. We had an inflation of around 3% in YTD and we mitigated through price increases etc. And going forward, the inflation will be in the range of around 5%, so inflation mitigation should happen by way of price increases. That's what the attempt of the business will be. And we should be in a position to maintain margins going forward. Whatever margins that we have, we will maintain our margins. And next year going forward margin should only improve from here by way of price increases and cost saving. That identification is an ongoing process as we are making the budgets and working with McKinsey on how to improve our operating margin going forward next year.

Avi Mehta : And Mohit, just the last bit, you know, which is the next part on when you look at FY '26, you have historically been able to achieve 20-21% margin levels. Given that you are focusing on providing value, reducing RPIs in beverages, what are the potential offsetting factors that could help us achieve that in FY '26 or is that really something that you would target more? Beyond that, how should I look at the margin profile for the business from a more medium-term perspective?

Mohit Malhotra : Yes, so I think our attempt will be to go to around 20-21% levels. That's what we were aiming at. I think the levers to achieve that would be changing the mix of the product portfolio that we sell. So, I think selling a premium mix is what we want to target, and that's how we will be incentivizing the team moving forward.

Oral Care is one initiative in the mix that we will try to double down on and invest the money to gain market shares and therefore volume tonnage on Oral Care, which is quite profitable for us. Besides hair oil, other areas which are more margin-accretive-H ealthcare is what we will target. So, mix is one definite area is what we look at.

The second space will be premiumization across different categories, wherein we would want to innovate. Like I was telling you in Hair Care, we always focus on stabilizing our Amla because the competitor has taken away all the market share from us, and I think it's taken us four, five, six years to consolidate all that and now we have got an all-time high market share of around 18%. So, now we will embark on premiumization as far as this is concerned. And so, premiumization, mix and some cost-saving initiatives is what we will take in Samridhi. That's third initiative and price increases.

Wherever we have a price in

crease, I think these four levers should help us inch up our gross margins in the current year. And what happened in the current year, we have also taken a correction of INR 200 crores in quarter 2 as you are aware of. So, a lot of percentage gross

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margin went down because of that. That deleverage happened from scale. Hopefully, that will not happen in the next year and margins will inch up because of that also.

Avi Mehta : I just wanted to just understand Namaste a bit. I am sorry, I thought that was also a headwind.

And if you could quantify how much that would be, that's all for my side.

Mohit Malhotra : Yes, I think I got you. So, therefore, Namaste rightly said. Last year we spent roughly INR 100 crores on the litigation costs in Namaste given to advocates and attorneys. As we speak, we have changed our agencies in Namaste and therefore the cost has come down by 25% point. So, INR 100 crores to INR 75 crores in the current year going forward also and there is some bit which we have got back from insurance agencies. So, there will be a definite leverage on cost which will happen in international business, and we expect profitability to be better.

So, in international business one lever is obviously legal cost going down for us which is overlapped. The second will be the dollar denominated currencies are doing better for us. Namaste business is doing better. Middle East and North Africa is doing well. All the pegged currencies are performing well, and we expect them to perform well and depreciating currencies will also overlap the currency depreciation next year. So, as we speak, we have INR 81 crores of translation loss which I think will go down going forward. So, that should be another lever which will add to our international business profitability.

Avi Mehta : Perfect, Mohit. That's all from my side and I look forward to hearing back from you on how you look at the strategic vision going forward. Thank you very much .

Mohit Malhotra : Thank you, yes.

Disha Giria from Ashik a Institutional Desk

Disha Giria : Hi, team. Thank you for giving me the opportunity. I just wanted to understand that in your presentation that you have mentioned that the rural has outperformed urban by 140 basis point, but you mentioned in your opening commentaries as well as over the discussions that the urban has kind of slowed down. So, if you could give some number to be able to better understand the rural and urban bifurcation because in hindsight, the rural out performance looks like the gap might have increased because of the urban slowdown as well.

Mohit Malhotra : Yes, so let me give you more detail on the data, syndicated data. Syndicated data overall FMCG market is growing at the rate of around 7%. That's what they indicate, in which rural is trending at 10% and urban is at around 5%. There is almost a difference. So, urban has corrected by 40% going forward, used to be 10% and now it is in the range of around 5% odd, and rural is actually doubled in terms of what the Nielsen growth rate was, which was the rate of 5% and now become 10%.

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The difference between urban and rural in terms of retail itself is around 490 bps. So, that's the retail, what retail stocks and Dabur is growing ahead of the category for urban and rural. If Nielsen is talking about 7% FMGC, Dabur is trending up and that's why the gain in market share is happening across our categories for us. So, that's as far as the retail audit is concerned. So, there is a trend in the market that the rural is moving ahead of urban, by around 490 bps. The same thing is getting reflected in our business also, but albeit with a lower 140 bps. So, if the overall India business is grown by 1.7%, urban business has grown by 0.6% and rural business has grown by

2%. So, the difference between the two is 140 bps for us. And that's why the rural's performance is better than urban performance. Going forward we think this will also inch up as the rural's saliency really picks up and this thing.

So, it will only go up from here. And this is happening on back of real wage growth which is higher in rural India. This is growing. Real wage growth in rural is moving up by 5%. As far as urban, it is coming down by (-7%). So, there is more money today in the hands of the consumers in rural as compared to urban.

But this thing might change because food inflation is very high. It's at around 8%. So, if rural also starts prioritizing food as compared to discretionary, this thing could change. But the situation is pretty dynamic in the marketplace, and we need to watch that out as we go on.

Disha Giria : Thank you. That was a very nice answer. Thank you.

Harit Kapoor from Investec

Harit Kapoor : Yes, good evening. Just on the advertising expense, Mohit, just wanted to get your sense on, you know, how do you see that trend moving? Because you know, you have mentioned in the past that that's something that you want to ramp up year over year to get in line with, you know, the double digit levels at some point. Last two quarters, you have seen it come off. This quarter, the India for the standalone piece looks like a sharper decline Y-o-Y? So, is it that in the current context of the market below the line is a higher share for you right now? If you just can you break that up and give an outlook on how you are thinking about it?

Mohit Malhotra : Yes, absolutely, Harit. I think again I keep saying horses for courses, different time, different strategies. One strategy doesn't become the same through the year. So, I think as the consumption story is not great at the time, I think there is pressure on the category growth rate. At this time, if the pie is not expanding, I think it's a futile effort to spend so much money on advertising. It's important to consolidate your position.

When the pie remains the same, the growth is hard to get. That's what one is trying to do. We are trying to prioritize more BTL spends to increase our market shares and to get more trials

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generation and getting more consumers in the room. When market growth happens, that's when we double down on advertising and doing so.

Advertising has come down. Our overall advertising and promotion expenditure has increased by around 10%, but advertising expenditure has gone down. That said, that is still more than 7% of the overall consumer care business that we have in India, which I think is the optimal level given our diversified portfolio and too many pockets of spend.

But the endeavor is always whenever luxury is available in terms of margins, at that time you want to invest money behind advertising to grow your brand. But when luxury of spend is not

there, then you have to have a balanced approach between margins. And because top line is not coming, your overheads are growing by mid-single digit, top line is growing by low single digit, so you have to conserve money to maintain your margins. So, that is the mindset that one has, and that's how we are calibrating. So, yes.

Ankush Jain : And then you have to also see your India business because some of the businesses like smaller businesses like Fem , Guar, exports etc., they don't have any business spend. So, if I were to, or even some of the Ethicals, if I were to gross it up, then it would be around 7.5 to 8%, you know, which is, which currently is reflected around 6.7%-odd. So, it gets jacked up by 10% points.

Mohit Malhotra : There are lots of pockets of businesses which don't have advertising for us. For example, advocacy marketing doesn't have advertising to Ankush's point. Export doesn't have advertising, Guar does not have advertising.

So, a lot of commodity businesses, so if you apportion advertising on your core consumer business which has advertising, that is in the range of around 7-8%. But that said, I think we have to prioritize advertising expense. There is no shying away from that fact.

Harit Kapoor : Got it. And the second question was on pricing. So, you have mentioned a few times on the inflation inching up. When do we see this start to kind of go into the market? Could there be a little bit of lag effect because, you know, market competitive intensity is high in some of the categories? So, because this, if you look at Q3, the difference between volume growth and revenue growth is 50 basis points. So, I just wanted to get your sense of when do we start to see incremental pricing kind of going into the market from here on?

Ankush Jain : There is an incremental pricing, but there is also, to your point, there is some time there is some time lag effect. But our procurement strategy is also to take certain long positions, you know, when we anticipate certain inflationary trends. And that helps us hedge a bit of inflation and then we can plan our pricing accordingly. So, while you see, you know, over the last five, six quarters, our trends have been that by and large pricing has been in sync with the inflation and the guardrail is very clearly that at least either at a Healthcare level or at an HPC level or beverage level we try to compensate. Even, you know, if in one of the subcategories, there is some time Dabur India Limited

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lag, then the other category helps mitigate that. That is by and large our endeavor, you know, the procurement strategy combined with market intelligence and taking those calibrated price increases.

Harit Kapoor : Okay, got it. Thanks, that's all from me. Thank you.

Tejas Shah from Avendus Spark Institutional Equities

Tejash Shah : Hi, Mohit, thanks for the opportunity. Mohit, just on the consultant part, so over the past five to six years, especially after COVID, we have seen FMCG companies have repeatedly turned to consultants for growth solutions. Yet we have seen no sustained or standout success. So, what drives the reliance on this external validation despite no, I would say, big success or results that we have seen from that approach?

Mohit Malhotra : No, I think you got the answer in your question only. So, I think because what happens is despite our strategy, the best attempt, hard work, if the results do not reflect our ambition and aspiration, then you start sometimes questioning your strategy. Are you on the right path or not? That is where you require to do that introspection, you require some validation from outside expert. And these consultants have got varied experience of working in many FMCG companies and got best-in-class practices exposure, which we may not have, because we have got one Company, two Company exposures etc.

So, while what we think is right for business is what we do, and sometimes this validation really helps, and it's a global benchmark. They don't operate only in India. They operate in America, Europe, across continents. So, sometimes some practice of overseas market can be very relevant for an India market and every market has a different level of maturity. What happens in China might come to India very soon. What happens in U.S. comes to India.

I have worked in overseas market and a lot of formulas for international business have been very successful in India from my point of view like winning in many India. It is basically an international concept that we saw working very well in India because there are smaller countries with populations of 1 crore, 2 crore. Here you got states which are 20 crores etc. So, therefore, those things work.

So, these best-in-class benchmarks help and that's why you do a dipstick with a consultant and not really ask them to

run the business. You ask them to validate your strategy once in 3-4 years, and that at least gives you that confidence that yes, you are on the right path and this validation works. And sometimes it's for stakeholders also.

So, one is for ourselves that we do the strategy. Sometimes the stakeholders also get a better

validation that, you know, that the management who is making the strategy is a maker and not a checker. Checker is somebody else, so that the making and checking validation actually happens
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from the stakeholders perspective who are looking at the Company management to deliver the results also. So, it's outside external management or also internal validation is where the consultants really help.

Tejash Shah : So, is it more of a process validation or is it more of like solving the growth problem and delivering on numbers there?

Mohit Malhotra : No, it is not process. Process already entrenched and processes don't change except if there is some gross error happening in the process. It's more strategy and which they will validate in execution. Because the market is so dynamic, you have to tailor make your strategy through the dynamic environment which is perpetually in flux. So, as the flux happens, you have to keep tailor-making your strategy, and these guys come and help you to customize your strategy through the environment which is changing.

Beverages was fantastic. Suddenly there is a Cola war happening and the Reliance has disrupted. So, a validation of our beverage strategy by a guy like McKinsey who got exposure, who has worked on food with Coke and Pepsi and everybody globally, will only help us to fine tune the strategy.

Tejash Shah : Okay. Second, Mohit, for the last two, three years, we have seen that FMCG companies, including us also, are pivoting towards science and efficacy-based innovations to tap urban consumers. Our IDA recognition of toothpaste is also kind of validation of that. So, last time, you spoke about in detail that how we are also going in the direction where the focus will be on efficacy and science-based launches. So, any update on that and any, let's say, clinically trial or clinically tested product that you would have launched?

Mohit Malhotra : Yes, I will give an example of Khajurprash. I will just give you there are many examples, but I will only talk about Khajurprash, Shilajit, that we guys have rolled out, Honitus variants that have come in. Khajurprash, we have commissioned a clinical trial, which is promising 30% RDA of iron, which is required by a woman. If you have two tablespoons of Khajurprash every day, 30% of the RDA is fulfilled by Khajurprash. So, that's a clinical trial that we have done.

We have done another clinical trial for Pudina Hara and Honitus. It says that Honitus starts acting in 15 minutes. In Pudina Hara Fizz also, it starts acting in 30 seconds once you are able to consume it. We have very recently rolled out a range called Siens only for e-commerce, only exclusively for Amazon, which is all science backed in which you got the collagen powders, and you got the foods of multivitamins for women, multivitamins for men, collagen powder and Gummies.

So, these range of four products we rolled out. It's called the Siens. I think the samples will be sent out to you very soon, but it's available on Amazon as we speak. So, that's all backed by scientific claims and scientific claims are not analytical but more clinical.

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Tejash Shah : So, this is OZiva well-being nutrition kind of portfolio that we are developing.

Mohit Malhotra : Not as vast as that. We just got four SKUs. We are doing a proof of concept check on e-commerce and we will scale it up a little bit later. Yes.

Tejash Shah : Very, very clear. Thanks and all the best for coming

quarters.

Mohit Malhotra : Thank you.

Aditya Soman from CLSA

Aditya Soman : Hi, good evening. Just one question from me. So, this work that you are doing with McKinsey, will it involve any sort of strategic decisions on any category or sector, or it's more of sort of a tactical review on how to, as you mentioned before, where you are shortening the review period and just thinking on strategy?

Mohit Malhotra : So, I think the strategy exercise or the long-term exercise, three-year vision is being planned. So, they will debate and question all businesses which are non-performing or even performing which have got a right to win for Dabur. Anything which doesn't have a right to win they will be questioning and there will be a debate happening between management and them to retain or to size down or to reduce investments or what to do. So, it will be very strategic exercise that we are doing. It is not very tactical exercise at all.

For tactical exercise, we had done a similar exercise with McKinsey on RGM, which is revenue growth management of Oral Care and Hair Care. That is done and dusted, which was around 6 months back. But now this is more of a strategic exercise and questioning various businesses, prioritizing ROI and investments in different buckets of the business, what we should double down, what we should not focus on. Since COVID, we have done a lot of initiatives, like you

remember we had done sanitizers. We hived it off. We had done home care range and we hived it off, but there are a lot of portfolios which we had launched at the time which are still there in the business. Tulsi Drops has fallen off, but health juices is doing well, which is growing by 44%, has become a very big bucket.

So, they will question and from a right to win standpoint, from is it a sizable category? Is it a profitable category? Is it where we have a capability and a competency to exist? So, they have multiple models and different prongs on which they evaluate the business.

Ankush Jain : Maybe just to add on, you know, while it's a very strategic exercise, but what might happen is that at the end of the exercise, some offshoots will come out, out of which some will probably be tactical.

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Aditya Soman : Understand, very clear. So, if the outcome is that, let's say, one of the categories does not fit in with the overall strategy, then you would even go up to the extent that if it doesn't work out and that you get rid of a category or even that can be an outcome however whatever the probability of that one.

Mohit Malhotra : Yes, absolutely. So, you know, M&A could be one of an outcome of it of a strategic category when Dabur is not present, there could be divestment, there could be not investment. So, you know, all those kind of decisions which will happen, and this will be at the top level.

Aditya Soman : Very clear. Thank you very much.

Latika Chopra from J.P. Morgan

Latika Chopra : Hi, thank you. Hi, Mohit.

Mohit Malhotra : Hi, Latika.

Latika Chopra : So, my first question was on the domestic volume growth of 1.2 %. Did it have any negative impact or follow-on impact of the channel correction that we did in the prior quarter, or this was the underlying proper volume growth that you saw in the market?

Mohit Malhotra : Yes, there was no one-off impact of any stock coming back, etc . No, that wasn't the case in this. This was the growth that we have seen in the marketplace, yes. So, that is one. There was some element of honey stock which we cleaned up. I think there is a minor return of sales was there. Barring that, I think nothing major, nothing consequential. The pipelines have been maintained. We reduced the pipeline to 21 days and 21 days is the pipeline now also. So, that was not the case at all.

Latika Chopra : And the second bit was on your volume growth expectations going

ahead. Assuming, you know,

macro remains where it is because most companies are sounding cautious in urban. There is a rural recovery which is there. So, do you think this is going to go to mid-single digit volume levels or what you were earlier alluding was mid-single digit value levels?

Mohit Malhotra : No, we were alluding the mid-single-digit value level. It will be a part price and a part volume because what happened in the current quarter also while we had taken a price increase of 3% or so, that got nullified by giving extra scheme, trade scheme, which got netted from gross and therefore net remained where it was. So, while the price increase was there but that did not accrue in terms of the net sales because of netting out of the consumer promotion, which he had to give because the consumer demand was low and you have to fight the competitive intensity in the marketplace.

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So, I will give you an example in home care which I was just analyzing. My volume growth of home care comes out to be around 15-16% and my value growth of home care comes out to be around 5%. So, between 5% and 15%, there is a 10% delta which got consumed in fighting competitive intensity with the market leader.

So, when the pie is not growing, I think it's a fight and competitive intensity which moves up. Except for Oral Care, in the hair oils also, we saw the same thing. Hair oil secondary grew by around 6% for us, and what we realized is only around 3% kind of growth rate in hair oils also. So, therefore, going forward, I think I am alluding to around a value growth of around mid single, looking at where the market is.

Latika Chopra : Understood. No, this is clear. And the last one was probably I missed hearing your, did you give any guidance or margin? Did I hear 20% plus? FY '26, there was a question, but I couldn't hear you clearly. If you could just clarify, how are you thinking about margins for the consolidated business in FY '26? Any range that you would like to share? Thank you.

Ankush Jain : Before I get to full year next year, at least for quarter 4, our intent is at a mid-single digit top-line growth, we will try to maintain our margins for quarter 4. For next year, we are still in the approach of making our annual budget.

However, having said that, we foresee a bit of inflation. We will try to mitigate those. Intent is again to maintain it, but we will take appropriate price increases, cost saving initiative. Some leverage will also come. So, the intent is to maintain but slightly improve, and if there is a significant improvement, then we will also try to reinvest it back into advertisement.

Latika Chopra : Very clear. Thank you so much.

Mohit Malhotra : Thank you, Latika.

Isha Lamba : Thank you everyone for joining today's call. Thank you and have a good evening ahead.

Call: May 2025

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Ref: SEC/SE/2025-26

Date: May 13, 2025

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Sub: Transcri t of Investors' Conference Call for Dabur India Limited -

Q4 FY 2024-25 Financial Results

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on May 07, 2025, post declaration of Financial Results for the quarter and year ended on March 31,2025. The said transcript is also available on the website of the Company at www.dabur.com.

This is for your information and records.

Thanking You,

Yours faithfully,

For Dabur India Limited

(A hok umarJain)

Group Company Secretary and Chief Compliance Officer

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End: as above

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Q4 FY25 Investors' Conference Call

May 07, 202 5

MANAGEMENT:

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Isha Lamba: Good evening, ladies and gentlemen. On behalf of the management of Dabur India Limited, I welcome you to the earnings conference call pertaining to the results for Q4 and year ended FY '25.

Present here with me are Mr. Mohit Malhotra, Chief Executive Officer; Mr. Ankush Jain, Chief

Financial Officer; Mr. Ashok Jain, E VP (Finance) and Group Company Secretary; Mr. Rehan Hasan, Head of Sales, Mrs. Gagan Ahluwalia, VP -Corporate Affairs and Mr. N. Krishnan, General Manager -Finance.

We will start with an overview of the company's performance by Mr. Mohit Malhotra, and this will be followed by a Q&A session. I'll now hand over to Mr. Mohit Malhotra.

Mohit Malhotra: Good evening, ladies and gentlemen. We welcome you to Dabur India Limited conference call pertaining to the results for the quarter and year ended 31st of March '25. Fiscal year '24-'25 ended with the consolidated revenue of INR12,563 crores and PAT of INR 1,768 crores.

Consolidated revenue growth was 3.6% in constant currency terms, which was impacted by onetime inventory correction in India business done in quarter 2.

Even though it was a challenging year on account of the slowdown in urban consumption, high food inflation and unfavorable season, our business fundamentals remain strong, and we gained market shares across 90% of our portfolio, emerging channels comprising modern trade, e-commerce, quick commerce, grew in double digits, although general trade in urban markets remained under pressure.

During Q4 FY25, consolidated revenue grew by 2.1% in constant currency terms and 0.6% in INR terms. International business exhibited a strong growth of 19.3% in constant currency and India business declined by around 3.4%. Within HPC, Skincare recorded a strong performance with 8% growth driven by Gulabari franchise. Home Care grew in low single digits with Odonil performing well and gaining 67 basis points market share during the quarter.

Odomos was impacted on account of seasonality. However, the brand gained market share of 386 bps in the MRC category. Oral Care was impacted by higher base of 22% in the same quarter last year. However, our CAGR remains strong at 9% to 10%.

Meswak and Dabur Herbal portfolio performed well in this quarter, we continue to outpace the category growth and gain market share of 15 bps. In the Hair care portfolio, shampoo recorded a growth of around 4%, but Hair Oils were impacted. Hair Oils grew ahead of the category and gained market share of 196 basis points. Coconut Hair Oil portfolio recorded a strong growth of 11%.

Within the Healthcare portfolio, Health Supplements recorded a muted performance. Sales in Honey and Chyawanprash were impacted on the count of delayed and contracted winters, however, Chyawanprash and Honey both gained market shares of 162 bps and 75 bps, respectively. Glucose was a strong performer and recorded a growth of 10% with market share gains of 112 basis points.

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In the digestive portfolio, Hajmola franchise recorded a growth of 3.3% with market share gains of 233 basis points. Recently launched Hajmola Zeera was very well received by the consumers. Extensions and variants now contribute more than 15% to Hajmola franchise.

Within OTC and Ethicals, winter centric portfolios such as Lal tail, Honitus, etc. were impacted. However, Dabur Health Juices continued their growth momentum and grew by 25% year-on-year.

The Foods business continued the growth momentum with Culinary business recording a strong double-digit growth of 14% led by the Hommade brand. Badshah grew by 6% in the quarter. Institutional sales of Badshah this quarter were impacted due to cut down in budgetary spends by CSD. However, business grew by 12% in the financial year '25.

Beverage portfolio was impacted due to slowdown in urban consumption as 7

0% of the portfolio

is in urban India. While the overall portfolio declined, premium segment has done well with Real Activ and coconut water recording a robust growth of 11%. We gain market share of 261 basis points in the J&N category.

Coming to international business, we registered a robust growth of 19% in constant currency terms. This was on back of strong double-digit growth in MENA, Egypt, U.K., U.S.A., Turkey and Bangladesh markets. International business has been performing well, and we shall continue the momentum going forward as well.

As we look ahead to the next phase of our growth journey, we have undertaken a comprehensive refresh of our Vision strategy. Our ambition is to achieve a sustainable double-digit CAGR by financial year '28 in both top line and also bottom line. This renewed strategy builds on our core strengths while pivoting towards future-ready levers of value creation. Our strategy is anchored on seven key pillars. I'll take them one by one.

First, continued investment in our core portfolio. We have – 8 500 crore + brands, which contribute to approximately 70% of our portfolio, Dabur Red, Real, Chyawanprash, Honey, Hajmola, Amla, Odonil and Vatika. We will continue to add scale to these brands through disproportionate investments thereby increasing penetrations and driving market share gains.

Second, premiumization and contemporization across strategies. Few examples of these are

serum, conditioners, masks in hair care, benefit-led toothpaste in Oral Care, active range in beverages, gummies, powder, effervescent in health care.

Third, bold bets across healthcare and wellness spaces. We will focus on ramping up Hajmola franchise, health juices, Shilajit, to name a few.

Fourth, rationalization of underperforming products and SKUs in order to release capital for bigger bets. A few examples of these are Vedic tea, diapers and Vita.

Fifth, we will continue to drive GPM 2.0 in the organization for effective expansion across urban and rural India. We will double down on emerging channels like e-commerce, quick commerce

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and modern trade. We will also focus on consolidation of stockist for better ROI, reducing cost to serve with urban GT channel and enhanced use of digital tools to boost extraction.

Sixth, aggressively pursue M&A opportunities for creating a future fit portfolio particularly focused on new age health care, wellness foods, premium personal care.

Seventh, operating model refinement by optimizing costs, driving efficiency, agility, and digitization across value chains in the company.

With these initiatives supported by improving macros aided by income tax cuts in the budget, easing food inflation and positive monsoon forecast. We anticipate our business to regain momentum and deliver sustainable profitable growth going forward.

With this, I conclude my address and open the floor to any Q&A. Thank you.

Abneesh from Nuvama

Abneesh: My first question is on McKinsey. So you have engaged with McKinsey from a longer time frame in terms of way forward. And I do understand these are initial days. But I think it will be quite helpful if you can share what are the initial suggestion, areas of improvement, focus areas?

You did discuss the 7-point agenda. And now, a lot of the 7-point agenda, I think every FMCG company anyway has. Anything specific, if you can highlight from a growth expectation, from a portfolio transformation perspective and FY '26 key focus area, what can be those given the base is very favorable?

Mohit Malhotra: Yes. So Abneesh, we've done an elaborate exercise with McKinsey, and they've actually gone through all the live trends and all the analysis. And the seven points that I mentioned in my address is what broadly that they talked about. And the ones which stand out is that we shall weed and feed our portfolio and portfolio

o rationalization will happen and a clear exit path for

some of the categories, which are the non-performers, have been identified to release capital, which is what I mentioned.

So the categories that we will get out from is the tea category, and our baby diaper category, the sanitizing category, which actually happened and the Vita category. So we will get out of these categories and the big bold bets, which we've identified and core portfolio is where we will invest. That is one theme which actually comes out.

The second big thing is premiumization and contemporization across the portfolio. So if you look at past 4 to 5 years, we've generally focused on increasing market share and consolidating our business in each of the categories. But premiumization has been lesser focus and it was a deliberate attempt, because we wanted to bring Dabur Amla back on growth path, gain market share. Now that we've done all the gain market shares in Chyawanprash, in Honey, in Amla, in Home Care, and in Skin Care, now it's 2.0 journey to embark upon premiumization and contemporization.

And we have identified segments that we will enter for premiumization. Like in Hair Care, we always focused on gaining market share in Dabur Amla. Going forward, you will see our

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concerted effort on premiumization of post bath categories like serum, conditioners, masks, etc, and we will focus investment there. Shampoo will do alpha ingredients, in Oral Care will be plugging white gaps of whitening, sensitivity, etc. On beverages, will invest money on the Active portfolio, which will have a halo effect on the entire beverage portfolio, because each of these subcategories of nectars, pure juices, and drinks are anchored around the Real brand. So we will communicate on zero sugar and no preservative range of beverages which will have a halo effect on the entire range.

Then Health Care, like Chyawanprash, Honey, Glucose, we will be getting the modern formats which resonates with the new consumers like gummies, powder, effervescent, etc. You may be right to say it's quite what we attempted in the past, but I think this is the way forward going.

Apart from this, M&A is what we will aggressively pursue and it will be a two-pronged M&A strategy from our point of view. One will be revenue accretive to us, which will substantially

add to the revenue of the company because growth in GT is a little subdued. That is one. And the second will be creating a future fit portfolio which resonates to the new generation. That is what we are looking at. Then the fourth one is bigger bolder bets to be identified in health care and to invest behind that, like Shilajit, like health juices, and Hajmola. So that's what one will do. That was on the portfolio piece.

On the GTM piece, we are wanting to get into increasing ROI s of distributors . That's why we rationalized our inventory last year. Apart from that, we will get into stockist consolidation, especially in metros and mini metros and double down on distribution expansion and extraction in Class 3, Class 4 and rural India. So that's what we'll do. And this will happen by way of digitization across the GTM activity to bring in more transparency and consolidation in the GTM.

And to get cost takeout to invest in our brands, we will be embarking on cost optimization exercise like Samridhi , which also we did, but there will be a huge focus behind it, pretty much this.

Abneesh: One quick follow -up there. In Q4 call, almost every FMCG company on FY '26 demand outlook is sounding reasonably optimistic, given softer food inflation, tax rate cut and interest rate cuts and good monsoons, etc. And companies which are giving guidance are talking about mid- to high single -digit kind of volume growth. And it may not start with Q1, but that's a full year number they are looking at. In your case,

what is the confidence level? And what kind of number for India business do you think is possible given base is very favorable?

Mohit Malhotra: Yes. So, we are seeing green shoots in the business. So, I think food inflation is kind of moderating. And we are seeing a 2% to 2.5% of food inflation. And to your point, only tax cuts have happened. So urban consumers should have more money in their hands to be now used in the discretionary, and we will keep working on our GTM activity.

So going forward, sequential improvement is what we are seeing, but a gradual sequential improvement. We are not saying that quarter 1 and we are already sitting on very high bases for Dabur India Limited

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quarter 1. The highest base, we had a 7 -odd percent growth in the quarter 1 last year. So I think, quarter 1 and then quarter 2 and quarter 3 . I think, sequentially, we'll keep getting better , because rural is already growing much ahead of urban and urban green shoots will also come in gradually and slowly.

So, I think sequential recovery is what we are also seeing. And we should also end the year with high single digit, if not double -digit or near double -digit kind of growth for the full year. That's the guidance that we can give by looking at the macroeconomic situation at the moment.

Abneesh: Okay. So high single to double digit for the full year volumes?

Mohit Malhotra: Yes, value growth.

Abneesh: Sure. Last question on your fruit juice business, Campa Cola overall, I think for every beverage has been a big disruption initial days. This year, they are aggressive on IPL, putting big factory, INR1,000 crores in Bihar and Assam also reasonable size factory. Now Tata Consumer has

increased the trade commissions in their part of NourishCo business, and they are seeing good recovery post that. So if you could discuss on trade commission, what are the initiatives you need to do or already have done ? And FY '26 on fruit juice business, how do you see that part of the business? Here also high single digit volume growth possible or the value growth?

Rehan Hasan : So as far as commissions are concerned, we have not changed any channel margins. We have not changed any channel margins other than out -of-home portfolio where we have kind of increased our channel margins a little bit to compete with this Campa Cola war , which is being played out. So for our out -of-home portfolio, we have increased the margins slightly.

Abneesh: What is the growth expectation for FY '26 in this part?

Rehan Hasan : Growth expectation actually low to mid -single digit as far as this beverage portfolio is concerned .

Prakash Kapadia from Spark PMS

Prakash Kapadia: A couple of questions from my end. We've seen a slowdown across most of the categories. So can you help us understand, Mohit , the rural and urban side of the current slowdown, which we are seeing ? And historically, what we've observed in earlier cycles, we had a diversified portfolio. So that helped us navigate some of the challenges whenever there was a slowdown. So currently, what is hitting us hard?

And secondly, you did mention we would want to increase premiumization and try and do some M&A. So directionally, how are we thinking? Is it going to focus more on the Health Care segment, because that is where our leadership would be so good M&A and premiumization in that specific segment? Or is it younger generation, which don't have such habits to some of the products in the Health Care segment. So how are we thinking?

And lastly , GT channel inventory issues are over as we've rationalized some of the inventory in

commerce, e-commerce, GT. Is the distribution setup now fine or some thoughts will be very helpful?

Mohit Malhotra: All right. So Pra

kash, a lot of questions. So first, I'll take your diversification question. I think last quarter was a tough quarter in terms of all the three divisions. Now I'll take it one by one. One, beverage business was impacted by competitive intensity and seasons are not favoring us. Plus, what we've done is , if you see the learning coming from last year, we usually load before the season, in anticipation of a good season. So stock gets into the market with the stockist and then the tertiaries and the secondaries happen.

This time, we've done less loading. So, around INR50 -60crores, of loading has been less in the season. And that's why you see an impact on primary, and that's why you see tertiaries and market share is actually moving up, because secondaries haven't suffered. It's basically primary, which is what you see in the Food & Beverage business for us.

Now number two is the Health Care business. Health Care business had a problem of the season, because I was telling you the winter season was truncated and delayed. So therefore, Chyawanprash and Honey, both these two pillars of ours, were actually impacted. Going forward , Honey is getting into a lower base. We had some crystallization problems also, which is also behind us now, and we are seeing good market share gains in Honey going forward. So that is also sorted in my view, and we are embarking on all -season campaign for Chyawanprash. Hopefully, that should address the issues of Health Care. Our Glucose has done well with 10% to 11% growth.

Now as far as the HPC business is concerned, we were navigating high bases in HPC. Now that is why HPC got impacted. We had a growth of around 22%, 23% in Oral Care and then other businesses also, like in Odomos, we had a base of around 20%, 25% growth in last year same quarter.

So base effects played out in our HPC portfolio, and that's why HPC has not grown. While I look at the primary, primary is down by around 3- odd percent or so, but the secondary has done well, increased by around 5% there. So, I think business fundamentals in terms of secondary in HPC is okay, it's just the base effect came in. That is on the portfolio piece.

If you look at the urban and rural, our rural in tertiary is growing by around 13%, 14%. That's what Nielsen tells us for the Q4 data. So, the business fundamentals are fine. We are growing by 14% and urban is what is flat, and which is there with the category. It's in line with the category. But overall, we are growing ahead of the category.

So what's happened is, we have kind of rationalized some sort of schemes or have not given the scheme, because we did not load. Because we did not load, we did not give extra credit, we did not give extra schemes, because of which the little bit of inventory in the wholesale has, I think, gone down and STRs have gone down. Because of the STRs going down, but our offtakes are very resilient and doing well.

We never wanted to increase the inventory. We corrected the inventory from 30 days to 21 days. Had we loaded once again, then there was no point of doing any kind of inventory correction,
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we would have gone back to around the same level of unhygienic inventory. So we did not do that. And therefore, for long -term sustainable good health of the company, we've actually not loaded and not given schemes.

And that's why you see the HPC business is a little low. And therefore, wholesale, which feeds rural for us, rural decline is more than urban decline in the first quarter. But in tertiary sales, Nielsen says , rural is still firing. And there is no problem in terms of offtake. So I hope I've been able to give you a little bit of color on why all the three divisions didn't do well.

Prakash Kapadia: What I was trying to understand about the premiumization and M&A piece. You hinted that as being a key.

Mohit Malhotra: Yes, I hear you.

So the second question you asked is premiumization. So premiumization, as I was telling you, premiumization is a lever that Dabur hasn't really consciously attempted because we're a little rural skewed. And so now we'll be embarking on premiumization across all the three verticals of the company.

So at Food, we already have a active range. So we'll be doubling down on a active range with functional benefits like slimming, gut health, etc. And our Health Care portfolio of juices is already doing very well. So that is what we'll double down on as far as the beverage business is

concerned. Hommade etc, that is doing well. Our premium portfolio is doing well there. Our cold pressed oils and ghee are already growing by around 30%. So that also we will kind of double down on F&B.

Now in Personal Care, Amla should move into premium categories. And Home Care, we're already into premium portfolio. And Skin Care also we'll do premiumization. In Health Care, we will get into modern formats of existing brands. So if it is a honey , we will get into honey powder. So, what scale we will get out of this premiumization, I think if I was to take a guess, it will be more from Personal Care that we will gain on premiumization. And the Health Care initiatives that we have done, we'll keep attempting those premium Health Care initiatives. Coming to M&A. M&A should come and bolster our initiatives of premiumization. Why? If there is a brand acquisition, a premium brand in Health Care wellness space, we will acquire that. And this wellness extends from Health Care to Foods also. So wellness f oods, wellness health care is what we should attempt to get a brand in an inorganic way. And in Personal Care, it should be more organic initiatives. So this is where we are, yes.

And as far as third question of yours on GT. In GT, we are looking at consolidation of stockist in urban India. So reducing cost to serve, increasing span of control, increasing digitization in urban India and rural expand on villages, expand on direct reach, and focusing on the INR10, INR20 bundle pack, which can ride on our rural go-to -market infrastructure. So this is what we are embarking on the GT piece.

Prakash Kapadia: Understood. Understood. Clear on this. Thank you. All the best.

Mohit Malhotra: Thank you.

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Kunal Vora from BNP Paribas

Kunal Vora: Yes. Thanks for the opportunity. Firstly, you mentioned various initiatives to premiumize make our products more relevant and future fit. What is the timeframe you're looking at? And would this require investment in the medium term? And would this result in any kind of margin dips?

Mohit Malhotra: Yes. So, Kunal, we are setting up a cadence of looking at monitoring of the strategy that McKinsey has recommended. So that journey should begin as we speak from this quarter onwards. And the exact timelines as we are still working on it, the exercise we just finished. So, I can't give you right now, but we'll start from current year onwards itself. Even the GTM rekindlement should start from the current year itself is what we'd be looking at. So immediately, we will start working on the vis ion exercise that we've created for Vision 7.

Kunal Vora: Does it have to be especially on the GTM ?

Mohit Malhotra: No, there will not be . We aspire to grow double -digit or near single -digit value growth and also increase our operating margins. So, investments will be diverted towards the new initiatives, which will come under our core brand itself. So that is how we are seeing those initiatives and it's more modernization of formats and not really creating mega new brands which will require separate investments.

Ankush Jain: And also, just to add on the premiumization margin, there will be specific guardrails where every new product launch will have to have an accretive margin to the core product of it.

And therefore,

it will lift the overall gross margin profile.

Kunal Vora: Understood. Thank you. Second is, if you can help me understand the longer -term trends in two of your key categories: in Health Care, sales are at the same level as they were in FY '21; in Beverages, you had like a very strong FY '21 to FY '23, in which sales almost doubled. The n after that, like it, you went down. So if you can help me understand whether the worst is behind, what exactly went wrong in these two categories in last couple of years?

Mohit Malhotra: Yes. I think in Health Care, if you look at the CAGR , CAGR of Health Care are in the range of around 7% , and 7% to 8%, that's what we want to sustain the CAGR. Prior to 4 years, I think it was COVID, which actually surged the entire Health Care and after that we've seen the penetration levels of key brand categories like Chyawanprash and Honey coming down. So we are taking initiatives to reduce the sizes and therefore resonating the brand, reducing the price level so that the penetration sho uld increase, embark on new campaigns of all seasons. So all those initiatives are being taken.

Honey, new variants are coming in for premiumization and powders, etc. We will launch at bottom of the pyramid sort of market. On back of this, we want to get back on the growth path. In Beverage business, our CAGR is again 10% plus level s. And there, we've already got the portfolio. So the infrastructure is being se t and to Rehan's point, we want to go back on the path to make our Koolerz pack of INR10, INR20 pet bottles and coconut water available in rural India and drive the active range for urban India , and go back to the path of growth and recovery on beverages. So we've also corrected our RPI as compared to the Colas, which went down from

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2.2 to 2.7. We are bringing it down to INR99 point. We just introduced a new range, and that's doing reasonably well in the marketplace.

Kunal Vora: Understood. Thank you. And lastly, you mentioned the target to grow at high single -digit volumes. That will require some categories growing even faster, maybe even double digits. Is there the categories in which you're confident that the growth could be even higher compared to high single digits?

Mohit Malhotra: See, we talked about high single digit value growth looking at the situation of the macro and the category performance is there. Within that, I think we are more confident about HPC as we speak home care, skin care, oral care. And we are more confident of these categories, and we are on path of doing corrections in beverages and health care.

Mohit Malhotra: Understood. That's it for me. Thank you.

Mohit Malhotra: Thank you.

Harit Kapoor from Investec

Harit Kapoor: I had a few questions on the stand-alone business, India business, there is a sharp kind of 250 basis points GM contraction. Do we attribute this largely to mix? Because it doesn't seem like there has been massive inflation in our portfolio, and this has dropped off from Q3, Q4. So there is obviously some seasonality in the quarter, but I just wanted to understand what's been the reason? Is it purely mix? And how do we think about this going forward? Is this a gradual buildup? Or how do we see it?

Ankush Jain: Yes. I think you see almost 240 bps of contraction in our stand-alone in quarter 4 and our inflation is the highest in this quarter in this year. So almost 80% of the inflation of the year has come in this quarter itself, which has impacted this almost 250 bps itself. And most of the price increases we took, they were by and large negated by certain trade promotion intensities and hence, the gross margins got impacted.

Mohit Malhotra: To rephrase, I think, it's all linked. I think its inflation, which is a key issue. So we had an inflation of around inflation 4.5% - 5% and price increase was to an extent of

3.5% , and because of

competitive intensity, we could not take the full inflation into the price increase. And that is why this GM contraction of 247 basis points that you see.

Harit Kapoor: So going into quarter 1, we should see a 4% to 5% type of pricing. Is that what you're kind of hinting at?

Mohit Malhotra: Yes. So there's already we've increased the prices by around 3.5%, 4%, and that flow-through will happen in quarter 1 also.

Harit Kapoor: And how much of that Mohit, was in quarter 4? Like what would have been your weighted average pricing in quarter 4, 2 %-1.5%? What would have been that number?

Mohit Malhotra: We have taken a price increase of around 4.5%, 5% in Health Care. In Personal Care, which is a very competitive category, our price increase was in the range of 1.5%. And in Beverages, our

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price increase, again, 1.6% broadly. So overall, it's around 3.5% sort of a price increase that we've taken in the quarter 4, which will flow through to the quarter 1.

Harit Kapoor: Got it. The second thing was on the premiumization journey. In Hair Oil, it's a bit of a dichotomy because on the others, there is also the competitive intensity at the bottom end of the pyramid.

So how do we kind of marry both these things, will you continue to have that aggression at the bottom of the pyramid and still try and populate the top end in Hair Care. So as part of your premiumization agenda, how do I think about that segment?

Mohit Malhotra: So premiumization, we've not embarked upon. Like in Hair Care, especially, I think we were very busy consolidating our portfolio and trying to gain back market share that we lost to competition in Dabur Amla, especially because you had a competitor who was half at your price point. So now that we've got our strategy in place and we've gained all-time high market share of 19.1% from 14% around 3 years back. We will start on the journey of premiumization and premiumization is more urban linked for us. And e-commerce, quick-commerce, all these channels actually help us to get on to the premiumization journey, which is fairly easy to do.

As far as rural is concerned, INR10, INR20 price points and INR50 or INR100 price points also in Hair Care, just ride our rural infrastructure. There's not as much of brand trending that you not need to do on at the bottom of the pyramid. It is at the top of the pyramid that you need to do that, so which we have not done it. So like I was telling you, serum s, mask s, conditioners, etc. that should come in and help our premiumization journey. I don't see both of them conflicting with each other at all. They are both water tight, almost compartment and urban more so with e-commerce and modern trade doing very separately.

As far as organization structure is also concerned, we have a separate organization for e-com and MT, and a separate organization structure for GT at the lower end. So it is not at conflict

with each other. So one can embark on both the parts , that one is to consolidate at the bottom end of the pyramid, keep continuing gaining share and second is to embark on premiumization at the top end also.

Harit Kapoor: Understood. And last thing, just a clarification on one of the earlier questions, you said growth will gradually improve . And do you expect exit rates to be high single -digit revenue growth? Or you said for the full year, it will be high single digits or double -digit type of revenue growth? I didn't quite understand ?

Mohit Malhotra: I'm talking about average of the full year, but it's a guess at the moment and it all depends upon how the categories are behaving and how the macros are performing. If I go by the macros now, with MSP increases and with the MGNREGA outlay going up by 40% in rural India, rural India already growing around 450 basis points ahead of urban India , food inflation coming down and more

money in the hands of the consumer, not taking into account Operation Sindoor . I think everything looks like a green shoot today. But how the political and the macroeconomic situation evolves is one has to see. But I was talking about average of the full year when I was talking about high single digit.

Naveen Trivedi from Motilal Oswal

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Naveen Trivedi: Sir, my question is on the Oral Care performance. You did mention about the base effect impact on this quarter performance. But if I look at this, even sequentially also I would assume that this, sequentially, it is down close to 17 %, 18% versus quarter 3. Is the understanding right? And typically, this is not a category where the seasonality player play a big role. So any color on that part or any specific markets where we've seen this kind of impact?

Mohit Malhotra: I think Oral Care is in a very good state as far as we are concerned. All the 4, 5 vectors of Oral Care brands are doing well. Dabur Red continues to do well for us and our market shares, our tertiaries, our secondaries, all are moving up as far as Oral Care is concerned. We got IDA certification also now, the endorsement by doctors has also started. Our no fluoride campaign has also kind of resonated very well with the consumers. We won a court case also in Oral Care.

We are continuing to advertising. So I think all guns blazing as far as Oral Care is concerned, and we are betting our bets on Oral Care going forward also.

So Dabur Red, as we see, this quarter was an anomaly, because of the high base effect of 22% is what I said. So that's the only reason that I see. So Dabur Red is doing well. Our Meswak has grown by around 10 %-11%. Our Dabur herbal toothpaste continues to do well and we are planning to take it to South India . In modern trade, the herbal category has got a tailwind, which is at around 31%, last year it was 30%. That is growing at double the rate of the non-herbal category. So I think everything is very favorable as far as oral care is concerned for us.

Naveen Trivedi: So is the understanding right where we have seen sequentially down 17 %, 18% the segment revenue?

Mohit Malhotra: No, we are not down sequentially 70%, 80%.

Ankush Jain: Not 70%, 80%. I think it's 10% to 12% down.

Mohit Malhotra: No. I think, you should see a year -on-year trend. That's how this has to be seen because there is some loading impact of the other categories and therefore this category is a little subdued in quarter 4. So I think it's a year -on-year that you should be looking at rather than sequential.

Sequential, our market shares continue to move up. We've gained around 15 to 16 basis point , market share in the current quarter also.

Naveen Trivedi: Yes. That's all from my side. Thanks.

Akash from UTI Mutual Fund

Akash : Thank you for the opportunities. Sir during your opening remarks, I mean during your response to one of the participant's question, you said while streamlining the portfolio, we will exit some of the segments like let's say, diaper or tea. I could not hear that completely. So can you please repeat what are the product categories which going forward, we will not be focusing on?

Mohit Malhotra: See, we mentioned a few examples of the categories, one was tea, other is baby diapers and other is Vita in MFD category. Now these have been margin dilutive for us and that's why we are planning to exit with a limited right to win and also breakfast cereals. So these are the 3-4 categories that we are planning to exit .

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Akash : And sir how much would these products contribute revenue, it would be sort of low single digits?

Mohit Malhotra: Less than 1% of the overall revenue.

Akash: Okay. Sure, sir. Thank you.

Senthil from iThought PMS

Senthil : Yes. Sir, one of your drivers for the strategy point, you mentioned about

c contemporizing the

category. So particularly with respect to the health care vertical, if you can throw some insight into how we are picking the products from the health care side to the millennials or Gen Z, so that's my first question?

Mohit Malhotra: Yes. So for a healthcare, one of the key brands for healthcare products are Chyawanprash. Chyawanprash we have premiumized in the past and we will continue the journey with Ratanprash, with Kesarprash, with Khajurprash, etc. that we have premiumized and we'll be launching modern formats like gummies, powders, et cetera, which is more targeted towards the new generation.

In honey, we've extended ourselves into organic honey and single ingredient honey –like single floral honey. So that is how we contemporize. We extended ourselves into contemporary format which is more amenable to breakfast consumption .. And also we'll be targeting new target audiences like geriatric , gym goers etc. with our healthcare portfolio.

Senthil : Okay, sir. And in the last Analyst Meet, the Investor Day, you mentioned there's an incremental focus on the therapeutic side. So if you can share what has been the development on that side?

Mohit Malhotra: So, therapeutics business continues to be as it is . We've done some organizational changes. So Mr. Philippe Haydon who has super-annuated and this new gentleman has actually joined instead of Philippe. So focus on advocacy vertical to promote Ayurveda to the modern doctors will continue and the turnover will be taken from INR100 crores to INR200 crores and that journey will happen and we are currently addressing around 100,000 medical practitioners with this vertical. So that journey will go on. We will try to do better extraction with better efficiency in that vertical. So that initiative will be continued going forward.

Senthil : Okay. Just the last question. Again, coming on the inorganic side. So you mentioned about -- we'll be focusing on the wellness side, foods and health care. So having the heritage from the Ayurvedic healthcare, going organic will be much better or if you can share some strategy from here?

Mohit Malhotra: Yes. So here or there we have organic brands. So I think all these organic brands like Chyawanprash, honey, Hajmola, Shilajit etc., there the modernization journey will be all organic because these are our core brands and we will continue to extend them into modern formats organically. If there is a new brand or a new category to be addressed, that is where M&A comes in and supplements our efforts of organic business with inorganic business. That's what one will do.

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Senthil : Okay, sir. Thank you.

Manoj Trivedi from SP Securities

Manoj Trivedi: Thanks for the opportunity. My question is regarding Dabur's compliance, current compliance rate on EPA regulation in terms of use of recycled material in their flexible and hard packaging of plastic products. So, my query is that, I mean on the back of that we know that the industry has made a presentation to the ministry and the government and approached them to delay or give some more time to the industry.

But the fact of the matter is that ministry or the government has not made any official statement on this , post the presentation. So at this point of time, what is the view of the industry as well as Dabur and where Dabur stand in terms of compliance, in terms of flexible and hard plastic packaging?

Mohit Malhotra: See as well as Dabur is concerned, we are recycling more than 100%. We are actually a plastic positive company, because we are recycling more of plastics than what we are consuming ourselves. So we don't have any credits for plastic in India unlike a carbon credit in international market. So otherwise, we are ensuring our EPS compliance more than what is actually adequate.

Manoj Trivedi: No, I think, you got me wrong. My question

is that use of recycled material in the plastic

packaging for flexible, it is 10% and for hard, it is, I think, 30% from 1st April 2025. I actually asked the question of the compliance plastic bag complex.

Mohit Malhotra: No, now, I got you. So as far as recycled plastic is concerned, our use of recycled plastic is fairly limited like all other players in the industry, and therefore, we've represented to the government also on the same because the recycled plastic today is more dearer in the market as compared to the regular plastic. And moreover, we are a health care company.

In a health care company where 50 %-60% of the portfolio is coming from wellness foods and they're coming from health care, we are very reluctant to use recycled plastic in food products and also in our Ayurvedic product. Like in pharmaceutical industry, you don't use recycled plastic. So we are reluctant.

As far as personal care is concerned, yes, with the 50% of the portfolio, we can use recycled plastic, but that is today dearer than the existing packaging material and will have an implication on the gross margins and the operating profit of the company. That's why the representation has happened to the government , because the demand of recycled plastic is higher than the supply.

As the industry grows of recycled plastic I think the cost of producing will be cheaper and then we'll be able to do it. So our stand to the government is to give us more time, till the time the recycled material becomes a little more cheaper and capacities go up in the industry. So yes. I hope, I could answer your question.

Manoj Trivedi: So what I understood, if you can confirm is that currently, Dabur is not planning to be compliant with that because government has not withdrawn the regulation. So I believe that, that regulation is pretty much in force?

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Mohit Malhotra: Yes, we are already utilizing recycled plastic in our packaging material, but it is still limited because the capacity is not evident. So which is what the entire industry has also represented to the government saying that because the capacity is limited, nobody is able to meet the 30% requirement, which has come in. So which is why even the rules is in abeyance, right. It's not been announced yet. So if the government was to mandate the use of the recycle, then we will have no option but to use it. But today, the capacity is limited, and it's difficult for us to do it and it's more expensive in terms of cost.

Manoj Trivedi: So are we planning to pass it down to the end consumer at the end of the day?

Mohit Malhotra: If the government mandates, we will have no other option but to pass it to the consumer, and we will be using it. Yes.

Anurag Dayal from PhillipCapital

Anurag Dayal: Yes. So basically, my question is on Beverages. Now we are sitting on a favorable base. We have done a lot of actions in terms of INR10, INR 20 price point pack, expanding in rural. And since 70% as I understand the saliency of beverages is in urban and then we expect urban market to recover eventually this year. But still we are a little conservative on low to mid -single digit growth expectation. So what could happen basically that we can get back to double -digit growth here? What all actions are required from our side or the competitive intensity is going to be low? What's your view on that?

Mohit Malhotra: Yes. See, as I was telling you that we have a CAGR of almost double digit as far as beverage is concerned and it's going through a cyclical storm as competitive intensity going up. So we are making all our efforts in terms of GTM, although the portfolio we've already done.

I think, the efforts are on as far as the go -to-market is concerned and the price points are concerned. So that's what we are trying to now fix for us. So what we are doing is that we have a 2-way down with the exclusive distri

bution of beverages. That is continuing to do well. For

rural and semi -urban markets also, we are opening up all the beverages to our existing rural distributors also, because we've got affordable price points there. That's what.

And also we fixed the price of around INR99 and INR 100. That said, the wait and watch situation

to see a gradual ramp up and the distribution initiatives are taking time in the market. So that's why a little defensive sort of growth aspiration on it, but we are not leaving any stone unturned.

Like coconut water, which is coming under the active range that is firing. Our Hajmola Jeera is actually doing pretty well.

Our active range is performing very well. Our Koolerz and the Nectar range is something that we have to still correct and execute it well in the marketplace. So that's why it's a slow gradual recovery, which is happening in beverages.

Anurag Dayal: Okay. Sir, another question is on Odomos. So you mentioned there were some seasonality impact as I understand. But especially in the HI portfolio, the market leaders said that the season was very favorable for them. So could you explain us where is the seasonality, which came for

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us? I mean, you this product -specific issue or how we define the seasonality, especially for Odomos?

Mohit Malhotra: No, I think it's a seasonality plus coupled with high base. We had a very high base of Odomos last year or so. So we are navigating a higher base. If you look at the CAGR also, it will be in the range of around 8% to 10% for us. So that's fine. And for us at least we did not see the mosquito season pan out as much as what it was last year.

So relative, it has been low, but I think it will be slowly catching up. We have got a market share increase of around more than 386 basis points on Odomos. So from a market standpoint, we are pretty much okay.

Isha Lamba: Thank you, everybody, for joining the call. The webcast and transcript will be available on our website. Thank you, and have a great evening.

Call: Aug 2025

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Ref: SEC/SE/2025-26

Date: August 6, 2025

To,

Corporate Relations Department

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street,

Mumbai- 400001

BSE Scrip Code: 500096^^

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Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza, 5th Floor

Plot No. C/1, G Block, Bandra Kurla Complex

Bandra (E), Mumbai - 400051

NSE Scrip Symbol: DABUR

Sub: Transcri t of Investors' Conference Call for Dabur India Limited -

Q1 FY 2025-26 Financial Results

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on July 31, 2025, post declaration of Financial Results for the quarter ended on June 30, 2025. The said transcript is also available on the website of the Company at www.dabur.com.

This is for your information and records.

Thanking You,

Yours faithfully,

For Dabur India Limited

(Ash kKu arJ'ain)

Group Company Secretary and Chief Compliance Officer

End: as above

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"Dabur India Limited Q1 FY '26 Investors Conference Call"

July 31, 2025

MANAGEMENT :

MR. MOHIT MALHOTRA - CHIEF EXECUTIVE OFFICER

MR. ANKUSH JAIN - CHIEF FINANCIAL OFFICER

MS. GAGAN AHLUWALIA - VP- CORPORATE AFFAIRS

MS. ISHA LAMBA - HEAD, INVESTOR RELATIONS AND M&A

MR. N. KRISHNAN - GENERAL MANAGER - FINANCE

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Isha Lamba:

Mohit Malhotra: Good afternoon, ladies and gentlemen. On behalf of the Management of Dabur India Limited, I welcome you to the Earnings Conference Call pertaining to the Results for Q1 FY '26.

Present here with me are Mr. Mohit Malhotra - Chief Executive Officer, Mr. Ankush Jain - Chief Financial Officer, Ms. Gagan Ahluwalia-VP-Corporate Affairs and Mr. N. Krishnan-General Manager-Finance.

We will start with an overview of the Company's performance by Mr. Mohit Malhotra, and this will be followed by a Q&A session. I now hand over to Mr. Mohit Malhotra.

Thank you, Isha. Good evening, ladies and gentlemen. We welcome you to Dabur India Limited Conference call pertaining to the Results for the Quarter Ended 30th June 2025.

The quarter witnessed sequential improvement in domestic and international markets, despite challenges posed by unseasonal rainfall and geopolitical headwinds. In India, rural markets continue to outperform urban for the fifth consecutive quarter, sustaining its strong growth momentum. Even the urban markets witnessed sequential recovery vis-a-vis last quarter. Our international business remained resilient, delivering a robust double-digit growth. During Q1 FY26, our seasonal portfolio comprising of beverages and glucose was impacted due to unseasonal rain and a very short summer. Growth in consolidated sales was around 7% excluding the seasonal portfolio, while the reported growth was 1.7%, impacted by the seasonal portfolio. India's business revenue grew by 4.3% excluding the seasonal portfolio. International business exhibited a strong growth of 13.7% in constant currency and 12.7% in INR terms.

Within the domestic business, HPC portfolio performed well with 5% growth. The Toothpaste portfolio delivered a growth of 7.3% led by a strong growth in the Red franchise. The Herbal segment growth accelerated and outpaced the non-herbal segment by 440 bps, reinforcing the growing consumer preference for Ayurvedic, Herbal, and Natural Oral Care offerings. In line with the above trend, we outperformed the Toothpaste category growth, leading to sustained market share gains.

The Home Care portfolio delivered strong growth of 10%, delivered by a robust performance in both Odonil and Odomos franchises. Odonil has emerged as the #1 brand in the Air freshener category with 44% volume market share. The brand recorded 11% growth this quarter, supported by strong double-digit growth in Gel pockets and aerosols. This translated into market share gain of 183 bps. Our mosquito repellent brand Odomos recorded a double-digit growth aided by early monsoons that positively impacted category demand resulting in market share gain of 261 bps. Skincare portfolio registered a growth of 9% by Gulabari franchise and OxyLife.

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In Hair Oil, we outperformed the category growth and gained market share of 214 bps, taking our total Hair Oil volume market share to 19%. This is the ever-highest market share that we registered in Hair Oil. We remain focused on premiumization and expansion into new age offerings in both Hair Oils and shampoos.

In our Healthcare portfolio, Health supplements excluding glucose which got impacted by unseasonal rains, grew by 9%, backed by robust growth in Chyawanprash and Honey. Contextual monsoon campaign has worked for the Chyawanprash brand, which reported a growth of 28%, with market share gains of 111 bps.

Honey saw a broad-based growth across channels, growing by 11% year-on-year, and strengthened its leadership position with 46 bps gain in market share. Premium variants like Sundarbans and organic honey witnessed good traction. Glucose was severely impacted by rain during the quarter and declined by around 30%. Despite this, we gained market share of 118 bps in the category.

In the Digestives portfolio, Hajmola franchise repor

ted a 9% growth, with variants like Chatcola, Limcola, and Mr. Aam now contributing around 50% to the overall brand franchise. Recently launched Hajmola Soft Chews received a good response from the consumers. Pudina Hara brand grew by 7% driven by new campaigns and renewed focus.

Within OTC and Ethicals, Honitus registered a growth of 46% driven by a surge in demand during the monsoon season. Health Juices continued on a strong trajectory and grew by 18%. We are focusing on new contemporary formats across our Healthcare portfolio. And some of these products will be introduced in next few months.

J&N category was impacted due to unseasonal rains and business disruption due to Operation Sindoor in key markets of North India, such as Jammu and Kashmir, Himachal and Punjab.

However, our focus on driving the premium portfolio is working well with 'Real Activ' franchise witnessing a robust growth of 20%. We launched coconut water in aseptic pet format this season, which has witnessed exceptional growth with the brand cornering 25% of the fast-growing coconut water market. Even in the J&N segment, we continued to outperform the category, gaining 207 bps in market share in nectars and 141 bps in 100% juices.

Coming to international business, we registered robust growth of 13.7% in constant currency

terms. This was on the back of strong growth of 10% in MENA, 20% in Sub-Saharan Africa, 40% in UK(EU), 30% in United States, 36% in Turkey, and 10.2% in Bangladesh. Coming to profitability, in spite of high inflation and seasonal impact, our operating profit and PAT grew ahead of the topline led by price increase and saving initiatives. This is indicative of strength and resilience of our brands.

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Overall, consolidated growth of 7% excluding the seasonal portfolio is quite encouraging with market share gains across 95% of our portfolio.

Looking ahead, we are quite optimistic of a sequential recovery in demand on back of softening food inflation, favorable monsoon, sustained momentum in rural and some green shoots which are visible in the urban demand. Our international business continues to be on a strong trajectory with currency depreciation now lapping over in most of our geographies.

With this, I want to conclude my address and open the floor for any Q&A that you may have.

Thank you very much.

Mihir Shah from Nomura

Mihir Shah: Firstly, I wanted to just highlight that the presentation that we are seeing this quarter versus the historical times, there has been a lot of change in disclosures. You know, we have been tracking this company for more than, I would say, 15-17 years, a lot of us on the street. And we have never seen less disclosures from Dabur. And you have been one of the companies which has highlighted many disclosures across categories. Can we request you to revert back to the earlier disclosure standards so that we can gauge the progress of the company in a much more better manner like we have done all these years? So, that is point number one.

As far as my question is concerned, Mohit, there is a favorable base that you are having in the 2nd Quarter. There is a 5.5% decline that we had seen last year. With this ex of seasonal impact 7% growth that you were seeing, should one expect high-teens growth to come back from 2nd Quarter? Will that be a fair understanding?

Mohit Malhotra: Yes, Mihir, I want to answer the second question first. So, yes, you are absolutely right. Last year we did some sort of inventory correction in the same quarter last year. So, there is little favourable base, but we have no intention of increasing the pipeline at all. So, we are expecting, depending upon the season, how the season fairs, and how the juices trajectory remains, because the month of July has been quite wet, which has been unprecedented in the past.

So, we are closely observing the situa

tion. But we will definitely expect double-digit growth, we are gunning towards double-digit growth in the 2nd Quarter. So, I think we are observing the situation. Beverage business will be low single-digit growth only in the coming quarter. Rest of the businesses should fire at double digits to your point.

Now, on the first point of disclosures, I would want Isha to address it.

Isha Lamba: Hi Mihir. Thanks for your question. So, we have streamlined certain disclosures in the Investor Presentation. But this has been based on benchmarking with industry peers. This helps avoid excessive details that would pose any kind of competitive sensitivity. And we also remain

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committed to transparency and consistency. We will continue to share any meaningful insights via earnings calls and also maintain this format going forward.

Mihir Shah: Secondly, I wanted to just check on the margin front. Gross margins continue to be under pressure. We are seeing Amla continuing to be inflationary. Do you foresee any headwinds on the margins, or should one expect some improvement on the gross margin side as well?

Mohit Malhotra: Yes, so I think as far as margins are concerned, we don't see any pressure on the margins. There was inflation of around 7% in the previous quarter, and all the inflation has been mitigated by price increases that we have taken and that talks about resilience and strength of our brand. So, we have mitigated through saving initiatives and some price increases that we have taken. We have taken 3%-4% of price increases, and the rest are saving initiatives, which completely mitigated the impact of inflation that we had on our basket of commodities.

That said, the projection of inflation going forward is also very high in the range of around 8%. But we are pretty optimistic of mitigating it through price increases and saving initiatives. There is a string of initiatives that are lined up going forward in the future, which will mitigate the impact.

Our gross margins have not got diluted in the previous quarter because the IGAAP gross margins remain the same. Because of the competitive intensity, there was a higher netting of schemes. Because of competitive intensity from Colgate and in Hair Oils, we had to give a lot of BTL which got netted off from the top line, and therefore, you see a gross margin dilution in the Ind

AS number.

But overall, operating margin has been maintained at the same level, and so we don't see any gross margin pressure. For the full year, we want our operating margin to only inch up significantly as compared to last year to this year.

Mihir Shah: Understood, Mohit. On the operating margin front, lastly, I see that you have been able to maintain it, but that is on the back of sharp decline in ad spends, about 15% decline. But I also remember that your base had a higher ad spend. So, is there any one-off sitting in the base that we are missing out or one-off sitting in this quarter for ad spends? And should one expect ad spends to continue to be upwards?

Mohit Malhotra: The overall advertising and promotion expenditure has actually moved up ahead of the top line and that is in the range of around 5% growth. We have redirected the money from ATL into BTL. As I have told you earlier as well, that depending on the competitive intensity, the trade inputs (consumer and trade scheme) are given. So, we have invested more in consumer and trade & that is why the netting is more and less spends have been done on media.

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But going forward, actual investments will continue to be higher. We want to increase our gross margins and invest that in advertising support. There is no one-off sitting at the base. I can just confirm that to you. So, we will continuously make an endeavor to increasing the overall advertising and promotion expenditure going forward

by investing in brand and distribution.

Mihir Shah: Thank you very much, Mohit. Wishing you all the best. I have a few more follow-up questions which I will circle back in the queue or probably check with the Investor Relations team later.

Thanks and wishing you all the best.

Mohit Malhotra: Thank you, Mihir.

Prakash Kapadia from Kapadia Financial Services

Prakash Kapadia: Two questions, Mohit, slightly longer-term in nature. If I were to look at the Healthcare piece, after the COVID base of around Rs. 1,600 crores in '21, despite all our efforts in smaller packs, newer formats, we have not been able to cross that broader range. So, what are the challenges we are facing in honey, Chyawanprash? Because this was our forte, formulation, higher margin. So, has the product lost relevance to the younger population? Or has the dynamic changed? Because you seem to be the leader, but beyond the point of time, the category growth would depend on the leader. And even if I were to take the OTC and Ethical segment, that has also been broadly Rs. 800 crores despite all the efforts of the new business head - focus on medical channel, doctor efficacy. So, is there a competitive landscape which has changed? Because if we have the aspiration and the base to do well, this segment has to grow. So, what really is the game plan in this segment? Thoughts will be very helpful.

Mohit Malhotra: No, Prakash, I don't think there is any issue of the category here. Because, as I told you, season played a spoilsport for us. Glucose, which is a significant contributor in the first quarter, because of the season, declined by the 30%. So, rest of the entire portfolio has done very well.

Just to give you an example, Chyawanprash has grown by around 30% for us. Our monsoon campaign has worked well for us. New formats are already contributing to more than around 20% of the business, which are margin accretive to us. We have gained 111 bps of market share in Chyawanprash.

Honey, last year there was some headwind in terms of honey issues and there were returns coming from the market. Now that is all behind us. The honey has grown by around 11%.

Premium variants are doing very well. There is a 46 bps gain in the market for us, agnostically across segments.

Glucose, which is an issue, which got impacted by unfavorable weather condition. And not just for us, even for Zydus, that was the case. So, that's taken out the steam from the growth. If I exclude glucose, then the business is grown by around 2.7%. We have taken a price increase of

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around 6% in the overall Healthcare portfolio. Our margins are remaining the same. But season, you know nobody can predict.

As far as Digestives portfolio is concerned, Hajmola has grown by 9%. Hajmola Variants are now contributing 50%. We launched soft chews and this is how we are modernizing the portfolio. To your point of portfolio modernization, 50% of the Hajmola portfolio is now variant And it is just not regular variant. It's all Limcola, Chatcola, which are all modern, quite urban-centric portfolio, and resonates with the new consumer. And we can see the light at the end of the tunnel. Soft chews are doing well for us.

Pudin Hara saw 7% growth with Lemon Fizz, which is a newer powder format, growing by

around 60%. The new communication of acidity relief is again adding to the growth momentum of Pudín Hara.

In OTC and Ethicals, there is Honitus, which has grown by around 46% because of the cough and cold season and virus. Hot Sip, a newer format of Honitus, saw 95% growth. Our new initiative of Health Juices has gone up by 18%.

Lal Tail as a brand got impacted in UP and Bihar with a small player called AD Oil and it took away our market share. So, suddenly, a new player has come in, and we will correct that situation, which is very localized problem, which has been identified and we will correct it. So,

there has been market share loss in our Lal Tail business, which we will correct going forward. Shilajit, in the secondary term has grown by 10%, but because of competitive intensity, you have to use schemes, so you don't see so much growth here. We have also exited Diapers, Tea and Vita. These three brands which contributed to around Rs. 8 crores of business, were discontinued as part of our vision exercise, so that has led to a little bit pushback on the absolute growth in Healthcare. We did this as a part of our cutting the tail and providing focus on the core brands. So, I don't think there is any problem. And glucose was also cycling a very high base of 31% and now declined by 30% because of rains and very centric. So, that is the only outlier here. Otherwise, I think Healthcare is on a very strong trajectory of growth. So, I don't think there is any concern on this thing.

Prakash Kapadia: But Mohit, from that base of post-COVID, I was looking at a slightly longer-term trend. And the question was more towards, you know, is communication relevant to the newer or younger population? Is there a habit change? Because at the end of the day, we all understand, post-COVID, there was a high base. But it has been now three or four years, the category is more or less stagnant is what I was looking for. Not necessarily this specific quarter number perspective. So, directionally, how will the growth come back? You know, this is where our margins are highest. This is where our moat is. This is where our leadership is. And beyond a point of time,

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if the core engine doesn't fire, the overall growth could be muted despite the base is what I was trying to understand.

Mohit Malhotra: Yes, so you need to understand where are we operating? We are operating in segment of cough and cold and this market is huge. My market share is very low and we compete against Allopathic brands. Ayurvedic is gaining traction, therefore, Honitus is very well poised to grow to the next level and taking share from Ayurvedic cough syrup and consumers are moving back to nature and natural.

Now, the second segment which we are present is Digestives. In Digestives, we have two brands called Hajmola and Pudín Hara. Again, they are growing very well and one is the appetizer which ignites hunger and other is the stomach ailment and handles acidity. So, Eno is a big brand. Again, market share gains are consistently happening.

The third is health juices that we introduced. We are steering it to around Rs. 100 crores. Again, long-term trend and growing exceedingly well. Baby care, Lal Tail, again very well positioned. Shilajit is a men's care brand. As you know, Kapiva is the new startup, which is really taking the category to new level and growing. For gym goer population also, that's doing well.

Glucose targets the energy-giving population. As you know, Unilever also launched an IV liquid, which is catering to this. And most of the brand electrolytes are again targeting this market. So is where glucose is. So, again, no concern on that.

Honey is doing well and we have got 50% share. Another 50% share is there and also honey penetration in the country is low. We are continuously driving honey on positioning of weight management, low sugar and non-Sucrose and more fructose and energy giving. That's doing well. On Dabur Chyawanprash again, new formats are the one which are driving that growth. So, I don't think there is a long-term any concern. Yes, the new generation is using newer formats and when you see new generation, its 10% of the population on e-commerce and quick commerce that you see, which is 10% of the industry. That 10% should not make a perception in you that 90% of the market is following 10% and these categories are not doing well. There is some winter or sometimes summer, I think, poses a little obstacle to growth, but that should not be seen

as a long-term trend in my view. So, that is the take which I have.

Prakash Kapadia: I will join back if I have more questions.

Aditya Vikram from Digital Securities Private Limited .

Aditya Vikram: So, what I was saying is that congrats on a good set. Sequentially it looks like a good performance. But still people are not happy, so can't do much about that. I missed your answer on the first question which was asked by one of the analysts that what would be the growth

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guidance from here? I heard that you said beverages might not do great. But what about the other segments?

Mohit Malhotra: Yes, so we are expecting, I think you are talking about the guidance going forward for the full year. Full year, we are looking at a guidance of high single-digit kind of a growth for the full year. For the coming quarter, because the base was low, we should be looking at a double-digit growth.

Beverage seems to be under pressure and that may have a low single digit, but other parts of the verticals should be growing at double digits owing to a lower base and also urban and rural both doing well for us and we gaining market shares across the board.

So, I have no doubt about other two verticals having double-digit growth. But the month of July has been very wet, and the beverage part of the business hasn't done too well in the month of July. So, that is the only remark.

Aditya Vikram: So, I will ask my first question. In terms of this quarter's performance, right, could you please give a breakup of volume versus price differentials?

Ankush Jain: Yes, so basically volume is low single digit, around minus 1% and price increase was 3%. But most of it got negated because of heightened competitive intensity. And therefore, the net realization was minus 1.8% in India.

Aditya Vikram: So, what I was trying to ask is that are you satisfied with where these levels right now or you see price hikes in the coming quarter?

Ankush Jain: Yes, so what we are seeing is more inflationary pressure, especially in the edible oils category. And consequently, we have either taken fresh price increases, apart from the rollover price increases, or heightened our saving initiatives program going forward as well. So, we expect that at least before netting, we would be able to protect our margins despite 7% to 8% inflation.

Aditya Vikram: Understood. So, thank you very much. And congrats on a good set, and I hope you do all the best in the coming quarters with festive season and everything coming along.

Tejas Shah from Avendus Spark

Tejas Shah: Mohit, I just have one broader question now. So, when you step back and look at the portfolio more broadly and not related to monsoon or summer seasonality, which comes and goes, is there a strategic stencil of framework you are now using to shape, let's say, next two, three years of growth? And how are you thinking about where to double down, where to dial back from here or of which category? Because when you said high single digit, I am assuming some of the

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categories have to deliver double-digit growth also. So, which those categories would be and which will be the kind of under index on that number?

Mohit Malhotra: Yes, so as you know, we conducted a vision exercise recently, and there are seven big moves that I communicated also. The first one is to double down on our Core brands which contributes to around 60%-70% of the business, which are Rs. 700 crores plus, which will contribute to our growth. And we are spending 70 bps higher in the first quarter also investment, which is Oral Care, which is Dabur Red, and we are planning to launch Dabur Red to other benefit gaps which are there in the segment.

The second is Dabur Amla, of course, is doing well. We invested on Dabur Amla to gain market share. Now we want to contemporize and streamline the b

rand going forward and that is the second pillar.

The third is also home care, which is already market is growing at double digits. So, we have introduced LVP and that is doing well. So, that is what we are doing. Skincare is also, so HPC broadly. In Healthcare, we have identified four brands where we will be doubling down on. Those four brands are Pudina Hara, Health Juices, Hajmola and Shilajit. And we want to all scale them up to around Rs. 100 crores each and Hajmola moving up to around Rs. 550 crores. We are also conducting a GTM exercise to improve the ROI of the GT distributors, price equilibrium and increasing span of control, etc. All the same, I think whatever gaps in the portfolio are that we want to plug through M&A, and we are continuously scouting for targets for M&A, which would be new age and will fortify our existing portfolio with some new age brands in all the 3 verticals of Healthcare, HPC, and F&B which we are planning.

So, that is a very big picture, broad brush on our portfolio where we will be wanting to scale up the business. But I think the low-hanging fruit for us is definitely Oral Care, Home care, Skin care and also Hair care innovations going forward.

Tejas Shah: Perfect. Thanks for the detailed answer. Just one follow-up on that. On M&A, like what we have seen with some of the peers that have created 20%-25% of their portfolio of D2C brands and that segment is kind of growing at 20%-25% to cover up the 5-6% of overall growth. So, when you talk about M&A, will we be going in some of the new categories which is largely on

wellness side? Or will it be large, more premiumization in the existing portfolio that we have?
Mohit Malhotra: So, we are basically looking at wellness. Wellness foods, wellness health, that kind of M&A is what we are intending to look at. But M&A is very chance based, depending upon what is available. But definitely premium, which is margin accretive to our base business, so that it improves our margins going forward. We understand for a couple of years there may be
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investment, but there should be a path to profitability, which should be accretive to our base profits.

Gaurang Kakkad from Centrum Broking

Gaurang Kakkad: So, Mohit, firstly, on the volume part, you mentioned the volume on a reported basis is 1% degrowth, right? And if we have to look at it ex of seasonal business, the 7% growth, what will be the volume growth in that portfolio?

Mohit Malhotra: So, volume growth is 3%. 3% to 3.5% is our volume growth, if you look at the 7% ex-seasonal portfolio.

Gaurang Kakkad: Secondly, you mentioned, and obviously we all know that last year was an inventory correction year for us at the GT level. Now, is that largely exercise done and in FY '26, whatever secondary growth we get, will that largely be reflected in terms of primary growth?

Mohit Malhotra: Yes, Gaurang, yes. We don't intend to do any more inventory correction going forward. It's already been done. We are sitting at around 21 to 22 days depending on product category inventory. And we think that with our diversified portfolio and the seasonality that we have, this is the optimal level of inventory, and the stockiest are also making good ROI. While we are conducting the GTM exercise, which will be all about consolidation, increasing span of control, etc., but the inventory levels will be very similar.

Gaurang Kakkad: Thanks for that. And just finally, one thing on the guidance front. So, you have given largely the top line guidance and broken it up into the beverages and the non-beverage portfolio. In terms of margins, you mentioned that at the gross margin level, we see some improvement on a full-year basis. So, at the EBITDA front, largely are we expecting improvement or most of it will be reinvested in A&P and EBITDA on a full-year basis would largely be flattish?

Mo

hit Malhotra: No, we are working towards significant improvement of operating margin as compared to last year. So, if you look at the first quarter, despite the high inflation, our operating margins have been maintained. As we embark on premiumization and a better mix and contemporization of portfolio, I think these margins will only improve going forward. At this year end, we expect operating margins to move up significantly from last year to this year. That is the intent and that is the target that we have taken.

Alokita Ash from Goldman Sachs

Alokita Ash: So, just a question on Oral Care. So, I understand you said that there have been gross margin pressures due to Colgate being super-competitive and you having to give distributors, I mean, you have to increase promotional spends. So, how has the Toothpaste growth been much
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stronger than the market leader, which is Colgate? Have there been any other initiatives which are driving this outperformance? And do you expect this to continue?

Mohit Malhotra: Yes, so we expect Oral Care category growth is around 4%. We are growing substantially higher than the category growth as far as the Nielsen data is concerned plus there is a tailwind for herbal and natural category, which is growing at 2x the non-herbal category.

Non-herbal category is growing at 4.4%. We are in the herbal category which is growing at 8.8% and we are by far the market leaders in the herbal, natural, Ayurvedic category. So, we continue to grow there.

Our Red franchise has grown at around 9% secondary and 8% IGAAP sales. Meswak is growing by around 5%. Our Dabur herbal toothpaste which is a new franchise, is growing at 30%. So, we expect Oral Care to keep firing at the same momentum as it has been in the first quarter, and that is a category which we are doubling on.

We have Amitabh Bachchan, plus we have embarked on anti-fluoride campaign, which is working very well for us across different regions, and on back of which we are getting market shares. We gained around 14 bps market shares to reach 16.6% in the current quarter. So, we are very confident on improving trajectory in Oral Care going forward.

Isha Lamba: I would like to thank all the participants for joining today's call. The webcast recording and transcript will be available on our website. Thank you and have a great evening ahead.

Call: Nov 2025

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Ref: SEC/SE/2025-26

Date: November 6, 2025

To,

Corporate Relations Department

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street,

Mumbai- 400001

BSE Scrip Code: 500096^%.y~ ^

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Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza, 5th Floor

Plot No. C/1, G Block, Bandra Kurla Complex

Bandra (E), Mumbai - 400051

NSE Scrip Symbol: DABUR

Sub: Transcri t of Investors' Conference Call for Dabur India Limited -

Q2 FY 2025-26 Financial Results

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on October 30, 2025, post declaration of Financial Results for the quarter and half year ended on September 30, 2025. The said transcript is also available on the website of the Company at www.dabur.com.

This is for your information and records.

Thanking You,

Yours faithfully,

For Dabur India Limited

(A h umarJain)

Group ompany Secretary and Chief Compliance Officer

End: as above

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"Dabur India Limited Q2 FY '26 Investors Conference
Call"

October 30, 2025

MANAGEMENT :

MR. MOHIT MALHOTRA - CHIEF EXECUTIVE OFFICER

MR. ANKUSH JAIN - CHIEF FINANCIAL OFFICER

MS. GAGAN AHLUWALIA - VP-C ORPORATE AFFAIRS

MS. ISHA LAMBA – HEAD, INVESTOR RELATIONS AND M&A

MR. N. KRISHNAN - GENERAL MANAGER - FINANCE

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Isha Lamba: Good evening, ladies and gentlemen. On behalf of the management of Dabur India Limited, I welcome you to the Earnings Conference Call pertaining to the results for the quarter ended 30th September 2025.

Present here with me are Mr. Mohit Malhotra-Chief Executive Officer, Mr. Ankush Jain-Chief Financial Officer, Ms. Gagan Ahluwalia-VP-Corporate Affairs and Mr. N. Krishnan-General Manager-Finance.

We will start with an overview of the Company's performance by Mr. Mohit Malhotra, and this will be followed by a Q&A session. I now hand over to Mr. Mohit Malhotra. Thank you.

Mohit Malhotra: Thank you, Isha. Good evening, ladies and gentlemen. We welcome you to Dabur India Limited Conference Call pertaining to the results for the quarter ended 30th September '25.

In India, this quarter was marked by Government's announcement of a landmark GST reform, a pivotal step towards enhancing affordability and increasing consumers' purchasing power, thereby laying the foundation for stronger consumption and demand acceleration. Nearly 66% of our portfolio benefits from the rate reduction, including key categories such as juices, toothpaste, hair oils, shampoos, Glucose, and proprietary Ayurvedic medicines. With this, 86% of our portfolio is now at 5% GST.

We demonstrated operational agility by executing timely price reductions across the portfolio, thereby effectively transmitting the benefits to the consumers. While the GST reduction is structurally positive, it led to a temporary disruption in trade as the channel anticipated forthcoming rate reductions following lower MRP.

This resulted in a short-term moderation in sales in our India business during September. This quarter, our consolidated revenue grew by 5.4% year-on-year, with international business reporting a growth of 7.7% in INR terms and India FMCG business growing at 5.7% year-on-year.

In the India business, HPC portfolio performed well with 8.9% growth year-on-year. The Toothpaste portfolio continued its robust growth trajectory and delivered a strong growth of 14%, led by Dabur Red franchise and Meswak. Recently launched "Swadeshi" campaign for Dabur Red has garnered a positive market response, supporting volume momentum and strengthening the brand equity in the competitive Toothpaste segment.

The Herbal segment growth in the category outpaced the non-herbal segment by 770 bps, underscoring the strong and sustained consumer shift towards natural and herbal oral care products. Leveraging this shift, our portfolio outperformed overall Toothpaste category growth, resulting in robust market share gains.

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Skincare portfolio registered a high single-digit growth driven by Gulabari and Oxy franchises.

In the Hair Oil portfolio, Hair Oil grew ahead of the category and gained market share of 232 bps. Shampoo category posted high single-digit growth. We remain focused on premiumizing and expanding our new age offerings in both Hair Oil and Shampoo portfolios.

The Home Care portfolio delivered mid-single-digit growth driven by robust double-digit performance in Odonil, strong performance in Sanifresh. Odonil's growth was supported by double-digit growth in Gel pockets and aerosols, resulting in market share gain of 127 bps.

In our Healthcare portfolio, health supplements grew in mid-single digits. Honey continued its leadership position and recorded a broad-based volume net growth of 28% year-on-year.

Premium variants like Sundarbans and Organic Honey witnessed good traction. We continue to gain market shares in Chyawanprash and Glucose.

In the Digestive portfolio, Hajmola franchise posted robust double-digit growth with variants like Chatola

, Limcola, and Mr. Aam now contributing more than 50% to the overall brand franchise.

Within OTC and Ethicals, Honitus registered a strong growth of 28% driven by a surge in demand during monsoons. All the key variants such as Cough Syrups, Drops, and Hot Sips grew in double digits.

Ayurvedic health juices continued to perform well, witnessing 25% growth. Overall category was impacted due to GST transition, and discontinued diaper business.

In Juices and Nectars, our premium portfolio, 'Real Activ' 100% juices, continued to scale rapidly and reported a robust growth of 45% led by a two-fold increase in coconut water sales. Nectar sales were impacted by heavy monsoons across the country and floods across Jammu and Kashmir, Himachal Pradesh, Punjab, and Uttarakhand. However, we continue to outperform the J&N category, gaining market share of 115 bps in nectars and 1,000 bps in Activ juices. The recent GST rate cuts from 12% to 5% on juices is anticipated to act as a strong demand catalyst going forward.

The international business registered a growth of 7.7% in INR terms and 5.5% in constant currency terms, led by a CC growth of 12% in Dubai, 10% in Nigeria, 37% in UK, 11% in

Namaste business, 37% in Turkey business, and 13% in Bangladesh business. Growth was impacted by geopolitical disturbance in Nepal, which declined by 15%. The situation has since improved and the new interim government has been formed.

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Talking of profitability, operating profit grew by 6.4% and PAT grew by 6.5% during the quarter. Despite the GST transition, seasonal headwinds, and high inflation, both operating profit and PAT grew ahead of its top line in standalone and consolidated business on the back of price increases and cost-saving initiatives.

Looking ahead, we remain optimistic about the sequential recovery in demand supported by improving macros, good monsoon, recent GST rate reductions, and expectation of a strong winter season.

We are pleased to announce the launch of Dabur Ventures with capital allocation of INR 500 crores over the next few years. With this, we intend to make focused investments into high potential new age digital-first businesses that are closely aligned with our strategic vision roadmap. This initiative reaffirms Dabur's commitment to driving innovation-led growth, enhancing its premiumization agenda, and expanding participation in new consumer spaces that represent the categories of tomorrow.

With this, I conclude my address and open the floor to any Q&A. Thank you.

Abneesh Roy from Nuvama Wealth Management

Abneesh Roy: My first question is on the GST impact. So, you are at a very favorable base last year and ideally you should have obviously grown much faster, which I think you may be doing the pre-GST impact. So, could you clarify how much was the GST volume impact in Q2? The market leader said 2%. And in October month, are you still facing reasonable disruption and you see normalcy coming in November, or already in mid-October the normalcy has come?

Mohit Malhotra: Abneesh, GST impact is in the range of around Rs. 100 crore, give or take for us, which is in the range of around 3% to 4% for us. And since the GST announcement, that is where the primary got impacted and therefore the volume sales got impacted of the business.

I am sure the liquidation of inventory has happened. We have been monitoring, liquidation of inventory is happening. So, the impact wasn't restricted to only September. There will be a carry forward impact in the month of October, and I think first 15-16 days of October will also be impacted due to the GST.

But long term, I think GST has been very transformative for the country and it will unleash volume growth which are much better than what we have seen in the past and has more money in the hands of the consumer. And the sentiment is also

positive because of the GST. So, that's what I feel will be the case.

Abneesh Roy: A related question in terms of the GST cut. Which categories you expect more benefit in terms of volume uptake? And in terms of lower unit packs, obviously, there will be grammage increase

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there. So, if you could tell us one ballpark number in terms of the GST rate cut portfolio, how much is the LUP where the grammage increase will happen? That will give us some idea where at least initially the volume uptake will be on the higher side? Could you give us some insights here?

Mohit Malhotra: Yes. So, LUP for us contribute to around 27% of the overall business where we are doing grammage increases. So, I think that is where the volume of the tonnage increase will actually happen and I feel it will be like surrogate consumer promotion. Consumer promotion drives sentiment and therefore uptick in terms of primary sale and also secondary sale and stocking also. And the categories which I think will get favorably impacted first of all would be oral care in my view, I think that will be a big upside.

Shampoos would be a good upside. Hair oil should gain on account of this. In health care, our Ayurvedic proprietary branded medicine should gain because the rate has come down from 12% to 5%. So, the pricing will come down in terms of almost at par with classical here. So, this will give us a headroom to pick up the prices in long term. And also, consumer sentiment in terms of shifting from unbranded to branded will also happen here.

Our entire OTC portfolio has actually benefited from it, be it Hajmola or Shilajit or all other brands. Their rates have come down to 5%. They will also get benefit and also in the low unit price points of beverages, which is Rs. 10, Rs. 20 pack should also get an upswing as LUPs from the GST.

Abneesh Roy: My second question is on the beverages and Nectar. Entire portfolio has been facing this competition from Campa Cola. So, specific question here is with the GST rate cut which has

benefited you, how does this help in fighting say Campa Cola?

Second is Campa Cola's incentive, dealer incentive is almost double of Cola players. If you could tell us how does your dealer incentive compare with say Campa and would you need to change that? Because Tata NourishCo has done that and they have seen a very good growth come back already. Would you need to do that or already you have done some action in terms of the dealer incentives?

Mohit Malhotra: So, I think in terms of overall category now the aerated beverages which is Campa Cola impacted our Juice category because the price index, the related price index actually went up because the price they had dropped and therefore the price disparity between the aerated and the juices went up drastically.

With the GST reduction, the RPI is coming down. Therefore, the juices will become more affordable relative to the beverages. So, it should provide a little bit of tailwind to our beverage portfolio. And that said, our beverage portfolio performance has been better in the current quarter

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compared to the previous quarter and the business has grown by around 1.5% to 2% and flat. At least it's come back on the growth path.

As far as incentive is concerned, regarding what the Reliance team is offering as an incentive to the trade. We also have greased up the trade in terms of the incentives that we are giving and we hope that we will be able to bridge the gap not totally, but to a certain extent. Again, the rate RPI will also get reduced going forward from here. We have done it a bit and we did it after the GST and we will continue the same going forward also.

Abneesh Roy: Last question. Toothpaste, you have done quite well last few quarters. Market leader has not. So, one question was, you said

because of the GST rate cut in terms of LUP, you do see

toothpaste gaining on the higher side for you. So, I wanted to understand that bit specific to toothpaste, how much is LUP?

Second is inverted duty structure is a big problem for market leaders in toothpaste. So, if you could tell us from a competitive landscape, how does this help you in toothpaste? And on an overall basis, this inverted GST structure, as a company you also will face some issues. So, if you could discuss that bit in terms of input and output, how much will be the GST service tax refund issue for you?

Mohit Malhotra: So, in terms of overall toothpaste category, then I will give it to Ankush to answer the second part of the question. But overall, Oral Care category has been growing. If you look at, I will split up the whole category into herbal and non-herbal. Herbal category has grown at around 5x of the non-herbal category.

Non-herbal category has grown at 2% and the Herbal category has grown at 10%, so actually almost a 5x higher growth. And the Herbal category now from 30% has become actually 32%.

So, there is a definite tailwind towards herbal natural, and this is happening because of the Swadeshi movement of homegrown and indigenous brands which are being promoted and this whole theme resonates with PM Modi's thing also of movement towards the Swadeshi brand.

So, that campaign for us has also paid up. And I think the overall business of oral care is doing well. Meswak has grown at 25%. Our Red toothpaste is growing at around 16%. And two brands, Babool and LDM, which have not performed, also we are trying to refurbish those brands going forward in the quarter and you will see good growth coming back to these two brands. We have gained market share of 60 basis points. So, competitively, we performed better.

In terms of lubricating trade from a GST standpoint also we have given better schemes to help and enable the intermediaries to cross over this new price, the old price and the new price kind of differential. We have offered some trade schemes and so has the competitor also offered the trade schemes there. So, we are doing whatever it takes to help Oral Care go to the next trajectory

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of growth. As far as the input tax credit, I will ask Ankush to take that question and I can answer in case there is any other follow-up questions.

Ankush Jain: Hi, Abneesh. So, like everybody, input tax credit will be an issue for us. As you know, 90% of our portfolio approximately, 87% to be precise, has gone to 5% and remaining at 18%. Weighted average output would be at around 6.5% to 7%, while we estimate our input tax rate to be at around 8% to 8.5%. So, there is a gap of 1.25% to 1.5% which will get accumulated.

Having said that, we are working internally and also with the help of an external consultant how to bridge that. We have already identified certain action points which we are working across sales, across marketing, or even logistics to mitigate this impact. I think we will have more clarity in next one month or so in terms of implementation of those action points.

But you are right, there is an inverted duty issue, which is a recurring issue as the government has still not clarified what would be the problem solution. Technically and legally you can get some bit of refund at least from the raw material and packaging perspective, for services such as the legal solutions and services, it is not refundable. So, there is an issue and we are working towards that.

Mohit Malhotra: Yes, so we are actually waiting and watching the brief as to what's happening with raw materials and packaging materials where the duty structures are higher as to what we can pass on to the consumer. If there is no resolve from the government, then we may have to take a price increase. But we will see what the industry

is actually doing for the RMP.

And to Ankush's point on services, we will have to see how renegotiations will happen with freight forwarders or transporters, etc., to put it in the price itself rather than-- So, those all discussions are actually underway as you guys speak.

As far as the intermediaries are concerned, and they are facing the impact of this input tax credit, there we are offering higher credit or higher schemes for them to address this problem in their working capital which has got stuck with this. So, we are helping our intermediaries to whatever possible extent that we can by offering them higher credit or giving them higher schemes. That's happening on a case-to-case basis. I hope I am clear.

Mihir Shah from Nomura

Mihir Shah: Firstly, in continuation with the previous question, post mid-October, have you seen any material improvement in volumes because of the GST reduction? Any clarification of that will be helpful.

Mohit Malhotra: As I told you that this will carry forward for 15-20 days. So, a little bit of improvement will be there due to the festive season, I think, but it is still a wait and watch situation. I will not say that all the inventory of the old price stock has been flushed out in the system because there is a huge

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inventory. There will be around 30-day inventory sitting at the retail, then wholesale and distributors around 20 days, and also in our space. So, all that is still getting flushed out. It is not that once the new price comes into effect, which has actually come into effect, but the entire old price inventory is flushed out. Then we can say that things are kind of streamlined. Still a little bit of issues are there as far as the old prices are concerned with trade and the intermediaries today.

Mihir Shah: Sir, my first question actually is on Chyawanprash sales. It seems if Honey has done so well, maybe Chyawanprash has not done so well because the category growth is relatively low. That is also on a very low base where you had destocked in the same quarter last year. Can you talk about how should one think about this category? Is the category still appears to be impacted and what can bring back the category growth going forward? Any steps that you are taking?

Mohit Malhotra: Yes. So, I think Chyawanprash had got impacted a couple of years ago due to the season, and the winter season has been contracted. This time we anticipate the business to be more severe and prolonged as compared to what has happened in the last couple of years.

But initial hiccups are the fact that the trade is holding old season inventory, and we are getting rid of that inventory also as soon as possible. We have shifted the loading from last quarter to the current quarter due to (A) GST, (B) there is some remnant inventory left from the previous season, and we have been loading it in the current month as we speak. Loading is currently ongoing. Loading is what delayed, which is helping us to actually clean up the system, and the GST has been a blessing in disguise to that extent.

As far as fundamentally what we are doing to the Chyawanprash category, we being the market leaders, we have launched a couple of variants to make Chyawanprash all-season brand.

Therefore, rather than only a single Chyawanprash, we have launched multiple variants. Now the variants are contributing to almost 20%-30% of the Chyawanprash business. We launched Khajurprash especially for women, and that has done exceedingly well in the marketplace. Our sugar free Chyawanprash is again doing very well in the market. In the current season also, we are wanting to launch another variant of Chyawanprash.

So, from the base Chyawanprash, we are premiumizing Chyawanprash where the gross margin is actually moving up while the brand is becoming non-seasonal and getting spread out as we speak. So,

that is one effort that is happening.

Our monsoon campaign had come in good last quarter, which did reasonably well in terms of Chyawanprash. That was second that we had done. Then we are extending formats in Chyawanprash. Gummies and bars will get launched in the Chyawanprash. That is the third effort which is actually happening in Chyawanprash. So, all those efforts are ongoing.

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Plus, we have unleashed new communication which is outside of immunity and more towards long-term build up and habit formation with the kids to have Chyawanprash on a regular basis. That's using Akshay Kumar there. So, that is also getting launched as we guys are speaking. So, a lot of effort is happening. Plus, consumer promotions are also happening. Extra grammage is being given free in the current season for the consumers. So, that is also underway as we speak. So, a lot of initiatives happening on Chyawanprash.

Mihir Shah: So, it seems that it can be on the path of recovery soon. Sir, on the winter portfolio, can you give an update on the winter portfolio loading? Winter is expected to be delayed, but it is going to be harsh. Would that be sitting in the 2Q sales, or can one expect the winter loading to happen in 3Q, 4Q, and better sales to be seen in Quarter 3 and Quarter 4?

Mohit Malhotra: So, winter loading actually got pushed out because GST transitions were happening from Quarter 2 to Quarter 3. And as we speak, as I told you, we are doing the winter loading. Winter portfolio, a significant part of our portfolio, in Quarter 3. So, if the winter is going to be harsh, we expect this quarter to be good relatively as compared to what we saw in the past. So, I think winter loading will happen now, and if the winters are harsh and prolonged, then I think the whole company will benefit because around a third of our portfolio is winter centric in the current quarter.

Mihir Shah: Sir, last question on the Dabur Ventures that you have set up. Dabur has been one of the most diversified portfolios. Which category should one think that will get attracted to this and what is the kind of investment that you have planned out? I might have missed out the outlay on the investment side on Dabur Ventures.

Mohit Malhotra: There are two parts to the question, Mihir. First is your diversified portfolio, then why Dabur Ventures, first rationale to that. And the second part is outlay. Outlay is simple. The Rs. 500 crore outlay that we kept for the next couple of years, and the Rs. 500 crore is meant for digital-first brands, which are future forward-looking brands, so that we can get high growth and we can extend our portfolio into the new age categories of the future. So, that is the single purpose of creating this investment sort of a venture called Dabur Ventures, so that the focused attention is provided and Rs. 500 crore is used for taking a minority/a majority stake and we will be flexible on it.

In the company wherein we will be allocating capital, we will be helping growing the company and if the company is able to sustain the growth, then gradually and slowly acquire majority stake and therefore harness that growth which is coming from the digital-first brands. That is the logic or the rationale of making this investment vehicle called Dabur Ventures.

Mihir Shah: Wishing you all the very best.

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Mohit Malhotra: Just second part of the question to clarify, it doesn't exclude other M&As like Badshah, Balsara, Sesa etc. It does not preclude that. So, we have got INR 7,000 crores in our balance sheet. The balance INR 500 crores is too small an allocation as far as the balance sheet is concerned. The other part of the fund would be used for other acquisitions as we feel. So, it doesn't impinge upon those allocations in any case.

Percy Panthaki from IIFL Securities

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Percy Panthaki: Just trying to understand your performance on a two-year CAGR basis. But before that, sorry, I had another question before that is, can you tell me as of 30th September, what was the distributor days?

Ankush Jain: So, Percy, hi. The distributor days as of 30th September is around 22 days.

Percy Panthaki: 22 days, okay. Secondly, I just wanted to understand your two-year CAGR performance. So, even if I adjust for this 4% impact of GST that you mentioned, the two-year CAGR comes to about 2%. So, how do we interpret this performance? I mean, assuming that the same underlying strength continues in the business, what kind of growth can we expect because on a two-year CAGR this is only 2% as of now?

Mohit Malhotra: Yes. So, besides the GST impact, Percy, there has been other impact of the weather, as I told you, the inclement weather and therefore our beverage business has almost remained flat and that got impacted, number two.

And the third impact also came in because, as I mentioned to you, there is Chyawanprash loading did not happen, which I did not call out in our GST impact, which is over and above that. So that Chyawanprash loading of INR 60-70 crores could not happen because of the weather and the trade carrying that kind of inventory. We did not increase our number of days and we are very conscious of the hygiene and therefore have not increased that. And so these two impacts are there, which also contribute to around 2%-3% of the sales.

Otherwise, 95% of our portfolio has gained market share and the business has done well. If you

look at HPC, HPC has grown by around 9% of the business. If we even factor in the two-year CAGR, the growths are good. Healthcare and beverages, which got impacted, and that is what is flagging the sales.

Plus, there has been an impact of around INR 50-60 crores of Nepal due to the Gen Z protest which happened in Nepal. Our international business, which is growing at double digit, has done a CC growth of 5.5% and the business was impacted because of Nepal and US tariffs. Some bit of impact on Badshah and exports to the U.S. came in due to US tariffs, which also will get addressed. So, these macros actually kind of suppressed the business growth.

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Percy Panthaki: So, this 3% to 4% GST pipeline impact, it has happened this quarter. Do you expect that similar amount of pipeline fill will happen in Q3?

Mohit Malhotra: Not to that extent as we have cleaned up the pipeline there and we have not increased the pipeline, but we feel it will be relatively better than what we have seen in the past. Like the loading which did not happen in the previous quarter should happen if the season is doing well. So, that is what we expect it to be. Partially offsetting what we have seen a depression in last quarter should happen, not completely because we don't want to increase the pipeline once again. We want to keep the hygiene at around 22 or even improve it going forward by increasing secondary and lower primary.

Mr. Prakash Kapadia from Kapadia Financial Services

Prakash Kapadia: Mohit, if you can give us some sense, how do we look at the business over the next few quarters?

Because I would guess there are tailwinds in terms of monsoons being good, GST coming in, which was not really expected. Winter is expected to be good. So, in this scenario, is there a case, maybe not immediate quarter, but over the next few quarters to get to double-digit growth and is there a shift from unorganized to organized market being possible with the GST cut? So, could you comment on some of these factors which will lead to growth? And secondly, from a rural and urban demand perspective, what categories will drive growth? And premiumization seems to be doing pretty well in most of the urban markets. Is that a play for Dabur? Is the time right for new product launches at least

on the urban side? So, some thoughts on urban and rural on the game plan that will be helpful.

Mohit Malhotra: So, first of all, I think, let me talk about urban and rural, your last question first. So, rural is sustaining growth for the company and also overall, I think there is a huge growth. There is a 5.6% growth which is happening overall in FMCG. The rural is growing at 8.5% and urban is growing at around 3%, sustained resilience in rural and so is the case of Dabur also. There is a difference of around 400 to 500 bps between urban and rural growth for FMCG and for us also. So, we see a 7% odd growth happening in GT in rural and we see around 3% odd growth happening as far as our urban is concerned. If I leave aside the modern trade and e-commerce, this is completely urban feet. So, there is a tailwind of rural. To capitalize on this tailwind, we are looking at the LUP bundles and doing a lot of activation in rural and harnessing that growth of rural.

So, we see one of the pivots of growth for us is definitely bottom of the pyramid and rural, leveraging our distribution of super-stocking and sub-stocking also. And we are looking at initiatives expanding our distribution going forward, reaching out to more number of villages and increasing our portfolio, increasing visibility to our sales as far as the rural is concerned

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through SFA and through BMS and upgrading our sub stockists which have sales greater than INR 600,000-700,000 to become stockists.

So, we have a project Saksham which is currently ongoing, and we are working on expanding our rural footprint as far as India is concerned. So, we feel there is a huge rural tailwind and monsoon has been great. Agricultural output is fantastic, Kharif acreage is kind of improved, MSP is going up, MGNREGA allocation is not there. So, everything is in favor of rural and rural, I think, will drive the business growth, especially volume growth forward.

As far as urban is concerned, urban is also, last couple of quarters, actually inching up for us.

And to drive urban, we have now very systematically taken premiumization as one of the initiatives and that was also mentioned in the seven moves of our strategy. So, we are tracking premiumization in category after category. As I mentioned, in Chyawanprash, we are looking at gummies. In hair oils, we are looking at value-added products like serums etc, and likewise we are looking in oral care, home care, health supplements, OTC products and in foods, we are looking at wellness food.

So, we are looking at premiumization and we are driving premiumization percentage of the

overall mix, and the way we define premium product is that it should have 20% higher MRP and should also be accretive to the gross margin of the respective category. So, premiumization is the agenda that we are driving. As far as again rural is concerned, we see unorganized to organized movement because the price points have quite bridged between unbranded and branded. So, definitely there will be a movement happening from unbranded to branded, which I mean from unorganized to organized. So, things are looking up and season is also looking up. So, for the balance of the year we look at mid- to high-single-digit growth backed by low to mid volume growth. We don't want to promise high single here. That is the kind of guidance that we are looking at going forward for the next half of the year. The first half obviously got impacted by weather and GST transition, but the second half our guidance remains what we have already alluded to before.

Prakash Kapadia: That gives us confidence to the recovery path.

Avi Mehta from Macquarie Capital

Avi Mehta: Sir, just a clarification. Mid- to high-single-digit is for the second half, sir, or for the full year? I am sorry, I missed that.

Mohit Malhotra: Yes, so mid to high single digit

growth is for the second half actually. That is the guidance that we have given. This will be backed by volume growth of around low to mid single digit.

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Avi Mehta: The reason why, if I may push back, sir, we have winter also working. I mean, the loading is yet to happen. We also have GST related kind of coming back. Could there be an upside risk here?

That is what would be the case because initially we are hoping to kind of drive a more mid- to high-single-digit for the full year. So, just wanted to appreciate how are you looking at this guidance and how should we see it? What is driving the expectation?

Mohit Malhotra: Yes, so I am being a little, you know, high single is what optimistically we should be able to achieve. But I am giving you a guidance of mid to high to be not faltering here, but a high single is what we should be achieving if everything comes in our favor because with Gen Z protest in Nepal, we did not count for, this Trump tariff we did not. So, there are unforeseen events that actually happen which actually push back the business. I am factoring that in case something. Otherwise, a high single digit should look quite possible for us and backed by mid single volume growth. But don't hold me onto it. So, that is what we think should be, yes.

Avi Mehta: Sir, just if I may, on the margin side also, if you could give us, should we see EBITDA growth being higher than sales growth for the full year? Is that an expectation that we still have? And if I may put the next question, sir, just clarification on Dabur Ventures. While I understand the philosophy, could you just deep dive into any categories that you would look for? In particular, whether there will be adjacencies, new categories, and IRRs, what are the metrics or things that you would kind of focus on when you are doing investments? Those are the two questions.

Mohit Malhotra: As far as margin is concerned, definitely I think we have seen, despite whatever headwinds we face in international business or in the domestic business besides GST, our margins driven by gross margin have been higher. Plus there was huge inflation, a round 8% inflation that we faced in the first half. Despite that, our margins have kind of held up and we saw 20 basis points increase in our gross margin and therefore operating margin has also gone up and our first half margins are operating margins around 19% broadly.

So, I think for the full year, our margins will definitely be better than the top line. And we are looking at saving initiatives also in the first half, saving in initiatives in the range of around Rs. 60-odd crores. So, we are continuously tracking those saving initiatives as we go on. So, I think on margins front, we are good as far as current year is concerned as we have passed down all the inflation to the consumer. And while we took a 5% price increase for 8% inflation, our saving initiatives came in. So, all that we have been able to pass on.

As far as Dabur Ventures, about what categories we will look at, we will restrict ourselves to our existing categories and we will not go beyond existing categories because earlier also there was a question on diversification. We are already quite a diversified portfolio. So, we will restrict ourselves to home and personal care, health care, wellness foods and beverages and also adjacencies of these categories. We will look for premium categories which are resonating with the digital-first consumer (Gen Z and Gen Alpha), we will get into modernization of formats and

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any digital-first company which has got a head start to what we can't do organically ourselves, is what we will kind of speak to and get the company in the early stages of its formation. So, that is what this venture is meant to do, not to get diversified into multi

ple other categories. We

want to stick to our knitting and our categories and adjacencies what it may be, yes.

Ankush Jain: Avi, in terms of our returns, we think it should be superior than our current treasury yields.

Mohit Malhotra: Over the long term, we expect the returns to be ahead of our treasury. Our treasury returns are in the range of around 6% to 7% and we expect to be a little higher than the treasury over a long term. Immediately when you acquire a company, obviously there will be a hit in the P&L, but that we will absorb for the long term better yield than the treasury.

Harit Kapoor from Investec India

Harit Kapoor: Just one clarification. Firstly, the presentation mentioned the growth ex-Badshah for India FMCG. Just trying to understand why that is the case? Why you kind of excluded while giving the numbers?

Isha Lamba: So, actually, as far as our published finances are concerned, we put Badshah in the consolidated numbers. So, from that point of view, we have given ex-Badshah. That is the reason. But Badshah also, the domestic business has grown well.

Harit Kapoor: So, the difference between standalone and the India?

Ankush Jain: Yes, Harit, in fact, the Badshah does not get into India. It's consolidated at a consolidated level, since it is a subsidiary of Dabur India.

Harit Kapoor: No, I understand. I thought maybe in the presentation you would give a consolidated number. I got the point for the India FMCG. So, the difference between the two is still the export piece, right? I think you have an export piece. So, that is the difference between your India FMCG and standalone number. That's the way to look at it, right?

Mohit Malhotra: Yes. There is a piece of private label, there is a piece of a guar gum business, there is a piece of intercompany export. All that is a difference to the India FMCG plus private label plus guar plus intercompany exports which comes through the total standalone business.

Harit Kapoor: The second thing was, you mentioned that you passed on this pricing about 5%, but when I look at the numbers, 5.7% and 2% doesn't fully reflect. I was wondering, has that happened through the quarter and will you see this kind of 4%-5% pricing in Quarter 3, Quarter 4 going forward? Is that the right way to think about it?

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Mohit Malhotra: The pricing will not lap over. Pricing will carry forward in Quarter 3 also. We expect inflation of 7%. So, this will carry forward into the Quarter 3 also because we have just taken the price increases also. The difference why it strictly doesn't add up is because a lot of across trade schemes and consumer schemes also go which get netted off from the top line, and that is why. And we had to lubricate the trade because of GST also. We had to give additional schemes. So, they get netted off from the top line as well as the primary given schemes that we operate in. So, that is why you don't see a full difference between the two.

Harit Kapoor: Mohit, just a follow up on this part. So, the gross margin actually sequentially has improved quite a bit, 300 basis points despite your lubrication of the trade and not the full impact of the pricing. So, is there a mix element here also because toothpaste has done better, foods not so much, which would have driven a higher GM and that should to some extent normalize in the quarters going forward as food also starts to pick up?

Ankush Jain: Yes. So, Harit, when you try to answer, what we are seeing is it is sequentially down by 300 bps. But ours is a seasonal business. So, in the first half of the 1st Quarter, it is more juices, Glucose, and other stuff. But here, we start with loading of Chyawanprash and some bit of Honey itself, and hence the seasonality. And therefore, you can't compare sequential margins in our business because of seasonality.

Mohit Malhotra: If you look at

the Y-o-Y, I think year-on-year, Harit, that is a better way of looking at and there it's a 20-bps improvement. There is not 300 bps. Sequentially, the portfolio differs and rightly to your point, juices did not do as well. Juices is very high in the 1st Quarter. So, I think juices, the season ends in the 1st Quarter and you end into a lean quarter in Quarter 2. So, that goes down, which is inherently a low gross margin as compared to healthcare, and home and personal care which are high margin for us. It is a category play and a product play. That is what is impacting the margins on the positive side.

Harit Kapoor: My last question is on Ventures. So, Dabur Ventures, is there a separate team leading this initiative?

Mohit Malhotra: Yes, we have got Mr. Abhinav Dhalla who joined us from McKinsey. He is an expert in private equity, venture capital investments, and has got a huge experience and is a very talented gentleman. I think he will be heading Dabur Ventures. And if needed, then we will be supporting him with other members also who will be exclusively working on Dabur Ventures. But today, he will be exclusively leading this whole venture.

Mehul from JM Financial

Mehul: Sorry, my questions are answered.

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Nitin Gupta from Emkay Global Financial Service

Nitin Gupta: First question is around your guidance around mid- to high-single-digit growth in second half. If I be particular about Q3, so we have multiple benefits in terms of winter loading, primary sales shift, GST benefit. So, any sense you can provide in terms of how you see the domestic growth in Q3 particularly?

Mohit Malhotra: Nitin, it is very difficult for me to give you a guidance of such a short-term business. Long term I can comment upon, the short term very difficult. As I told you, it all depends upon how the season pans out because this quarter is going to be very season dependent and very winter centric for us, and a third of the portfolio is winter centric. While our winter products are doing well, Honitus last quarter gave us a growth of 28%. Honey has also grown by 28%, etc. I think the Chyawanprash is a big one and all depends upon how Chyawanprash offtakes and fares in the market. It is difficult for us to give you a guidance in such a short term.

Nitin Gupta: This is fine. So, my question was also pertaining to the price growth. We are sort of having around 5%, so that itself takes to mid single digits. So, any headwind particularly you see which is limiting your guidance or aspiration you can say, like, will not chase you for the number, but just wanted to have some clarity on this?

Mohit Malhotra: Not really, we don't see any headwind as of now. I think we are only seeing the tailwind. The only headwind which I told you is that the GST transition is carrying forward into the October month also, and there is an old price stock still with the trade. And till the time that gets flushed out, the whole system is not getting streamlined. So, that is the only hiccup that we see in the current quarter. Otherwise, not much we have seen. Even Nepal's situation is relatively better as compared to the previous quarter, and we hope the Trump tariff situation also getting resolved in the short term.

Nitin Gupta: Second question is with respect to like we have the widest portfolio in FMCG, and the question is around like how we are aligning our portfolio with youth. So, HUL in this quarterly call have highlighted that Gen Z is 400 million and they are basically driving the shift in growth, and they are looking to sort of align their portfolio with youth. So, do you agree with the view? And any perspective you can provide here?

Mohit Malhotra: No, so I think it is not aligning my view to HUL. I think they have got their own strategy, we have got our own strategy. As I told you, there are two pi

pects of growth as far as Dabur is

concerned. One is the growth of premiumization where we are modernizing and contemporizing our portfolio and all our brands. Whether it is hair oils, whether it is shampoo, whether it is home care or skin care, we are modernizing and that is towards this 400 to 500 million cohort which is an urban cohort of consumers.

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Out of that, only 2% or 3% are in the income bracket who earn more than around INR 2-3 lakh per month kind of income bracket. So, it is a more razor-sharp approach of going to e-commerce and doing premiumization. So, that is the premiumization pivot of growth.

The second pivot of growth is a rural pivot of growth towards the bottom of the pyramid, which is towards LUP, etc. So, two growth forks for us: one is the premium end, which is where we are contemporizing the brands and premiumizing it and making it more relevant to the Gen Z and the new generation.

To your point, like giving you examples like Chyawanprash gummies coming in, so that is a good thing. Launch of Siens that we have already done, that has happened. Launching a Shilajit resin, which has already happened. So, all those initiatives are meant to relate with the new consumer, but that will be more of a premiumization, more price-driven, more profit driver, and the bottom of the pyramid is going to be more volume driver and more bulk driver for business. So, that is our strategy in terms of premiumization and innovation and relating to the current Gen Z.

Isha Lamba: I would like to thank all the participants for joining today's call. The webcast recording and transcript will be available on our website. Thank you and have a great evening ahead.

Call: Feb 2026

Ref: SEC/SE/2025-26

Date: February 03, 2026

To,

Corporate Relations Department

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street,

Mumbai- 400001

BSE Scrip Code: 5000964^!.

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Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza, 5th Floor

Plot No. C/1, G Block, Bandra Kurla Complex

Bandra (E), Mumbai -400051

NSE Scrip Symbol: DABUR/ /

India Ltd

Sub: Transcri t of Investors' Conference Call for Dabur India Limited -

3 FY 2025-26 Financial Results

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call

organized on January 29, 2026, post declaration of Financial Results forthe quarter and nine months

ended on December 31, 2025. TTie aforementioned transcript is also available on the website of the

Company at [www. dabur. com](http://www.dabur.com).

Tliis is for your information and records.

Thanking You,

Yours faithfully,

For Dabur India Limited

(Ashok Kumar Jain)

Group Company Secretary and Chief Compliance Officer

End: as above

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"Dabur India Limited Q3 FY'26 Investors Conference Call"

January 29, 2026

MANAGEMENT :

MR. MOHIT MALHOTRA - CHIEF EXECUTIVE OFFICER

MR. ANKUSH JAIN - CHIEF FINANCIAL OFFICER

MS. GAGAN AHLUWALIA - VP- CORPORATE AFFAIRS

MS. ISHA LAMBA - HEAD- INVESTOR RELATIONS AND M&A

Dabur India Limited

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Isha Lamba: Good evening, ladies and gentlemen. On behalf of the Management of Dabur India Limited, I welcome you to the Earnings Conference Call pertaining to the Results for the Quarter Ended 31st December 2025.

Present here with me are Mr. Mohit Malhotra - Chief Executive Officer; Mr. Ankush Jain - Chief Financial Officer; and Ms. Gagan Ahluwalia - VP - Corporate Affairs.

We will start with an overview of the Company's performance by Mr. Mohit Malhotra, and this will be followed by a Q&A session.

I will now hand over to Mr. Mohit Malhotra. Thank you.

Mohit Malhotra: Thank you, Isha. Good evening, ladies and gentlemen. We welcome you to Dabur India Limited's Conference Call pertaining to the Results for the Quarter Ended 31st December 2025.

Demand trends in India witnessed a gradual recovery following the GST rate cuts. While the month of October experienced transient headwinds due to GST transition, demand improved over the rest of the quarter. Rural markets continue to outperform urban markets, consistent with recent quarters. In Q3, consolidated revenue of Dabur grew by 6.1% year-on-year, with domestic FMCG business growing at 6% year-on-year on back of volume growth of 3% year-on-year. In the India business, HPC portfolio continued its strong performance and recorded a double-digit 10.6% growth year-on-year. Within hair care, Hair Oil portfolio registered a robust growth of 19.1% year-on-year, with both perfumed and coconut oils growing in double digits. We outpaced the category growth and gained market share of 193 bps, with overall volume market share touching all-time high of 20%. Shampoo posted 6.2% growth this quarter. We remain focused on premiumization and expansion into new-age offerings in both hair oils and shampoo.

The Toothpaste portfolio delivered a robust growth of 10%, with the flagship brand Dabur Red toothpaste sustaining its growth momentum. Meswak and Herbal registered strong growth of 25% each. The Herbal segment grew 530 basis points ahead of non-herbal segment, highlighting a strong and sustained consumer shift towards the natural and herbal oral care products. Capitalizing on this trend, our portfolio outperformed overall category growth, driving gains in market shares.

Skincare portfolio registered a mid-single-digit growth. Bleach portfolio and facial kits performed well during the quarter.

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Within Home Care, Sanifresh recorded a high single-digit growth. Odonil Gel pockets and aerosols posted a high double-digit growth, resulting in market share gains of 131 bps in Air Freshener category.

In the Healthcare category, health supplements grew in low single digits. Honey recorded a strong volume-led growth of 10%. Chyawanprash remained flattish, primarily due to excess inventory in the trade. However, offtakes grew by 11% during the quarter, resulting in a higher secondary sale and gain of 52 bps in market shares. The premium portfolio of Gur Chyawanprash and Ratnaprash recorded a strong double-digit growth.

In the Digestive portfolio, Hajmola franchise posted a 7% growth, driven by double-digit growth in candy. New variants such as Chatola, Imli Chews, and Mr. Aam contributed to 20% overall franchise, registering a strong 23% growth. Pudina Hara grew by 6.6% year-on-year.

OTC and Ethical portfolio recorded a growth of mid-single digits. Honitus delivered a strong growth of 16.6%, supported by a favorable season.

Ayurvedic health juices continued their strong momentum, registering a growth of 17.9%. In Juices and Nectars, the premium portfolio, comprising 'Real Activ' 100% juices and coconut water, continued to scale up, delivering a robust growth of 38% and 52%, respectively. The Nectar portfolio remained muted on account of an unfav

orable season. We continued to

outperform the Juices and the Nectars category, gaining market shares of 195 bps in nectars and 650 bps in juices.

The Culinary portfolio grew by 14%, led by oils and fats and homemade portfolio.

The international business registered a growth of 11% in INR terms and 7.5% in CC terms. In INR terms, MENA grew by 12.5%, Sub-Saharan Africa grew by 30%, UK and European Union by 30%, and Namaste US grew by 19.3%. The export and emerging market businesses were impacted by tariffs and geopolitical disturbances.

In terms of profitability, operating profit grew by 7.7%, while PAT grew in double digits by 10.1% during the quarter. There is a one-time provision arising from changes in the labor laws. Adjusting for this exceptional item, PAT grew by 7.2%. In spite of GST transition, high inflation, and one-time provision due to labor laws, operating profit and PAT growth was ahead of the top line on back of calibrated price increases and prudent cost-saving measures.

Looking ahead, we remain optimistic on a sequential recovery in demand, supported by an improving macroeconomic environment and targeted investments in brand and distribution. This

strategic focus strengthens our ability to deliver sustainable value and reinforce our leadership in the FMCG sector.
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With this, I conclude my address and open the floor for the Q& A. Thank you.

Abneesh Roy from Nuvama

Abneesh Roy: My first question is on hair oil. So, Q3, we have seen all the three listed companies see strong double-digit growth in hair oils, including you. So, I wanted to check, is there any one-off for the industry and for you, given such a strong double-digit growth? And is there something we can take away from here that some of your other FMCG categories could see some kind of a revival in the near term? And is this kind of hair oil growth possible to continue in the near term?

Mohit Malhotra: Hi, Abneesh. Yes, on hair oils, I think overall the growth of the category has been driven by value growth, which is price increases. If you look at a major contributor of hair oils, it has been coconut oils. In coconut oils, there has been a huge inflation of roughly around 100% odd. The coconut oil rates used to be around INR 120-INR 130, went up to a spike of around INR 400, and then down to around INR 250 odd. So, all companies have taken price increases in coconut. So, if you look at the growth, growths are essentially price-driven growths, which I think is one-off till the time we lap over the base of the cost increases in coconut. As we see, the coconut prices are actually softening going forward. But the volume growths are pretty muted in the category, around 3%-4% is the kind of volume growth for the category. But overall, value growths are in the high double digits.

Abneesh Roy: One follow-up there. We have seen for Marico's VAHO and even for Bajaj Consumer, volume growth also has been quite impressive. So, is there any difference we are seeing in terms of volume growth in like-to-like categories? I understood on the coconut, but non-coconut, how has been the volume performance?

Mohit Malhotra: Yes, non-coconut also, because LLP prices have actually come down. The margin upside is there, and that is being invested in consumer communication. On back of that, even the perfume hair oil category or the value-added category that Marico nominates it, it also has been doing well. For us also, there has been high double-digit growth in the perfumed hair oil category. And due to GST rate cuts, also there is a positive upside onto that.

Abneesh Roy: Second question on, in terms of toothpaste, your performance has been quite impressive since past few quarters, including this quarter. But when I see your growth, it seems that Meswak and Herbal seem to be growing much faster than Red. Is there any base effect

which is leading to

that? Is there any specific consumer promotion which has led to those two segments growing faster than your main brand of Red toothpaste?

Mohit Malhotra: Not really. I think overall, oral care is doing exceedingly well for us. I think there is a tailwind, like I mentioned. There is a 500 bps gap between the growth of the non-herbal category and the

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herbal category. Herbal category is growing by 500 bps higher as compared to the non-herbal category. The natural segment is actually doing far better than the non-natural segment.

Meswak and Herbal don't have any base effect, so base itself is pretty low. Both the brands are showing great traction in the marketplace on back of a lot of advertising work that we guys are doing on digital marketing front. I think brands are resilient and continuing to do well both on distribution expansion, as well as on the consumer franchise front.

As far as Dabur Red is concerned, our flagship brand is doing very well and growing in double digits for us. So, there is no issue. We have done a pack change and complete revamp of Dabur Red which is also yielding dividends in the marketplace, and it is doing well.

Now, where we have not done well in oral care is Babool. Babool has not done very well for us, and we are in the process of revamping our entire portfolio of Babool for that also to get into the growth trajectory.

Abneesh Roy: Mohit, one follow-up on toothpaste. Last 3-4 quarters, competitive intensity in this category across the 3-4 players has been on the higher side. So, if you could tell us, are you seeing some level of abatement there? Given that, how are the margins in the toothpaste business given the higher intensity?

Mohit Malhotra: Yes, so I think competitive intensity in oral care has been inching up, especially in the modern trade side, with the main market leader being very aggressive on the modern trade. And of late, a bit of abatement was seen in the previous quarter, but not so much so that I can say that it is going to be sustained. So, the competitive intensity has always been high in oral care for us. I think modern trade is where the shoe pinches more as compared to the general trade for us. But overall, oral care will continue on a growth trajectory, and I don't see a reason why this should

go down. Also, the tailwind on natural herbal is actually helping us.

Ankush Jain: So, Abneesh, on the margin front, we have protected the margins because we have saved some bit of cost on consumer promotions and invested that into more advertisement. And hence, overall margins are actually protected despite the competitive intensity.

Mohit Malhotra: Yes, because, there was a high degree of inflation in oral care with SLES and SLS prices also moving up. But we took calibrated price increases before the GST rate cuts happened, and that follow-through impact is also there in our oral care. Margins are as robust or higher than what they used to be before.

Abneesh Roy: Last quick question. So, on Chyawanprash, one or two questions. One is if you could update us on contemporization of the category because that has been a key challenge. Second, there is a big divergence between the primary and secondary. Does that mean that in Q4, the growth in Chyawanprash could be better because season is favorable? I do understand Q4 is the second

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half of the season ends. So, Q3 is more important, Q4 is not. But given primary and secondary, there is a big gap. Do you think there is some kind of recovery in Q4?

Mohit Malhotra: Absolutely right. I think you got the analysis perfectly right. Our tertiary sales have improved by 11%, our market share on MAT basis is also up. So, tertiary in terms of offtake, I think the season has favored us, and the brand has been doing exceedingly well.

But why the primary has

been low is because last year there were some carry-forward stocks which we had to liquidate in the marketplace. Therefore, we did not do too much of pre-season loading in Chyawanprash and that is why you see an impact in terms of primary sales.

And the Quarter 4 is going to be better because last year we did the loading and the season did not favor us. So, there were some stocks which came back to us. But this time, we haven't done the loading and hence the anomaly is not going to happen. And therefore, Quarter 4 will give you very high double-digit growth albeit on a very lower base of Chyawanprash. So, that way, the business has been okay on Chyawanprash.

As far as premiumization is concerned, premiumization percentage of Chyawanprash is roughly around 13% to 14% of premiumization. We are continuously adding variants for premiumization in Chyawanprash. Gur has done exceedingly well for us. Ratnaprash has done well for us. So, all the newer variants that we have added in Chyawanprash have done.

Sugar-free is doing exceedingly well. We have almost doubled our distribution in sugar-free also. So, that is doing well. And we got a little late. We will be introducing gummies and bars in Chyawanprash also going forward. And that is the modernization of the formats that we are doing on Chyawanprash.

Abneesh Roy: That's all from my side.

Prakash Kapadia from Kapadia Financial Services

Prakash Kapadia: Two questions from my end, Mohit. Any thoughts on the upcoming summer season? How does the beverage and juice business look like? Because it has been volatile for some external factors over the last many, many quarters. One quarter, we see growth. Then there is some season change. So, what is the outlook for that? And as we progress, how does the mid-term growth look from here on? And if you could dissect that for rural and urban demand, is it now set for higher teens growth? How does the next few quarters look like? So, those were my two questions.

Mohit Malhotra: On the beverage and juices business, we are also keeping our fingers crossed. Because the season did not favor us in the last summers, there were some stocks and we are in the process of liquidating all that stock in the marketplace so that we start the new season afresh without old

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stocks, and we are able to do billing. Keeping our fingers crossed. I just hope the season favors us in the coming summers and the weather gods favor us. I think that is what we sit and pray. The whole category should surge on the back of the category tailwind. We should also ideally do well because the bases are low. Last year, we had in the first quarter around -14% business growth. Sequentially, the business has improved going forward, and we are almost flushing out the inventories in the trade. So, hopefully, the next year for beverages, we will target a double-digit growth for ourselves. Next quarter, the pre-season loading should be good. So, hopefully, I think the season should be good.

As far as the overall FMCG growth is concerned, this quarter has actually seen a little depression in the FMCG numbers. Last year, sequentially, the business FMCG numbers are down from 13% to around 7.8%. That depression is, I think, only optical because of GST rate cuts. The pricing and the value is down, and that is why you see. But even the volumes are down. Volumes

are down because people are waiting for the new price stocks to hit the market and then do the purchases. So, therefore, they will postpone the purchases till the time inventory actually liquidates in the marketplace.

But if you look at the MAT numbers, MAT numbers are pretty stable from 11.5%-11.8% to around 11% now. And gradually, slowly, there will be only improvement on account of the sentiment improving. Consumer confidence levels are improving. Even the CPI inflation has

reined in. So, I think the subsequent quarters are going to be better, because the 1st quarter was

hit by season, 2nd Quarter was hit by GST, 3rd Quarter has been significantly better, and the 4th Quarter would even be better. And I think we will start on a firm footing as far as the next year is concerned.

Prakash Kapadia: Any specific categories you would want to call out or any urban or rural insight you would want to share? How is that demand looking? Because both urban and rural areas were doing pretty okay for us as compared to industry where rural was doing better. So, any thoughts on that?

Mohit Malhotra: So, as far as urban and rural is concerned, the difference between urban and rural has narrowed a little bit. That means urban has started also doing well while rural continues its consistent performance. And rural is outsmarting urban by around 300 basis points, but this 300-basis point is down to half from what it used to be last year.

So, I think the urban performance is kind of inching up. The rural performance is kind of steering up also. So, I think both urban and rural are doing well, and GST rate cuts are only helping this consumer sentiment. So, I think overall is doing well, and this will be across categories. So, whether it is food or it is OTC or it is personal care, beauty care, it should be across categories.

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Beverage, which is very season-dependent, is something that we have to wait for and watch. And glucose, which is also very summer season-dependent, is what we will have to see. So, that is a little caveat, which is very weather god dependent. The rest, I think overall things are seemingly all right.

As far as inflation is concerned, we saw huge inflation in Quarter 3. The inflation is ebbing a little bit as we see. As I told you, coconut oil prices are softening, SLES prices are softening, vegetable oil prices are also softening. So, the next year growth is going to be more volume-driven growth and not so much price-driven or value-driven growth. So, that is a little remark. And volume-driven growth is a little harder to get as compared to a combination of a value and a volume.

Prakash Kapadia: I will join back the queue if I have more questions.

Mihir Shah from Nomura

Mihir Shah: Sir, firstly, just some clarification. You highlighted post-November demand saw some improvement. How much of this improvement can be attributed to restocking? Also, given the quarter was partially impacted earlier, can one expect growth to improve on a quarter-on-quarter basis in 4Q or probably remain at a similar range because we had both up and down levers in 3Q playing out? So, that is my first question.

Mohit Malhotra: So, I think overall, if you look at the quarter, October had a cascade impact of the GST old stock liquidation in the trade and therefore October was not so good. November also got impacted a little bit because of that. But December has been far better as compared to October and November also.

I think going forward, demand should only improve in Quarter 4 as compared to Quarter 3. And that is what the MAT numbers also tell us on account of restocking, to your point. So, I think that going forward, the business should only inch up.

Mihir Shah: Sir, secondly, while juices is one of the lowest margin portfolio, it seems the mix within juices is changing towards Nectars and Activ, which are relatively higher margin than the rest of the portfolio. So, wanted to understand, has the change been so significant? Can it improve the overall margins of the Juices portfolio and thus the overall company margins?

Also, if you recollect, usually 4Q is one of the lowest margin quarters because of this since past few years. But last year was, the margins were really low. Is there any way that the margins can see material improvement in 4Q? And also

, the impact on the U.S. litigation, any update on that?

That probably can see some reversal on margins because of that. So, essentially on the margin basically.

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Mohit Malhotra: So, in juices, you are right, Nectars is a lower margin portfolio for us, whereas Activ and coconut

water are the higher margin portfolio for us. The higher margin portfolio has done significantly better. If you look at the Activ business, Activ business has grown by 38% for us, which is the 100% pure juice business, although it is a smaller base. And the coconut water have, again, grown by around 50% for us.

So, high margin portfolio is inching up far higher as compared to the low margin portfolio. And we expect this to continue that trajectory going forward also. So, on Quarter 4 being a low margin quarter, yes, as compared to Quarter 3, it is a relatively lower margin because of glucose being quite salient in the Quarter 4 and also being a juice quarter.

So both ways, I think it is a little low margin. But as the premium portfolio should inch up, I think margins should be a little bit better compared to last year. If last year Quarter 4 to this year Quarter 4, I will expect the margins to be higher on back of lower inflation and on back of premium portfolio also inching up going forward.

As far as the third part of your question on U.S. litigation is concerned, the cost over a period of past 2 to 3 years has come down drastically. In Quarter 3, we had a lower base last year. So, this time in Quarter 3, you see a spike in terms of the litigation cost because of some insurance reimbursement happening onto us. But next quarter, the U.S. litigation cost again will be on lower side. But significant reduction in the litigation cost is happening year-on-year for us overall.

Mihir Shah: Sorry if I get this question once again.

Ankush Jain: So, litigation cost has reduced by almost 25% over the last 3 years since we started, and we expect it to stabilize from next year onwards at these lower levels.

Mihir Shah: Given that there is a tailwind of this and the margin, so just on the margin bit for FY '27, what would be a fair range of margin that one should think about for 4Q specifically and for FY '27 specifically?

Mohit Malhotra: So, while we expect sequential improvement in margins as we go along, but we are still in the budgeting process and working on the exact margins because the commodity prices, all the numbers are just flowing in. And we don't expect too much of inflation coming in. So, margins sequentially should be better. But exact range of margin, I can't tell you right now. How much is that I think Ankush can tell?

Ankush Jain: Next year margin should be better than this year. But exact range, I think we will have to see.

Mihir Shah: Thank you very much and wishing you all the best.

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Percy from IIFL

Percy: My first question is on Q4. So, over the last 3 years we are seeing in Q4, there is some or the other sort of negative surprise either on the top line or the margin or both. So, just wanted to understand Q4 this year. One is, can we expect the sales growth to be at least in line with what we have delivered currently?

Secondly, can we expect on a Y-o-Y basis, the EBITDA growth for Q4 to be higher than Q4?

Sorry, the Y-o-Y EBITDA growth for Q4, would it be higher than the sales growth for Q4? So what I am trying to say is, would there be an EBITDA margin expansion in Q4 after accounting for whatever one-offs, etc., that you might have? Because Q4 is typically a quarter in which maybe the full year tuning up, etc., happens, and there are some one-offs. So, including that, is there some level of confidence that we can show a Y-o-Y EBITDA margin expansion combined with a normative level of sales growth that we are clocking currently?

Mohit M

Malhotra: So, I think in terms of the top line first, I think top line Q4, we expect because of some one-offs which happened last year and the season not favoring us, we expect the season to favor us, and the top line should be better than what the Q4 was last year, definitely. And we expect the growth to be in high single digits in Quarter 4.

That is what we are aspiring to deliver, a high single-digit growth, which will be either in line with Quarter 3 growth or will be a little higher than what we have delivered in Quarter 3. That is what we expect. And we are all aspiring. I don't know what happens. India is such an unpredictable environment on regulatory front. This time labor code came as a surprise in Quarter 3. That is not going to happen in Quarter 4. And last year, there were some one-offs which will not happen in the current year.

So, in EBITDA margins also, we anticipate expansions on EBITDA margins Y-o-Y. From last year to this year, there should be expansion. While the Quarter 3 is the highest EBITDA margin for us, that will be lower than Quarter 3. But Y-o-Y, there will be improvement. Keeping

Ankush, you want to add anything.

Ankush Jain: So, our operating margin will definitely be higher than the revenue. And we expect PAT growth to be higher even from operating profit growth.

Percy: Very helpful. Secondly, just wanted to understand for FY '27, as you mentioned earlier, that it is going to be a volume-led growth, and therefore at an overall value level, there is no price

contribution, and therefore that would sort of put a damper on the sales growth. Just trying to understand on the EBITDA how it works out, because while there is an input cost benefit, and that is the reason for the pricing growth to be absent, does it mean that we should be looking at a slightly higher margin expansion on a lower sales growth.

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So, has the absolute EBITDA growth that we would be looking at should remain unchanged, or do you think that the absolute EBITDA growth will also suffer a little bit given that the absolute sales growth will sort of be on the lower side? I hope I am clear in my question. If not, please let me know.

Ankush Jain: So, Percy, what we are thinking is while this year it was a combination of price and volume, next year it should be more volume given the GST tailwinds. However, having said that, price increase will not be absent because certain price increases which we took in earlier part pre-September, they will also have a rollover impact. And further, wherever there are inflation categories, we will definitely take more price increases. So, there will be a combination, but it will be more volume and slightly lesser value.

Having said that, since we will be moving into lesser inflation, and therefore we will have headroom to improve our operating margins. And whatever upside in gross margins we will get, a significant portion of that we may want to reinvest in advertising and balance around 20%-25% of that expansion in gross margin we will give back as operating margin expansion.

So, we see that tailwinds in volume with some price increases and some inflation at a lower level, things should be better than this year at least is what we think. While we are still in the budgeting process and more clarity will emerge over next three to four months.

Mohit Malhotra: Yes, but just to summarize, I think we are targeting a growth of high single digit on top line and EBITDA improvements over this year and next year. That is what in summary I think it is.

Percy: So, this high single-digit top line growth would be like 80% to 90% of that would be volume-led, right?

Mohit Malhotra: We don't really know. We are supposed to be making budgets because what has happened in Quarter 3 is that we have not taken any price increases because of GST regime change.

So, what I am s

aying is that during the GST transition, we postponed a lot of price increases wherever there was inflationary raw material. We had to postpone the price hikes due to the anti-profiteering issue, which we will be taking in the current quarter and which should follow throughout next year as well. So, there will be price increase to that extent. Plus, there will be volume growth.

So, we are targeting a high single-digit to a low double-digit growth next year with operating margin improvement over current year. We want to go back to our erstwhile 20% operating margin. So, there will be attempt to have saving initiatives and price increases even if there is no inflation. So, there are brands in which we are market leaders. So, we will take price increases proactively despite being not so inflationary environment.

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Percy: That's all from me.

Nihal Mahesh Jham from HSBC

Nihal Mahesh Jham: Mohit, as you mentioned about the growth improvement in hair oil, one of the key reasons was also GST cut for the category. With a similar thought, toothpaste has obviously seen a higher relative cut in GST. So, have we not seen an acceleration in growth in that category because of the GST cut?

Mohit Malhotra: Yes. So, there has been acceleration in the growth in toothpaste also, as you know. Our toothpaste have also grown by double digits in the quarter. And there has been a tailwind in oral care. And as I told you, in oral care, also herbal and natural segment is growing 500 basis points ahead of the non-natural segment. So, that is the double whammy. Meswak has grown by 25%-26% and so, has herbal toothpaste and Dabur Red toothpaste growth.

So, there has been an impact on the sentiment improvement on purchase of the consumers in oral care also. And we have taken some price increases when we revamped our portfolio also because of the inflation in SLES price increases. So, there has been an impact in oral care as well. Home and skin, there has been no GST impact. So there, sales growth is in the range of around 6% or 6.6% for skincare.

Nihal Mahesh Jham: Sir, I was just coming from the fact that if I look at, say, the Q1 growth for oral care, Q2 obviously had the base impact. It is cumulatively last year, this year combined sort of similar even in Q3, whereas in hair oil, that has accelerated. So, hence, I was asking that you have not seen a big step up in growth like the Hair Oil category has seen for you. That is where I was

coming from.

Mohit Malhotra: Yes, oral care step up is not as high because the price increase element in oral care is not as much as in hair oils. Like I told you, in hair oils, there is coconut oil, and there was an inflation of around 100% plus. So, there is a price increase element which is playing out in hair oils, which is not the case in oral care. Oral care is largely driven volumetrically as compared to hair oil, which is both value and volume mix.

Nihal Mahesh Jham: The second question was on the beverage category. If you could just comment on how the competitive intensity is. And also, the Drinks portfolio, we had an aspiration of sort of reaching a Rs. 500 crore top line there. What is the current scale of that, if you could just give a sense of that?

Mohit Malhotra: So, Drinks portfolio, approximately the revenue is around Rs. 200-odd crores ballpark. So, we are in a good space in drinks, and the out-of-home portfolio is sequentially doing well. And out-of-home portfolio was the one which was impacted by the season not favoring us. In the summer of first quarter, there were unprecedented rains, which impacted out-of-home portfolio. But if

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we look at the current quarter, the sequential improvement in out-of-home has been better. Out-of-home portfolio has grown by around

5% in the current quarter despite being acute winters.

So, we expect our drinks portfolio, PET bottles also, to do well. To bolster the impact of season, we have also introduced a Rs. 10, Rs. 20, Rs. 50, and Rs. 100 price points also in drinks. So, that should also help us in the season going forward. And with the GST cuts, which have actually happened for the beverage category as compared to the carbonated category, the relative price index premium of juices over the carbonated has also significantly reduced. That should also be a sort of helping factor.

Nihal Mahesh Jham: That was it from my side.

Harit Kapoor from Investec

Harit Kapoor: I just had two questions. First one is on this GST bit again. So, would it be fair to say, Mohit, that going into Quarter 4, you should realize the full kind of volume growth benefits on lower unit tax, etc., in Q4 because October still had a transition? And if yes, how much could that kind of contribute to as far as volume growth is concerned? That is the first question.

And the second question was on gross margin. So, you did mention that there was some pricing that you couldn't take because obviously you don't want to be looked at as profiteering. Going into next year, what is the quantum of pricing that you think you will need?

Also, it seems like the India gross margins are actually going to be the base is quite comfortable.

So, going into, say, Q4, Q1, Q2, at least standalone numbers as you report. So, is there still a belief that you need to take kind of incremental pricing going forward? So, those are my questions.

Mohit Malhotra: So, on account of GST, we will definitely see volume growth moving up in the category, and the inflation is also coming down. So, we will see volume growth moving up in Quarter 4 and sequentially going forward in Quarter 1 and Quarter 2 also. And as far as pricing is concerned, I think pricing growth will also be better as compared to last year, and the gross margin improvement will also be better on account of pricing coming in, which we have pushed out (due to anti-profiteering law), and which will be followed through into next year also.

Harit Kapoor: Could you just give a sense of what the weighted pricing would be that you are either pushed out or looking to push out into Q4, which will carry forward in to FY '27 as well?

Ankush Jain: What you are asking is in Q1 and Q2, the price increases, correct?

Harit Kapoor: Yes, I am asking how much of pricing are you planning to put out?

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Mohit Malhotra: There are 2% price increases, which is what will happen in Quarter 4, which will be carried forward in next year as well. Yes, broadly.

Ajay Thakur from Anand Rathi Shares and Stock Brokers Limited

Ajay Thakur: So, I wanted to just check on the hair oils growth. If you were to get a bit more color in terms of how the coconut oil versus the non-coconut hair oil volumes have trended during the quarter, so that can give us maybe some sense of how the growth has been in the two different segments.

Mohit Malhotra: So, both the segments, whether it is coconut oil or it is perfumed hair oil, both have grown well for us, and we have registered a market share increase of around 193 bps in overall hair oils. The perfumed hair oils also have grown in double digits for us, around 16%-17% growth. And coconut oils have grown in the range of around 29% for us.

And within the Hindi-speaking belt, one out of every two households is now a Dabur hair oil user. And we have got an exit market share of 20% in hair oils now. So, it is ever highest market

share that we have registered in hair oils, in both perfumed as well also in coconut. So, that is where we are.

Ajay Thakur: That is quite helpful. The second question was more on the NPDs that we had launched maybe around 1/1.5/2 years back. Wanted to get a sense on how they are

kind of performing, if there is

any update on them, and what are the plans for scaling them up further. Some details would be helpful.

Mohit Malhotra: So, NPD percentage for the business is roughly in the range of around 2% to 3%. As you know, we had engaged McKinsey, and we have done an exercise. So, we have rationalized a lot of tail products which were there. That has been rationalized.

That said, a couple of NPDs are really doing very well for us. One is health juices that we had launched. Health juices are giving a growth of around 17% to 18 % for us. And all the variants in health juices are doing well.

Drinks have performed exceedingly well for us. But for the season backlash, I think the drink portfolio is doing well. Ghee, which we had launched as an NPD a couple of years back, is giving a growth of 33%. Edible oils that we had launched are giving a growth of roughly around 50% for us.

So, I think across the board, our NPDs are doing well. Our RED Gel, which we had launched, is also showing a good traction in the marketplace. That said, Cool King is what we had launched in the hair oil piece is doing well.

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In healthcare, we had launched variants of Chyawanprash a couple of years back. Sugar-free is doing exceedingly well. Now, the variants' contribution to the Chyawanprash business is around 13% to 14%, and they are growing at 2x, 3x of what Chyawanprash is doing. Gur Chyawanprash is doing very well.

In honey, two variants of Sundarban and Organic Honey are again trending exceedingly well for us. In glucose, the variants are doing well, but again, the season did not favor us. So, therefore, I can't comment upon how they will do on account of the season, basically.

And we have more plans in the OTC range. Like in Shilajit, we had launched resins and drops. Both are growing in very high double digits for us. And E-commerce is actually the platform where they are doing exceedingly well. These are some of the examples of NPDs that I talked about.

Isha Lamba: I would like to thank all the participants for joining today's call. The webcast recording and transcript will be available on our website. Thank you and have a great evening ahead.

Call: May 2026

Ref: SEC/SE/2026-27

Date: May 12, 2026s^%.^ '^"?1»

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To,

Corporate Relations Department

BSE Ltd.

Phiroze Jeejeebhoy Towers

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Mumbai- 400001

BSE Scrip Code: 500096Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza, 5th Floor

Plot No. C/1, G Block, Bandra Kurla Complex

Bandra (E), Mumbai - 400051

NSE Scrip Symbol: DABUR

Sub: Transcri t of Investors' Conference Call for Dabur India Limited -

4 FY 2025-26 Financial Results

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on May 07, 2026, post declaration of Financial Results for the quarter and financial year ended on March 31, 2026. The aforementioned transcript is also available on the website of the Company at www.dabur.com.

This is for your information and records.

Thanking You,

Yours faithfully,

For Dabur India Limited

(Ash k K ar Jain)

Group Company Secretary and Chief Compliance Officer

End: as above

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Dabur India Limited

Q4 FY'26 Results Investors Conference Call

May 07, 2026

MANAGEMENT :

M

R. MOHIT MALHOTRA - GLOBAL CHIEF EXECUTIVE OFFICER

MR. HERJIT BHALLA - CHIEF EXECUTIVE OFFICER -INDIA BUSINESS

MR. ANKUSH JAIN - CHIEF FINANCIAL OFFICER

MS. GAGAN AHLUWALIA - VICE PRESIDENT -CORPORATE AFFAIRS

MR. RAHUL SARAWAGI - HEAD-INVESTOR RELATIONS AND M&A

Rahul Sarawagi: Good evening, ladies and gentlemen. On behalf of the managemen t of Dabur India Limited, I welcome you to the earnings conference call pertaining to the r esults for the quarter and year ended 31st March, 2026.

Present here with me are Mr. Moh it Malhotra-Global Chief Execut ive Officer, Mr. Ankush Jain- Chief Financial Officer, Ms. Gaga n Ahluwalia-VP-Corporate Affai rs and Mr. Herjit Bhalla- CEO-India Business, who has recently joined the Dabur family. W e'll start with an overview of the company's performance by Mr. Mohit Malhotra, and this will be followed by a Q&A session.

I'll now hand over to Mr. Mohit Malhotra. Thank you.

Mohit Malhotra: Thank you, Rahul. Good evening, ladies and gentlemen. We welcome you all to Dabur India Limited's conference call pertaining to the results for the quarter ended 31st March, 2026.

Demand conditions in India remained steady, reflecting consumption resilience backed by fiscal measures of direct and indirect tax rationalization.

Rural markets continued to outperform urban markets, although gap between urban and rural has narrowed. Geopolitical headwinds in the Middle East are impacting input costs and supply chain across businesses, including India.

In quarter 4, our consolidated revenue grew by 7.3% year-on-year with domestic FMCG business growing at 9.5%, backed by volume growth of 6%. Within the India business, HPC portfolio maintained its strong momentum, recording a double-digit growth of 17% during the quarter.

Our Hair Care business including Hair Oils and Shampoos registered a strong double-digit growth. Hair Oil portfolio grew by 28% year-on-year with both perfumed and coconut oils growing in double digits. We outpaced the category growth and gained 154 bps in volume market shares. Shampoo portfolio posted a growth of 20% during the quarter. Our strategy continues to focus on premiumization, along with expanding our presence in new age offerings across both hair oils and shampoos.

The Home Care portfolio delivered a robust 24% growth, driven by strong double-digit growth across Odonil, Odomos and Sanifresh franchises. Odonil grew by 20% during the quarter, supported by sustained momentum in aerosols and gel pockets, resulting in a market share gain of 243 bps. The Odomos brand reported a growth of 48%, translating into a market share gain of 88 bps. Sanifresh continued its strong performance, registering a growth of over 20%.

Skin Care portfolio also registered a double-digit growth driven by Gulabari franchise and OxyLife.

The toothpaste portfolio delivered a 7.2% growth during the quarter, supported by Dabur Red, Meswak and Dabur Herbal. The Herbal toothpaste segment grew at nearly twice the rate of non-herbal segment, reflecting a continued and deepening consumer preference for natural and herbal oral care solutions. This enabled Dabur to outperform the category growth and expand market shares.

In the health care category, the digestive portfolio grew in mid-teens with a double-digit growth in both Hajmola and Isabgol. The Hajmola franchise posted a 12.7% growth driven by strong performance across tablets and candies, resulting in market share gains of 233 bps. Isabgol also recorded a growth of over 50%.

Within health supplements, the Honey portfolio recorded a strong growth of over 20%, driven by volume expansion across channels, leading to market share gains of 150 bps. Glucose portfolio was impacted by unseasonal rains during the month of March in core states.

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OTC and Ethical portfolio delivered a high single-digit growth. Honey recorded a strong growth of over 36%, led by key variants such as cough syrup and hot sips. Ayurvedic health juices continued their growth momentum, registering a growth of 30%. Lal Tail also delivered a double-digit growth of 10%.

Our beverage portfolio witnessed a sequential recovery during the quarter. Premium beverage portfolio continued to outperform the category, delivering a robust growth of 26% in Real Activ Juices and Coconut Water growing by 100% over last year. We gained 250 bps market share in Nectars and 280 bps in Activ portfolio.

The culinary business registered a growth of 30%, led by Fats and oils and Hommade portfolio.

The international business reported a muted growth of 2.5% in INR terms. While the war in West Asia impacted the MENA region, Sub-Saharan Africa grew by 20%, U.K. and

EU grew

by 10%, Hobi by 16.5%, Bangladesh business grew by 22% and Namaste U.S. grew by 6.2%.

In terms of consolidated profitability, the operating profit grew by 8.2%, while reported PAT grew by 15%.

While geopolitical developments in the Middle East remain fluid, we are confident of sequential acceleration of growth in India business, driven by stable consumption trends, GTM transformation exercise, focus on premiumization and investments in brand building.

With this, I conclude my address and now open the floor to Q&A. Thank you.

Abneesh Roy from Nuvama

Abneesh Roy: Thanks, and congrats on strong recovery in many parts of the portfolio. My first question is that only that we are seeing around 20% to 36% growth in some parts of the portfolio, and you also

mentioned that the sequential recovery will accelerate. So do you mean to say that in Q1, either you expect similar growth in these portfolios or maybe even acceleration? Also is there any one-off in any of these strong growth numbers?

Mohit Malhotra: Yes. So, we think that in quarter 1, the growth will sustain. In HPC at least, we are seeing good traction in the month of April also. In health care portfolio, barring glucose, which is impacted by unseasonal rains here, we see rest parts of the portfolio doing well for us.

Beverages, again, Activ and Coconut Water is doing exceedingly well. Nectar is impacted by rains. But because we are lapping over the low base of last year where we were impacted by rains again, we expect the growth to be much better. We've already gotten into the flat trajectory as far as beverage is concerned. So, we should be going into a mid to a high single digit kind of growth in beverages. And the culinary continues to fire at the pace it is.

And with the inflation picking up in India business, we expect a part value growth through price increases to come in along with the volume growth that we have pencilled. So, nutshell, I think the growth trajectory should continue and sequential recovery should continue that will be driven partly by volume and partly by price.

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Abneesh Roy: Understood. In terms of the El Nino impact, do you see glucose, juice, etc, giving super strong growth, given base is favourable and then the El Nino impact is also there. So if you could give us some sense of beverage and glucose or essentially the El Nino portfolio, how do you see the Q1 growth? You have already spoke on the juice business, but on the glucose and any other part of the portfolio, which caters to summer demand, do you see strong demand conditions. Also on the supply side, in terms of, say, aluminium cans, any markets have gains that can happen because for some of the other competitors that could be a challenge. And in the PET bottle, how do you see the inflation on the supply side there?

Mohit Malhotra: Right. So, I'll take the second part of the question first and then go to the first part of your question. The second part of the question was inflation. So, when we were doing the budgets, we had budgeted a flat inflation because we are lapping over a 6% inflation of last year and we thought that most of the RM/PM prices will remain benign in the marketplace, but that's not the case.

With the war happening in the Middle East, we see a cascading impact happening across all countries and geographies, and therefore, the inflation has really picked up. We now see an inflation of roughly around 10% hitting us in a lot of portfolios, barring the portfolio of beverages and healthcare. Within HPC, all the subparts of the portfolio are reeling under the pressure of inflation, and therefore we've already announced a 4% price increases across different parts of the business to mitigate the inflationary impact that we are seeing.

That's why I'm saying that part value growth

with will come in along with volume growth, plus there's some benefit of GST also that we will be seeing in the first quarter for the low unit price points etc. So, I think inflation will translate into price increases, and therefore, the growth will be there.

As far as the El Nino impact is concerned, we hear from MET, from you and from all the media people that the summer is going to be very severe, but we are not seeing that severity on ground as yet and when we go outside, we only see thunderstorms here. I don't know how Mumbai is, but at least Delhi and the North India where we are very salient in beverages, we are seeing thunderstorms. And if that is anything to go by, then I'm a worried man. But if El Nino is what is to go by, then I'll be a happy guy will see a double-digit growth in beverages and glucose. So, we all are praying to the rain gods to be kind to us and not to rain and praying to the Sun god to be nicer to us.

So that's all I can say and because the bases are low, we should have expected a double-digit growth in these 2 portfolios, which are summer-centric portfolio, big time for us. So, if the summer turns out to be acute, this will do very well and even if not, because of the low basis, we'll still be better off than last year in any case.

Abneesh Roy: One last question. So, toothpaste, are you happy with the performance? I do understand 7% to 8% growth is not a bad number. And category growth etc, yes, they can always give a picture, but ultimately, your historical performance in toothpaste has been on the higher side versus this 7% to 8% growth -- in Q4, we saw Unilever also saw muted growth. So, you have done definitely better.

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So, my question here is, are you happy with this performance? And are you seeing the number 1 player come back because what we are picking up is that they are now coming back to a very

respectable growth, already in Q4 and maybe further acceleration obviously in Q1, Q2. So, if you could talk about your satisfaction and are you seeing the market leader, come back?

Mohit Malhotra: So not at all. I think we're not even at a threshold of satisfaction in terms of happiness index. We are quite unhappy with this performance because entire HPC portfolio has grown by 17% with oral care being an outlier where we've seen a muted performance of around 6%, 7% growth in Oral Care. So, while we are respectable, if I talk to the category heads, they are very happy because the category is growing at 2.5%, and we are growing by 7% and hence gaining market share. So, they are very happy with this argument. But I think we've been growing at double-digit here, and this is the most profitable growth. If you look at the full year number, our Oral Care growth is around 9%-10%, so double-digit growth. So the least expected is a double-digit growth and I think we should come back in quarter 1 with very strong double-digit growth here led by Dabur Red, Meswak, Dabur Herbal.

If I have to just tell you the numbers, -- our Meswak is continuing a trajectory of a double-digit growth of around 11%. Our herbal toothpaste is growing by 30%, 40%. Our Dabur Red is growing at around 6%, 7%. Our Babool hasn't performed much. Babool growth is in the range of around 1%, 2%. So, we've got a lot of work to be done on Babool and Lal Dant Manjan and I think we are ready with the arsenal.

So ready to now go to the front line with LDM and LDM should fire. If you look at the category construct, category is growing at 2.5% and we've grown by 7% which is leading to market share increases. All the basics of market share, penetration numbers etc., are by our side.

Also, the whole tailwind of the herbal category is also with us as we speak. While the market leader may come back because of the low bases of last year and expected growth will come back.

But I think the tailwinds are

favouring us, because if you look at the category growth numbers, which I had talked about in my speech also, the non-herbal is growing at 2.8% and the herbal is growing at 2x at around 6% growth rate. And since we are the market leaders in the herbal category, these tailwinds will only support our growth aspirations. So, I think next quarter will definitely be better than the quarter 4.

Abneesh Roy: Mohit, one last follow-up on your comments. So do you see a disconnect between the, say, 2.5% oral category growth and your own 10% to 30% growth in many parts of the HPC portfolio.

Other FMCG companies are also seeing very strong numbers. It is not that only you are doing well; you are doing well. But the category growth of 2.5%, that looks very low for the toothpaste business?

Mohit Malhotra: Yes. I think it's just not toothpaste, Abneesh, I think it's across the categories. What Nielsen data is showing, they are showing muted growth across FMCG. And when we see and analyse our results and the competitor results, we see everybody showing spectacular results this time. And we are not seeing any sort of granular signs of suppression in the marketplace. We are only seeing robust signs of growth recovering and that's why I'm talking about sequential recovery.

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But Nielsen data is the only dampener that I see, and they are showing that FMCG growth has got muted from 11% to 9%. That said, 9% is also very respectable growth out of which partial is volume and partially is pricing, but there's been a sequential decrease. I don't know if Nielsen is a lead indicator of things to come because inflation is picking up and because of inflation, volumes will get suppressed and price hikes will come in. So that's something which is a dichotomy, which I am not able to unfold.

Mihir Shah from Nomura

Mihir Shah: So just wanted to understand your comment on rural-urban gap narrowing a bit better. Would it be fair to assume that urban growth is improving and rural growth is moderating down? And if so, if you could highlight the key factors in your view that is driving both these changes? So that's question number one.

Mohit Malhotra: Yes. So I was just talking to Abneesh only that we see overall FMCG growth at around 9.2% out of which rural happens to be 11.4% and urban happens to be 8%. So, there is 340 basis points of difference between urban and rural, where rural is outpacing urban. And we see the same reflection of Nielsen gap in our business also.

Our GT business has also grown by around 5%, in which we see a 300-basis points difference -- with rural outsmarting urban. So still rural tends to be doing well. But if I look at sequential numbers, the gap of 340 bps between urban and rural, which is there now, this gap used to be 500 basis points. So, 500 bps has got narrowed down to around 340 bps. That's why I'm saying -- and urban is sustaining, rural is coming down. Maybe it could be an impact of inflation a little bit, but this is not what we see in the market right now. This is all Nielsen data. From our standpoint, both urban and rural are growing.

Mihir Shah: Understood. But post the GST changes one was expecting urban to do better and rural also could

have done better post the GST changes. So, it is a bit surprising for us to understand why rural growth is moderating, especially if you think about the context of El Nino in FY27, which could further pressure rural growth.

So secondly, sir, if I could get your views on how should one think about FY27 from here on? You had indicated earlier that you expect high single-digit revenue growth and EBITDA growth to be a little bit better. But with the return of pricing growth and El Nino, which could pressure rural growth, how do you think that the entire math will work out both on revenue front and on margin front?

Mohit Malhotra: Yes. So, I'm not saying that

we are seeing the depression in rural. I'm talking about Nielsen data.

So, for us, 9.2% growth is very healthy growth, and that's the syndicated data growth that we're talking about. Our business in India has also grown by 9.5%, and as far as we are concerned, we will see sequential improvement both in urban and rural.

So earlier, we had given a guidance of a high single and now we want to revise it. We are seeing high single to a low double-digit growth because you've got some pricing coming in because of inflation. So, it will be a combination of pricing and volume. So, we'll see 50% growth may be coming from volume and balance coming from pricing.

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And over a period, volume could become lower and pricing will become higher depending upon how the war situation and availability of raw material and packaging material etc. is. So that we'll have to see. But I think the sequential recovery is only accelerating from here because of the value piece coming in.

Mihir Shah: Yes. That is clear on the revenue front. On the margin front, would you expect a certain pressure on margins, at least in the near-term because –it will take some time for new price increases to land the market?

Mohit Malhotra: Yes. So, there is an inflation pressure. As I was saying, we are seeing a 10% inflation, and we have already mitigated the inflation for Q1 by way of price increases. There will be a second round of price increase also which we'll take after considering the war situation. The information trail on the war situation is changing every day. Today Brent has become softer, yesterday it was more expensive. So, one really doesn't know where the thing will go.

But as far as we are concerned, we want to increase the margins from last year to current year. So –we would want to mitigate all the inflation through price increases and improve the margins going forward from here, either by way of product mix or pricing or cost saving initiatives that we are planning or premiumization initiatives, which are already planned as per our vision strategy.

Mihir Shah: Got it. Thank you very much. That is very clear. Wishing you all the very best.

Mohit Malhotra: Thank you very much, Mihir.

Aditya Soman from CLSA

Aditya Soman: Yes, hi. Thanks for the opportunity and good evening. So, two questions. Firstly, in the health care business, I'm assuming that Chyawanprash business also declined just given the overall decline in the health care business. So, could you just throw some light on what happened? And how do we sort of turn this business around, which has been relatively weak for a few quarters? That's one.

And then the second question on -- I heard you say that I think the price increases should mitigate margin impact. Does that mean that top line growth and margin growth should be similar for 1Q?

Mohit Malhotra: Sorry, could you repeat the second part of the question, please.

Aditya Soman: Yes. So, you indicated that the margin impact in 1Q should be mitigated by the price increases that we've taken. So effectively, we are saying that top line growth should remain similar with more pricing. But would profit growth also be similar to what we saw in 4Q and 1Q?

Mohit Malhotra: Right. So, Aditya, second part of the question first. I think the margins will sequentially improve. If you look at our operating margins also, our operating margins are the lowest in the fourth quarter, which happens to be a beverage quarter and a summer-centric quarter. So, the margins are lower. If you enter the first quarter, in any case, sequentially, the margins will improve.

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But not just sequentially, we want to improve the margins year-on-year on the back of premiumization and on back of pricing and other initiatives that we people are taking. That's on the margins. On the health care p

portfolio, our health care portfolio is not doing bad. Optically, it seems that it's not really firing as compared to HPC portfolio, which is obviously a big glimmer of strength for us. But the health care portfolio, if you just look at glucose, which declined by around 24%, 25% for us in the last quarter, rest of the entire portfolio except glucose has grown by around plus 12.5% for us. So that's a very healthy growth in the health care and which is also margin accretive to the overall business. So, I think in Chyawanprash, it happens to be a low season for Chyawanprash. It's completely inconsequential.

Our Honey business, which is a part of health supplement has grown by 25%. Our Hajmola has grown by 12.7%. Candies have grown by 9%, and we've gained market share of 233 basis points. Our Pudina Hara is high-single-digit growth. Our Isabgol has grown by 53%. I told you about Honey, which has actually grown for us. Our Honitus has grown by 36%. Our health juices have grown by 29%, Lal Tail 10%. Shilajit again declined in the business.

So, I think 90% of the portfolio, barring glucose has all grown in terms of market shares and in terms of revenue as well. So, I don't think there's any problem. Chyawanprash becomes salient in the winter timing only, and that's when it's consequential.

Aditya Soman: I understand very clear. So, it is just glucose that has led to this mid-single digit decline in the overall business?

Mohit Malhotra: Correct, correct. That's right.

Aditya Soman: And so, what would the salience of glucose be in a normal quarter in 4Q?

Mohit Malhotra: In 4Q, it's around 20%, 25% of the business is glucose. So, look at now a 25% business declining by 20% and balanced portfolio with a 12% growth, you can look at the kind of growth, which is 20% plus growth on balance of the portfolio, which is a trajectory that we are having as we speak.

And another tailwind for us in health care is now the branded business and the classical business has all become 5% GST. So that's a tailwind that we people are facing. Earlier, it used to be 12% which has been reduced to around 5% now. So that's a tailwind on the entire Ayurveda and health care for us. That is also going to help us take health care to the new levels.

Aditya Soman: That's very good. Thank you.

Mohit Malhotra: Thank you.

Percy Panthaki from IIFL Capital

Percy Panthaki: Hi, sir. This is Percy Panthaki here. Just wanted to understand the growth, I mean, very good growth in HPC at mid to high teens kind of numbers. What is really driving this? I understand there is a low base effect to some extent. And therefore, on a 2-year CAGR, the numbers are a little more sort of reasonable. But how do we look at this going forward? Do we look at this mid-Dabur India Limited

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teens, high teens kind of growth in that part of the business to be able to continue on a Y-o-Y basis even in the current quarters due to some initiatives?

And if so, can you enumerate what those initiatives are? Because we were struggling to give a high-single-digit growth also in some parts of our portfolio, which are now growing at sort of close to 20% and some of the other parts which are growing at sort of mid- to high single digits were probably declining also.

So, what really has happened apart from the base effect becoming normal because the initiatives even every quarter on the call, we have several sort of initiatives to boost the business. But it seems suddenly only this quarter, they have worked very well.

Mohit Malhotra: I get you. So now on the hair oils, what has driven this growth in HPC, I'll come to that. Hair oil business has actually grown by 28% and it is just not value or the pricing growth due to inflation of coconut oil that you've seen with the competitor. But for us, it is a growth which is driven by more value-added oils of what we call perfumed oils.

So there's only a price

increase of 9%, rest is around 14% volume growth. Coconut portfolio has grown by 48% with Dabur Amla growing by 26%, Almond grown at 57% and now 1 in every 2 households in Hindi-speaking belt uses Dabur hair oils. Our penetrations have moved up. Our market shares have moved up by 154 basis points. So, it is not just a base effect, it is actually penetration and market shares which are actually moving up.

And what's happening on ground is that coconut prices went up and due to the coconut oil prices going up, the index between perfumed oil and coconut oil actually narrowed because of which there was a consumer shift from coconut to perfumed. And that has, to a certain extent, helped us bolster the growth of the value-added hair oils. Since our majority of the portfolio is value-added hair oils and that is the reason of organic growth.

Now what we are doing initiative is we are taking in hair oils is, we are proposing new launches to fill up our aspiration of premiumization. So therefore, you will see premium offerings come in, in quarter 1 and quarter 2 in the hair oils portfolio and which are post bath application products for hair oils and hair nourishment. Our shampoo business has grown by 20%. And in this, there has been a conscious attempt to shift the sachet saliency towards the bottle saliency.

The bottle is more value accretive to the overall portfolio and also profit accretive. So therefore, our profits have improved in shampoos and so is our value going up in shampoo. There's been a conscious attempt. On the emerging channels like e-comm, we are introducing premium offerings of shampoos.

And our bottle saliency as we speak in the quarter is up to around 22%, and we expect the saliency to even move up further. As far as Oral Care is concerned, the third bucket of the HPC, that has grown by around 6%, 7%. And as I was saying, we are not very happy with that kind of a growth.

I think because post GST, there was a little higher stocking up, which happened in the trade.

And this time, it's got evened out. But I think coming quarter, Oral Care will see a real bump up

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in the business. So, I expect Oral Care to continue its trajectory of double digits, which is what we registered in the full year.

Home Care portfolio, Home Care has grown by 24% and we expect it to sustain that growth with Odonil growth at 20% and gel pockets is a tailwind on the whole category. Category itself is growing at high single digits, and we are gaining market shares. We've gained around 243 bps in market shares and we'll gain. We have got a lot of new initiatives also planned in Odonil brand, including car fresheners, etc.

In skin care, we've got a growth of around 12.5%. Gulabari continues to do well, and we are planning to extend Gulabari into larger categories of body bath etc., and wanting to democratize them across channels, which is not the case as of now. So that's big picture of HPC. The whole year HPC has seen a double-digit growth and for next year also, we expect HPC to grow at double digit, if not high teens. At least a double digit is a bare minimum that we expect HPC to grow.

Percy Panthaki: Got it. And what is your expectation for food and beverages for the full year?

Mohit Malhotra: I told you food and beverages, we pencilled a target for us for a double-digit growth because of the low base and on an assumption that season will play out in our favour. But if season does not play out and if monsoons are disrupting the business, then the whole category will get impacted and not just us.

That said, we are gaining market shares in our respective category, whether it's coconut water or it's 100% juices or it's nectars or drinks, we are gaining market shares across. So, we pencilled the double-digit growth. The food part of the F&B with the Culinary is growing at 30% for us and we are not even s

cratching the market surface with fats and oils, which is very small for us.

So we are wanting to grow food and beverage. Our Badshah business, which is also a part of our food portfolio is growing at 12% and we want to continue that trajectory.

Percy Panthaki: And last question, if I might quickly squeeze in. On margins, if I see your history over the long term, in any year where there is a sharp crude inflation, the EBITDA margin always drops. I don't think -- and correct me if I'm wrong, I'll also probably relook at my data. I don't think there is a single year in which there has been a sharp spike in crude and the margins have even stayed flat. So how is it that you are targeting a margin expansion this year on a full year basis over FY26? What specific levers do we have apart from pricing, which you think can drive this?

Ankush Jain: Let me take this. So at least whatever clear visibility we have for Q1, our attempt is that we would be able to maintain our margins at least in our India business for sure. And then we are taking adequate price increases or reducing grammage or millage, stepping up our saving initiatives etcetera, plus also optimizing some of the trade and CP spend.

So quarter 1, we have a clear bit of visibility in this. We are also preparing as the things are very volatile, we are also preparing for Q2. We are watchful about the international business, and we'll have greater visibility maybe towards next few weeks about international business as well.

But yes, we are working towards that.

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Mohit Malhotra: Percy, to Ankush's point, I think domestic business we are very clear that most of the inflationary pressure of whether LLP or crude etc., we'll pass on to the consumer. That's what we'll do. Even if we have to take a little bit cut in terms of shares, we are okay with it. And if a competitor doesn't take it, we have to take it.

We will bite that bullet, but we'll protect our margins. So that is one. International business, we are not too sure of because if the war continues unabated, then there could be a pressure in terms of margins from international. But as of now, we are wanting to mitigate that. So, India business, I don't think there should be so much of pressure.

Percy Panthaki: Okay. Thank you very much.

Prakash Kapadia from Kapadia Financial Services

Prakash Kapadia: Yes. Thanks for the opportunity. Mohit Activ was a smaller part of the juices portfolio. Is the low base helping us? Is it new variants, newer channels and what is happening on the larger part, real juice and in coconut water what is working well for us because it's a pretty competitive category, a lot of players there right from Paper Boat to Stori to Freshio to Presso to Tata's Coco Mama. Is that a segment tailwind or consumer preferences are changing? So that insight would help. And lastly raw material cost, I think packaging was always one-third of our RM basket. So, given the inflationary pressure and the input cost we are seeing, is the focus now on bridge packs, larger packs, what is LUP contribution currently? And what are we planning in terms of growth to offset some of these costs? Those are my three questions?

Mohit Malhotra: Right. I got two parts of your question. I think third part, I'll come back to you. So first of all, on the juices portfolio, our Activ portfolio you're absolutely right. Activ portfolio is a small part of our business. The larger part of the business is nectar. Activ is growing at around 26%, and we are wanting to scale it up.

All the advertising and above-the-line communication, we are wanting to pivot towards Activ, because Activ is the one that drives the consumer franchise towards the real. And there is also a consumer preference very clearly, which is going from drinks and nectars to juices. So it's also a beneficiary of the tailwind which is there

in the category.

So that's what -- where there is no artificial sugar added and it's only natural fruit sugar. So that is what is driving the whole category. As far as coconut water is also concerned, it is supposed to be a non-sin drink sort of and it's taking business from carbonated beverages. So, the whole market is growing. As far as competitive intensity is concerned, it's not very, very active. The basic two players in the category are Stori, who was the number one who created the category and is number two with us. We delayed our entry into this whole market of coconut water because we didn't have infrastructure to produce it. We've already put an AFET line now, and we've got surplus capacity.

So, we are bursting from scenes in terms of capacity, and we are augmenting capacity as we go on. And we'll be producing this. And whatever we are producing is what we are selling. So,

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there's 100% growth happening in our coconut water portfolio. So, although it is also small insignificant as compared to overall, but this is what we are trying to build.

And because it's growing by 100%, so it will become huge in scale. The Nectar part of the portfolio, which is a larger piece there we are introducing newer variants. We've introduced PET bottles there. We're introducing new price points on INR50, INR 100 also to bolster that. And that is where the shoe is pinching.

And that's what we are trying to -- so new variants will come in. We are wanting to reduce the sugar over there also. And that's how we add new price points to plug the gaps in the marketplace on the Nectar. So that's the part on beverages. And on back of all this, we expected a double-digit growth if the weather supports us.

Now the second part of your question is packaging. Packaging one third of the RM basket, yes because the crude prices have gone up, packaging costs have moved up and to mitigate those inflationary pressures, we are doing price increases as I've been telling you multiple times. Other initiatives that we are taking is shrink inflation. So, all the INR10, INR20 pack, we are reducing grammage. So, because we can't breach those price points and we want to maintain those price points for that, we are reducing grammage, which we had increased during GST.

So, we are revising all that. So, there's a headroom available there from a pre-GST time to the post-GST time. So that comes in handy. It's easier call for us to take. We already have the mold; the gestation period is low. So, we'll be able to pass on the price increase. LUPs almost contribute around 30% of our overall business, and that will grow as we increase our rural business because that is more LUP business for us. I didn't understand the third part of your question.

Prakash Kapadia: I think that was it. And on coconut water, we should look at INR100 crores ARR currently. Are we there?

Mohit Malhotra: No, no, we are already INR100 crores. We are looking at INR150 crores, INR200 crores ARR.

Prakash Kapadia: INR100 crores ARR...

Mohit Malhotra: We are looking at around INR150 crores ARR.

Prakash Kapadia: INR150 crores Yes.

Mohit Malhotra: Exit rate.

Prakash Kapadia: Yes, exit rate. That's true. And on Honey, what has been the growth for the whole year if you have that handy in value terms?

Mohit Malhotra: Honey, the quarter growth is a 24% growth, whole year growth, I will tell you. Honey grows around 18% for us. Honey is growing because honey as a category is growing, and we are growing ahead of the category and therefore, gaining share in modern trade.

So there, we've gained 150 bps. There's a little bit of pressure that we are facing from unorganized players in the rural market, which we are planning to correct through the right price
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points in honey. Plus, our new variants on honey like

Sundarban's Honey and Organic Honey are doing well, and they are value accretive and profit accretive to the base brand, although it's only 2%, 3% of the rural brand. But I think that's what we want to scale going forward, value-added honey.

Prakash Kapadia: Understood. That's helpful. Thank you. All the best

Mohit Malhotra: Thank you.

Kshitij Jadhav with WealthCulture

Kshitij Jadhav: Yes, hello. So, my question was that we have delivered margin expansion despite having higher advertising spend in this quarter. So now with the inflationary pressure now if it sustains at the current level, so do you believe there will be further margin expansion in FY '27? Or will it be some challenges? And will it be more advertising spends or it will be limited to advertising spends?

Mohit Malhotra: Right. So, we are committed to increasing our margins going forward, as I mentioned earlier also. So, advertising will depend upon how much money we have available because in a situation where the inflation is very high, there's invariably consolidation which happens in the market.

Smaller players get marginalized and larger players become bigger. And when the market construct is shrinking, it's not very prudent to advertise and splurge with the advertising so much, better to retain your consumers by giving better value to them. So, we will prioritize our margin over our media spend going forward. While we are committed doing more media and doing demand, but when the inflation is very high, it's better to protect the base business.

So, I think margins will not be compromised. And we have a endeavour of doing more advertising. But if the saving initiatives kind of give us more cost savings, then that will be deployed into advertising, but margins will definitely be given a priority.

Kshitij Jadhav: And my second question was I wanted a detail on I mean, after increasing your input costs? And how are you balancing your pricing versus protecting our market share and consumption growth?

Mohit Malhotra: Sorry, I didn't quite get your question.

Kshitij Jadhav: I was talking about that now we are going to be increasing our input cost. So, input costs are going to be increasing. So how are we balancing pricing actions and then consumption growth?

Mohit Malhotra: Yes. So, input costs are increasing to offset that input cost increase, we will be doing price increases, like I mentioned to you, on the larger packs. In the smaller packs where we can't do price increases at INR10, INR20, we'll be doing shrinkflation. We'll be shrinking our packs. So that's a surrogate sort of price increases, and that's how we'll be protecting our margins.

Kshitij Jadhav: Okay, that's all. Thank you.

Mohit Malhotra: Thank you.

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Manoj Menon with ICICI Securities

Manoj Menon: Hi, Mohit and team. Only one question on the quick commerce channel. What's the salient currently? Point number two, how, let's say, the growth rate would have been over the last 1 year? And point number three, if I have to pick the top three categories for you specifically, it should have tailwinds from the quick commerce as a channel? Thank you.

Mohit Malhotra: Right. So, the salience of quick commerce in e-commerce is almost like 70%, 75% for us. So that's drastically gone up. It used to be 50%, but 50% from quarter 3 to 75% in quarter 4.

So, I think it's really growing. And salience is 75%, growth rate is 50%. And most salient categories here are beverages, then food and then there is also personal care. Home care is pretty big for us there. And other HPC categories like shampoos and hair oils will trend, but healthcare will be the last to fall.

Manoj Menon: Thank you.

Mohit Malhotra: Thank you.

Kunal Vora from BNP Paribas

Kunal Vora: Yes. Thanks. I wanted to understand to what extent has GST rate cut helped in driving the growth

revival. So, if you try to split your portfolio into categories in which you've seen GST rate cut and those which are not, has the growth rate in categories in which you've seen GST rate cut significantly higher compared to categories in which there was not rate cut?

Mohit Malhotra: Yes. So, GST has really helped us, Kunal. So, 70% of our portfolio was on a higher tax rate where the GST rates have got moderated and there, the growth rates are stupendous. All the growth that you're seeing in hair oils for us, in the shampoos for us, in oral care for us, barring home and skin care, where the GST did not impact, all these 3 categories are the ones which have driven the growth. So, GST has kind of really helped us, helped us in the terms of prices, which is optimal in immediate term and also long term in terms of demand building. So, I think both ways.

Ankush Jain: Even in health care portfolio, OTC, digestives and other portfolio where GST has come down; it is helping drive consumption there, because the MRPs have come down and also the gap between unorganized players and branded players has actually narrowed down.

Kunal Vora: Understood. Some of these benefits are more structural that you become more competitive and that benefit continues.

Ankush Jain: Yes, yes.

Kunal Vora: Okay. Second is on international business, especially in the Middle East, what's happening now? I mean how do you see that playing out? Are you able to export now? What kind of impact you could see in the impacted markets in the coming quarters?

Mohit Malhotra: Yes. So, our Middle East business is a good substantial 30%, 35% of our overall international business. So that is impacted substantially. And supply chain disruptions are the ones which are

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really creating havoc for us besides inflation, which is there. And number three is demand, which is going down because expats leaving the Middle Eastern where there are huge Indian expats and Asian expats were there. So threefold impact. So, first impact is supply, chain. Second impact is the inflation. The third impact is demand.

So, first impact on supply chain disruptions, we're opening up newer routes from India and from Egypt or from Turkey, etcetera, and getting into the other markets. So, we were unduly impacted because our supply chains were geared from Ras Al Khaimah, which is Middle East. And that's what we are doing, alternative supply locations, albeit coming at a higher cost and therefore, margin erosion. But therefore, price increases will come and help us there. The second bigger is inflation. So, we are already announcing price increases there to offset to whatever extent we can mitigate that inflation through price increases.

And third, demand. So, because we hope the situation should normalize and expats should come back to the market. And the way the war has kind of ebbed for the time being, we think the situation is only short-lived and we will expect a correction there, yes.

Kunal Vora: What's the initial assessment for the international business? Where do you see the growth rates as well as what kind of margin hit you might be taking there?

Mohit Malhotra: See, our international business growth rate traditionally has been double-digit business. We expect international business to grow in double digits, although volume will go down, pricing increase will go down, but the dollar has appreciated as compared to rupee. So, I think that the upside Indian rupee depreciating by 6% is a delta on translation gain that we will get as far as top line is concerned and cost savings, et cetera, that we will do for the bottom line.

Kunal Vora: Understood. And lastly, what would be the rough raw material cost split? I mean what kind of linkage with crude like besides packing material?

Mohit

Malhotra: Sorry, I didn't get your question.

Kunal Vora: Yes. I mean, like say, the key raw materials which you use, and raw material split for you, packing material and raw material, like especially the ones which have crude linkage -- how much do they contribute?

Mohit Malhotra: So crude linkage in overall global business. -- crude linkage business will be 25% from a raw material perspective. If you look packaging material, it could be a little higher.

Kunal Vora: Okay. That's it for me. Thank you, sir.

Rahul Sarawagi: Thank you all for joining us today on our earnings call. The webcast recording and transcript will be available on our website. Thank you and have a great evening ahead.